

TAB 15



Board of Education Report

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File #: Rep-300-22/23, Version: 1

Authorization of a Resolution of the Board of Education Approving the Execution and Delivery of Not-to-Exceed \$500 million of Certificates of Participation, Series 2023-A (“the COPs”) and the Forms of the Documents Necessary for the Execution and Delivery of the COPs

June 13, 2023

Office of the Chief Business Officer

Action Proposed:

1. Approve the attached resolution (the “COPs Resolution”) in connection with the execution and delivery of the COPs in one or more series (Attachment A), which will:
 - a) Authorize the issuance of not to exceed \$500 million of COPs;
 - b) Approve as to form the related documents, including an Official Statement, a Continuing Disclosure Certificate, a Trust Agreement, a Lease Agreement, a Site Lease, an Assignment Agreement, and a Contract of Purchase;
 - c) Authorize the sale of the COPs through the negotiated method of sale in light of current market conditions, the District’s declining enrollment and budget uncertainty, the debt structuring flexibility afforded by this method and the ability to include a retail order period and meaningful roles for underwriting firms of various sizes; and
 - d) Authorize the Budget Services and Financial Planning Division to make necessary budget adjustments to reflect the issuance of the COPs , and the related debt service payments.

Background:

This Board Report seeks Board approval of the COPs Resolution, which is a resolution authorizing the execution and delivery of COPs in an amount not-to-exceed \$500 million to finance the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds. The COPs Resolution authorizes the Chief Business Officer, Deputy Chief Business Officer, and Controller to effect the execution and delivery of the COPs and carry out all necessary acts related to the transaction or transactions. The COPs are currently expected to be sold in Summer 2023.

Finance, in accordance with the procedures established in the Debt Management Policy, has completed the process of selecting certain members of the financing team from the legal counsel and municipal advisor benches. The financing team for the upcoming transaction will include Hawkins Delafield & Wood LLP, as Bond and Tax Counsel; Orrick, Herrington & Sutcliffe LLP, as Disclosure Counsel; and Public Resources Advisory Group, as Municipal Advisor. In addition, U.S. Bank Trust Company, National Association will serve as Trustee and Paying Agent. The Chief Business Officer shall designate the underwriters and their roles as senior manager(s), co-senior manager(s), and co-managers, in accordance with the Debt Management Policy.

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In compliance with Government Code Section 5852.1, the Board of Education has obtained from Public Resources Advisory Group, as the District's Municipal Advisor, the required costs of issuance estimates, and such estimates are disclosed in Exhibit A of the Resolution.

Expected Outcomes:

Approval will enable the District to issue the COPs to finance various high-priority capital projects including IT and transportation projects. It will also authorize the District to pay for the related debt service costs from the general fund.

Board Options and Consequences:

Should the Board not approve this item, District staff will not be authorized to continue to proceed with the execution and delivery of the COPs to finance various high-priority capital projects. In that case, the General Fund would not be required to pay annual debt service related to the COPs.

Policy Implications:

This action is in compliance with the relevant criteria set forth in Article 1 and Sections 3.02 and 4.12 of the Debt Management Policy.

Budget Impact:

Under market conditions as of April 27, 2023, and based on the expected structure of the COPs, the issuance of \$500 million of COPs will result in annual debt service costs of \$14.7 million in fiscal year 2024 and \$49.7 million from FY 2025-FY 2038. The debt service will be paid out of the District's general fund.

Student Impact:

Proceeds of the COPs will be used to i) modernize and improve students' access to technology and facilitate learning and ii) update the District's school bus transportation to be in compliance with environmental objectives and requirements.

Equity Impact:

Component	Score	Score Rationale
Recognition	4	The proceeds from the COPs transaction will be used to fund identified capital projects within the District, which include areas that have had historical inequities.
Resource Prioritization	4	The COPs proceeds will be allocated to fund identified capital projects that specifically address student needs.
Results	4	Since proceeds from the COPs issuance will be used for capital projects designed to modernize and elevate student experience within communities that have experienced historical inequities, it should result in closing opportunity and achievement gaps.
TOTAL	12	

Issues and Analysis:

Execution and delivery of the COPs will improve various aspects of the District's infrastructure but will impact the District's General Fund because debt service will be paid from the General Fund. The COPs are expected to be amortized over 14 years. Annual debt service is currently projected to be \$14.7 million in fiscal year 2024

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and \$49.7 million from April 1, 2024 to October 1, 2037. Total debt service is currently projected to be \$709.8 million. Actual debt service will depend on market conditions and the District's credit quality at the time of issuance.

Attachments:

Attachment A - COPs Resolution
Attachment B - Preliminary Official Statement
Attachment C - Continuing Disclosure Certificate
Attachment D - Trust Agreement
Attachment E - Lease Agreement
Attachment F - Lease Agreement (Private Placement)
Attachment G - Site Lease
Attachment H - Site Lease (Private Placement)
Attachment I - Assignment Agreement
Attachment J - Assignment Agreement (Private Placement)
Attachment K - Contract of Purchase
Attachment L - Private Placement Agreement

Informatives:

Not applicable.

Submitted:

05/16/23

RESPECTFULLY SUBMITTED,



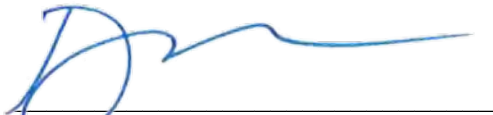
ALBERTO M. CARVALHO
Superintendent

APPROVED & PRESENTED BY:



PEDRO SALCIDO
Deputy Superintendent,
Business Services and Operations

REVIEWED BY:



DEVORA NAVERA REED
General Counsel

APPROVED & PRESENTED BY:



DAVID D. HART
Chief Business Officer

☒ Approved as to form.

REVIEWED BY:



TONY ATIENZA
Director, Budget Services and Financial Planning

☒ Approved as to budget impact statement.

RESOLUTION

RESOLUTION OF THE BOARD OF EDUCATION AUTHORIZING THE PREPARATION, SALE, EXECUTION AND DELIVERY OF NOT TO EXCEED \$500,000,000 AGGREGATE PRINCIPAL AMOUNT OF LEASE OBLIGATIONS, INCLUDING AN ASSIGNMENT OF LEASE AGREEMENT AND CERTIFICATES OF PARTICIPATION, 2023 SERIES A, IN ONE OR MORE SERIES, BY EITHER A PRIVATE PLACEMENT OR NEGOTIATED PUBLIC SALE, THE PREPARATION, EXECUTION AND DELIVERY OF DOCUMENTS RELATING THERETO, INCLUDING AN OFFICIAL STATEMENT, CONTINUING DISCLOSURE CERTIFICATE, TRUST AGREEMENT, LEASE AGREEMENT, SITE LEASE AND CONTRACT OF PURCHASE, DECLARING INTENT TO REIMBURSE THE DISTRICT FOR EXPENDITURES WITH PROCEEDS OF SUCH LEASE OBLIGATIONS, AND DIRECTING CERTAIN OTHER ACTIONS IN CONNECTION THEREWITH

WHEREAS, the Los Angeles Unified School District (the “District”) is a school district organized and existing under and pursuant to the Constitution and laws of the State of California (the “State”); and; and

WHEREAS, the District has determined that it would be in the best interests of the District and the citizens of the District to authorize the incurrence of lease obligations through either (i) a private placement with one or more Direct Purchasers (as herein defined) of an assignment of the Lease Agreement hereinafter authorized (the “Assignment of Lease Agreement”) or (ii) the preparation, sale (as either private sale to a Direct Purchaser or public sale to one or more underwriters), execution and delivery of Certificates of Participation, 2023 Series A, in one or more series (with such other or additional series designations as may be approved by the District) in an aggregate principal amount not to exceed \$500,000,000 (the “Certificates”), pursuant to the terms of the Trust Agreement (the “Trust Agreement”), by and among the District, the LAUSD Financing Corporation, a nonprofit public benefit corporation (the “Corporation”) and U.S. Bank Trust Company, National Association, as trustee (the “Trustee”), which Certificates shall evidence the proportionate interests in the lease payments and prepayments to be made by the District, in each case to finance the costs of the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds (collectively, the “Project”); and

WHEREAS, the District intends to finance the Project with the proceeds of one or more borrowings and shall determine which of the above methods of financing the Project is in the best interests of the District; and

WHEREAS, the District proposes to utilize the assistance of the Corporation to finance the Project; and

WHEREAS, the District and the Corporation desire to facilitate the financing of the Project by entering into the Site Lease (the “Site Lease”), by and between the District and the Corporation, pursuant to which the District will lease to the Corporation real property to be selected by the Authorized Officers (as defined herein), or any Authorized Officer acting singly, in accordance with District practice, and designated in the Site Lease, together with the facilities and improvements thereon (collectively, the “Property”); and

WHEREAS, the District and the Corporation propose to enter into the Lease Agreement (the “Lease Agreement”), by and between the District and the Corporation, pursuant to which the Corporation will sublease the Property back to the District, and the District will pay lease payments for use of the Property; and

WHEREAS, the Corporation proposes to assign without recourse certain of its rights under the Site Lease and the Lease Agreement, including all of its rights to receive the lease payments scheduled to be paid by the District pursuant to the Lease Agreement, either to the Trustee for the benefit of the owners of the Certificates or to the Direct Purchasers, as applicable, pursuant to an Assignment Agreement (the “Assignment Agreement”), by and between the Corporation and the Trustee or the Direct Purchasers, as applicable; and

WHEREAS, the District has determined that it may be in the best interests of the District to obtain credit enhancement for the Certificates and such other insurance policies or surety agreements as may be necessary to improve the marketability of the Certificates; and

WHEREAS, in such instance as the District determines to finance the Project pursuant to the private placement sale of the Certificates to one or more “qualified institutional buyers” within the meaning of Rule 144A promulgated under the Securities Act of 1933, as amended (the “Securities Act”) and/or “accredited investors” as defined in Section 501(a)(1), (2), (3) (7) or (8) of Regulation D promulgated under the Securities Act, provided that each equity owner of an “accredited investor” as defined in Section 501(a)(8) of Regulation D shall be an “accredited investor” as defined in Section 501(a)(1), (2), (3) or (7) of Regulation D (each, a “Direct Purchaser”) pursuant to one or more contracts of purchase (each, a “Private Sale Contract of Purchase”), the District proposes to engage, pursuant to a Placement Agent Agreement (the “Placement Agent Agreement”), with the Corporation and any broker-dealer on the District’s underwriter bench (each, a “Placement Agent” and, collectively, the “Placement Agents”), as authorized herein; and

WHEREAS, in such instance as the District determines to sell the Certificates pursuant to a negotiated public offering to one or more underwriters from the District’s underwriter bench (each, an “Underwriter” and, collectively, the “Underwriters”), the District proposes to enter into one or more contracts of purchase (each, a “Public Sale Contract of Purchase” and together with the Private Sale Contract of Purchase, the “Contracts of Purchase”) with said underwriters as authorized herein; and

WHEREAS, in accordance with Rule 15c2-12 promulgated under the Securities Exchange Act of 1934 (as amended, “Rule 15c2-12”), the District may execute and deliver a Continuing Disclosure Certificate (the “Continuing Disclosure Certificate”); and

WHEREAS, a form of the Preliminary Official Statement to be distributed in connection with a public offering of the initial series of Certificates has been prepared (such Preliminary Official Statement, in the form presented to this meeting, with such changes, insertions and omissions as are made pursuant to this Resolution, being referred to herein as the “Preliminary Official Statement”); and

WHEREAS, pursuant to Section 17150.1(a) of the Education Code of the State of California (the “Education Code”) the District has provided certain financial information to the Superintendent of Schools of Los Angeles County (the “County Superintendent”) and the Auditor-Controller of Los Angeles County; and

WHEREAS, in compliance with Section 5852.1 of the Government Code of the State of California (the “Government Code”), the Board of Education of the Los Angeles Unified School District (the “Board”) has been presented with the good faith estimates prepared by Public Resources Advisory Group, as municipal advisor, and such estimates are disclosed and set forth on Exhibit A attached hereto; and

WHEREAS, the District has paid prior to the date hereof and reasonably expects to pay, prior to the incurrence of the lease obligations, capital expenditures (the “Expenditures”) with respect to the Project, which Expenditures have been and will be paid with available moneys of the District, and the District has determined that such monies are available only for a temporary period and it is necessary to reimburse the District for the Expenditures with proceeds of the lease obligations; and

WHEREAS, all acts, conditions and things required by the Constitution and laws of the State to exist, to have happened and to have been performed precedent to and in connection with the consummation of the transactions authorized hereby do exist, have happened and have been performed in regular and due time, form and manner as required by law, and the District is now duly authorized and empowered, pursuant to each and every requirement of law, to consummate such transactions for the purpose, in the manner and upon the terms herein provided;

NOW, THEREFORE, it is resolved by the Board of Education of the Los Angeles Unified School District as follows:

SECTION 1. Findings. The Board hereby specifically finds and declares that the above recitals are true and correct, that the actions authorized hereby constitute the public affairs of the District, and that the statements, and findings and determinations of the District set forth in the preambles of the documents approved herein are true and correct. The Board hereby declares its intention of entering into the Lease Agreement, the Site Lease, the Trust Agreement, the Continuing Disclosure Certificate and the Contract of Purchase in connection with the Certificates.

SECTION 2. Authorization of Assignment of Lease Agreement and Execution and Delivery of Certificates. The Board hereby authorizes the financing of the Project by either (i) the

Assignment of Lease Agreement by private placement with one or more Direct Purchasers or (ii) the execution and delivery of the Certificates pursuant to the terms of the Trust Agreement in one or more series either through private placement with one or more Direct Purchasers or by public sale to one or more Underwriters, in the form of tax-exempt or federally taxable lease obligations in an amount not to exceed \$500,000,000, all as shall be determined by the Chief Business Officer of the District (the “Chief Business Officer”) to be in best interest of the District considering, among other factors, the timing of each sale, expected interest cost, debt structure flexibility and the ability to work with underwriters and placement agents familiar with the District, and consistent with the District’s Debt Management Policy. The placement agents’ compensation shall not exceed 1.00% of the principal amount of the lease obligation. In addition, if the Assignment of Lease Agreement or the sale of Certificates is to one or more Direct Purchasers, the purchasers’ discount or commitment fee shall not be in excess of 1.00% of the principal amount of the Assignment of Lease Agreement or the Certificates, as applicable, and, if the Certificates are sold in a public sale to underwriters as hereinafter authorized, the underwriters’ discount shall not be in excess of 1.00% of the principal amount of the Certificates. The proceeds of the sale of the lease obligations will be used to (i) finance the Project, (ii) fund a reserve fund or obtain a reserve surety, if deemed beneficial for the financing, and (iii) pay costs of sale and delivery of the lease obligations, including costs of any credit enhancement or such other insurance policy. The Certificates shall be designated as “Certificates of Participation, 2023 Series A” with such other or additional designations as may be approved in accordance with this Resolution.

SECTION 3. Lease Agreements. The Lease Agreements substantially in the forms presented to this meeting and on file with the Executive Officer of the Board (the “Executive Officer”) are hereby approved with a term not to exceed 20 years (subject to extension as provided in the Lease Agreement and Site Lease). Each of the Chief Business Officer of the District (the “Chief Business Officer”), the Deputy Chief Business Officer of the District and the Controller of the District, and the authorized designees of such officers (each, an “Authorized Officer” and, collectively, the “Authorized Officers”), acting singly, is hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver to the Corporation the respective Lease Agreement for the financing in substantially said forms, with such additions and changes therein as such Authorized Officer may require or approve (including, but not limited to the designation of the Property to be subject to the Lease Agreement), such approval to be conclusively evidenced by the execution and delivery thereof.

SECTION 4. Trust Agreement. A Trust Agreement presented to this meeting and on file with the Executive Officer, is hereby approved for use in connection with the execution and delivery of the Certificates. Each of the Authorized Officers, acting singly, is hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver to the Corporation and the Trustee said Trust Agreement in substantially said form, with such changes therein as such Authorized Officer may require or approve, such approval to be conclusively evidenced by the execution and delivery thereof. The Trustee is requested to execute and deliver Certificates in the form attached to the Trust Agreement.

SECTION 5. Site Leases. The Site Leases presented to this meeting and on file with the Executive Officer, are hereby approved. Each of the Authorized Officers, acting singly, is hereby authorized and directed, for and in the name and on behalf of the District, to execute and deliver to the Corporation the respective Site Lease for the financing in substantially said form,

with such additions and changes therein as such Authorized Officer may require or approve, such approval to be conclusively evidenced by the execution and delivery thereof.

SECTION 6. Assignment Agreements. The Board hereby consents to the assignment by the Corporation of its rights, title, and interest under the Site Lease and the Lease Agreement, including the right to receive lease payments and prepayments to be made by the District pursuant to the Lease Agreement, to either the Trustee for the benefit of the owners of the Certificates or a Direct Purchaser pursuant to the Assignment Agreement, in substantially the form presented to this meeting and on file with the Executive Officer, with such additions thereto and changes therein as an Authorized Officer may require or approve, such approval to be conclusively evidenced by the execution and delivery thereof.

SECTION 7. Official Statement. In connection with the execution and delivery of the Certificates for a public sale to one or more Underwriters, or if an Authorized Officer determines the distribution of an official statement or other disclosure document relating to the Certificates or the Assignment of Lease Agreement to a Direct Purchaser in connection with a private placement to be necessary, the official statement (the "Official Statement") in preliminary form presented to this meeting and on file with the Executive Officer is hereby approved, together with any amendments or supplements to the preliminary Official Statement or the Official Statement which an Authorized Officer may deem necessary or desirable. If the Official Statement is to be distributed in connection with a public sale of Certificates, the Underwriter or Underwriters are hereby authorized to distribute copies of the Official Statement in preliminary form to persons who may be interested in purchasing the Certificates. Each Authorized Officer is hereby authorized to certify to said Underwriter or Underwriters, on behalf of the District, that such Official Statement in preliminary form was deemed final as of its date, within the meaning of Rule 15c2-12 ("Rule 15c2-12") promulgated under the Securities Exchange Act of 1934, as amended (except for the omission of certain final pricing, rating and related information as permitted by Rule 15c2-12). The Official Statement in substantially said form, with such changes as an Authorized Officer may approve (including all information previously permitted to have been omitted by Rule 15c2-12), which approval shall be conclusively evidenced by execution by such Authorized Officer of the Official Statement is hereby approved and any amendments or supplements to the preliminary Official Statement or the Official Statement which an Authorized Officer may deem necessary or desirable.

SECTION 8. Contracts of Purchase and Placement Agent Agreement. The form of the Contract of Purchase presented to this meeting and on file with the Executive Officer is hereby approved with such changes, insertions and omissions as the Authorized Officer executing the same may require or approve, including such changes, insertions and omissions as are necessary to reflect the sale of a series or subseries of Certificates or the sale to one or more Direct Purchasers, such requirement or approval to be conclusively evidenced by the execution of the applicable Contract of Purchase by such Authorized Officer. In connection with the Assignment of Lease and if otherwise determined by an Authorized Officer, the form of Placement Agent Agreement presented to this meeting and on file with the Executive Officer is hereby approved with such changes, insertions and omissions as the Authorized Officer executing the same may require or approve, such requirement or approval to be conclusively evidenced by the execution of the applicable Placement Agent Agreement by such Authorized Officer.

SECTION 9. Reimbursement. The District reasonably expects (a) to reimburse itself for the Expenditures paid during the period beginning not more than 60 days prior to the date hereof and ending on the respective issue dates of the Certificates with proceeds of one or more issues of the Certificates, and (b) to make a reimbursement allocation with respect to each Expenditure, which is a written allocation that evidences the District's use of proceeds of the Certificates, no later than 18 months after the later of the date on which the Expenditure is paid or the property financed by each series of the Certificates is placed in service or abandoned, but in no event more than three years after the Expenditure is paid. The limitations described in the preceding sentence do not apply to delivery costs of the Certificates, an amount not in excess of \$100,000, or preliminary expenditures, such as architectural, engineering, surveying, soil testing and similar costs not in excess of twenty percent (20%) of the aggregate issue price of the Certificates that finance the Project for which the Expenditures are paid. Each Expenditure is either (x) of a type properly chargeable to a capital account under general federal income tax principles (determined in each case as of the date of the Expenditure), or (y) delivery costs of the Certificates. The aggregate reasonably expected maximum principal amount of the Certificates is \$500,000,000. This Resolution is adopted as an official action of the District in order to comply with Treasury Regulation Section 1.150-2 relating to the qualification for reimbursement of Expenditures paid prior to the respective issue dates of the Certificates.

SECTION 10. Attestations. The Executive Officer or persons as may have been designated by the Chief Business Officer are hereby authorized and directed to attest to the signatures of the Authorized Officers, and to affix and attest to the seal of the District, as may be required or appropriate in connection with the execution and delivery of the Certificates, the Lease Agreement, the Trust Agreement, the Site Lease and any other documents as shall be determined by the Chief Business Officer to be necessary to the completion of the financing, and as each may be applicable to the method of financing determined by the District..

SECTION 11. Continuing Disclosure Certificate. The Continuing Disclosure Certificate (the "Continuing Disclosure Certificate") on file with the Executive Officer is hereby approved. Each of the Authorized Officers, acting singly, is hereby authorized and directed, for and in the name and on behalf of the District, to execute, acknowledge and deliver the Continuing Disclosure Certificate in substantially said form, with such changes therein as such Authorized Officer may require or approve (including, but not limited to, preparation of separate continuing disclosure certificates for each series of Certificates), such approval to be conclusively evidenced by the execution and delivery thereof.

SECTION 12. Other Actions. The Authorized Officers are hereby authorized and directed, jointly and severally, to do any and all things and to execute and deliver any and all instruments, agreements and other documents that they may deem necessary or advisable (including, but not limited to the pledge of additional assets of the District to secure lease payments and the purchase of title insurance) in order to consummate the Assignment of Lease Agreement or the sale, execution and delivery of the Certificates and otherwise to carry out, give effect to and comply with the terms and intent of this Resolution and the Certificates, the Lease Agreement, the Trust Agreement, the Site Lease, the Assignment Agreement, the Contract of Purchase and the Continuing Disclosure Certificate, including but not limited to any certifications relating thereto. Such actions heretofore taken by such Authorized Officers and all other officers and agents of the Board with respect to the Assignment of Lease Agreement or the execution and delivery of

Certificates are hereby ratified, confirmed and approved. The Authorized Officers are hereby authorized and directed, jointly and severally, to execute any amendment to the Lease Agreement, Trust Agreement, Site Lease, Contract of Purchase and the Continuing Disclosure Certificate, exclusive of amendments that would require consent of the owners of all or a portion of the Certificates, that they may deem to be necessary and desirable to remove any ambiguity in such documents or otherwise to carry out, give effect to and comply with the terms and intent of this Resolution.

SECTION 13. Additional Authority. If an Authorized Officer determines that it will be advantageous to the District to purchase municipal bond insurance or other credit enhancement or liquidity with respect to some or all of the Certificates any Authorized Officer is hereby authorized to purchase such insurance or other credit enhancement or liquidity at market rates.

SECTION 14. Effect. This Resolution shall take effect immediately upon its passage.

PASSED AND ADOPTED this 13th day of June, 2023 by the following vote:

AYES:

NOES:

ABSTENTIONS:

ABSENT:

Executive Officer of the Board of Education
of the Los Angeles Unified School District

EXHIBIT A

COSTS OF ISSUANCE ESTIMATES

The costs of issuance estimates set forth below were provided to the District by Public Resources Advisory Group, as municipal advisor, and is provided in compliance with Government Code Section 5852.1 with respect to the financing authorized in the attached Resolution (the “Financing”).

1. *True Interest Cost of the Financing.* Assuming the aggregate principal amount of the Financing is equal to \$351,260,000.00, which is less than the maximum aggregate principal amount of the Certificates authorized in the amount of \$500,000,000.00, and based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the true interest cost of the Financing, which means the rate necessary to discount the amounts payable on the respective principal and interest payment dates to the purchase price received for the Financing, is 3.03%.

2. *Finance Charge of the Financing.* Assuming the aggregate principal amount of the Financing is equal to \$351,260,000.00 and based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the finance charge of the Financing, which means the sum of all fees and charges paid to third parties (or costs associated with the Financing), is \$1,881,032.80, as follows:

Underwriter's Discount	\$1,008,858.50
Bond Counsel	110,000.00
Disclosure Counsel	130,000.00
Municipal Advisor	90,000.00
Rating Fees	217,000.00
Title Insurance	263,445.00
Other/Miscellaneous	61,729.30
Total	\$1,881,032.80

3. *Amount of Proceeds to be Received.* Assuming the aggregate principal amount of the Financing is equal to \$351,260,000.00 and based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the amount of proceeds expected to be received by the District for sale of the Financing less the finance charge of the Financing described in paragraph 2 above, is \$400,000,000.00.

4. *Total Payment Amount.* Assuming the aggregate principal amount of the Financing is equal to \$351,260,000.00 and based on market interest rates prevailing at the time of preparation of this information, a good faith estimate of the total payment amount, which means the sum total of all payments the District will make to pay debt service on the Financing plus the finance charge of the Financing described in paragraph 2 above not paid with the proceeds of the Financing, calculated to the final maturity of the Financing, is \$498,650,869.44.

Attention is directed to the fact that the foregoing information constitutes good faith estimates only. The actual interest cost, finance charges, amount of proceeds and total payment amount may vary from the estimates above due to variations from these estimates in the timing of the Financing, the principal amount of Financing, the amortization of the Financing and market interest rates at the time of each sale. The date or dates of sale and the principal amount of Financing will be determined by the District based on need for project funds and other factors. The actual interest rates at which the Financing will be sold will depend on the bond market at the time of each sale. The actual amortization of the Financing will also depend, in part, on market interest rates at the time of each sale. Market interest rates are affected by economic and other factors beyond the District's control. For the purposes of these estimates, the District has assumed a maximum true interest cost of 6.50%.

NEW ISSUE
FULL BOOK-ENTRY

RATINGS: [] [(insured)]: “[]”
[] [(underlying [and uninsured])]: “[]”
(See “RATINGS” herein)

[DAC Logo]

In the opinion of Hawkins Delafield & Wood LLP, Special Counsel to the District, under existing statutes and court decisions and assuming continuing compliance with certain tax covenants described herein, (i) interest evidenced by the Certificates is excluded from gross income for federal income tax purposes pursuant to Section 103 of the Internal Revenue Code of 1986, as amended (the “Code”), and (ii) interest evidenced by the Certificates is not treated as a preference item in calculating the alternative minimum tax under the Code, however for tax years beginning after December 31, 2022, interest evidenced by the Certificates is included in the “adjusted financial statement income” of certain corporations that are subject to the alternative minimum tax under Section 55 of the Code. In addition, in the opinion of Special Counsel to the District, under existing statutes, interest evidenced by the Certificates is exempt from personal income taxes imposed by the State of California. See “TAX MATTERS” herein.

\$[PAR]*

**CERTIFICATES OF PARTICIPATION, 2023 SERIES A
Evidencing Proportionate and Undivided Interests of the Owners
thereof in Lease Payments to be made by the
LOS ANGELES UNIFIED SCHOOL DISTRICT**

[District
Logo]

Dated: Date of Delivery

Due: October 1, as described herein

This cover page contains information for reference only. Investors must read the entire Official Statement to obtain information essential in making an informed investment decision. Capitalized terms used in this cover page shall have the meanings given such terms herein.

The Los Angeles Unified School District Certificates of Participation, 2023 Series A, in the aggregate principal amount of \$[PAR] (the “Certificates”), evidence proportionate and undivided ownership interests in certain Lease Payments (as defined herein) to be made by the Los Angeles Unified School District (the “District”) for the use of certain real property and the improvements thereon (the “Property”) pursuant to a Lease Agreement, dated as of [MONTH] 1, 2023 (the “Lease Agreement”), by and between the District, as lessee, and the LAUSD Financing Corporation (the “Corporation”), as lessor. The proceeds of the Certificates will be used (i) to fund the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds and (ii) to pay the costs incurred in connection with the execution and delivery of the Certificates. See “PLAN OF FINANCE” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

The District has agreed under the Lease Agreement to make all Lease Payments and Additional Payments (as defined herein) provided for therein, and has covenanted to include all such Lease Payments and Additional Payments in each of its budgets during the term of the Lease Agreement and to make the necessary appropriations for all such Lease Payments and Additional Payments due under the Lease Agreement in the fiscal year covered by such budget. The District’s obligation to make Lease Payments is subject to abatement during any period in which, by reason of damage, destruction, any defect in title or other event (other than by eminent domain), there is substantial interference with the use and occupancy by the District of the Property or any portion thereof. See “RISK FACTORS – Abatement.”

Interest evidenced by the Certificates is payable semiannually on April 1 and October 1 of each year, commencing on [April 1] 1, 20[24]. See “THE CERTIFICATES” herein.

The Certificates will be initially delivered only in book-entry form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), which will act as securities depository for the Certificates. Individual purchases of the Certificates will be made in book-entry form only. Purchasers of Certificates will not receive certificates representing their ownership interests in the Certificates purchased. The Certificates will be delivered in denominations of \$5,000 or any integral multiple thereof. Principal and interest payments evidenced by the Certificates are payable directly to DTC by U.S. Bank Trust Company, National Association, as trustee. Upon receipt of payments of principal and interest, DTC will in turn distribute such payments to DTC Participants for subsequent disbursement to the beneficial owners of the Certificates. See “THE CERTIFICATES – Book-Entry Only System” herein.

[The Certificates are subject to prepayment prior to maturity as described herein.* See “THE CERTIFICATES – Prepayment.”]

THE OBLIGATION OF THE DISTRICT TO MAKE LEASE PAYMENTS DOES NOT CONSTITUTE AN OBLIGATION OF THE DISTRICT FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE DISTRICT TO MAKE THE LEASE PAYMENTS DOES NOT CONSTITUTE AN INDEBTEDNESS OF THE DISTRICT, THE CORPORATION, THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

[The scheduled payment of principal and interest evidenced by the Certificates when due will be guaranteed under an insurance policy to be issued concurrently with the execution and delivery of the Certificates by [INSURER].]

[Insert Insurer logo]

See “RISK FACTORS” for a discussion of factors that should be considered, in addition to the other matters set forth herein, in evaluating the investment quality of the Certificates.

* Preliminary; subject to change.

MATURITY SCHEDULE – See Inside Cover

The Certificates will be offered when, as and if executed, delivered and received by the Underwriters, subject to the approval of legality by Hawkins Delafield & Wood LLP, Los Angeles, California, Special Counsel to the District. Certain legal matters will be passed upon for the District by Orrick, Herrington & Sutcliffe LLP, Los Angeles, California, as Disclosure Counsel to the District, for the Underwriters by [UW COUNSEL], [_____, _____], and for the District and Corporation by General Counsel to the District. It is anticipated that the Certificates in book-entry form will be available for delivery through the facilities of DTC on or about [_____, _____], 2023.

[UNDERWRITERS TO COME]

Dated: _____, 2023.

MATURITY SCHEDULE*

\$[PAR]*
CERTIFICATES OF PARTICIPATION, 2023 SERIES A
Evidencing Proportionate and Undivided Interests of the Owners
thereof in Lease Payments to be made by the
LOS ANGELES UNIFIED SCHOOL DISTRICT

BASE CUSIP†: 544648

Maturity Date* (October 1,)	Principal Amount	Interest Rate	Yield	CUSIP† Number
--------------------------------	---------------------	------------------	-------	------------------

\$ _____ % Term Certificates due October 1, 20__ Yield _____% CUSIP Number† _____
 \$ _____ % Term Certificates due October 1, 20__ Yield _____% CUSIP Number† _____

* Preliminary; subject to change.

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**LOS ANGELES UNIFIED SCHOOL DISTRICT
BOARD OF EDUCATION**

District	Member	Term Ending
5	Jackie Goldberg, President	December 16, 2024
3	Scott Schmerelson, Vice President	December 16, 2024
1	Dr. George J. McKenna III	December 16, 2024
2	Dr. Rocio Rivas	December 12, 2026
4	Nick Melvoin	December 12, 2026
6	Kelly Gonez	December 12, 2026
7	Tanya Ortiz Franklin	December 16, 2024

DISTRICT OFFICIALS

Alberto M. Carvalho, Superintendent
Jaime G. Torrens, Senior Advisor to the Superintendent
Pedro Salcido, Deputy Superintendent of Business Services and Operations
Devora Navera Reed, General Counsel
David D. Hart, Chief Business Officer
V. Luis Buendia, Deputy Chief Business Officer – Finance
Joy Mayor, Controller
Timothy S. Rosnick, Deputy Controller

PROFESSIONAL SERVICES

Special Counsel

Hawkins Delafield & Wood LLP
Los Angeles, California

Municipal Advisor

Public Resources Advisory Group
Los Angeles, California

Disclosure Counsel

Orrick, Herrington & Sutcliffe LLP
Los Angeles, California

Counsel to the District and the Corporation

Office of the General Counsel
Los Angeles, California

Trustee

U.S. Bank Trust Company, National Association
Los Angeles, California

This Official Statement does not constitute an offering of any security other than the original execution and delivery of the Certificates. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The Certificates are exempt from registration under the Securities Act of 1933, as amended, pursuant to Section 3(a)2 thereof. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy Certificates in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so, or to any person to whom it is unlawful to make such offer or solicitation.

The information set forth herein other than that furnished by the District, although obtained from sources which are believed to be reliable, is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the execution and delivery of the Certificates referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as a part of, their responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

[Insured disclosure to be updated, if applicable.]

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget,” “intend” or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The District does not plan to issue any updates or revisions to those forward-looking statements if or when their expectations, or events, conditions or circumstances on which such statements are based, occur.

The District maintains a website. However, the information presented there is not part of this Official Statement and should not be relied upon in making an investment decision with respect to the Certificates.

CUSIP® is a registered trademark of The American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of The American Bankers Association by FactSet Research Systems Inc. CUSIP data herein is set forth for convenience of reference only. The District, the Corporation, and the Underwriters assume no responsibility for the selection or uses of the CUSIP data or for the accuracy or correctness of such data. The CUSIP numbers for the Certificates are subject to being changed after the delivery of the Certificates as a result of various subsequent actions.

In connection with this offering, the Underwriters may overallocate or effect transactions which stabilize or maintain the market prices of the Certificates at levels above those that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time. The Underwriters may offer and sell the Certificates to certain securities dealers and dealer banks and banks acting as agent at prices lower than the public offering prices stated on the inside front cover page hereof and said public offering prices may be changed from time to time by the Underwriters.

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OFFICIAL STATEMENT

\$[PAR]* **CERTIFICATES OF PARTICIPATION, 2023 SERIES A** **Evidencing Proportionate and Undivided Interests of the Owners** **thereof in Lease Payments to be made by the** **LOS ANGELES UNIFIED SCHOOL DISTRICT**

INTRODUCTION

This Official Statement (which includes the cover page, inside cover page, and Appendices hereto) (this “Official Statement”), provides certain information concerning the sale and delivery of Los Angeles Unified School District Certificates of Participation, 2023 Series A, in the aggregate principal amount of \$[PAR]* (the “Certificates”). The Certificates evidence proportionate and undivided ownership interests in certain lease payments (the “Lease Payments”) to be made by the Los Angeles Unified School District (the “District”) for the use of certain real property and the improvements thereon (the “Property”), as more fully described under the caption “THE PROPERTY” herein. The Property will be leased by the District from the LAUSD Financing Corporation (the “Corporation”) pursuant to a Lease Agreement, dated as of [MONTH] 1, 2023 (the “Lease Agreement”), by and between the District and the Corporation.

This introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, inside cover page, and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The sale and delivery of Certificates to potential investors is made only by means of this Official Statement.

The District

The District, encompassing approximately 710 square miles, is located in the western section of the County of Los Angeles (the “County”) in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the County which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in smaller neighboring cities and unincorporated County areas. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960.

[TO BE UPDATED FOLLOWING NORM DAY] The District is the second largest public school district in the United States and is the largest public school district in the State. As of September [], 2023, the transitional kindergarten through 12th grade enrollment in the District for fiscal year 2023-24 was approximately [] students, including those attending magnet, opportunity, and continuation schools and centers, locally-funded affiliated charter schools (“Affiliated Charter Schools”), and schools for the handicapped. Such enrollment does not include students attending fiscally independent charter schools (“Fiscally Independent Charter Schools”) that was budgeted at [] students at the time of preparation of the District’s original adopted budget for fiscal year 2023-24. For more information regarding District

* Preliminary; subject to change.

enrollment and average daily attendance, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance.” As reflected in the District’s Audited Annual Financial Report for fiscal year 2021-22, the District operated 1,224 schools and centers, which consisted of 436 elementary schools, 78 middle/junior high schools, 87 senior high schools, 53 options schools, 255 magnet centers, 66 magnet schools, 28 multi-level schools, 13 special education schools, 1 community adult school, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, 18 primary school centers, and 89 California State preschools. As reflected in the District’s Audited Annual Financial Report for fiscal year 2021-22, 51 of the District’s schools were operated as Affiliated Charter Schools. In addition, as reflected in the District’s Audited Annual Financial Report for fiscal year 2021-22, the District oversaw 227 Fiscally Independent Charter Schools within the District’s boundaries. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding.”

Additional information on the District is set forth in Appendices A and B. See APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION” and APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022.” For specific information on the impact of the Coronavirus Disease 2019 (“COVID-19”) pandemic on the District’s operations and finances, see “RISK FACTORS – Infectious Disease Outbreak” and APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Infectious Disease Outbreak.”

[ADD DISCLOSURE AND CROSS-REFERENCE TO DISCUSSION OF CONCURRENT GOB WHEN DETAILS AVAILABLE.]

The Corporation

The Corporation was organized on August 18, 2000 as a California nonprofit benefit corporation. The Corporation was formed at the request of the District for the specific and primary purpose of providing capital financing assistance to the District by financing the acquisition, construction, remodeling, rehabilitation, equipping, improvement, financing and refinancing of various public facilities, land and equipment of the District and by leasing certain facilities, land and equipment for the use, benefit and enjoyment of the public served by the District, as well as any other purpose incidental thereto. See “THE CORPORATION” herein.

Security and Sources of Payment for the Certificates

The Certificates will be executed and delivered pursuant to a Trust Agreement, dated as of [MONTH] 1, 2023 (the “Trust Agreement”), by and among U.S. Bank Trust Company, National Association, as trustee (the “Trustee”), the Corporation and the District, and evidence proportionate and undivided ownership interests in certain Lease Payments to be made by the District under the Lease Agreement for the use of the Property. See “THE PROPERTY.”

The District will enter into a Site Lease, dated as of [MONTH] 1, 2023 (the “Site Lease”) pursuant to which the District will lease the Property to the Corporation. The Corporation will then sublease the Property back to the District pursuant to the Lease Agreement. The Lease Agreement will obligate the District to make Lease Payments and Additional Payments (which include expenses and fees of the Trustee and other amounts incurred by the District and the Corporation in complying with the provisions of the Trust Agreement as described herein). Lease Payments are scheduled to be sufficient to pay, when due,

amounts designated as principal and interest evidenced by the Certificates. The District covenants under the Lease Agreement to take such action as may be necessary to include all Lease Payments and Additional Payments due under the Lease Agreement in each of its budgets during the term of the Lease Agreement and to make the necessary appropriations for all such Lease Payments and Additional Payments due under the Lease Agreement in the fiscal year covered by such budget.

The Trustee and the Corporation will enter into an Assignment Agreement, dated as of [MONTH] 1, 2023 (the “Assignment Agreement”), pursuant to which the Corporation will assign to the Trustee for the benefit of the Certificate Owners all of the Corporation’s right, title and interest in and to the Lease Agreement, including its right to receive and collect all of the Lease Payments and Additional Payments from the District under the Lease Agreement, provided that the Corporation will retain the right to indemnification under the Lease Agreement.

The District’s obligation to make Lease Payments with respect to the Certificates will be abated during any period in which, by reason of damage, destruction, any defect in title or other event (other than by eminent domain as provided in the Lease Agreement), there is substantial interference with the use and occupancy by the District of the Property or any portion thereof (other than any portions of the Property described in the provisions of the Lease Agreement relating to the District’s right to, at its own expense, remove portions of the Property or to make additions or modifications to the Property). Failure of the District to make Lease Payments during any such period will not constitute a default under the Lease Agreement, the Trust Agreement or any Certificate. However, during periods of abatement, any moneys in the Lease Payment Fund and amounts, if any, received from rental interruption insurance are available to pay Lease Payments. There is no remedy of acceleration of Lease Payments over the term of the Lease Agreement. See “SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES – Lease Payments,” “– Insurance,” and “– Abatement” and “RISK FACTORS – Abatement” herein.

THE OBLIGATION OF THE DISTRICT TO MAKE LEASE PAYMENTS DOES NOT CONSTITUTE AN OBLIGATION OF THE DISTRICT FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE DISTRICT TO MAKE THE LEASE PAYMENTS DOES NOT CONSTITUTE AN INDEBTEDNESS OF THE DISTRICT, THE CORPORATION, THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

For more complete and detailed information, see “SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES.” For a discussion of certain risks associated with the District’s ability to make Lease Payments for the Property, see “RISK FACTORS.”

Certificate Insurance

[Concurrently with the execution and delivery of the Certificates, [INSURER] (“[]” or “Insurer”) will issue its Municipal Bond Insurance Policy for the Certificates (the “Insurance Policy”). The Insurance Policy guarantees the scheduled payment of principal of and interest evidenced by the Certificates when due as set forth in the form of the Insurance Policy included as Appendix [] to this Official Statement. See “CERTIFICATE INSURANCE” and APPENDIX [] – “SPECIMEN MUNICIPAL BOND INSURANCE POLICY.”]

Authorization; Purpose of the Certificates

Pursuant to and in accordance with resolutions of the Board of Education of the District and the Board of Directors of the Corporation adopted on [June 13], 2023, the District and the Corporation have authorized the execution, sale and delivery of the Certificates, approved the execution of the Lease Agreement, the Site Lease, the Trust Agreement and this Official Statement and the Corporation has also approved the form of the Assignment Agreement.

The proceeds of the Certificates will be used (i) to fund the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds and (ii) to pay the costs incurred in connection with the execution and delivery of the Certificates. See “PLAN OF FINANCE” and “ESTIMATED SOURCES AND USES OF FUNDS.”

Description of the Certificates

The Certificates will be executed and delivered in book-entry form only and, when delivered, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), which will act as securities depository for the Certificates. Individual purchases of the Certificates will be made in book-entry form only. Purchasers of the Certificates will not receive certificates representing their ownership interests in the Certificates purchased. The Certificates will be delivered in denominations of \$5,000 or any integral multiple thereof. Principal and interest payments evidenced by the Certificates are payable directly to DTC by the Trustee. Upon receipt of payments of principal and interest, DTC will in turn distribute such payments to DTC Participants for subsequent disbursement to the Beneficial Owners (as defined in the Trust Agreement) of the Certificates. See “THE CERTIFICATES – General” and “– Book-Entry Only System” and APPENDIX G – “BOOK-ENTRY ONLY SYSTEM.”

Interest evidenced by the Certificates is payable semiannually on April 1 and October 1 of each year, commencing on [April] 1, 20[24]. See “THE CERTIFICATES – General.”

The Certificates are subject to prepayment prior to maturity as described herein.* See “THE CERTIFICATES – Prepayment.”

For a more complete description of the Certificates and the basic documentation pursuant to which they are being sold and delivered, see “THE CERTIFICATES,” “SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES” and APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS.” The summaries and descriptions in this Official Statement of the Trust Agreement, the Lease Agreement, the Site Lease, the Assignment Agreement, the Continuing Disclosure Certificate and other agreements relating to the Certificates are qualified in their entirety by the respective form thereof and the information with respect thereto included in such documents. All capitalized terms used in this Official Statement (unless otherwise defined herein) which are defined in the Trust Agreement shall have the same meanings assigned to such terms as set forth therein. See APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – DEFINITIONS.”

* *Preliminary; subject to change.*

Offering and Delivery of the Certificates

The Certificates will be offered when, as and if executed, delivered and received by the Underwriters, subject to the approval of legality by Hawkins Delafield & Wood LLP, Special Counsel to the District, and the satisfaction of certain other conditions. It is anticipated that the Certificates will be available in book-entry form for delivery through the facilities of DTC on or about [____], 2023 (the “Delivery Date”).

Certificate Owners’ Risks

Certain events could affect the ability of the District to make the Lease Payments when due. See “RISK FACTORS” for a discussion of certain factors that should be considered, in addition to other matters set forth herein, in evaluating an investment in the Certificates.

Continuing Disclosure

The District has covenanted for the benefit of the holders and Beneficial Owners of the Certificates to provide, or to cause to be provided, to the Municipal Securities Rulemaking Board (the “MSRB”) through its Electronic Municipal Market Access system or such other electronic system designated by the Municipal Securities Rulemaking Board (the “EMMA System”) certain annual financial information and operating data relating to the District (the “Annual Report”) by not later than 240 days following the end of the District’s fiscal year (currently ending June 30), commencing with the report for fiscal year 2022-23 and notice of the occurrence of certain enumerated events (“Notice Events”) in a timely manner not in excess of ten business days after the occurrence of such a Notice Event. The specific nature of the information to be contained in the Annual Report and the notices of Notice Events is set forth in APPENDIX E – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.” Copies of the District’s annual reports and notices of Listed Event filings are available at the website of Digital Assurance Certification, L.L.C. (“DAC”), www.dacbond.com, and at the website of the Emma System, emma.msrb.org. The information presented on these websites is not incorporated by reference in this Official Statement and should not be relied upon in making an investment decision with respect to the Certificates. These covenants have been made in order to assist the Underwriters in complying with Rule 15c2-12(b)(5) of the Securities and Exchange Commission (“SEC”).

[UW TO PROVIDE CD REVIEW REPORT] [Due to the impact of COVID-19 on California school district operations during fiscal year 2019-20, California Senate Bill 98 extended the deadline for school districts to file their audited financial statements for fiscal year 2019-20 with the State to March 31, 2021. As a result, at the time of filing the District’s Annual Report for fiscal year 2019-20, the District’s audited financial statements for fiscal year 2019-20 were not yet available. The District’s audited financial statements for fiscal year 2019-20 were subsequently filed to EMMA on March 30, 2021. Additionally, within the past five years, certain of the District’s annual report and Listed Events filings required in connection with its prior continuing disclosure undertakings were not properly linked to all CUSIP numbers for the District’s outstanding bonds.]

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget,” “intend” or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such

forward-looking statements. The District does not plan to issue any updates or revisions to those forward-looking statements if or when their expectations, or events, conditions or circumstances on which such statements are based, occur.

Other Information

This Official Statement is current only as of its date, and the information contained herein is subject to change. Copies of the Site Lease, the Lease Agreement, the Assignment Agreement, the Trust Agreement and the Continuing Disclosure Certificate are available for inspection at the District at 333 South Beaudry Avenue, Los Angeles, California 90017, by request to the Office of the Chief Business Officer, and, following delivery of the Certificates, will be on file at the offices of the Trustee in Los Angeles, California.

THE CERTIFICATES

General

The Certificates evidence proportionate and undivided ownership interests in the principal and interest components of Lease Payments to be made by the District pursuant to the Lease Agreement.

The Certificates are dated the date of original delivery thereof and will be executed and delivered in denominations of \$5,000 or any integral multiple thereof (“Authorized Denominations”). The principal evidenced by the Certificates will be payable on their respective Principal Payment Dates set forth on the front inside cover page of this Official Statement and shall represent the sum of the portions of the Lease Payments designated as principal components coming due on the Principal Payment Dates in each year.

The principal components of the Lease Payments will evidence interest components calculated at the rates per annum, all as set forth on the front inside cover page of this Official Statement. The interest components evidenced by the Certificates will be due and payable semiannually on April 1 and October 1 of each year, commencing [April] 1, 20[24] (each an “Interest Payment Date”). The interest evidenced by the Certificates will be payable on each Interest Payment Date to and including their respective Principal Payment Dates or prepayment prior thereto, and shall represent the sum of the portions of the Lease Payments evidenced thereby designated as interest components coming due on the Interest Payment Dates in each year.

The interest evidenced by the Certificates will be computed on the basis of a 360-day year consisting of twelve, 30-day months. Each Certificate shall evidence interest from the Interest Payment Date next preceding its date of execution to which interest has been paid in full, unless (i) it is executed as of the Interest Payment Date, in which event interest evidenced thereby shall be payable from the date thereof; or (ii) it is executed after the 15th day of the calendar month immediately preceding such Interest Payment Date, whether or not such day is a Business Day (a “Record Date”) and before the following Interest Payment Date, in which event interest evidenced thereby shall be payable from such following Interest Payment Date; or (iii) it is executed prior to the close of business on the first Record Date, in which event interest evidenced thereby shall be payable from the Delivery Date. Notwithstanding the foregoing, if, as shown by the records of the Trustee, interest evidenced by the Certificates shall be in default, each Certificate shall evidence interest from the last Interest Payment Date to which such interest has been paid in full or duly provided for.

The Lease Agreement requires that each year’s semi-annual Lease Payments thereunder be deposited with the Trustee, as assignee of the Corporation, no later than fifteen business days prior to each Lease Payment Date for the Certificates (each, a “Lease Deposit Date”) which are scheduled to be sufficient to pay, when due, amounts designated as principal and interest evidenced by the Certificates, subject to the

provisions of the Lease Agreement regarding abatement in the event of material loss of use of any portion of the Property and prepayment of Lease Payments. See “RISK FACTORS – Abatement” and “THE CERTIFICATES – Prepayment” herein.

The Certificates will be subject to the Book-Entry System of registration, transfer and payment, and each Certificate will initially be registered in the name of Cede & Co., as nominee of DTC. As part of such Book-Entry System, DTC has been appointed securities depository for the Certificates, and registered ownership may not thereafter be transferred except as provided in the Trust Agreement. The Certificates are being delivered in book-entry form only. Purchasers will not receive securities certificates representing their interests in the Certificates. Rather, in accordance with the Book-Entry System, purchasers of each Certificate will have beneficial ownership interests in the purchased Certificates through DTC Participants. For more information concerning the Book-Entry System, see “THE CERTIFICATES – Book-Entry Only System.”

While the Certificates are subject to the Book-Entry System, payments of principal and interest with respect to the Certificates will be made by the Trustee to DTC, which in turn is obligated to remit such principal and interest to its DTC Participants for subsequent disbursement to Beneficial Owners of the Certificates as described herein. See “THE CERTIFICATES – Book-Entry Only System” and APPENDIX G – “BOOK-ENTRY ONLY SYSTEM.”

Prepayment*

[Optional Prepayment.] The Certificates maturing on or after [October 1, 20__], are subject to optional prepayment prior to maturity on or after [October 1, 20__], at the option of the District, as a whole or in part on any date, from amounts deposited with the Trustee by the District, at a prepayment price equal to 100%, plus accrued but unpaid interest to the prepayment date.]

Extraordinary Prepayment. The Certificates are subject to prepayment on any Business Day, in whole or in part, from Net Proceeds of condemnation or any insurance award resulting from any defect in title, damage or destruction of all or a portion of the Property which the Trustee shall transfer to the Prepayment Fund at least forty-five (45) days prior to such date of prepayment and credited towards the Prepayment made by the District pursuant to the Lease Agreement, at a prepayment price equal to the principal amount of Certificates prepaid together with accrued interest to the date fixed for prepayment, without premium; provided, however, that so long as the Insurer is not in default with respect to its obligations with respect to the Insurance Policy, the prior written consent of the Insurer shall be required for any such prepayment unless all outstanding Certificates are to be prepaid from such Net Proceeds or awards.

Mandatory Sinking Fund Prepayment. The Certificates with a stated principal payment date of October 1, 20__ (the “20__ Term Certificates”) are subject to prepayment prior to such stated principal payment date, in part, from mandatory sinking fund payments, on each October 1 specified below, at a prepayment price equal to the principal evidenced thereby, plus accrued interest evidenced thereby to the date fixed for prepayment, without premium. The principal evidenced by such 20__ Term Certificates to be so prepaid and the dates therefor will be as follows:

* Preliminary; subject to change.

Prepayment Date (October 1)	Principal To Be Prepaid
	\$

†

† Stated Principal Payment Date

If some but not all of 20__ Term Certificates are prepaid pursuant to the extraordinary prepayment provisions as described herein under the caption “- *Extraordinary Prepayment*,” the principal amount of 20__ Term Certificates to be prepaid pursuant to the mandatory sinking fund prepayment provisions will be reduced by the aggregate principal amount of the 20__ Term Certificates so prepaid pursuant to the extraordinary prepayment provisions, such reduction to be allocated among sinking fund prepayment dates on a *pro rata* basis as nearly as practicable.

If some but not all of the 20__ Term Certificates are prepaid pursuant to the optional prepayment provisions as described herein under the caption “- *Optional Prepayment*,” the principal amount of 20__ Term Certificates to be prepaid pursuant to the mandatory sinking fund prepayment provisions will be reduced by the aggregate principal amount of the 20__ Term Certificates so prepaid pursuant to such optional prepayment provisions, such reduction to be allocated among sinking fund prepayment dates selected by the District.

The Certificates with a stated principal payment date of October 1, 20__ (the “20__ Term Certificates”) are subject to prepayment prior to such stated principal payment date, in part, from mandatory sinking fund payments, on each October 1 specified below, at a prepayment price equal to the principal evidenced thereby, plus accrued interest evidenced thereby to the date fixed for prepayment, without premium. The principal evidenced by such 20__ Term Certificates to be so prepaid and the dates therefor will be as follows:

Prepayment Date (October 1)	Principal To Be Prepaid
	\$

†

† Stated Principal Payment Date

If some but not all of 20__ Term Certificates are prepaid pursuant to the extraordinary prepayment provisions as described herein under the caption “- *Extraordinary Prepayment*,” the principal amount of 20__ Term Certificates to be prepaid pursuant to the mandatory sinking fund prepayment provisions will be reduced by the aggregate principal amount of the 20__ Term Certificates so prepaid pursuant to the extraordinary prepayment provisions, such reduction to be allocated among sinking fund prepayment dates on a *pro rata* basis as nearly as practicable.

If some but not all of the 20__ Term Certificates are prepaid pursuant to the optional prepayment provisions as described herein under the caption “- *Optional Prepayment*,” the principal amount of 20__ Term Certificates to be prepaid pursuant to the mandatory sinking fund prepayment provisions will be reduced by the aggregate principal amount of the 20__ Term Certificates so prepaid pursuant to such optional prepayment provisions, such reduction to be allocated among sinking fund prepayment dates selected by the District.

Partial Prepayment. All or a portion of any Certificate may be prepaid, but only in a principal amount equal to an Authorized Denomination. Upon surrender by the Owner of a Certificate for partial prepayment at the Principal Office, payment of such partial prepayment of the principal amount evidenced by such Certificate will be made to such Owner by check mailed by first class mail to the Owner at his or her address as it appears on the Certificate Register. Upon surrender of any Certificate prepaid in part only, the Trustee shall execute and deliver to the Owner thereof, at the expense of the District, a new Certificate or Certificates that shall be of Authorized Denominations equal in aggregate principal amount to the unprepaid portion of the Certificate surrendered and of the same interest rate and the same maturity. Such partial prepayment shall be valid upon payment of the amount thereby required to be paid to such Owner, and the District, the Corporation and the Trustee shall be released and discharged from all liability to the extent of such payment.

Selection of Certificates for Prepayment. Whenever provision is made in the Trust Agreement for the prepayment of less than all of the Certificates pursuant to the prepayment provisions described under the caption “ - *Optional Prepayment*,” the Trustee will select the Certificates to be prepaid from all Outstanding Certificates not previously called for prepayment pursuant to the Trust Agreement, among maturities selected by the District and designated in a Written Request of the District delivered to the Trustee at least sixty (60) days (or such shorter period as acceptable to the Trustee) prior to the prepayment date and by lot within any maturity. The Trustee will promptly notify the District and the Corporation in writing of the Certificates so selected for prepayment.

Whenever provision is made in the Trust Agreement for the prepayment of less than all of the Certificates pursuant to the prepayment provisions described under the caption “ - *Extraordinary Prepayment*,” the Trustee will select the Certificates to be prepaid from all Certificates not previously called for prepayment among maturities of all Certificates on a *pro rata* basis as nearly as practicable.

Notice of Prepayment. Notice of any such prepayment will be given by the Trustee on behalf and at the expense of the District by registered or otherwise secure mail or delivery service, postage prepaid, or by facsimile transmission, confirmed by telephone, to [to the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] and DTC and, by electronic submission to the MSRB through its EMMA System, or any other entity designated or authorized by the MSRB or the SEC, in accordance with then current guidelines, at least twenty (20) days but not more than sixty (60) days prior to the prepayment date; provided, that neither failure to receive such notice nor any defect in any notice so mailed will affect the sufficiency of the proceedings for the prepayment of such Certificates.

All notices of prepayment will be dated and will specify: (a) that the Certificates or a designated portion thereof are to be prepaid; (b) the numbers of the Certificates (unless all Certificates or all Certificates of a specific maturity have been selected for prepayment) together with the CUSIP numbers to be prepaid (provided that none of the District, the Corporation or the Trustee will be held liable for the accuracy of such CUSIP numbers); (c) the date of notice and the date of prepayment; (d) the place or places where the prepayment will be made; and (e) the interest rates and stated maturity dates of the Certificates to be prepaid. Such notice will further state that on the specified prepayment date there shall become due and payable upon each Certificate or portion thereof to be prepaid, the portion of the principal amount evidenced by such Certificate to be prepaid, together with interest accrued to said date and prepayment premium, if any, and that from and after such date interest with respect thereto will cease to accrue and be payable.

Conditional Notice; Rescission. Any notice of prepayment of the Certificates, or any portion thereof, delivered in accordance with the Trust Agreement, may be conditional and if any condition stated in the notice of prepayment will not have been satisfied on or prior to the prepayment date, said notice

(i) will be of no force and effect; (ii) the District will not be required to prepay such Certificates; (iii) the prepayment will not be made; and (iv) the Trustee will within a reasonable time thereafter give notice to the persons and in the manner in which the conditional notice of prepayment was given, that such condition or conditions were not met and that the prepayment was cancelled.

The District may rescind any prepayment and notice thereof for any reason on any date prior to the date fixed for prepayment by causing written notice of the rescission to be given to the Owners of the Certificates so called for prepayment. Notice of rescission of prepayment will be given in the same manner in which notice of prepayment was originally given. The actual receipt by the Owner of any Certificate of notice of such rescission will not be a condition precedent to rescission and failure to receive such notice or any defect in such notice will not affect the validity of the rescission.

Effect of Prepayment. Notice of prepayment having been given, and if the money for the prepayment price (including the interest and prepayment premium, if any, to the applicable date of prepayment) is set aside in the Prepayment Fund, the Certificates to be prepaid will become due and payable on said date of prepayment, and, upon presentation and surrender thereof at the Principal Office, said Certificates will be paid at the unpaid prepayment price with respect thereto, plus interest accrued and unpaid to said date of prepayment.

If, on said date of prepayment, moneys for the prepayment of all of the Certificates to be prepaid, together with interest to said date of prepayment, shall be held by the Trustee so as to be available therefor on such date of prepayment, and, if notice of prepayment thereof shall have been given as aforesaid, then, from and after said date of prepayment, interest evidenced by such Certificates shall cease to accrue and become payable. All moneys held by or on behalf of the Trustee for the prepayment of Certificates shall be held in trust for the account of the Owners of the Certificates so to be prepaid without liability for interest thereon.

All Certificates paid at maturity or prepaid prior to maturity pursuant to the provisions of the Trust Agreement will be cancelled upon surrender thereof and destroyed.

Book-Entry Only System

General. DTC will act as securities depository for the Certificates. The Certificates will be executed and delivered as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Certificate will be issued for each stated Principal Payment Date of the Certificates, each in the aggregate amount of the principal evidenced by Certificates with such stated Principal Payment Date, and will be deposited with DTC. See APPENDIX G – "BOOK-ENTRY ONLY SYSTEM."

Discontinuance of DTC. In the event that (a) DTC determines not to continue to act as securities depository for the Certificates or (b) the District determines that continuation of the book-entry system is not in the best interest of the beneficial owners of the Certificates or the District, then the District may discontinue the book-entry system with DTC. If the District determines to replace DTC with another qualified securities depository, the District shall prepare or direct the preparation of a new single, separate, fully registered Certificate for each of the different maturity dates and interest rates of such Certificates, registered in the name of such successor or substitute qualified securities depository or its nominee as provided in Trust Agreement. If the District fails to identify another qualified securities depository to replace DTC, then the Certificates shall no longer be restricted to being registered in the Certificate Register in the name of the nominee, but shall be registered in whatever name or names the Owners transferring or exchanging such Certificates shall designate, in accordance with the transfer and exchange provisions of

the Trust Agreement summarized in APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS.”

SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES

Nature of the Certificates

Each Certificate evidences proportionate and undivided ownership interests in the principal component of the Lease Payment due under the Lease Agreement on the payment date or prepayment date of such Certificate, and the interest component of all Lease Payments (based on the stated interest rate with respect to such Certificate) to accrue from the date of delivery to its payment date or prepayment date, as the case may be.

The Corporation, pursuant to the Assignment Agreement, will assign to the Trustee for the benefit of the Certificate Owners all of the Corporation’s right, title and interest in and to the Lease Agreement, including its right to receive and collect all of the Lease Payments and Additional Payments from the District under the Lease Agreement, provided that the Corporation will retain the right to indemnification under the Lease Agreement. The District will pay Lease Payments directly to the Trustee, as assignee of the Corporation. See “– Lease Payments” below.

Lease Payments

General. The Certificates evidence proportionate undivided interests in the Lease Payments to be made by the District pursuant to the Lease Agreement. The District is required under the Lease Agreement to make Lease Payments subject to the provisions of the Lease Agreement related to abatement. The Lease Payments will be payable from any source of available funds of the District, subject to the provisions of the Lease Agreement and the Trust Agreement. The District has covenanted in the Lease Agreement to take such action as may be necessary to include all Lease Payments and Additional Payments due thereunder in each of its budgets during the term of the Lease Agreement and to make the necessary appropriations for all such Lease Payments and Additional Payments due under the Lease Agreement in the fiscal year covered by such budget. Lease Payments are scheduled to be paid as set forth in “– Lease Payments Schedule” below.

THE OBLIGATION OF THE DISTRICT TO MAKE THE LEASE PAYMENTS DOES NOT CONSTITUTE AN OBLIGATION OF THE DISTRICT FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE DISTRICT TO MAKE LEASE PAYMENTS DOES NOT CONSTITUTE A DEBT OF THE DISTRICT, THE CORPORATION OR THE STATE OR ANY OF ITS POLITICAL SUBDIVISIONS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

The Trustee, pursuant to the Trust Agreement, will receive Lease Payments for the benefit of the Owners. Lease Payments are scheduled to be sufficient to pay, when due, amounts designated as principal and interest evidenced by the Certificates. Except as expressly provided in the Trust Agreement, the Trustee will not have any obligation or liability to the Owners with respect to the payment when due of the Lease Payments by the District, or with respect to the performance by the District or the Corporation of the other agreements and covenants required to be performed by them, respectively contained in the Lease Agreement or in the Trust Agreement.

No Acceleration of Lease Payments. There will be no right under any circumstances to accelerate the Lease Payments or otherwise declare any Lease Payments not then in default to be immediately due and

payable. Each and every covenant of the Lease Agreement to be kept and performed by the District is a condition of the Lease Agreement and upon an Event of Default under the Lease Agreement the Trustee may exercise any and all rights of entry and re-entry upon the Property, and also, at its option, with or without such entry, may terminate the Lease Agreement pursuant to the terms thereof; provided, that no such termination will be effected either by operation of law or acts of the parties thereto, except only in the manner provided in the Lease Agreement. In the event of any Event of Default or Default referred to in the Lease Agreement and notwithstanding any re-entry by the Trustee, the District will, as provided in the Lease Agreement, continue to remain liable for the payment of the Lease Payments and/or damages for breach of the Lease Agreement and the performance of all conditions therein contained and, in any event such Lease Payments and/or damages will be payable to the Trustee at the time and in the manner as provided in the Lease Agreement. See APPENDIX C - "SUMMARY OF PRINCIPAL LEGAL DOCUMENTS - TRUST AGREEMENT - Events of Default and Remedies of Certificate Owners."

Lease Payments Schedule

The Lease Agreement requires that each year's semi-annual Lease Payments thereunder be deposited with the Trustee, as assignee of the Corporation, no later than fifteen business days prior to each Interest Payment Date for the Certificates (each, a "Lease Deposit Date") which are scheduled to be sufficient to pay, when due, amounts designated as principal and interest evidenced by the Certificates, subject to the provisions of the Lease Agreement regarding abatement in the event of material loss of use of any portion of the Property and prepayment of Lease Payments. See "RISK FACTORS – Abatement" and "THE CERTIFICATES – Prepayment" herein.

The following table sets forth the payments of the principal components and interest components evidenced by the Certificates and the semi-annual Lease Payments due under the Lease Agreement:

Additional Payments

Covenant to Appropriate Funds

4159-9542-2278.4

such budget. The covenants on the part of the District contained in the Lease Agreement will be deemed to be and will be construed to be duties imposed by law and it will be the duty of each and every public official of the District to take such action and do such things as are required by law in the performance of the official duty of such officials to enable the District to carry out and perform the covenants and agreements in the Lease Agreement agreed to be carried out and performed by the District.

Abatement

Under California Law, even though the Lease Agreement becomes effective as of the date of the Certificates, the obligation of the District to make Lease Payments (other than to the extent that funds to make Lease Payments are available in the Lease Payment Fund) must be abated in whole or in part if the District does not have substantial use and occupancy of all or a portion of the Property. See “RISK FACTORS – Abatement” herein.

Lease Payments evidenced by the Certificates will be abated during any period in which, by reason of damage, destruction, any defect in title or other event (other than by eminent domain which is hereinbefore provided for), there is substantial interference with the use and occupancy by the District of the Property or any portion thereof (other than any portions of the Property described in the provisions of the Lease Agreement relating to the District’s right to, at its own expense, remove portions of the Property or to make additions or modifications to the Property), and the District waives the benefits of subsection 2 of Section 1932 and subsection 4 of Section 1933 of the California Civil Code and any and all other rights to terminate the Lease Agreement by virtue of any such interference, and the Lease Agreement shall continue in full force and effect. The extent of such abatement will be agreed upon by the District and the Corporation such that the resulting Lease Payments represent fair consideration for the use and occupancy of the portions of the Property not damaged, destroyed or otherwise unavailable for use and occupancy by the District. Such abatement will continue for the period commencing with such damage, defect in title, destruction or other event and, with respect to damage or destruction of property, ending with the substantial completion of the work of repair or reconstruction or of completion of the Property or of the regained availability of use and occupancy. In the event of any such damage, destruction or non-availability, the Lease Agreement will continue in full force and effect and the District waives any right to terminate the Lease Agreement by virtue of any such damage, destruction or unavailability.

Notwithstanding the foregoing, there will be no abatement of Lease Payments under the Lease Agreement by reason of damage, destruction or unavailability of all or a portion of the Property to the extent that: (i) the fair rental value of the portions of the Property not damaged, destroyed, incomplete or otherwise unavailable for use and occupancy by the District (giving due consideration to the obligations of the parties under the Lease Agreement, the uses and purposes which may be served by the Property and the benefits therefrom which will accrue to the District and the general public), based upon a qualified employee of the District or an independent certified real estate appraiser selected by the District with expertise in valuing such properties or other appropriate method of valuation, is equal to or greater than the unpaid Lease Payments; or (ii) (A) the proceeds of rental interruption insurance or (B) amounts in the Net Proceeds Fund and/or the Lease Payment Fund are available to pay Lease Payments which would otherwise be abated under the Lease Agreement, it being declared by the Lease Agreement that such proceeds and amounts constitute special funds for the payment of the Lease Payments.

Failure of the District to make Lease Payments during any period of such abatement will not constitute a default under the Lease Agreement, the Trust Agreement or the Certificates. See “RISK FACTORS – Abatement” herein.

No Reserve Fund

[The Trust Agreement does not require a reserve fund in connection with the execution and delivery of the Certificates. Amounts held or to be held in a debt service reserve fund or account established for any other obligations payable from the District's General Fund may not be used or drawn upon to pay principal of or interest on the Certificates.]

Insurance

The Lease Agreement provides that the District will maintain or cause to be maintained, throughout the term of the Lease Agreement, insurance policies, including a standard comprehensive general insurance policy or policies in protection of the Corporation, the District and the Trustee and their respective members, officers, agents and employees. The Lease Agreement provides that such liability insurance may be maintained as part of or in conjunction with any other liability insurance coverage carried by the District, including through the District's current program of self-insurance, and may be maintained through the Corporation or in the form of self-insurance by the District; provided, however, that the District may not maintain rental interruption insurance in the form of self-insurance. Said policy or policies will provide for coverage of said parties against direct or consequential loss or liability for damages for bodily and personal injury, death or property damage occasioned by reason of the operation of the Property. Said policy or policies will provide coverage in the minimum liability limits of \$1,000,000 for personal injury or death of each person and \$3,000,000 for personal injury or deaths of two or more persons in each accident or event, and in a minimum amount of \$1,000,000 for damage to property resulting from each accident or event (in each case subject to a deductible clause, or self-retention in the case of self-insurance, not to exceed \$5,000,000 per occurrence). Such liability and property damage insurance may, however, be in the form of a single limit policy in the amount of \$3,000,000 covering all such risks.

The Lease Agreement provides that the District will procure and maintain, or cause to be procured and maintained, throughout the Term of the Lease Agreement, insurance against loss or damage to any structures constituting any part of the Property by fire, lightning and flood (if reasonably necessary), with extended coverage and vandalism and malicious mischief insurance, which coverage may exclude earthquake insurance, with the Trustee named as additional insured and loss payee, with responsible and reputable insurance companies. The Lease Agreement provides that such insurance may be maintained as part of or in conjunction with any other fire and extended coverage insurance carried by the District and may be maintained in whole or in part through the Corporation.

The Lease Agreement provides that such extended coverage insurance shall, as nearly as practicable, cover loss or damage by explosion, windstorm, riot, aircraft, vehicle damage, smoke and such other hazards as are normally covered by such insurance. Such insurance will be in an amount equal to the greater of 100% of the replacement value of the Property or 100% of the remaining Lease Payments evidencing and representing principal evidenced by all outstanding Certificates. The Net Proceeds of such insurance shall be applied as provided in the Lease Agreement.

The Lease Agreement provides that the District will also procure and maintain, or cause to be maintained, throughout the term of the Lease Agreement, boiler and machinery coverage against loss or damage by explosion of steam boilers, pressure vessels and similar apparatus now or hereafter installed on any portion of the Property in an amount not less than \$5,000,000 per accident, and worker's compensation insurance issued by a responsible carrier authorized under the laws of the State of California to insure its employees against liability for compensation under the Worker's Compensation Insurance and Safety Act now in force in the State, or any act hereafter enacted as an amendment or supplement thereto. The Lease Agreement provides that as an alternative, such insurance may be maintained as part of or in conjunction

with any other insurance carried by the District, including through the District's current program of self-insurance.

The Lease Agreement provides that the District will procure and maintain, or cause to be maintained, throughout the term of the Lease Agreement rental interruption insurance to cover loss, total or partial, of the use of any part of the Property during the term of the Lease Agreement with respect to the Property in an amount equal to the greatest twenty-four (24) months of Lease Payments for such Property with the Trustee named as additional insured and loss payee. Such insurance may be carried in conjunction with, and may be subject to the same provisions as, the insurance required under the Lease Agreement. The District has assigned to the Corporation all right of the District, if any, to collect and receive Net Proceeds under any of said policies, which right has been assigned by the Corporation to the Trustee pursuant to the Assignment Agreement. The Net Proceeds of such rental interruption insurance will be paid to the Trustee and deposited in the Lease Payment Fund and will be credited towards the payment of the Lease Payments in the order in which the Lease Payments are due and payable.

The District will provide, from moneys in the Delivery Costs Fund or at its own expense, on the Closing Date or as soon thereafter as practicable, an ALTA or a CLTA title insurance policy covering, and in the amount of not less than the principal amount of the Certificates, insuring all of the fee title of the District in the Property, the leasehold estate of the Corporation in the Property and the leasehold estate of the District in the Property securing the Certificates, subject only to Permitted Encumbrances, with the Trustee as additional insured and loss payee. The Net Proceeds of such title insurance will be applied as provided in the Lease Agreement.

The District will maintain or cause to be maintained, during the entire term of the Lease Agreement, with insurers of recognized responsibility (or through the District's current program of self-insurance with respect to certain insurance required by the Lease Agreement) all coverage required under the Lease Agreement. The District may not change its program of self-insurance for any insurance required under the Lease Agreement. Certain policies of insurance required by the Lease Agreement will be obtained from an insurance provider licensed to do business in the State and rated "A" or better by A.M. Best & Company, and will provide that all proceeds thereunder will be payable to the District and the Trustee as insureds and applied as provided in the Lease Agreement. The District will pay or cause to be paid when due the premiums for all insurance policies required by the Lease Agreement.

For additional information regarding the District's risk management programs, See APPENDIX A - "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation" and APPENDIX C - "SUMMARY OF PRINCIPAL LEGAL DOCUMENTS - THE LEASE AGREEMENT."

Action on Default

Upon the occurrence of an Event of Default under the Lease Agreement, the Trustee, as assignee of the Corporation, may, [upon direction by the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] exercise any and all remedies available pursuant to law or granted pursuant to the Lease Agreement; provided, however, that notwithstanding anything contained in the Lease Agreement or in the Trust Agreement to the contrary, there will be no right under any circumstances to accelerate the Lease Payments or otherwise declare any Lease Payments not then in default to be immediately due and payable. The Trustee, as assignee of the Corporation, may exercise any and all rights of entry and re-entry upon the Property, and also, at its option, with or without such entry, may terminate the Lease Agreement as provided in Lease Agreement; provided, that no such termination would be effected either by operation of law or acts of the parties to the

Lease Agreement, except only in the manner expressly provided in the Lease Agreement. In the event of such Event of Default or Default and notwithstanding any re-entry by the Trustee, as assignee of the Corporation, the District would, as expressly provided in the Lease Agreement, continue to remain liable for the payment of the Lease Payments and/or damages for breach of the Lease Agreement and the performance of all conditions contained in the Lease Agreement and, in any event such Lease Payments and/or damages would be payable to the Corporation at the time and in the manner as provided in the Lease Agreement. See “RISK FACTORS.”

The Trust Agreement provides that, so long as the Insurer is not in default under the Insurance Policy, the Insurer will direct all remedies upon an event of default under the Lease Agreement. For a description of the events of default and permitted remedies of the Trustee (as assignee of the Corporation) contained in the Lease Agreement and the Trust Agreement, see APPENDIX C – “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – THE LEASE AGREEMENT – Events of Default and Remedies” and “ – THE TRUST AGREEMENT – Events of Default and Remedies of Certificate Owners.”

No Additional Encumbrances

Under the Lease Agreement, the Corporation agrees not to pledge the Lease Payments or other amounts derived from the Property or its other rights under the Lease Agreement and will not mortgage or encumber the Property, except as provided under the terms of the Lease Agreement, the Site Lease, the Assignment Agreement and the Trust Agreement.

CERTIFICATE INSURANCE

[INSURANCE DISCLOSURE TO COME, IF APPLICABLE.]

THE PROPERTY

General

[TO COME.]

Substitution or Release

Pursuant to the Lease Agreement, and subject to the conditions set forth therein, the District may amend the Lease Agreement to substitute additional real property and facilities for the Property, or to remove real property and facilities from the definition of Property, upon compliance with all of the conditions set forth in the Lease Agreement. After a substitution or removal, the part of the Property for which the substitution or removal has been effected will be released from the leasehold thereunder. See APPENDIX C - “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS - THE LEASE AGREEMENT – Substitution” and “ – Release.”

PLAN OF FINANCE

A portion of the proceeds of the Certificates will fund the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds. The remaining proceeds of the Certificates will be used to pay the costs incurred in connection with the execution and delivery of the Certificates. See “ESTIMATED SOURCES AND USES OF FUNDS” herein.

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds with respect to the Certificates and other available funds are shown below.

Estimated Sources of Funds

Principal Amount of Certificates	\$
Plus [Net] Original Issue [Premium][Discount]	
Total Sources	<u>\$</u>

Estimated Uses of Funds

Project Fund	\$
Underwriters' Discount	
Delivery Costs ⁽¹⁾	
Total Uses	<u>\$</u>

⁽¹⁾ Includes legal, municipal advisor and rating agency fees[, Insurance Policy premium and fees], title insurance, printing and other fees and miscellaneous costs of delivery of the Certificates.

RISK FACTORS

The following factors, along with the other information in this Official Statement, should be considered by potential investors in evaluating the purchase of the Certificates. However, they do not purport to be an exhaustive listing of risks and other considerations which may be relevant to an investment in the Certificates. In addition, the order in which the following factors are presented is not intended to reflect the relative importance of any such risks.

General Considerations and Other Obligations

The obligation of the District to make the Lease Payments does not constitute an obligation for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation. Neither the Certificates nor the obligation of the District to make Lease Payments constitutes a debt of the District, the Corporation or the State or any of its political subdivisions within the meaning of any constitutional or statutory debt limitation or restriction.

Although the Lease Agreement does not create a pledge, lien or encumbrance upon the funds of the District, the District is obligated under the Lease Agreement to pay Lease Payments from any source of legally available funds (subject to certain exceptions) and the District has covenanted in the Lease Agreement that, for as long as the Property is available for its use and possession, it will make the necessary annual appropriations within its budgets for all Lease Payments.

The District is currently liable and may become liable on other obligations payable from the District's General Fund, such as employee salaries and benefits, some of which may have a priority over the Lease Payments and Additional Payments. For a discussion of certain other obligations of the District, including its substantial liability with respect to post-employment benefits, See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION." The District has the capacity to enter into other obligations which may constitute additional charges against its revenues. To the extent that additional obligations are incurred by the District, the funds available to make Lease Payments and Additional Payments may be decreased. In the event the District's revenue sources are less than its total obligations,

the District could choose to fund other activities before making Lease Payments and Additional Payments and other payments due under the Lease Agreement. The same result could occur if, because of California Constitutional limits on expenditures, the District is not permitted to appropriate and spend all of its available revenues. See APPENDIX A - “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS - Article XIII B of the State Constitution.”

Default; Remedies Upon Default; No Right of Acceleration

Upon the occurrence of an Event of Default under the Lease Agreement, the Trustee, as assignee of the Corporation, may exercise any and all remedies available pursuant to law or granted pursuant to the Lease Agreement; provided, however, that notwithstanding anything contained in the Lease Agreement or in the Trust Agreement to the contrary, there will be no right under any circumstances to accelerate the Lease Payments or otherwise declare any Lease Payments not then in default to be immediately due and payable. The Trustee, as assignee of the Corporation, may exercise any and all rights of entry and re-entry upon the Property, and also, at its option, with or without such entry, may terminate the Lease Agreement as provided in Lease Agreement; provided, that no such termination would be effected either by operation of law or acts of the parties to the Lease Agreement, except only in the manner expressly provided in the Lease Agreement. In the event of such Event of Default or Default and notwithstanding any re-entry by the Trustee, as assignee of the Corporation, the District would, as expressly provided in the Lease Agreement, continue to remain liable for the payment of the Lease Payments and/or damages for breach of the Lease Agreement and the performance of all conditions contained in the Lease Agreement and, in any event such Lease Payments and/or damages would be payable to the Corporation at the time and in the manner as provided in the Lease Agreement.

The Trustee would be required to seek a separate judgment each year for that year’s defaulted Lease Payments. Any such suit for money damages would be subject to limitations on legal remedies against school districts in the State, including a limitation on enforcement of judgments against funds of a fiscal year other than the fiscal year in which the Lease Payments were due and against funds needed to serve the public welfare and interest.

The enforcement of any remedies provided in the Lease Agreement and Trust Agreement could prove both expensive and time-consuming. Although the Lease Agreement provides that, if the District defaults the Trustee may repossess the Property and relet it, portions of the Property may not be easily recoverable, and even if recovered, could be of little value to others. Additionally, the Trustee may have limited ability to relet the Property to provide a source of rental payments sufficient to pay the principal evidenced by the Certificates. The Trustee is not empowered to sell the Property for the benefit of the Owners. In addition, due to the essential government functions of the Property, it is not certain whether a court would permit the exercise of the remedies of repossession and re-letting with respect thereto. Moreover, there can be no assurance that any reletting would not affect the exclusion of any interest component of the Lease Payments evidenced by the Certificates from federal income taxation.

No Liability of Corporation to the Owners

Except as expressly provided in the Trust Agreement, the Corporation shall not have any obligation or liability to the owners of the Certificates with respect to the payment when due of the Lease Payments by the District, or with respect to the performance by the District of other agreements and covenants required to be performed by them contained in the Lease Agreement or the Trust Agreement, or with respect to the performance by the Trustee of any right or obligation required to be performed by it contained in the Trust Agreement.

Bankruptcy

[TO BE UPDATED] Generally. In addition to the limitations on remedies contained in the Lease Agreement and the Trust Agreement, the rights and remedies provided in the Lease Agreement and the Trust Agreement may be limited by and are subject to provisions of federal bankruptcy laws, as now or hereafter enacted, and to other laws or equitable principles that may affect the enforcement of creditors' rights.

[The obligations of the Insurer under the Insurance Policy are contractual obligations and in an event of default by the Insurer, the rights and remedies available may be limited by and subject to provisions of federal or state insolvency laws, as now or hereafter enacted, and to other laws or equitable principles that may affect the enforcement of creditors' rights. Should the Insurer encounter financial difficulties, there could be adverse effects on the Owners of the Certificates. The applicable regulators can order an insurance company to stop paying claims, or to pay claims only with the permission of the regulators, even before the insurance company becomes the subject of a formal insolvency proceeding. An insolvent financial guaranty insurer may be able to retain its rights to control remedies and direct the Trustee, and its rights to consent to amendments of the documents, even though it is insolvent or not paying claims as required by the financial guaranty policy. An insolvent financial guaranty insurer may also be able to require the District to reimburse the Insurer before paying amounts due on the Certificates, regardless of what the documents provide. There may be other possible effects of the financial distress of the Insurer that could result in delays or reductions in payments on the Certificates, or result in losses to the Owners of the Certificates. Regardless of any specific adverse determinations, the fact of the financial distress of the Insurer could have an adverse effect on the liquidity and value of the Certificates.]

Bankruptcy of District. The District may be eligible to become a debtor in a Chapter 9 bankruptcy case. If the District were to go into bankruptcy, it may be able to reject the Site Lease or the Lease Agreement or assume the Site Lease or the Lease Agreement, despite any provision of the Site Lease or the Lease Agreement that makes the bankruptcy or insolvency of the District an event of default thereunder.

If the District rejects the Lease Agreement, the District's obligation to pay Lease Payments and Additional Payments will terminate. The Trustee on behalf of the Owners of the Certificates will have a claim for damages in the bankruptcy case, but this claim for damages may be significantly limited. While the Corporation may be able to recover possession of the Property and re-let it, no assurance can be given that the new lease will provide for the same level of payments as the Lease Agreement or that the new lessee will be as desirable. The Owners of the Certificates could suffer substantial losses.

If the District rejects the Site Lease, the rights of the Trustee and the Owners of the Certificates to receive Lease Payments and Additional Payments may terminate, even if the District remains in possession of the Property. While the Trustee on behalf of the Owners of the Certificates may have a claim in the District's bankruptcy, this claim for damages may be significantly limited, and the Owners of the Certificates could suffer substantial losses.

If the District assumes the Lease Agreement, it may be able to assign it to a third party, notwithstanding the provisions of the transaction documents. The District would no longer be obligated to pay Lease Payments and Additional Payments. The third party assignee would be obligated to make such payments. While there must be adequate assurances of the future performance of the assignee, that determination is made by the bankruptcy court, not the Trustee or the Owners of the Certificates, and the determination may turn out to have been wrong. Any such assignee may be a less desirable sublessee and may expose the holders of the Certificates to additional or different risks, including risks of non-payment. There may be adverse tax consequences of such an assignment.

If the District is in bankruptcy, the parties (including the Trustee and the Owners of the Certificates) may be prohibited from taking any action to collect any amount from the District or to enforce any obligation of the District, unless the permission of the bankruptcy court is obtained. These restrictions may also prevent the Trustee from making payments to the Owners of the Certificates from funds in the Trustee's possession.

The District may be able to obtain authorization from the bankruptcy court to sell the Property to a third party, free and clear of the Site Lease, the Lease Agreement, and the rights of the Trustee and the Owners of the Certificates. Under such circumstances, the Owners of the Certificates may suffer substantial losses.

The District may be able, without the consent and over the objection of the Trustee and the Owners of the Certificates, to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Lease Agreement, the Trust Agreement, the Certificates, and other transaction documents, as long as the bankruptcy court determines that the alterations are fair and equitable.

The District could threaten to take any of the actions described above as part of negotiations to alter its obligations under the Lease Agreement, the Site Lease, or other transaction documents.

Actions could be taken in a bankruptcy of the District that could adversely affect the exclusion of interest evidenced by the Certificates from gross income for federal income tax purposes. In addition, there may be other possible effects of the bankruptcy of the District that could result in delays or reductions in payments of the principal and interest evidenced by the Certificates, or in other losses to the Owners of the Certificates. There may be delays in payments on the Certificates while the court considers any of these issues.

Regardless of any specific adverse determinations in a bankruptcy case of the District, the fact of such a bankruptcy case could have an adverse effect on the liquidity and value of the Certificates.

Bankruptcy of Corporation. The Corporation is not a special-purpose bankruptcy-remote entity, and could become a debtor in a bankruptcy case. The District and the Corporation intend the assignment to the Trustee of all of Corporation's right, title, and interest to receive the Lease Payments and Additional Payments to be an absolute sale and not the grant of a security interest in such property to secure a borrowing of the Corporation. Nonetheless, if the Corporation were to become a debtor in a bankruptcy case, and a party in interest (including the Corporation itself) was to take the position that the transfer of the Lease Payments and Additional Payments to the Trustee should be recharacterized as the grant of a security interest in such property, then delays in payments on the Certificates could result. If a court were to adopt such position, then delays or reductions in payments evidenced by the Certificates, or other losses to the Owners of the Certificates, could result.

Because the Corporation is not assigning all its rights under the Site Lease and the Lease Agreement, it may be able to reject the Site Lease and the Lease Agreement despite any provision of the Site Lease or the Lease Agreement which makes the bankruptcy or insolvency of the Corporation an event of default thereunder. If the Corporation rejects the Site Lease, the rights of the Trustee and the Owners of the Certificates to receive Lease Payments and Additional Payments may terminate, even if the District remains in possession of the Property. Under such circumstances, the Owners of the Certificates could suffer substantial losses, and any claim for damages may be significantly limited.

If the Corporation rejects the Lease Agreement, the District will have the option to either treat the Lease Agreement as terminated or to remain in possession. If the District treats the Lease Agreement as

terminated, the District's obligation to pay Lease Payments and Additional Payments will terminate, but the Corporation or the District may still be able to use the Property. Under such circumstances, the holders of the Certificates could suffer substantial losses.

If the Corporation is in bankruptcy, the parties (including the Trustee and the Owners of the Certificates) may be prohibited from taking any action to collect any amount from the Corporation or to enforce any obligation of the Corporation, unless the permission of the bankruptcy court is obtained. These restrictions may also prevent the Trustee from making payments to the Owners of the Certificates from funds in the Trustee's possession. In addition, the provisions of the transaction documents that require the District to make payments directly to the Trustee, rather than to the Corporation, may no longer be enforceable, and all payments may be required to be made to the Corporation.

The Corporation may be able to obtain authorization from the bankruptcy court to sell or assign its leasehold estate in the Property to a third party, free and clear of the Lease Agreement and the rights of the Trustee and the Owners of the Certificates. Under such circumstances, the Owners of the Certificates may suffer substantial losses.

The Corporation may be able, without the consent and over the objection of the Trustee and the Owners of the Certificates, to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Trust Agreement, the Certificates, and the other transaction documents as long as the bankruptcy court determines that the alterations are fair and equitable.

The Corporation could threaten to take any of the actions described above as part of negotiations to alter its obligations under the Site Lease, the Lease Agreement, the Trust Agreement, or other transaction documents.

Actions could be taken in a bankruptcy case of the Corporation which could adversely affect the exclusion of interest evidenced by the Certificates from gross income for federal income tax purposes. In addition, there may be other possible effects of the bankruptcy of the Corporation that could result in delays or reductions in payments of the principal and interest evidenced by the Certificates, or in other losses to the Owners of the Certificates. There may be delays in payments on the Certificates while the court considers any of these issues.

Regardless of any specific adverse determinations in a bankruptcy case of the Corporation, the fact of such a bankruptcy case could have an adverse effect on the liquidity and value of the Certificates.

Limitation on Remedies. The opinion of Special Counsel, the proposed form of which is included as APPENDIX D, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights. As discussed above, bankruptcy proceedings, if initiated, could subject the owners of the Certificates to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights. See " – Bankruptcy" above.

Loss of Tax Exemption

As discussed under the heading "TAX MATTERS," certain acts or omissions of the District in violation of its covenants in the Trust Agreement and the Lease Agreement, as well as certain other matters, could result in the interest evidenced by the Certificates being includable in gross income for purposes of federal income taxation retroactive to the date of delivery of the Certificates. Should such an event of

taxability occur, the Certificates would not be subject to a special prepayment and would remain Outstanding until maturity or until prepaid under the provisions contained in the Trust Agreement.

Abatement

The Lease Agreement provides that fair rental value of the Property equals or exceeds the unpaid principal and interest components of the Lease Payments at all times; therefore, such payments due under the Lease Agreement will not be subject to abatement, except as provided in the paragraph below.

Lease Payments evidenced by the Certificates will be abated during any period in which, by reason of damage, destruction, any defect in title or other event (other than by eminent domain which is hereinbefore provided for), there is substantial interference with the use and occupancy by the District of the Property or any portion thereof (other than any portions of the Property described in the provisions of the Lease Agreement relating to the District's right to, at its own expense, remove portions of the Property or to make additions or modifications to the Property), and the District has waived the benefits of subsection 2 of Section 1932 and subsection 4 of Section 1933 of the California Civil Code and any and all other rights to terminate the Lease Agreement by virtue of any such interference, and the Lease Agreement will continue in full force and effect. The extent of such abatement will be agreed upon by the District and the Corporation such that the resulting Lease Payments represent fair consideration for the use and occupancy of the portions of the Property not damaged, destroyed or otherwise unavailable for use and occupancy by the District. Such abatement will continue for the period commencing with such damage, defect in title, destruction or other event and, with respect to damage or destruction of property, ending with the substantial completion of the work of repair or reconstruction or of completion of the Property or of the regained availability of use and occupancy. In the event of any such damage, destruction or non-availability, the Lease Agreement will continue in full force and effect and the District has waived any right to terminate the Lease Agreement by virtue of any such damage, destruction or unavailability.

Notwithstanding the foregoing, there will be no abatement of Lease Payments under the Lease Agreement by reason of damage, destruction or unavailability of all or a portion of the Property to the extent that: (i) the fair rental value of the portions of the Property not damaged, destroyed, incomplete or otherwise unavailable for use and occupancy by the District (giving due consideration to certain factors identified in the Lease Agreement), based upon a qualified employee of the District or an independent certified real estate appraiser selected by the District with expertise in valuing such properties or other appropriate method of valuation, is equal to or greater than the unpaid Lease Payments; or (ii) the proceeds of rental interruption insurance or amounts in the Net Proceeds Fund and/or the Lease Payment Fund are available to pay Lease Payments which would otherwise be abated under the applicable provisions of the Lease Agreement, it being declared under the Lease Agreement that such proceeds and amounts constitute special funds for the payment of the Lease Payments.

The District will procure and maintain, or cause to be maintained, throughout the Term of the Lease Agreement rental interruption insurance to cover loss, total or partial, of the use of any part of the Property during the Term of the Lease Agreement with respect to the Property in an amount equal to the greatest twenty-four (24) months of Lease Payments for such Property, with the Trustee named as additional insured and loss payee. Such insurance may be carried in conjunction with, and may be subject to the same provisions as, the fire, extended coverage, boiler and machinery and workers' compensation insurance required under the Lease Agreement. The Net Proceeds of such insurance will be paid to the Trustee and deposited in the Lease Payment Fund and will be credited towards the payment of the Lease Payments pursuant to the Trust Agreement.

Notwithstanding the foregoing, the resulting funds in the Lease Payment Fund may not be sufficient to pay the remaining principal and interest evidenced by the Certificates in the event of an abatement. Any abatement of Lease Payments will not be considered an Event of Default under the Lease Agreement.

Hazardous Substances

The existence or discovery of hazardous materials may limit the beneficial use of the Property. In general, the owners and lessees of the Property may be required by law to remedy conditions of such parcel relating to release or threatened releases of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as “CERCLA” or the “Superfund Act,” is the most well-known and widely applicable of these laws, but California laws with regard to hazardous substances are also similarly stringent. Under many of these laws, the owner or lessee is obligated to remedy a hazardous substance condition of the property whether or not the owner or lessee had anything to do with creating or handling the hazardous substance.

Further it is possible that the beneficial use of the Property may be limited in the future resulting from the current existence on the Property of a substance currently classified as hazardous but which has not been released or the release of which is not presently threatened, or may arise in the future resulting from the current existence on the Property of a substance not presently classified as hazardous but which may in the future be so classified. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method in which it is handled. All of these possibilities could significantly limit the beneficial use of the Property.

[The District is unaware of the existence of hazardous substances on the Property sites which would materially interfere with the beneficial use thereof.] The public education activities of the District may, from time to time, result in the use of limited amounts of hazardous substances on the facilities owned and operated by the District, including, but not limited to, the Property. Accordingly, it is possible that spills, discharges or other adverse environmental consequences of such use in the future could cause an adverse effect on the fair rental value of the Property and lead, in an extreme case, to abatement, in whole or in part, of Lease Payments. See “– Abatement” above.

Substitution or Release of Property

Pursuant to the Lease Agreement, and subject to the conditions set forth therein, the District may amend the Lease Agreement to substitute additional real property and facilities for the Property, or to remove real property and facilities from the definition of Property, upon compliance with all of the conditions set forth in the Lease Agreement. One such condition under the Lease Agreement is that a qualified employee of the District or an independent certified real estate appraiser selected by the District certify that said substitution or addition has an annual fair rental value equal to or greater than the maximum Lease Payments due in any Rental Period, and that the Property after said substitution or addition has a useful life equal to or greater than the maximum remaining term of the Lease Agreement. After a substitution or removal, the part of the Property for which the substitution or removal has been effected will be released from the leasehold thereunder. Thus, a portion of the property comprising the Property could be replaced with less valuable property, or could be released altogether. Such a replacement or release could have an adverse impact on the security for the Certificates, particularly if an event requiring abatement of Lease Payments were to occur subsequent to such substitution or release. See APPENDIX C - “SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – THE LEASE AGREEMENT – Substitution” and “– Release.”

Natural Disasters, Drought, Climate Change and Sea Level Rise

Earthquakes. The District, like most regions in the State, and the Property are located in an area of seismic activity from movements along active fault zones and, therefore, could be subject to potentially destructive earthquakes. Additionally, numerous minor faults transect the area. Active earthquake faults include the San Andreas Fault that runs throughout the County, the Palos Verdes fault that runs along the coast and through a small portion of the County, and other smaller faults including the Lower Elysian Park thrust, the Upper Elysian Park fault and Puente Hills blind thrust system. Seismic hazards encompass both potential surface rupture and ground shaking. [Although the Property has been designed and constructed pursuant to earthquake-resistant standards in accordance with the Field Act (Section 17280 *et seq.* of the Education Code), damage from an earthquake could be substantial.] The occurrence of severe seismic activity in the area of the Property could result in substantial damage and interference with the District's right to use and occupy all or a portion of the Property, which could result in the Lease Payments being subject to abatement. See “–Abatement” above. The District is not required by the Lease Agreement or otherwise to obtain or maintain earthquake insurance for the Property. See “SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES – Insurance.”

Wildfires. In recent years, portions of California, including the County and adjacent counties, have experienced wildfires that have burned thousands of acres and destroyed thousands of homes and structures. The occurrence of wildfires in the area of the District could result in substantial damage and interference with the District's right to use and occupy all or a portion of the Property, which could result in the Lease Payments being subject to abatement. See “–Abatement” above. The Lease Agreement requires the District to cause to be maintained casualty insurance insuring the Property against fire and other risks (excluding earthquake). See “SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES – Insurance.”

Drought. Most recently, the State has experienced periods of extreme precipitation, after having experienced severe drought conditions that led to the Governor of California (the “Governor”) declaring a Statewide drought emergency in spring 2021. In March 2023, the Governor proclaimed a state of emergency related to a series of ongoing winter storms that has been expanded to include 43 counties in the State. While the Statewide drought emergency is still in effect in all 58 counties, the Governor has directed State agencies to provide recommendations on the State's drought response actions by the end of April 2023 once there is greater clarity about the State's hydrologic conditions. The District cannot predict the extent to which drought conditions within the County or any of the adjoining counties could cause reduced economic activity within the boundaries of the District or the extent to which drought conditions may impact District facilities or the assessed value of taxable property within the District.

Flood. As discussed further below in “– Climate Change and Sea Level Rise,” the District may be susceptible to flooding from extreme rainfall events and from sea level rise. [The Property is not located within a 100-year flood plain.] Under the Lease Agreement, flood insurance is only required on the Property if reasonably necessary. See “SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES – Insurance” herein.

Climate Change and Sea Level Rise. The direct risks posed by climate change currently include or are expected to include more extreme heat events, rising sea levels, changes in precipitation levels, flooding, and more intense storms. In order to address these risks, California law (the Global Warming Solutions Act) requires the State to significantly reduce its emissions of greenhouse gases (GHGs), which contribute to climate change.

Sources of GHG emissions in the District include cars and trucks, electricity and natural gas use in buildings, decomposition of solid waste, landscaping and construction equipment, and water and

wastewater distribution, treatment, and use. On-road vehicle use represents the largest source of GHGs, followed by energy use in residential and nonresidential buildings. As a part of the State's effort to reduce GHG emissions, the California Air Resources Board approved a regulation to rapidly scale down emissions from cars starting with the 2026 model year through the 2035 model year, at which time all new car sales in the State must be zero-emission vehicles. Going forward, the GHG emissions within the District will continue to change due to new policies, technological improvements, and population growth and new development.

Current science indicates that sea level rise is directly linked to climate change, and sea level is expected to increase over time. Sea level rise threatens even inland areas by exacerbating flooding from very high tides, and by contributing to flooding from extreme rainfall events. The various scientific studies that forecast the amount and timing of adverse impacts of climate change are based on assumptions contained in such studies, but actual events may vary materially. In addition, the scientific understanding of climate change and its effects continues to evolve. Accordingly, the District cannot predict the timing, extent, or severity of climate change, GHG emissions or sea level rise, and the impact on the District and the Property, and on the State and local economies.

Events of Force Majeure. Operation of the Property may also be at risk from other events of force majeure, such as damaging storms, fires and explosions, strikes, sabotage, riots and spills of hazardous substances, among other events. The District cannot predict what force majeure events may occur in the future. For additional information regarding the District's risk management programs and required insurance coverages under the Lease Agreement, See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation" and APPENDIX C – "SUMMARY OF PRINCIPAL LEGAL DOCUMENTS – THE LEASE AGREEMENT."

Absence of Earthquake and Flood Insurance

The District is not required under the Lease Agreement to maintain earthquake insurance on the Property. Under the Lease Agreement, flood insurance is only required on the Property if reasonably necessary. See "SECURITY AND SOURCES OF PAYMENT FOR THE CERTIFICATES – Insurance." [The District does not currently insure against the risks of earthquake or flood with respect to the Property and does not anticipate obtaining such insurance in the future.] See "– Natural Disasters, Drought, Climate Change and Sea Level Rise" above.

Economic Conditions in California; State Funding of Education

State income tax and other receipts can fluctuate significantly from year to year, depending on economic conditions in the State and the nation. Because much of the District's revenues derive from State funding under the local control funding formula (the "LCFF"), the District's revenues can vary significantly from year to year, even in the absence of significant education policy changes. Decreases in the State's general fund revenues may significantly affect appropriations made by the State to school districts, including the District. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act."

While the California Constitution contains certain minimum funding requirements for public education pursuant to Proposition 98, State funding can be affected by a number of factors, including poor performance of the California economy and State budget shortfalls. At times since the implementation of Proposition 98, the State has sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against

subsequent years' Proposition 98 minimum funding levels rather than current year increases; by deferring apportionments of Proposition 98 funds from one fiscal year to the next, as the State did in fiscal years 2019-20 and 2020-21; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution's definition of the guaranteed amount and settle-up requirement under certain circumstances.

[TO BE UPDATED FOLLOWING 2023-24 STATE BUDGET] The State and national economy reflect an economic slowdown that could push the State and national economy into a recession. In the event the State or national economy experiences a recession during the term to maturity of the Certificates, there may continue to be adverse effects on the budgets of school districts caused by the general economic slowdowns in the State and the State's own budget difficulties. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act – 2023-24 State Budget." Continued adverse economic conditions and reduced revenues at the State level could have future, unpredictable, negative effects upon the amount of and the manner in which the District receives money from the State.

Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of proposed and adopted budgets may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." An impartial analysis of the budget is posted by the Office of the Legislative Analyst at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found at the website of the State Treasurer, www.treasurer.ca.gov. The information referred to is prepared by the respective State agency maintaining each website and not by the District, and the District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated herein by these references. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act."

Infectious Disease Outbreak

In general, the outbreak of a highly contagious disease or epidemic disease could harm the District's financial results or result in a temporary shutdown of the District's facilities. Many school districts in the State are funded based on the LCFF, which allocates a base grant per unit of average daily attendance with additional supplemental grants based on certain factors. Thus, a temporary shutdown of a school or an entire school district would reduce the average daily attendance and could impact the funding a school district receives (unless the State legislature or California Department of Education takes action to exclude such days from the calculations for funding purposes). Further, any impact on the State's tax and other revenue receipts as a result of a highly contagious or epidemic disease may in turn impact other educational funding that the District receives from the State. See "– Economic Conditions in California; State Funding of Education" above. In addition, the District may incur increased operational costs to clean, sanitize and maintain its facilities either before or after an outbreak of an infectious disease.

The outbreak of COVID-19 and the resulting pandemic has significantly impacted school districts throughout California, including the District. For more information regarding the impact of the COVID-19 pandemic on the District's operations and finances, see APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – STATE FUNDING OF SCHOOL DISTRICTS – Infectious Disease Outbreak."

Cybersecurity

School districts, like other governmental and business entities, face significant risks relating to the use and application of computer software and hardware for educational, operational and management purposes. The District collects, processes, and distributes an enormous amount of private, protected and personal information on students, staff, parents, visitors, and contractors. As the custodian of such information, the District is constantly facing a variety of persistent and evolving cybersecurity threats. For more information regarding recent cyber incidents involving the District and actions the District has taken to protect its systems and minimize future cyberattacks, see APPENDIX A – “DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT GENERAL INFORMATION – Cybersecurity.”

THE DISTRICT

A description of the District, including information concerning its finances and organization, its major revenue sources, funds, liabilities and indebtedness, and certain factors affecting its finances and operations, is set forth in Appendix A.

The District’s Audited Annual Financial Report for fiscal year ended June 30, 2022, including its general purpose financial statements for the fiscal year ended June 30, 2022, is included as Appendix B. The basic financial statements of the District for the fiscal year 2021-22 have been audited by Simpson & Simpson, independent certified public accountants, as stated in their report appearing in Appendix B. The District has not requested nor has the District obtained the consent of Simpson & Simpson to the inclusion of its report in Appendix B. Simpson & Simpson has not been engaged to perform and has not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. Simpson & Simpson has not been requested to perform and has not performed any procedures relating to the Official Statement.

THE CORPORATION

The Corporation was organized on August 18, 2000 as a California nonprofit benefit corporation. The Corporation was formed at the request of the District for the specific and primary purpose of providing finance assistance to the District by financing the acquisition, construction, remodeling, rehabilitation, equipping, improvement, financing and refinancing of various public facilities, land and equipment of the District and by leasing certain facilities, land and equipment for the use, benefit and enjoyment of the public served by the District, as well as any other purpose incidental thereto.

The Directors of the Corporation receive no compensation. The Corporation has no financial liability to the Owners of the Certificates with respect to the payment of Lease Payments by the District or with respect to the performance by the District of the other agreements and covenants it is required to perform under the legal documents relating to the Certificates.

The members of the Board of Directors of the Corporation are members of the Board of Education of the District. As of the date of this Official Statement, the officers of the Corporation include:

Jackie Goldberg, President
Scott Schmerelson, Vice President
David D. Hart, Treasurer
Joy Mayor, Secretary

ABSENCE OF MATERIAL LITIGATION

There is no litigation pending against the District or the Corporation or, to the knowledge of its respective executive officers, threatened, (i) which affects or seeks to prohibit, restrain or enjoin the execution or delivery of the Certificates, the Lease Agreement, the Site Lease, the Trust Agreement, the Assignment Agreement or the Continuing Disclosure Certificate, (ii) contesting the validity of the Lease Agreement, the Site Lease, the Trust Agreement, the Assignment Agreement or the Continuing Disclosure Certificate, the powers of the District or the Corporation to enter into or perform its obligations under the Lease Agreement, the Site Lease, the Trust Agreement or the Continuing Disclosure Certificate, or the existence or powers of the District, or (iii) which, if determined adversely to the District or the Corporation, would materially impair the District's ability to meet its obligations under the Lease Agreement or materially and adversely affect the District's financial condition. There are a number of lawsuits and claims pending against the District. In the opinion of the District, the aggregate amount of the uninsured liabilities of the District under these lawsuits and claims will not materially affect the finances of the District. See APPENDIX A – "DISTRICT FINANCIAL INFORMATION AND REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION – DISTRICT FINANCIAL INFORMATION – Risk Management and Litigation."

TAX MATTERS

Opinion of Special Counsel. In the opinion of Hawkins Delafield & Wood LLP, Special Counsel to the District ("Special Counsel"), under existing statutes and court decisions and assuming continuing compliance with certain tax covenants described herein, (i) interest evidenced by the Certificates is excluded from gross income for Federal income tax purposes pursuant to Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and (ii) interest evidenced by the Certificates is not treated as a preference item in calculating the alternative minimum tax under the Code, however for tax years beginning after December 31, 2022, interest evidenced by the Certificates is included in calculating the "adjusted financial statement income" of certain corporations that are subject to the alternative minimum tax under Section 55 of the Code. In rendering its opinion, Special Counsel has relied on certain representations, certifications of fact, and statements of reasonable expectations made by the District and others in connection with the Certificates, and Special Counsel has assumed compliance by the District with certain ongoing covenants to comply with applicable requirements of the Code to assure the exclusion of interest evidenced by the Certificates from gross income under Section 103 of the Code.

In addition, in the opinion of Special Counsel, under existing statutes, interest evidenced by the Certificates is exempt from personal income taxes imposed by the State of California.

Special Counsel expresses no opinion as to any other Federal, state or local tax consequences arising with respect to the Certificates, or the ownership or disposition thereof, except as stated above. Special Counsel renders its opinion under existing statutes and court decisions as of the issue date, and assumes no obligation to update, revise or supplement its opinion to reflect any action thereafter taken or not taken, any fact or circumstance that may thereafter come to its attention, any change in law or interpretation thereof that may thereafter occur, or for any other reason. Special Counsel expresses no opinion as to the consequence of any of the events described in the preceding sentence or the likelihood of their occurrence. In addition, Special Counsel expresses no opinion on the effect of any action taken or not taken in reliance upon an opinion of other counsel regarding Federal, state or local tax matters, including, without limitation, exclusion from gross income for Federal income tax purposes of interest evidenced by the Certificates.

Certain Ongoing Federal Tax Requirements and Covenants. The Code establishes certain ongoing requirements that must be met subsequent to the issuance and delivery of the Certificates in order

that interest evidenced by the Certificates be and remain excluded from gross income under Section 103 of the Code. These requirements include, but are not limited to, requirements relating to use and expenditure of gross proceeds of the Certificates, yield and other restrictions on investments of gross proceeds, and the arbitrage rebate requirement that certain excess earnings on gross proceeds be rebated to the Federal government. Noncompliance with such requirements may cause interest evidenced by the Certificates to become included in gross income for Federal income tax purposes retroactive to their issue date, irrespective of the date on which such noncompliance occurs or is discovered. The District has covenanted to comply with certain applicable requirements of the Code to assure the exclusion of interest evidenced by the Certificates from gross income under Section 103 of the Code.

Certain Collateral Federal Tax Consequences. The following is a brief discussion of certain collateral Federal income tax matters with respect to the Certificates. It does not purport to address all aspects of Federal taxation that may be relevant to a particular owner of a Certificate. Prospective investors, particularly those who may be subject to special rules, are advised to consult their own tax advisors regarding the Federal tax consequences of owning and disposing of the Certificates.

Prospective owners of the Certificates should be aware that the ownership of such obligations may result in collateral Federal income tax consequences to various categories of persons, such as corporations (including S corporations and foreign corporations), financial institutions, property and casualty and life insurance companies, individual recipients of Social Security and railroad retirement benefits, individuals otherwise eligible for the earned income tax credit, and taxpayers deemed to have incurred or continued indebtedness to purchase or carry obligations the interest evidenced by which is excluded from gross income for Federal income tax purposes. Interest evidenced by the Certificates may be taken into account in determining the tax liability of foreign corporations subject to the branch profits tax imposed by Section 884 of the Code.

Original Issue Discount. “Original issue discount” (“OID”) is the excess of the sum of all amounts payable at the stated maturity of a Certificate (excluding certain “qualified stated interest” that is unconditionally payable at least annually at prescribed rates) over the issue price of that maturity. In general, the “issue price” of a maturity (a certificate with the same maturity date, interest rate, and credit terms) means the first price at which at least 10 percent of such maturity was sold to the public, i.e., a purchaser who is not, directly or indirectly, a signatory to a written contract to participate in the initial sale of the Certificates. In general, the issue price for each maturity of Certificates is expected to be the initial public offering price set forth on the cover page of the Official Statement. Special Counsel further is of the opinion that, for any Certificates having OID (a “Discount Certificate”), OID that has accrued and is properly allocable to the owners of the Discount Certificates under Section 1288 of the Code is excludable from gross income for federal income tax purposes to the same extent as other interest evidenced by the Certificates.

In general, under Section 1288 of the Code, OID on a Discount Certificate accrues under a constant yield method, based on periodic compounding of interest over prescribed accrual periods using a compounding rate determined by reference to the yield on that Discount Certificate. An owner’s adjusted basis in a Discount Certificate is increased by accrued OID for purposes of determining gain or loss on sale, exchange, or other disposition of such Certificate. Accrued OID may be taken into account as an increase in the amount of tax-exempt income received or deemed to have been received for purposes of determining various other tax consequences of owning a Discount Certificate even though there will not be a corresponding cash payment.

Owners of Discount Certificates should consult their own tax advisors with respect to the treatment of original issue discount for federal income tax purposes, including various special rules relating thereto, and the state and local tax consequences of acquiring, holding, and disposing of Discount Certificates.

Certificate Premium. In general, if an owner acquires a Certificate for a purchase price (excluding accrued interest) or otherwise at a tax basis that reflects a premium over the sum of all amounts payable on the Certificate after the acquisition date (excluding certain “qualified stated interest” that is unconditionally payable at least annually at prescribed rates), that premium constitutes “bond premium” on that Certificate (a “Premium Certificate”). In general, under Section 171 of the Code, an owner of a Premium Certificate must amortize the certificate premium over the remaining term of the Premium Certificate, based on the owner’s yield over the remaining term of the Premium Certificate determined based on constant yield principles (in certain cases involving a Premium Certificate callable prior to its stated maturity date, the amortization period and yield may be required to be determined on the basis of an earlier call date that results in the lowest yield on such certificate). An owner of a Premium Certificate must amortize the certificate premium by offsetting the qualified stated interest allocable to each interest accrual period under the owner’s regular method of accounting against the certificate premium allocable to that period. In the case of a tax-exempt Premium Certificate, if the certificate premium allocable to an accrual period exceeds the qualified stated interest allocable to that accrual period, the excess is a nondeductible loss. Under certain circumstances, the owner of a Premium Certificate may realize a taxable gain upon disposition of the Premium Certificate even though it is sold or redeemed for an amount less than or equal to the owner’s original acquisition cost. Owners of any Premium Certificates should consult their own tax advisors regarding the treatment of bond premium for Federal income tax purposes, including various special rules relating thereto, and state and local tax consequences, in connection with the acquisition, ownership and amortization of bond premium on, sale, exchange, or other disposition of Premium Certificates.

Information Reporting and Backup Withholding. Information reporting requirements apply to interest paid on tax-exempt obligations, including the Certificates. In general, such requirements are satisfied if the interest recipient completes, and provides the payor with, a Form W-9, “Request for Taxpayer Identification Number and Certification,” or if the recipient is one of a limited class of exempt recipients. A recipient not otherwise exempt from information reporting who fails to satisfy the information reporting requirements will be subject to “backup withholding,” which means that the payor is required to deduct and withhold a tax from the interest payment, calculated in the manner set forth in the Code. For the foregoing purpose, a “payor” generally refers to the person or entity from whom a recipient receives its payments of interest or who collects such payments on behalf of the recipient.

If an owner purchasing a Certificate through a brokerage account has executed a Form W-9 in connection with the establishment of such account, as generally can be expected, no backup withholding should occur. In any event, backup withholding does not affect the excludability of the interest evidenced by the Certificates from gross income for Federal income tax purposes. Any amounts withheld pursuant to backup withholding would be allowed as a refund or a credit against the owner’s Federal income tax once the required information is furnished to the Internal Revenue Service.

Miscellaneous. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest evidenced by the Certificates under Federal or state law or otherwise prevent beneficial owners of the Certificates from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Certificates.

Prospective purchasers of the Certificates should consult their own tax advisors regarding the foregoing matters.

The proposed form of the opinion of Hawkins Delafield & Wood LLP relating to the Certificates is set forth in APPENDIX D — “FORM OF SPECIAL COUNSEL OPINION” hereto.

RATINGS

[] (“[]”) has assigned [a][an] [underlying and uninsured] rating of “[].” The rating agency may have obtained and considered information and material which has not been included in this Official Statement. Generally, rating agencies base their ratings on information and material so furnished and on investigations, studies and assumptions made by them (which may include information and material from the District which is not included in this Official Statement). The rating is not a recommendation to buy, sell or hold the Certificates. The rating reflects only the view of the rating agency and an explanation of the significance of its rating may be obtained from it. There is no assurance that a rating of a rating agency will be maintained for any given period of time or that such rating may not be revised downward or withdrawn entirely by the rating agency, if in its own judgment, circumstances warrant. Any such downward change in or withdrawal may have an adverse effect on the market price of the Certificates. Neither the Underwriters nor the District have undertaken any responsibility after the execution and delivery of the Certificates to assure the maintenance of the rating or to oppose any such revision or withdrawal.

[In addition, [] is expected to assign its insured rating of “[]” to the Certificates with the understanding that upon delivery of the Certificates, the Insurance Policy will be delivered by the Insurer. See also “CERTIFICATE INSURANCE” herein. Such rating is expected to be assigned solely as a result of the issuance of the Insurance Policy and would reflect only []’s view of the claims-paying ability and financial strength of the Insurer. Neither the Underwriters nor the District have made any independent investigation of the claims-paying ability of the Insurer and no representation is made that the insured rating of the Certificates based upon the purchase of the Insurance Policy will remain the same. The existence of the Insurance Policy will not, of itself, negatively affect the underlying ratings. However, any downward revision or withdrawal of any rating of the Insurer may have an adverse effect on the market price or marketability of the Certificates.]

CERTAIN LEGAL MATTERS

Hawkins Delafield & Wood LLP, Special Counsel to the District, will render its opinion with respect to the legality of the Lease Agreement and the Trust Agreement. The form of the legal opinion proposed to be delivered by Special Counsel is included as Appendix D to this Official Statement. Special Counsel, as such, undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Certain legal matters will be passed upon for the District by Orrick, Herrington & Sutcliffe LLP, as Disclosure Counsel to the District, for the Underwriters by [UW COUNSEL], and for the District and Corporation by General Counsel to the District.

Each of Special Counsel, Disclosure Counsel and Underwriters’ Counsel will receive compensation contingent upon the execution and delivery of the Certificates. From time to time, Special Counsel and Disclosure Counsel each may represent the Underwriters in matters unrelated to the District or the Certificates.

MUNICIPAL ADVISOR

Public Resources Advisory Group (the “Municipal Advisor”), has been engaged by the District to perform financial services in connection with the delivery of the Certificates and certain other financial matters. The Municipal Advisor is an independent advisory firm and is not engaged in the business of underwriting, trading or distributing municipal securities or other public securities. The Municipal Advisor is not contractually obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness or fairness of the information contained in this Official Statement.

UNDERWRITING

The Certificates are being purchased by [____], on behalf of a syndicate that also includes the other underwriters set forth on the cover hereof (collectively, the “Underwriters”). The Underwriters have agreed, subject to certain terms and conditions set forth in the Certificate Purchase Agreement, dated _____, 2023, by and between the Underwriters and the District, to purchase the Certificates at a purchase price of \$_____ (which represents the aggregate principal amount of the Certificates, [plus/less] \$_____ of original issue [premium/discount], and less \$_____ of Underwriters’ discount). The Underwriters will purchase all the Certificates if any are purchased.

The Certificates may be offered and sold to certain dealers (including dealers depositing said Certificates into investment trusts) and others at prices lower than the initial public offering price, and the public offering price may be changed from time to time by the Underwriters.

The Underwriters have provided the following paragraphs for inclusion in the section “UNDERWRITING.” No representation is made by the District as to the accuracy, completeness or adequacy of such information.

Certain of the Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their affiliates may have certain creditor and/or other rights against the District and its affiliates in connection with such activities. In the various course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the District (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the District. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

[UNDERWRITERS’ DISTRIBUTION LANGUAGE TO COME.]

MISCELLANEOUS

References are made herein to certain documents and reports which are brief summaries thereof which do not purport to be complete or definitive and reference is made to such documents and reports for full and complete statements of the contents thereof.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Certificates.

The District has duly authorized the execution and delivery of this Official Statement.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
Chief Business Officer

APPENDIX A**DISTRICT FINANCIAL INFORMATION AND
REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION**

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This Appendix A provides information concerning the operations and finances of the Los Angeles Unified School District (the “District”) and certain demographic information in the area covered by the District. The Bonds are general obligation bonds of the District, secured and payable from ad valorem property taxes assessed on taxable properties within the District and are not an obligation of the County (defined herein) or of the general fund of the District. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” in the forepart of this Official Statement. See also “GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS” herein for a description of certain terms and abbreviations used in this Appendix A.

DISTRICT GENERAL INFORMATION

District Boundaries

The District, encompassing approximately 710 square miles, is located in the western section of the County of Los Angeles (the “County”) in the State of California (the “State”). The District’s boundaries include virtually all of the City of Los Angeles (the “City”), all of the Cities of Cudahy, Gardena, Huntington Park, Lomita, Maywood, San Fernando, Vernon and West Hollywood, and portions of the Cities of Bell, Bell Gardens, Beverly Hills, Calabasas, Carson, Commerce, Culver City, Downey, Hawthorne, Inglewood, Long Beach, Lynwood, Montebello, Monterey Park, Rancho Palos Verdes, Rolling Hills Estates, Santa Clarita, Santa Monica, South Gate, and Torrance. In addition, the District provides services to several unincorporated areas of the County which include residential and industrial areas. The boundaries for the District are approximately 80% coterminous with the City, with the remaining 20% included in smaller neighboring cities and unincorporated County areas. The District was formed in 1854 as the Common Schools for the City and became a unified school district in 1960.

District Governance; Senior Management

District Board. The District is governed by a seven-member Board of Education (the “District Board”), each member of which is a voting member and elected by voters within such member’s designed district. The members of the District Board are elected to four-year terms in alternate slates of three and four, with elections held every two years. The members of the District Board along with their district and term are set forth below.

District	Member	Term Ending
5	Jackie Goldberg, President	December 16, 2024
3	Scott Schmerelson, Vice President	December 16, 2024
1	Dr. George J. McKenna III	December 16, 2024
2	Dr. Rocio Rivas	December 12, 2026
4	Nick Melvoin	December 12, 2026
6	Kelly Gonez	December 12, 2026
7	Tanya Ortiz Franklin	December 16, 2024

Superintendent. The chief executive officer of the District, appointed by the District Board to manage the day-to-day operations of the District, is the Superintendent of Schools (the “Superintendent”). The District Board appointed Alberto M. Carvalho to serve as the Superintendent effective February 2022.

Strategic Plan. On June 21, 2022, the District Board unanimously adopted a strategic plan for the next four years (the “2022-26 Strategic Plan”) that focuses on the goal of ensuring that all District students graduate “ready for the world” and prepared to thrive in college, career, and life. The 2022-26 Strategic Plan revolves around five pillars, each consisting of four priorities, that represent critical areas

the District will focus on: academic excellence, joy and wellness, engagement and collaboration, operational effectiveness and investing in staff.

Pursuant to the 2022-26 Strategic Plan, the first pillar of “Academic Excellence” prioritizes improving student outcomes through high-quality instruction, delivering enriching experiences to instill lifelong learning, eliminating opportunity gaps, and encouraging multiple paths for college and career readiness. The second pillar of “Joy and Wellness” prioritizes creating welcoming and inclusive learning environments, addressing student well-being through health, nutrition, and wellness services, cultivating strong social-emotional skills, and ensuring outstanding attendance to achieve consistent learning. The third pillar of “Engagement and Collaboration” prioritizes strengthening relationships between students, families, and schools, providing accessible information to the community, leading on local, state, and national levels, and honoring the perspectives of students. The fourth pillar of “Operational Effectiveness” prioritizes developing data-driven decision-making, modernizing facilities and technological infrastructure, sustainably implementing school and District budgets, and making the District a district of choice of families. The fifth pillar of “Investing in Staff” prioritizes recruiting and retaining a diverse workforce, providing rigorous and relevant professional learning, cultivating staff wellness, and maintaining consistent and high performance standards.

The District developed an Implementation Guide for the 2022-26 Strategic Plan with actions and practices for practitioners to implement in schools and classrooms. Pursuant to the 2022-26 Strategic Plan, the District intends to, among other endeavors, ensure processes and systems are in alignment by reviewing budgets, updating reporting structures, offering professional development for school and central office staff, and providing additional support for aligning school-level plans to the 2022-26 Strategic Plan. Furthermore, to ensure the 2022-26 Strategic Plan remains on track, the District is regularly engaging with the community to solicit feedback on its actions and expenditures, and has established districtwide systems to monitor progress of ongoing implementation, as well progress toward achieving its targets for success – at both the central-office and school-site levels.

Local Districts. In addition to the Superintendent of the District, the District organizes its schools into four (formerly six) geographically-based regions (each, a “Local District”). Each Local District has a separate superintendent to oversee the schools in the related area of the District. The current Local District Superintendents are Dr. David Baca (North), Andre Spicer (South), José P. Huerta (East), and Dr. Denise Collier (West).

Biographies. Brief biographical information for Superintendent Alberto M. Carvalho and other senior management of the District is set forth below.

Alberto M. Carvalho, Superintendent. Alberto M. Carvalho has served as Superintendent of the District, the nation’s second-largest school district, since February 2022. He was selected by the District Board in a unanimous vote following a comprehensive community engagement process and a nationwide search.

During his 14-year tenure as Superintendent of Miami-Dade County Public Schools (“M-DCPS”), Superintendent Carvalho garnered local, state, national and international recognition. His honors include Florida’s 2014 Superintendent of the Year; the 2014 National Superintendent of the Year; the 2016 winner of the Harold W. McGraw Prize in Education; the 2018 National Urban Superintendent of the Year; the 2019 National Association for Bilingual Education (NABE) Superintendent of the Year Award; making him the most accomplished Superintendent in America’s history.

Superintendent Carvalho currently serves on the National Assessment Governing Board, appointed by the U.S. Secretary of Education. He also serves as a committee member for the National

Academies of Science, Engineering, and Medicine and as an Advisory Committee Member to the Harvard Program on Education Policy and Governance. Superintendent Carvalho is a dedicated member of the National Board of Directors for Common Threads and the Posse Foundation.

Under his tenure, M-DCPS became one of the nation's highest-performing urban school systems, receiving systemwide accreditation from AdvancEd in 2014. M-DCPS was named as the 2014 College Board Advanced Placement Equity and Excellence District of the Year and the 2012 winner of the Broad Prize for Urban Education. He is now seeking to elevate the District to the premier spot in American urban education.

Superintendent Carvalho has been awarded many honorary degrees. He has been honored by the President of Portugal with the "Ordem de Mérito Civil," by Mexico with the "Ohtli Award" and was awarded the Official Cross of the Orden de Isabel la Católica (Order of Isabella the Catholic) on behalf of King Felipe VI of Spain.

Jaime G. Torrens, Senior Advisor to the Superintendent. Mr. Torrens, Senior Advisor to the Superintendent of the District, is responsible for assisting and supporting the Superintendent in the overall operation of the second largest school district in the nation.

Mr. Torrens previously served as Deputy Superintendent and Chief of Staff for M-DCPS where he oversaw a broad portfolio of functional areas. Among other duties, he led the M-DCPS' response and recovery related to COVID-19 (as defined herein).

As Chief Facilities Officer for over 12 years he was responsible for all aspects of facilities planning, construction, maintenance, operations and inspections at the fourth largest school system in the nation. As a member of the Superintendent's Cabinet, he directed a staff of 1,000 professional and technical personnel responsible for all aspects of 3,100 buildings comprising 45 million square feet on over 400 school campuses and ancillary facilities.

Mr. Torrens also led the implementation of M-DCPS' \$1.2 billion General Obligation Bond program approved by voters in 2012 to renovate, construct and modernize school facilities throughout Miami-Dade County. This extensive capital improvement program included instructional technology upgrades at every school to provide equity throughout all campuses. Concurrently, he helped launch a comprehensive business development program which drastically expanded participation of small, minority and women-owned businesses that had been historically underrepresented in the construction industry.

Mr. Torrens served M-DCPS in various positions of increasing responsibility related to facilities management and district/emergency operations. He led M-DCPS' infusion of sustainability principles into design criteria and specifications for capital projects, implemented the Guaranteed Energy Performance Contracting Program and opened the first Gold Certified comprehensive high school under the LEED for Schools Program.

Mr. Torrens holds a Master of Science in Management Information Systems and a Bachelor of Science in Electrical Engineering from Florida International University, and he is a LEED Accredited Professional.

Mr. Pedro Salcido, Deputy Superintendent of Business Services and Operations. Since joining the District in 2012, Pedro Salcido has served in a variety of roles. Appointed in November 2022, he is currently the Deputy Superintendent of Business Services and Operations overseeing the critical work and divisions that enable the District to run, including school operations, food services, transportation,

finance, information technology, facilities, medical services, and procurement. Current strategic initiatives under his purview include closing the digital divide, school bus electrification and systems modernization, healthier and more appealing school meals, wireless network modernization, school building modernization projects, and zero-based budgeting.

Prior to becoming Deputy Superintendent of Business Services and Operations, Mr. Salcido served as the Chief of Staff, managing all District academic and nonacademic operations and activities, while also serving as the Superintendent's principal liaison to the District Board. He oversaw the execution of all District policies and was instrumental in the development of Superintendent Carvalho's 100-Day Plan and Strategic Plan. Mr. Salcido has a demonstrated track record in expanding equitable programmatic and financial practices. Most notably, he served as the leading staff member who developed and implemented the District's Student Equity Needs Index (SENI), an equity-based funding allocation that today has grown to distribute nearly \$700 million to the neediest schools in the District.

Mr. Salcido also served as the District's Senior Executive Director of Finance and Policy, and the Director of Government Relations during which he managed state, federal and local advocacy efforts and supervised internal and external efforts related to finance, labor negotiations and general board policies. Moreover, for five years, he led the work on the initial development and implementation of the District's Local Control and Accountability Plan (LCAP), the result of which was the establishment of a system of common accountability and budget alignment with the LCAP Scorecard and broad community engagement efforts.

As a first-generation Mexican American son of immigrants and a first-generation high school and college graduate, Mr. Salcido often relies on his own lived experiences to connect with both the educational and personal experiences of the students we serve. He seeks to listen often to the perspectives of staff, students, and families to effectively contribute to the decisions that shape the daily experiences of Los Angeles students and families. Mr. Salcido holds a Masters in Public Administration from the University of Southern California and holds dual degrees in Politics and Latin American Studies from the University of California, Santa Cruz.

Devora Navera Reed, General Counsel. Devora Navera Reed serves as the General Counsel for the District. She has been serving the District since 2006 and previously held the position of Chief Education and Legal Services Counsel. Ms. Navera Reed oversaw legal issues and litigation in areas dealing with special education, school law and operations, charter schools, equity and access, and constitutional issues, to name a few. As General Counsel for the District, Ms. Navera Reed is responsible for administering and overseeing the legal activities of the District's legal staff and outside legal firms. In addition, she advises the District Board, Superintendent, and senior leadership related to matters of major importance to the District. Prior to joining the District in 2006, Ms. Navera Reed served as an attorney for the Children's Law Center of Los Angeles for nearly a decade, where she represented and advocated for children in dependency court and the foster care system. In addition to her legal responsibilities, Ms. Navera Reed serves as a board member of the California Minority Counsel Program promoting diversity, equity and inclusion in the legal field. Ms. Navera Reed earned a Bachelor of Arts from the University of Southern California in 1992 and a Juris Doctorate degree from the University of San Francisco School of Law in 1996.

David D. Hart, Chief Business Officer. Mr. Hart began serving as the District's Chief Business Officer in January 2020. Before coming to the District, Mr. Hart served as the Chief Financial Officer of the Cherry Creek School District for approximately three years – the last 18 months of which he also served as Cherry Creek's Chief Operating Officer. Before joining Cherry Creek, Mr. Hart was a Director at The PFM Group for nearly two years and a Senior Vice President in Public Finance at D.A. Davidson & Co. for approximately a year. Prior to that time, Mr. Hart served as the Chief Financial Officer for

Denver Public Schools for four years and as Chief Financial Officer of the Douglas County School District for three years. He has also served as Manager of Revenue for the City and County of Denver, as Treasurer for the City and County of Denver and as Budget Director for the Douglas County School District. Mr. Hart attended the University of Colorado at Denver, where he received his Master of Public Administration: Policy Analysis and Evaluation.

V. Luis Buendia, Deputy Chief Business Officer – Finance. As of April 8, 2020, Mr. Buendia was appointed the Deputy Chief Business Officer – Finance of the District. Prior to such appointment, Mr. Buendia served briefly as the Interim Chief Business Officer and as the District’s Controller since February 2012. He has been employed by the District since 1989 in various capacities in both School Fiscal Services and Finance. Mr. Buendia served as Assistant Budget Director of Budget Services and Financial Planning from 2002 through 2008 and as Deputy Controller from 2008 through February 2012. Mr. Buendia graduated from De La Salle University, with a Bachelor of Science degree in Accounting, and received a Master of Business Administration degree from the Graziadio School of Business and Management at Pepperdine University. Mr. Buendia is a member of the Government Finance Officers Association.

Joy Mayor, Controller. As of April 29, 2021, Ms. Mayor was appointed the Controller of the District. Prior to such promotion, Ms. Mayor served as a Deputy Controller of the District since June 2016. She joined the District in January 2012 as Director of Accounting and served in that capacity until May 2016. Prior to joining the District, Ms. Mayor was a Senior Audit Manager at KPMG LLP. Ms. Mayor graduated from Bicol University with a Bachelor of Science degree in Accountancy and is a licensed Certified Public Accountant. She is a member of the Government Finance Officers Association.

Timothy S. Rosnick, Deputy Controller. Mr. Rosnick joined the District in October 2006 and served as the District’s Director of Accounting Controls from October 2006 through June 2007 and the Director of Treasury and Accounting Controls from July 2007 through June 2008. Mr. Rosnick served as the District’s Controller beginning in June 2008 and became Deputy Controller in June 2011. Prior to joining the District, Mr. Rosnick served as an Administrator at the Orange County Department of Education and as a Financial Officer with LACOE. Mr. Rosnick graduated from the University of Washington with a Bachelor of Arts degree with Distinction in Economics and received a Master of Business Administration degree from the University of Texas at Austin. Mr. Rosnick is a member of the Government Finance Officers Association and the CFA Institute.

School Facilities

The District is the second largest public school district in the United States and is the largest public school district in the State. As reflected in the District’s Audited Annual Financial Report for fiscal year 2021-22, the District operated 1,224 schools and centers, which consisted of 436 elementary schools, 78 middle/junior high schools, 87 senior high schools, 53 options schools, 255 magnet centers, 66 magnet schools, 28 multi-level schools, 13 special education schools, 1 community adult school, 7 regional occupational centers, 2 skills centers, 87 early education centers, 4 infant centers, 18 primary school centers, and 89 California State preschools. As reflected in the District’s Audited Annual Financial Report for fiscal year 2021-22, 51 of the District’s schools were operated as locally-funded affiliated charter schools (“Affiliated Charter Schools”). In addition, as reflected in the District’s Audited Annual Financial Report for fiscal year 2021-22, the District oversaw 227 fiscally independent charter schools (“Fiscally Independent Charter Schools”) within the District’s boundaries. See “STATE FUNDING OF SCHOOL DISTRICTS – Charter School Funding.”

Enrollment and Average Daily Attendance

[TO BE UPDATED FOLLOWING NORM DAY IN SEPT 2023] [As of September [], 2023, the transitional kindergarten (“TK”) through 12th grade enrollment in the District for fiscal year 2023-24 was approximately [] students, including those attending magnet, opportunity, and continuation schools and centers, Affiliated Charter Schools, and schools for the handicapped. Such enrollment represents an increase of [] students or approximately []% from the budgeted TK-12 enrollment in the District at the time of preparation of the District’s original adopted budget for fiscal year 2023-24 (the “Fiscal Year 2023-24 Budget”). Such enrollment does not include students attending Fiscally Independent Charter Schools that was budgeted at [] students at the time of preparation of the Fiscal Year 2023-24 Budget. Based on enrollment projections at the time of preparation of the Fiscal Year 2023-24 Budget, the District was projecting enrollment to decline by []% each year through fiscal year []. Comparisons of enrollment from September 23, 2022 to September [], 2023, show that the enrollment decline between such dates was roughly []%, which is an improvement from the District’s projections for fiscal year 2023-24 at the time of preparation of the Fiscal Year 2023-24 Budget. While the District expects enrollment to continue to decline, the District’s projected enrollment declines are subject to change as conditions change and more data becomes available throughout the fiscal year. The District attributes declining enrollment to, among other things, the reduced birth rate in the County, increased costs of living and housing costs in southern California, increased numbers of school-age students in the District’s boundaries attending Fiscally Independent Charter Schools rather than District schools, and residual impacts of the Coronavirus Disease 2019 (“COVID-19”) pandemic. To improve student enrollment, the District’s Strategic Enrollment & Program Planning Office is mobilizing data and resources to coordinate District-wide enrollment efforts, expanding outreach to communities and families, and improving the articulation of school pathways and programs.]

[TO BE UPDATED FOLLOWING DISTRICT BUDGET] [As a result of declining enrollment in District schools, the District’s annual average daily attendance (“ADA”) declined in recent years and is expected to further decline in fiscal years 2023-24 and 2024-25 based on projections contained in the Fiscal Year 2023-24 Budget.] To ensure funding stability regardless of instructional model in light of the COVID-19 pandemic, the State budget for fiscal year 2020-21 included a hold-harmless provision for the purpose of calculating apportionments in fiscal year 2020-21, and it provided that average daily attendance for fiscal year 2020-21 is based on fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020). Although the State budget for fiscal year 2021-22 did not include an extension of the ADA hold-harmless provision in fiscal year 2021-22, school districts with enrollment declines in fiscal year 2021-22, like the District, retained the ability to receive their apportionment based on the higher of their fiscal year 2019-20 or fiscal year 2020-21 ADA as provided under the Local Control Funding Formula (the “LCFF”). See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula.” In light of pervasive declining enrollment throughout nearly all school districts in the State, the Governor’s State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA to allow school districts more time to adjust to enrollment-related LCFF funding declines. For purposes of fiscal year 2021-22, if a school district can demonstrate it provided independent study offerings to students in fiscal year 2021-22, such school district may consider the greater of its fiscal year 2021-22 ADA or its fiscal year 2021-22 enrollment adjusted for pre-COVID-19 absence rates. Such adjustment is applicable to fiscal year 2021-22 for purposes of calculating a school district’s prior year ADA or the average of three prior years’ ADA in fiscal year 2022-23 and future fiscal years in accordance with the amendments made in connection with the Governor’s State budget for fiscal year 2022-23. The following Table A-1 sets forth the District’s actual and funded ADA for fiscal years 2012-13 through 2023-24. As reflected in Table A-1, the District’s funded ADA for fiscal years 2012-13 through 2023-24 was based largely on actual prior year ADA for the second period of attendance (“P-2”) for traditional TK-12 students, but current year P-2

ADA for students attending Affiliated Charter Schools. [For fiscal years 2022-23 and 2023-24, the District's funded ADA was based largely on the average of three prior fiscal years' P-2 ADA for traditional TK-12 students, as adjusted in accordance with the COVID-19 ADA relief measures, but current year P-2 ADA for students attending Affiliated Charter Schools.]

TABLE A-1
LOS ANGELES UNIFIED SCHOOL DISTRICT
Average Daily Attendance
Fiscal Years 2011-12 through 2023-24⁽¹⁾

Fiscal Year	Actual ADA			Funded ADA
	TK-12 ⁽²⁾	Affiliated Charter Schools ⁽³⁾	Total	Total
2012-13	505,513	28,832	534,345	546,631 ⁽⁷⁾
2013-14	488,362	39,633	527,995	532,838 ⁽⁷⁾
2014-15	476,285	39,944	516,229	524,591 ⁽⁷⁾
2015-16	463,735	39,632	503,367	512,625 ⁽⁷⁾
2016-17	450,713	41,143	491,856	500,648 ⁽⁷⁾
2017-18	438,359	40,232	478,591	483,710 ⁽⁷⁾
2018-19	415,100	38,910	454,010	470,127 ⁽⁷⁾
2019-20 ⁽⁴⁾	413,968	40,940	454,905	454,792 ⁽⁷⁾
2020-21 ⁽⁵⁾	N/A	N/A	N/A	455,356 ⁽⁷⁾
2021-22	345,660	35,049	380,709	[449,912] ⁽⁷⁾
2022-23	[]	[]	[]	[] ⁽⁸⁾
2023-24 ⁽⁶⁾	[]	[]	[]	[] ⁽⁸⁾

(1) Data may differ from other District disclosures because adjustments were made in certain fiscal years due to additional attendance for non-public students, corrected attendance reports for District students, and/or audit findings.

(2) Includes non-public school special education students and District students attending schools operated by the County. Beginning in fiscal year 2012-13, includes TK students.

(3) Includes charter schools that are fiscally-affiliated with the District which were funded with block grants until fiscal year 2012-13. Beginning fiscal year 2013-14, such charter schools are funded by the LCFF.

(4) Condensed reporting period. Does not reflect actual student attendance after February 29, 2020 due to the COVID-19 pandemic.

(5) Attendance reporting not required for fiscal year 2020-21. The fiscal year 2020-21 State budget included a hold harmless provision for the purpose of calculating apportionments under LCFF in fiscal year 2020-21, providing that ADA for fiscal year 2020-21 was based on ADA for fiscal year 2019-20 (specifically, the period July 1, 2019 through February 29, 2020), as discussed in more detail above.

(6) Projected and funded ADA, as reflected in Fiscal Year 2023-24 Budget. **[TO BE UPDATED IF REFINED IN REVISIONS TO BUDGET]**

(7) Funded ADA is based largely on actual prior year P-2 ADA for TK-12 and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table.

(8) Funded ADA is based largely on the average of three prior fiscal years' P-2 ADA for TK-12, as adjusted in accordance with the COVID-19 ADA relief measures, and current year P-2 ADA for Affiliated Charter Schools. For more information, see the discussion of ADA funding in the paragraph immediately preceding this table [and "DISTRICT FINANCIAL INFORMATION – District Budget – Revisions to Fiscal Year 2023-24 Budget."]

Sources: Los Angeles Unified School District Audited Annual Financial Report for fiscal year 2021-22 (actual ADA for fiscal years 2012-13 through 2021-22); unaudited actuals reports for fiscal years 2012-13 through 2022-23 (funded ADA for fiscal years 2012-13 through 2022-23; actual ADA for fiscal year 2022-23); Fiscal Year 2023-24 Budget (projected and funded ADA for fiscal year 2023-24).

Cybersecurity

[TO BE UPDATED PRIOR TO POS POSTING] [The District collects, processes, and distributes protected and personal information on students, staff, parents, and contractors. The size of the District's information assets creates a target-rich environment for a variety of threats such as cyber criminals and natural disasters. In 2019, the District experienced a cyberattack that resulted in unauthorized access to a limited number of student records; the software vulnerability was resolved the same day it was discovered. In March 2020, in response to the COVID-19 pandemic, the District rapidly implemented new remote learning and remote working capabilities, which increased the District's cyberattack surface area. The District implemented additional layers of technical and administrative controls to mitigate remote access risks. In August 2022, a Data Center power outage triggered by a failed electrical transformer owned by Los Angeles Department of Water and Power, resulted in temporary unavailability of some information systems. The District mitigated the risk by increasing electrical line and backup power capacity and successfully performing functional load tests.

On September 3, 2022, the District became aware of a cyberattack on its information technology assets and proactively suspended network traffic in and out of its data centers. In response to such incident, the District swiftly activated its incident response protocol and commenced an investigation with support from Kroll, LLC, an outside cybersecurity firm, to assist with containment, remediation, and forensic analysis. The Microsoft Detection and Response Team is also assisting with the forensic investigation. The District also notified local and federal law enforcement agencies and continues to support their ongoing investigations. The District has identified, contained, and remediated the ransomware, and it has not found evidence of additional malware related to the cyberattack or any other persistent malicious activity on its network or systems.

The District's investigation of the incident determined that on or about July 31, 2022, the threat actor first accessed the District's environment remotely using a contractor account to gain unauthorized access to systems. The District did not pay a ransom to the threat actor in connection with the incident. The threat actor posted approximately 500 gigabytes of data it stole from the District to its "leak site" on the dark web. To date, it appears that most of the files exfiltrated by the threat actor were located on the District's facilities servers and systems, but analysis is ongoing to identify additional files or data sources that were impacted. The District is currently reviewing the files that were potentially accessed and/or exfiltrated by the threat actor from the District's environment and plans to provide notices (and other services) as required.

As a result of the incident, the District initially restricted access to its servers and systems, including access to user accounts, email, and software applications. Many operations and processes that were automated or facilitated by technology had to be completed manually, and some still remain manual at this time. Nonetheless, school sites remained operational. Most servers and systems were gradually restored within days as they were determined to be safe, with the District's most critical systems being restored first. The District restored certain impacted systems from backups and continues to work to rebuild others. While the District maintains cyber liability insurance, the costs relating to the incident may exceed applicable coverage limits, though the District cannot currently predict by how much. Further, the District is planning to implement various security enhancements in light of the incident, but the District cannot currently predict the total cost of such enhancements. The District has received at least one recently filed claim relating to the incident on behalf of an identified parent of two District students and purportedly on behalf of an unidentified class of others impacted; given that such claim was recently filed, the District cannot predict the outcome or any potential financial impact that may result from such claim. Further, the District cannot predict whether any other claims or litigation will be filed or estimate any potential financial impact that may result. The District is exploring potential State and federal assistance for the costs associated with the incident.

The District has implemented several protective measures with respect to access requirements to its systems to reduce the likelihood of a similar incident from occurring in the future. The District has also established an Independent Information Technology Task Force comprised of cybersecurity experts from private and public sectors to develop a set of recommendations to further strengthen the District's cybersecurity.

To minimize the impact and frequency of cybersecurity incidents, the District previously hired a Director of Information Technology Security in 2016 to develop and implement a risk-based information security management program ("ISMP"). The ISMP is designed to protect the confidentiality, integrity, and availability of information assets managed by the District's Information Technology Division and comply with all applicable information protection regulations including the Family Educational Rights and Privacy Act, Children's Internet Protection Act, and the Health Care Insurance Portability and Accountability Act. The ISMP includes a number of technical, administrative, and physical security safeguards that take into account the District's unique threats and vulnerabilities. Safeguards include, but are not limited to, policies that require employees, students, and parents to acknowledge their obligation to protect District information, cybersecurity training for employees, next generation network security technologies, access control systems, and cyber liability insurance. The District and its third-party IT vendors are required to carry cyber liability insurance to offset the cost of business disruptions caused by cybersecurity incidents.

No assurance can be made in any networked environment that a future cyberattack or natural disaster would not compromise the confidentiality, integrity or availability of District information assets. The only viable mitigation of cybersecurity risks is a layered defense strategy. The District implements layered defenses as a principal driver of its information security program and continuously monitors the effectiveness of the program to proactively modify it when the cyberattack landscape changes.]

STATE FUNDING OF SCHOOL DISTRICTS

General

School districts in the State receive operating revenues from federal, State and local sources, including appropriations from the State's general fund and local property taxes derived from a school district's share of the 1% *ad valorem* property tax. School districts also currently receive revenues from the State attributable to temporary tax increases implemented by Proposition 30 (defined herein). In connection with voter approval of Proposition 55 (defined herein), certain of such temporary tax increases were extended by twelve years through 2030. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 30" herein. School districts, such as the District, may be eligible for other special categorical funding, including funding for certain State and federal programs. The amount of categorical funding appropriated to a school district may vary significantly from other school districts and yearly. Currently, the District budgets to receive approximately []% of District General Fund revenues from funds of or controlled by the State. As a result, decreases in State revenues, or in State legislative appropriations made to fund education, may significantly affect District operations. For more information regarding the District's funding for fiscal year 2023-24, see "– State Budget Act – 2023-24 State Budget," "– Local Control Funding Formula" and "DISTRICT FINANCIAL INFORMATION – District Budget" herein.

Article XVI of the State Constitution requires that from all State revenues, there first be set apart the moneys to be applied by the State for support of the public school system and public institutions of higher education. See "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND

APPROPRIATIONS – Constitutionally Required Funding of Education” herein. The State Legislature and the Governor approve the State’s authorized appropriations for school districts each fiscal year in connection with the adoption of the State Budget Act (defined herein). Proposition 98 (“Proposition 98”), approved in November 1988 as a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act,” provides the minimum funding formula for school districts. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 98” herein. Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), there are currently three tests which determine the minimum level of K-14 funding. See “CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS” and “STATE FUNDING OF SCHOOL DISTRICTS– Local Control Funding Formula” herein. Proposition 98 permits the State Legislature, by two-thirds vote of both houses and with the Governor’s concurrence, to suspend the K-14 schools’ minimum funding formula for a one-year period. The amount of suspension is required to be repaid according to a specified State Constitutional formula, thereby restoring Proposition 98 funding to the level that would have been required in the absence of such suspension.

The actual appropriations and the timing of such appropriations are subject to, among other things, the estimated amount of State general fund revenues during the fiscal year and subsequent changes in State law. At times since the implementation of Proposition 98, the State has also sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years’ Proposition 98 minimum funding levels rather than current year increases; by deferring apportionments of Proposition 98 funds from one fiscal year to the next, as the State did in fiscal years 2019-20 and 2020-21; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution’s definition of the guaranteed amount and settle-up requirement under certain circumstances. For more information on the Proposition 98 minimum guarantee under the 2023-24 State Budget, see “– State Budget Act – 2023-24 State Budget” herein.

Since fiscal year 2013-14, the amount of funds an individual school district receives from State revenues depends on the amount of revenues the State calculates that the school district should receive based on the LCFF, less the amount the school district derives from such school district’s share of the 1% *ad valorem* property tax. See “– Local Control Funding Formula” and “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Constitutionally Required Funding of Education” herein.

The State Budget Process

The State’s fiscal year begins on July 1 and ends on June 30. According to the State Constitution, the Governor of the State (the “Governor”) is required to propose a budget for the next fiscal year (the “Governor’s Budget”) to the State Legislature no later than January 10 of each year. State law requires the Governor to update the Governor’s Budget projections and budgetary proposals by May 14 of each year (the “May Revision”). Proposition 25, which was adopted by voters in the State at an election held on November 2, 2010, amended the State Constitution such that a final budget must be adopted by a simple majority vote of each house of the State Legislature by no later than June 15 and the Governor must sign the adopted budget by no later than June 30. The budget becomes law upon the signature of the Governor (the “State Budget Act”).

Under State law, the annual proposed Governor's Budget cannot provide for projected expenditures in excess of projected revenues and balances available from prior fiscal years. Following the submission of the Governor's Budget, the State Legislature takes up the proposal. Under the State Constitution, money may be drawn from the State Treasury only through an appropriation made by law. The primary source of the annual expenditure authorizations is the State Budget Act, as approved by the State Legislature and signed by the Governor. The Governor may reduce or eliminate specific line items in the State Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature. Appropriations also may be included in legislation other than the State Budget Act. Bills containing appropriations (except for K-14 education) must be approved by a two-thirds majority vote in each House of the State Legislature and be signed by the Governor. Bills containing K-14 education appropriations require only a simple majority vote. Continuing appropriations, available without regard to fiscal year, may also be provided by statute or the State Constitution. Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt. However, delays in the adoption of a final State budget in any fiscal year may affect payments of State funds during such budget impasse. See "– State Funding of Schools Without a State Budget" herein for a description of payments of appropriations during a budget impasse.

The description above and below of the State's budget has been obtained from publicly available information which the District believes to be reliable; however, the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not guarantee the accuracy or completeness of this information and have not independently verified such information. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov. The website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

State Budget Act

2023-24 State Budget. [TO COME]

Future Budgets and Budgetary Actions. The District cannot predict what future actions will be taken by the State Legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors beyond the District's ability to predict or control. Certain actions could result in a significant shortfall of revenue and cash and could impair the State's ability to fund schools during fiscal year 2023-24 and in future fiscal years. Certain factors, like an economic recession, could result in State budget shortfalls in any fiscal year and could have a material adverse financial impact on the District. As the Bonds are payable from *ad valorem* property taxes, the 2023-24 State Budget is not expected to have a material impact on the payment of the Bonds.

Additional Information. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of the State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." Various analyses of the budget may be found at the website of the LAO at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found via the website of the State Treasurer, www.treasurer.ca.gov. The information presented in these websites is not incorporated by reference in this Official Statement.

State Funding of Schools Without a State Budget

Although the State Constitution requires that the State Legislature adopt a budget for the State by June 15 of the prior fiscal year and that the Governor sign a budget by June 30, this deadline has been missed from time to time. Delays in the adoption of a Budget Act in any fiscal year could impact the receipt of State funding by the District. On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State of California), et al. (also referred to as *White v. Davis*) (“Connell”). The California Court of Appeal concluded that, absent an emergency appropriation, the State Controller may authorize the payment of State funds during a budget impasse only when payment is either (i) authorized by a “continuing appropriation” enacted by the State Legislature, (ii) authorized by a self-executing provision of the State Constitution, or (iii) mandated by federal law. The Court of Appeal specifically concluded that the provisions of Article XVI, Section 8 of the State Constitution—the provision establishing minimum funding of K-14 education enacted as part of Proposition 98—did not constitute a self-executing authorization to disburse funds, stating that such provisions merely provide formulas for determining the minimum funding to be appropriated every budget year but do not appropriate funds. Nevertheless, the State Controller has concluded that the provisions of the State Education Code establishing K-12 and county office of education revenue limit funding (the predecessor to the LCFF) do constitute continuing appropriations enacted by the State Legislature and, therefore, has indicated that State payments of such amounts would continue during a budget impasse. The State Controller, however, has concluded that K-12 categorical programs are not authorized pursuant to a continuing appropriation enacted by the State Legislature and, therefore, cannot be paid during a budget impasse. To the extent the Connell decision applies to State payments reflected in the District’s budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of some payments to the District while such required legislative action is delayed, unless the payments are self-executing authorizations, continuing appropriations or are subject to a federal mandate. However, the District does not expect any delays in payments from the State to adversely affect its ability to pay the principal of and interest on the Bonds described in the forepart of this Official Statement, which are payable from voter-approved *ad valorem* property taxes.

Local Control Funding Formula

General. Funding for school districts, charter schools and county offices of education in connection with the LCFF includes State apportionments for general operating costs (“State Aid”) and funding for categorical programs. During fiscal year 2022-23, approximately [_____] % of the District’s General Fund revenues were pursuant to the LCFF. During fiscal year 2023-24, the District budgets that approximately [_____] % of the District’s General Fund revenues will consist of funds determined under the LCFF. [For fiscal years 2020-21 through [2023-24], LCFF revenues comprise a lower percentage of the District’s total General Fund revenues as a result of increases in one-time federal funding for COVID-19 relief.] The following Table A-2 sets forth the percentage of the District’s General Fund revenues that are derived from revenues under the LCFF, federal revenues, other State revenues and other local revenues for fiscal years 2019-20 through 2023-24.

TABLE A-2

LOS ANGELES UNIFIED SCHOOL DISTRICT
General Fund Revenue Sources
Percentage of Total District General Fund Revenues⁽¹⁾
Fiscal Years 2019-20 through 2023-24

Revenue Source	Fiscal Year 2019-20	Fiscal Year 2020-21	Fiscal Year 2021-22	Fiscal Year 2022-23⁽²⁾	Fiscal Year 2023-24⁽³⁾
LCFF	74.47%	64.68%	62.42%	[]%	[]%
Federal Revenues	8.31	19.15	19.13	[]	[]
Other State Revenues	14.98	13.99	18.08	[]	[]
Other Local Revenues	2.24	2.18	0.37	[]	[]

⁽¹⁾ Sum of percentages may not equal 100% due to rounding.

⁽²⁾ Unaudited.

⁽³⁾ Budgeted. For more information regarding State funding during fiscal year 2023-24, see “ – State Budget Act – 2023-24 State Budget” and “DISTRICT FINANCIAL INFORMATION – District Budget.”

Sources: Audited Annual Financial Report for fiscal years 2018-19 through 2020-21; Fiscal Year 2022-23 Unaudited Actuals (defined herein); Fiscal Year 2023-24 Budget.

The LCFF allocates State funding based on a school district’s demographics. Each school district receives a base grant (the “Base Grant”) per ADA in an amount determined by the State. As discussed above, the Governor’s State budget for fiscal year 2022-23 revised the LCFF calculation beginning with fiscal year 2022-23 to consider the greater of a school district’s current fiscal year, prior fiscal year, or the average of three prior fiscal years’ ADA. See “DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance.” Pursuant to the LCFF, each local education agency (“LEA”) is required to, among other things, show progress toward an average class enrollment of no more than 24 pupils in kindergarten through grade 3, unless the LEA has entered into a collective bargaining agreement specifying an annual alternative average class enrollment in those grades for each school. Accordingly, the LCFF includes an adjustment to the Base Grant for kindergarten through grade 3 (the “K-3 Grade Span Adjustment”) of approximately 10.4% in order to cover the costs associated with class size reduction. In addition, the LCFF includes an adjustment to the Base Grant for grades 9 through 12 of approximately 2.6% in order to cover the costs of, among other things, providing career technical education.

Based on the ADA of the given demographic classification, school districts are eligible to receive a 20% supplemental grant (the “Supplemental Grant”) for students classified as English learners (“EL”), students eligible to receive a free or reduced price meal (“FRPM”), and students classified as foster youth (“LI”). The State expects the Supplemental Grants to reflect the additional costs associated with the education of EL, FRPM and LI students. In addition, school districts are eligible to receive a concentration grant (the “Concentration Grant”) if the school district has a significant concentration of students classified as EL, FRPM or LI (collectively, “Unduplicated Pupils”). The LCFF uses an unduplicated student count to determine the amount of the Supplemental Grant and Concentration Grant authorized for a school district. A school district may only count a student one time if such student is classified in more than one of the EL, FRPM and LI categories. In the event the percentage of Unduplicated Pupils exceeds 55% of a school district’s total enrollment, the LCFF provides additional funding to the school district through a Concentration Grant. The Concentration Grant will be an amount equal to an additional 65% of the school district’s adjusted Base Grant, which includes the cost of living adjustment and grade span adjustments, if any, for each Unduplicated Pupil above the 55% threshold.

The Base Grants are based on four uniform, grade-span base rates. For fiscal year 2023-24, the LCFF provided to school districts and charter schools: (a) a Base Grant for each LEA equivalent to \$[] per ADA for kindergarten through grade 3; (b) a Base Grant for each LEA equivalent to \$[] per ADA for grades 4 through 6; (c) a Base Grant for each LEA equivalent to \$[] per ADA for grades 7 and 8; (d) a Base Grant for each LEA equivalent to \$[] per ADA for grades 9 through 12. The Base Grant amount for fiscal year 2023-24 includes a cost-of-living adjustment of []%. The amount of actual funding allocated to the Base Grant, Supplemental Grants and Concentration Grants is subject to the discretion of the State.

Since the full implementation of the LCFF in fiscal year 2018-19, there is no longer a gap between a school district's prior year funding and the target amount of funding under the LCFF for the current year. Further, there is no longer a difference between the District's target entitlement under the LCFF – the amount available once the LCFF is fully funded – and the District's transition entitlement. In fiscal year 2018-19, the District reached its target entitlement for the District and the Affiliated Charter Schools, such that there is no transition entitlement for the District and the Affiliated Charter Schools. Accordingly, the District's historically significant increases in LCFF funding from year to year are not reflective of the District's current and expected LCFF funding since the LCFF is fully funded.

The difference between the amount a school district or charter school would have received under the old funding system and the estimated amount it would receive for LCFF funding at full implementation, based on certain criteria is referred to as the "Economic Recovery Target." Only school districts and charter schools that were at, or below, the 90th percentile of per-pupil funding rates of school districts under the pre-fiscal year 2013-14 funding system, as determined at the certification of the State's second principal apportionment in fiscal year 2013-14, are eligible for Economic Recovery Target payments. Based on this criteria, the District is not entitled to receive Economic Recovery Target funding. However, certain of the District's Affiliated Charter Schools are entitled to the Economic Recovery Target funding and received approximately \$[] (unaudited), collectively, in fiscal year 2022-23, and budget to receive [approximately the same amount], collectively, in fiscal year 2023-24.

The District has the largest ADA in the State. See "DISTRICT GENERAL INFORMATION – Enrollment and Average Daily Attendance" herein. In addition, the District's ADA includes a significant number of students classified as Unduplicated Pupils. Accordingly, the District expects to receive more LCFF funding than other school districts in the State. The Fiscal Year 2023-24 Budget budgets that approximately []% of students attending non-charter schools of the District will be classified as Unduplicated Pupils under the LCFF during fiscal year 2023-24. The percentage of students classified as Unduplicated Pupils is based on a three-year rolling average. The District's calculation of ADA with respect to Unduplicated Pupils, which is used to determine Supplemental and Concentration Grant revenues, is subject to adjustment upon review thereof by the District's independent auditor.

The following Table A-3 sets forth the District's Base Grant per ADA for fiscal years 2014-15 through 2023-24 under the LCFF.

TABLE A-3
LOS ANGELES UNIFIED SCHOOL DISTRICT
Adjusted Base Grant Per Average Daily Attendance
Fiscal Years 2014-15 through 2023-24

<u>Fiscal Year</u>	<u>Grades K-3</u>	<u>Grades 4-6</u>	<u>Grades 7-8</u>	<u>Grades 9-12</u>
2014-15	\$7,740	\$7,116	\$7,328	\$8,712
2015-16	7,820	7,189	7,403	8,801
2016-17	7,820	7,189	7,403	8,801
2017-18	7,941	7,301	7,518	8,939
2018-19 ⁽¹⁾	8,235	7,571	7,796	9,269
2019-20	8,503	7,818	8,050	9,572
2020-21	8,503	7,818	8,050	9,572
2021-22	8,935	8,215	8,458	10,057
2022-23	10,119	9,304	9,580	11,391
2023-24	[]	[]	[]	[]

⁽¹⁾ LCFF was fully funded in fiscal year 2018-19.

Sources: Los Angeles Unified School District Comprehensive Annual Financial Report for fiscal years 2014-15 and 2015-16; the District for fiscal years 2016-17 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals; Fiscal Year 2023-24 Budget.

Local Control and Accountability Plan. Pursuant to the LCFF, since July 1, 2014, school districts, county offices of education and charter schools have been required to develop, adopt and annually update a three-year local control and accountability plan (the “LCAP”). The LCAP is required to identify goals and measure progress for student subgroups across multiple performance indicators. The Education Code requires each school district to file with the county superintendent of schools such school district’s LCAP or annual update thereof not later than five days after its adoption. On or before August 15 of each year, the county superintendent of schools may seek clarification, in writing, from the governing board of such school district about the contents of the LCAP. The school district has the opportunity to respond to such request and the county superintendent is authorized to submit recommendations for amendments to the LCAP. On or before October 8 of each year, the county superintendent of schools is required to approve each school district’s LCAP pending a determination that the school district has adhered to the template adopted by the State Board of Education, the school district’s budget includes expenditures sufficient to implement the specific actions and strategies included in the LCAP based on projected costs, and the school district has adhered to the Education Code with respect to funds apportioned for Unduplicated Pupils.

The State’s priorities for each LCAP include, among other things, compliance with requirements with respect to appropriateness of teacher assignments, ensuring that teachers are fully credentialed in the subject areas and for the pupils they are teaching, and ensuring that every pupil in the school district has sufficient access to the standards-aligned instructional materials as determined in accordance with the Education Code. In addition, school facilities are to be maintained in good repair. The State requires proper implementation of the academic content and performance standards adopted by the State Board of Education and will measure parental involvement (e.g., efforts to seek input from parents or guardians regarding decisions for the district and the school site), pupil achievement (e.g. performance on Statewide assessments, the academic performance index, readiness for college or career technical education, progress towards English proficiency, performance on advance placement examinations), pupil engagement (e.g., school attendance rates, chronic absenteeism rates, middle school dropout rates, high school dropout and graduation rates, pupil suspension and expulsion rates, etc.), access and enrollment in a broad course of study including the core subject areas and programs and services developed and

provided to Unduplicated Pupils, and pupil outcomes in the subject areas comprising a broad course of study.

In November 2014, the State Board of Education adopted final regulations to govern the expenditure of the Supplemental Grant and Concentration Grant funding. These regulations require school districts, county offices of education, and charter schools to increase and improve services for Unduplicated Pupils and provide authority for school districts to spend funds school-wide when significant populations of Unduplicated Pupils attend a school. Pursuant to the regulations, LEAs are required to obtain input from parents of students and the general public in connection with the development, revision and updates of LCAPs. In addition, the regulations require County superintendents to review school district LCAPs and require county offices of education to provide technical assistance if they disapprove an LCAP. The Education Code grants the State Superintendent of Public Instruction authority to intervene if a school district or charter school fails to show improvement across multiple subgroups in three out of four consecutive years.

Infectious Disease Outbreak

[TO BE UPDATED PRIOR TO POS POSTING] In general, the outbreak of a highly contagious disease or epidemic disease could harm the District’s financial results or result in a temporary shutdown of the District’s facilities. As discussed above, school districts in California are funded based on the LCFF, which allocates a base grant per unit of average daily attendance with additional supplemental grants based on certain factors. Thus, a temporary shutdown of a school or an entire school district would reduce the average daily attendance and could impact the funding a school district receives unless the State legislature or California Department of Education takes action to exclude such days from the calculations for funding purposes. Further, any impact on the State’s tax and other revenue receipts as a result of a highly contagious or epidemic disease may in turn impact other educational funding that the District receives from the State. “ – State Budget Act – *Future Budgets and Budgetary Actions*.” In addition, the District may incur increased operational costs to conduct distance learning or to clean, sanitize and maintain its facilities either before or after an outbreak of an infectious disease.

COVID-19 Background. The outbreak of the respiratory disease caused by COVID-19 has been declared a pandemic by the World Health Organization, a national emergency by former President Trump and a state of emergency by the Governor of the State.

Federal Response. On March 13, 2020, former President Trump declared a nationwide emergency pursuant to Section 501(b) of the Stafford Act, regarding the COVID-19 pandemic. On March 22, 2020, former President Trump approved the Major Disaster Declaration for the State of California, authorizing federal emergency aid related to COVID-19 administered through the Federal Emergency Management Agency (“FEMA”). As a result, local educational agencies were permitted to submit a request for FEMA public assistance through the California Office of Emergency Services for reimbursement of certain costs incurred as a result of COVID-19. The District submitted its initial request for FEMA public assistance for eligible cleaning, sanitation, and personal protective equipment expenses incurred through June 30, 2020, and is working with FEMA to finalize and formally submit additional requests relating to its COVID-19 testing, vaccination and meal programs, but it cannot predict the timing or amount of federal emergency aid it will receive pursuant to such request.

On March 27, 2020, the U.S. House of Representatives approved and former President Trump signed into law the Coronavirus Aid, Relief and Economic Security Act (the “CARES Act”). The CARES Act provided \$30 billion to education, specifically \$3 billion allocated to state governors to be used at their discretion to address the emergency, \$13.5 billion for K-12 education, and \$14.25 billion for postsecondary institutions. School districts are able to use their share of the \$13.5 billion K-12 education

allocation under the CARES Act, which was based on the proportion of Title I funding received for the then most recent fiscal year, for purposes authorized by federal law and other specified uses. The District was allocated approximately \$858.1 million in funding under the CARES Act, which included approximately \$289.7 million from the Elementary and Secondary School Emergency Relief Fund (the “ESSER”) provided directly from the federal government to the District, and amounts allocated by the State of California through its Learning Loss Mitigation Fund, including approximately \$488.6 million from the Coronavirus Relief Fund (the “CRF”) provided from CARES Act funding, approximately \$31.9 million from the Governor’s Emergency Education Relief Fund (the “GEER”) provided from CARES Act funding, and approximately \$47.9 million from the State’s general fund. As of August 31, 2022, the District has received all \$858.1 million allocated under the CARES Act. The District has also received approximately \$22.0 million in supplemental reimbursements at a rate of 75 cents per meal for meals served to students between March 2020 and August 2020; a portion of such funding was provided by federal sources under the CARES Act and the other portion of such funding was provided by State funds. In addition, the District has been awarded approximately \$6.0 million in grant funds by the State under the California Community Schools Partnership Program for expenditures relating to the District’s community schools. As of August 31, 2022, the District has received approximately \$5.4 million of such grant funding.

On December 27, 2020, HR 133 was enacted, which includes a \$900 billion COVID-19 relief package. HR 133 provided approximately \$81.9 billion to education, specifically about \$4.1 billion allocated to state governors to be used at their discretion to address the emergency, of which approximately \$2.75 billion was reserved for private K-12 education, about \$54.3 billion for K-12 education, around \$22.7 billion for postsecondary institutions, and about \$819 million for outlying areas and Bureau of Indian Affairs schools. School districts are able to use their share of the approximately \$54.3 billion K-12 education allocation under HR 133, which was based on the proportion of Title I funding received for the then most recent fiscal year, for purposes authorized by federal law and other specified uses. Pursuant to HR 133, \$154 million was allocated to the State in the form of funding for public schools from the GEER (the “GEER II”), and the State ultimately incorporated such funds into the expanded learning opportunity grant funding discussed below. In addition, pursuant to HR 133, the District is eligible to receive approximately \$1.15 billion in funding from the ESSER (the “ESSER II”) for eligible expenditures obligated through September 30, 2023. The District has received all \$1.15 billion in ESSER II funding as of August 31, 2022. In addition, under HR 133, the District received a one-time child development stipend of approximately \$4 million for costs associated with childcare programs.

On March 11, 2021, the American Rescue Plan Act of 2021 (“HR 1319”), a \$1.9 trillion COVID-19 relief package, was enacted. HR 1319 provided approximately \$165.15 billion to education, specifically about \$122.8 billion to public K-12 education, around \$2.75 billion to private K-12 education and about \$39.6 billion to postsecondary institutions. Of the approximately \$122.8 billion in K-12 funding, about \$7.2 billion was set aside for purchasing technology to support digital learning and around \$800 million is set aside for supporting homeless students. HR 1319 allocated K-12 funding to states and school districts according to the proportion of Title I funding received for the then most recent fiscal year. It further stipulated that of the K-12 funds received by states, 90% must be distributed to local educational agencies, 5% must be used to address learning loss, 1% must be used for summer enrichment programs and 1% must be used for comprehensive afterschool programs, and of the K-12 funds received directly by school districts, 20% must be used to address learning loss. Pursuant to HR 1319, the District expects to receive approximately \$2.6 billion in additional funding from the ESSER (the “ESSER III”) for expenditures obligated through September 30, 2024. As of August 31, 2022, the District has received approximately \$257.8 million in ESSER III funding. Pursuant to HR 1319, the District also expects to receive at least approximately \$242.7 million and may receive up to \$313.3 million from the amounts dedicated to technology and digital learning (the “Emergency Connectivity Fund”). As of August 31, 2022, the District has not received any of the expected funding from the Emergency Connectivity Fund.

Pursuant to a grant from the U.S. Department of Health and Human Services, LACOE received funding for COVID testing to allocate to school districts within its jurisdiction. Accordingly, the District was allocated approximately \$82.2 million in funding for COVID testing expenses during fiscal year 2021-22, all of which the District received during fiscal year 2021-22.

State Legislation Relating to School Districts. On March 17, 2020, the Governor signed Senate Bill 117 (“SB 117”) as urgency legislation effective immediately. For purposes of school district funding for fiscal year 2019-20, SB 117 limited the average daily attendance reported to the California Department of Education to include the full school months from July 1, 2019, to February 29, 2020. This condensed ADA period applied to school districts that complied with Executive Order N-26-20. SB 117 further states the intent of the State Legislature is that a school district’s employees and contractors be paid during the period of a school closure due to COVID-19. SB 117 also waived instructional time penalties that would otherwise accrue, as long as the school district superintendent, county superintendent or charter school administrator certify that the closure due to COVID-19 caused the school district to fall below applicable instructional time requirements. SB 117 also included \$100 million in additional funding to school districts for certain costs incurred as a result of COVID-19. The District received approximately \$7.9 million, which includes amounts for Affiliated Charter Schools, from such additional State funding in fiscal year 2019-20.

The Governor signed Assembly Bill 86 (“AB 86”) into law on March 5, 2021. AB 86 provided approximately \$6.6 billion to local educational agencies to encourage a return to in-person education, with a focus on students who are younger (TK-2) and most disproportionately impacted by the COVID-19 pandemic. Funding was distributed as follows: \$725 per student, an additional \$1,000 per homeless student, and funds remaining after these apportionments are distributed proportionally based on LCFF. \$2 billion was set aside as incentive for school districts that return to in-person instruction by March 31, 2021 for at least TK-2 and ramping up to include higher grades if county transmission rates allow. Beginning April 1, 2021, school districts’ apportioned incentive funding was reduced by 1% for every academic calendar day they do not offer in-person education until May 15, 2021, after which school districts forfeit their entire apportionment of incentive funding. AB 86 allocated approximately \$4.6 billion to local educational agencies to support expanded learning opportunities that target learning loss resulting from the COVID-19 pandemic. School districts must implement learning recovery programs that include, at minimum, supplemental instruction, resources for social and emotional well-being and meal programs. AB 86 also established reporting requirements to monitor COVID-19 cases and in-person education status and apportioned \$25 million to the State’s “Safe Schools For All Team” to provide technical assistance, community engagement, oversight and accountability to school districts. AB 86 further set aside 10% of the State’s vaccine supply for childcare and TK-12 education staff. Pursuant to AB 86, the District expects to receive approximately \$572.5 million in additional funding following its reopening of schools for in-person hybrid instruction throughout April 2021. As of August 31, 2022, the District has received approximately \$441.5 million in such funding.

The Governor signed Assembly Bill 130 (“AB 130”) into law on July 9, 2021. Pursuant to AB 130, the District received approximately \$243.2 million in funding in fiscal year 2021-22 and is eligible for over \$450.0 million per year thereafter for the operation of afterschool and summer school enrichment programs through the Expanded Learning Opportunities Program. In addition, pursuant to AB 130, the District received an additional \$45.7 million in funding through the Special Education Learning Recovery Support program and approximately \$10.1 million for dispute prevention and dispute resolution. While the Expanded Learning Opportunities Program is not a traditional one-time COVID relief funding source like the other COVID relief funding discussed above, it is part of the State’s on-going response to educational challenges exacerbated by the COVID-19 pandemic.

As of August 31, 2022, in aggregate from federal and State funding sources described above from fiscal year 2019-20 through fiscal year 2023-24, the District expects to receive approximately \$5.6 billion in COVID-19 relief funding, which does not include the funding that the District received through the Expanded Learning Opportunities Program in fiscal year 2021-22 or the funds that the District expects to receive through the Expanded Learning Opportunities Program on an ongoing basis. As of August 31, 2022, the District has received approximately \$2.9 billion in such COVID-19 relief funding, which does not include any funds received through the Expanded Learning Opportunities Program. For more information on the District's COVID-19 relief funding expectations for fiscal year 2022-23, see "DISTRICT FINANCIAL INFORMATION – District Budget - *Revisions to Fiscal Year 2023-24 Budget*."

District Response. As a result of the outbreak of COVID-19, on March 10, 2020, the District Board declared that emergency conditions exist throughout the District and authorized the Superintendent to take any and all actions necessary to ensure the health and safety of students and staff. Under such authority, the Superintendent closed all schools within the District for in-person instruction effective March 16, 2020. The District implemented a distance learning model for the remainder of the 2019-20 school year.

The District utilized the distance learning model for much of the 2020-21 school year, which commenced on August 18, 2020, given the ongoing COVID-19 pandemic. However, the District began reopening schools for in-person hybrid instruction the week of April 12, 2021, starting with 61 elementary schools and 11 early education centers. The remaining elementary schools and early education centers reopened for in-person hybrid instruction the week of April 19, 2021, and middle schools and high schools reopened for in-person hybrid instruction the week of April 26, 2021. Distance learning also remained available to students throughout the 2020-21 school year. To ensure that the reopening was as safe as possible for students, employees, and the communities, the District published its COVID-19 Containment, Response and Control Plan in February 2021, which details plans, practices and health and safety protocols for reopening schools and is available on the District's website. The District also offered vaccinations to all District employees, administered vaccinations at multiple school sites, and operated a mass vaccination center at Hollywood Park to serve its employees and charter school employees. Baseline COVID-19 testing and subsequent periodic testing on a weekly basis was made available to all students and staff located at school facilities.

The District fully opened its school facilities to full-time in-person instruction at the outset of the 2021-22 school year. The District operates an independent study program for students who do not want to return to in-person instruction. The District requires all employees to be vaccinated against COVID-19. During the 2021-22 school year, the District conducted weekly testing of all staff and students for COVID-19. During the 2022-23 school year, the District no longer requires weekly testing, but provides rapid antigen tests for symptomatic and exposed students and staff. The District continues to implement strict health and safety measures to ensure the safety of its staff and students.

Governor Newsom has announced plans to add the COVID-19 vaccine to the list of vaccinations required for students to attend both public and private schools in-person when the vaccine receives full approval from the Food and Drug Administration for middle and high school grades. Since the Food and Drug Administration has not fully approved the COVID-19 vaccine for individuals of all ages within the 7-12 grade span, such Statewide vaccination requirement will not be implemented during the 2022-23 school year; thus, any Statewide student vaccination requirement, if implemented, would not take effect before July 1, 2023. The District has delayed its previously-announced student COVID-19 vaccination requirement until at least July 1, 2023, in alignment with the State's anticipated implementation timeline.

In response to the COVID-19 pandemic, the District incurred costs totaling approximately \$3.3 billion from March 2020 through June 30, 2022. Such costs were largely attributed to the following priorities:

- **Instructional Connectivity** – The District has purchased over 217,000 new devices and acquired over 107,800 internet hotspots for students to support distance learning. The District has also developed online learning platforms and provided training to teachers to support online instruction.
- **Learning Loss Mitigation** – The District implemented various program to address the effects of learning loss exacerbated by the COVID-19 pandemic, including additional educational and enrichment opportunities during the summer, as well as tutoring and after school programs.
- **Health and Safety - Meals** – The District established 63 “Grab & Go” food centers across the District to provide breakfast and lunch meals to children and adults in need. In May 2020, the District increased the number of meals provided each weekday from two to three for each child and adult who visited the food centers. The District distributed more than 100 million meals to children and adults from March 2020 until April 2021, when the Grab & Go program ended in conjunction with the District’s return to in-person instruction at the District’s school sites.
- **Health and Safety – Cleaning and Protective Equipment** - The District has incurred significant additional costs associated with the sanitation of schools and other District facilities, the supply of personal protective equipment, upgrades to its ventilation systems to provide additional protection against COVID-19 and other airborne viruses, and to facilitate social distancing and provide additional protective measures against the transmission of COVID-19.
- **Health and Safety – COVID-19 Testing** – The District has implemented a robust COVID-19 testing program, providing access to state-of-the-art COVID-19 tests to its students and staff at locations throughout the District
- **Business Continuity and Connectivity** – Since the District’s administration and support staff are largely working remotely, the District has provided staff with the tools and training necessary to ensure that operations continue.

As a result of the COVID-19 pandemic, the District currently projects approximately \$1.8 billion in COVID-19 related costs associated with operating schools during the 2022-23 school year. More specifically, based on the Fiscal Year 2023-24 Budget, the District projects (1) approximately \$383 million in costs associated with strategies for continuous and safe in-person learning; (2) approximately \$1.1 billion in costs associated with addressing lost instructional time; and (3) approximately \$265 million in costs for addressing additional district priorities. For more information on the District’s COVID-19 relief funding expectations for fiscal year 2022-23, see “DISTRICT FINANCIAL INFORMATION – District Budget - *Revisions to Fiscal Year 2023-24 Budget*.”

While the State and federal one-time COVID-19 relief funding discussed above has provided and will continue to provide some immediate relief to school districts, including the District, the long-term impacts of the COVID-19 outbreak on the District’s operations and finances are not fully known as the situation continues to evolve. The District cannot predict whether similar legislation would be enacted in the event the outbreak of COVID-19 continues or a similar or other outbreak of a highly contagious disease or epidemic disease were to occur in the future.

Charter School Funding

A charter school is a public school authorized by a school district, county office of education or the State Board of Education. State law requires that charter petitions be approved if they comply with the statutory criteria. The District has certain fiscal oversight and other responsibilities with respect to both Affiliated Charter Schools and Fiscally Independent Charter Schools located in the District geographic boundaries. However, Fiscally Independent Charter Schools are separate LEAs and receive revenues directly from the State. Affiliated charter schools receive their funding from the District and are included in the District's budgets and audit reports. Information regarding enrollment, ADA, budgets and other financial information relating to Fiscally Independent Charter Schools is not included in the District's audit reports or in this Official Statement unless otherwise noted.

Pursuant to the LCFF, Fiscally Independent Charter Schools and Affiliated Charter Schools will receive a Base Grant per ADA and are eligible to receive Supplemental Grants and Concentration Grants. See “ – Local Control Funding Formula” herein. As reflected in the District's Audited Annual Financial Report for fiscal year 2021-22, the District operated 51 Affiliated Charter Schools and oversaw 227 Fiscally Independent Charter Schools within the District boundaries. The District budgets the funded ADA for fiscal year 2023-24 of the Affiliated Charter Schools and the Fiscally Independent Charter Schools to be approximately [] and [] students, respectively. An increase in the number of Fiscally Independent Charter Schools within the boundaries of a school district or an increase in the number of students transferring to a Fiscally Independent Charter School or an Affiliated Charter School from a traditional school within a school district may cause a net reduction in the District's ADA.

Limitations on School District Reserves

Unless a school district is granted an exemption by its county superintendent of schools, amounts in its reserves may not exceed the limitations set forth in the Education Code once certain conditions precedent are met. Pursuant to Section 42127.01 of the Education Code, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Public School System Stabilization Account is equal to or exceeds 3% of the combined total of State general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised shall not contain a combined assigned or unassigned ending general fund balance that is in excess of 10% of those funds. A county superintendent of schools may grant a school district under its jurisdiction an exemption from the reserves limitation for up to two consecutive fiscal years within a three-year period if the school district provides documentation indicating that extraordinary fiscal circumstances, including, but not limited to, multiyear infrastructure or technology projects, substantiate the need for a combined assigned or unassigned ending general fund balance that is in excess of the reserves limitation. The limitation applies once the Superintendent of Public Instruction notifies school districts and county offices of education that the conditions precedent are met. The Superintendent of Public Instruction is also required to notify school districts and county offices of education when those conditions no longer exist.

[TO BE UPDATED FOLLOWING DISTRICT BUDGET ADOPTION][The State-imposed minimum recommended reserve for the District is accounted for in the Reserve for Economic Uncertainties. Payments allocated to the Public School System Stabilization Account by the State in fiscal year 2021-22 triggered certain limitations on school district reserves under the Education Code commencing with fiscal year 2022-23. In connection with the District Board's approval of the Fiscal Year 2023-24 Budget, the District Board committed approximately \$1.55 billion in funds comprising portions of the General Fund ending balance to fund the District's ongoing OPEB requirements and fund student equity needs for (1) low income, English language learner, and foster youth students, (2) the primary promise program for elementary school students to build a foundation in literacy, math, and critical thinking skills, and (3) intervention services for high-needs schools. In connection with subsequent

revisions to the Fiscal Year 2023-24 Budget, the District Board committed approximately \$801 million in additional funds comprising a portion of the General Fund ending balance for inflation protection. With such funds committed, the District's assigned and unassigned ending General Fund balance for fiscal year 2022-23 does not exceed 10% of the total General Fund expenditures and other financing uses. Thus, the District complies with the limitations on reserves. The District does not expect the limitations on reserves in the Education Code to adversely affect its ability to pay the principal of and interest on the Bonds described in the forepart of this Official Statement, which are payable from voter-approved *ad valorem* property taxes.]

DISTRICT FINANCIAL INFORMATION

District Financial Policies and Related Practices

General. The District has three key financial policies: a budget and finance policy (the "Budget and Finance Policy"), a debt management policy (the "Debt Management Policy") and an investment policy (the "Investment Policy").

Budget and Finance Policy. The District has adopted a Budget and Finance Policy pursuant to which the District creates and funds reserves for operating purposes (collectively, the "Operating Reserves") and liability management purposes (collectively, the "Liability Reserves"). The Budget and Finance Policy reflects reserve categories promulgated by the Government Accounting Standards Board ("GASB") and incorporates certain reserve categories established by the District. See "STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves" herein.

Operating Reserves. The District uses the Operating Reserves to manage its budget for each fiscal year. A portion of the District's authorized appropriations are set aside in the Operating Reserves. The District generally appropriates amounts from the General Fund based on the amount estimated in its budget. However, the District may appropriate funds from unspent balances within the Operating Reserves, if necessary. Accordingly, the District uses the Operating Reserves to ensure that appropriations reflect the District's actual General Fund expenditures. The current Operating Reserves include nonspendable reserves, restricted reserves, committed reserves, assigned reserves, and unassigned reserves, the latter of which includes the District's reserve for economic uncertainties (the "Reserve for Economic Uncertainties"). Pursuant to the California Code of Regulations, school districts with an ADA between 30,001 and 400,000 students, such as the District, must maintain a reserve for economic uncertainties of 2% of General Fund appropriations.

Pursuant to the Budget and Finance Policy, the District's total General Fund balance may not be less than an amount equal to 5% of total General Fund expenditures and net transfers out during a fiscal year (the "5% Minimum Reserve Threshold"). In addition, the Budget and Finance Policy requires the projected General Fund balance to satisfy the 5% Minimum Reserve Threshold in each of the two subsequent fiscal years which the District includes in its interim financial reports. In the event that the District's estimates indicate that the total General Fund balance will not satisfy the 5% Minimum Reserve Threshold in any of the current fiscal year or two subsequent fiscal years, the Budget and Finance Policy directs the District to develop and implement budget proposals to restore reserve balances to the 5% Minimum Reserve Threshold.

[Based on the Fiscal Year 2023-24 Budget, the District's Operating Reserves are expected to satisfy both the 5% Minimum Reserve Threshold and the 2% statutory reserve requirement for fiscal years 2023-24, 2024-25 and 2025-26.] Unlike the 5% Minimum Reserve Threshold, the 2% statutory reserve requirement is based on the unrestricted and unassigned ending fund balance only and does not

take into account the restricted, committed, or assigned ending fund balances. See “– District Budget – Fiscal Year 2023-24 Budget” herein.]

Liability Reserves. Pursuant to the Budget and Finance Policy, the District must establish several Liability Reserves, including a self-insurance reserve, a workers’ compensation reserve (the “Workers’ Compensation Fund”), a health and welfare reserve (the “Health and Welfare Benefits Fund”), and an other-post-employment benefits (“OPEB”) reserve (the “OPEB Trust Fund”), and a pension (CalSTRS and CalPERS) reserve (the “Pension Reserve”).

The amount required to be on deposit in the Workers’ Compensation Fund is established with information from an independent actuary. The District determines the annual budget for workers’ compensation by reviewing the amount necessary to fund its outstanding workers’ compensation liability to the actuarially recommended level based on the central estimate approach and by additionally calculating the amount necessary for claims and operation of the Workers’ Compensation Fund. The District uses the difference of the current fiscal year’s central estimate versus that from the previous fiscal year to establish the amount necessary to fund projected liabilities. With respect to funding claims activity, the amount required to be on deposit in the Workers’ Compensation Fund is based on the anticipated increase in claims cost in the current fiscal year versus the prior fiscal year. Such amount is generally higher than the amount recommended in the actuarial report. See “– Risk Management and Litigation” herein.

The District Board approved the creation of an irrevocable trust for its OPEB liability (the “OPEB Trust Fund”) in May 2014. The Budget and Finance Policy directs the District, subject to approval by the District Board, to make annual contributions to the OPEB Trust Fund when the balance in the General Fund exceeds the 5% Minimum Reserve Threshold to the extent possible. In the event that the unrestricted portion of the General Fund is above 5% of the unrestricted revenues (after the annual OPEB contribution has been determined), the Budget and Finance Policy directs the District to make an additional contribution from the assigned OPEB reserve to the OPEB Trust Fund. See “– Other Postemployment Benefits” herein. As of June 30, 2023, the net position of the OPEB Trust Fund was approximately \$[] million (unaudited).

The Health and Welfare Benefits Fund is used to pay all health and welfare payments for active employees and retirees. The District determines funding of the Health and Welfare Benefits Fund based on the applicable health benefits agreement for each of the applicable years. See “– Employees and Labor Relations – *Negotiations Regarding Labor Contracts*” herein. As of June 30, 2023, the net position of the Health and Welfare Benefits Fund was approximately \$[] million (unaudited).

Budgeting Practices. Beginning in fiscal year 2022-23, the District implemented new budgeting practices. As part of such new budgeting practices, the District prepares quarterly budget to actuals analysis for various departments to inform internal budget adjustments or reallocations that may occur throughout the fiscal year. Such new budgeting practices also include zero based budgeting that involves developing a new budget each fiscal year, as opposed to starting with the previous fiscal year’s budget and making adjustments, in order to ensure that all expenses are justified for the new fiscal year. As part of the development of the Fiscal Year 2023-24 Budget, zero based budgeting was implemented in certain departments, including Information Technology Services, Procurement Services, Maintenance and Operations, and Federal and State Education Programs. The District plans to phase-in zero based budgeting to other departments over time.

Debt Management Policy. The Debt Management Policy establishes formal guidelines for the issuance and management of the District’s debt and other financial obligations. The Debt Management Policy establishes targets and ceilings for certificates of participation (“COPs”) and unhedged variable

rate exposure and sets forth benchmark debt ratios that include both COPs and the District's general obligation bonds. The Debt Management Policy also requires the District to annually publish a comprehensive debt report that, among other things, provides information on tax rates related to the District's general obligation bonds and credit factors that reflect the District's ratings.

The Debt Management Policy is required to be reviewed annually. The current Debt Management Policy was approved by the District Board on June [13], 2023. [The District is in compliance with the Debt Management Policy.] The Debt Management Policy establishes a ceiling of 2.0% for the ratio of COPs gross annual debt service to District General Fund expenditures. The District Board may increase the target at the time a new debt issuance is proposed, but such authority is not intended to exceed the ceiling established in the Debt Management Policy. As of June 30, 2023, the maximum fiscal year COPs debt service was approximately []% of the District General Fund expenditures during fiscal year 2022-23. As of [October 1], 2022, the District has outstanding COPs in the aggregate principal amount of approximately \$[] million. (See " – District Debt – *Certificates of Participation*" for more information.) The Debt Management Policy limits unhedged variable rate debt to \$100 million and requires reporting of the debt ratios and benchmarks. The District currently has no variable interest rate exposure.

Investment Policy. The foremost objective of the District's Investment Policy is safety. In addition, the Investment Policy directs the District to invest public funds in a manner that will maximize the investment return on all of its funds with maximum security while meeting the daily cash flow demands of each portfolio of the District and conforming to all federal, State, and local statutes governing the investment of public funds. Further, the Investment Policy directs that all investments of the District be undertaken to ensure the preservation of capital in the overall portfolio. To attain this objective, the District may diversify its investments by investing funds among a variety of securities offering independent returns. In addition, the Investment Policy requires the District's investment portfolios remain sufficiently liquid to enable the District to meet its operating requirements and be structured to attain a maximum return commensurate with its investment risk constraints and the cash flow characteristics of each portfolio. [The District is in compliance with the Investment Policy.]

The District's operating funds and all of the debt service funds maintained for repayment of general obligation bonds are deposited in the County Treasury Pool in accordance with State law and managed pursuant to the County's Investment Policy, a copy of which can be found at <http://ttc.lacounty.gov/>. Such website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein. See APPENDIX F – "THE LOS ANGELES COUNTY TREASURY POOL." However, with the concurrence of the County's Treasurer and Tax Collector, the District may direct the investment of funds in certain of its operating funds and debt service funds so long as such direction complies with both the County's investment policy and the District's Investment Policy. In addition, the District can direct the investment of indentured funds held by third party trustees with regard to certain issuances of COPs pursuant to a prescribed list of permitted investments.

Significant Accounting Policies, System of Accounts and Audited Financial Statements

The CDE imposes by law uniform financial reporting and budgeting requirements for K-12 school districts. Financial transactions are accounted for in accordance with the California School Accounting Manual. The District uses fund accounting and maintains governmental funds, proprietary funds and fiduciary funds. The General Fund is the chief operating fund of the District. For a description of the other major funds of the District, see the description thereof contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED

JUNE 30, 2022.” Note 1 to such audited financial statements sets forth significant accounting policies that the District follows. Simpson & Simpson Certified Public Accountants (“Simpson”), Los Angeles, California, served as independent auditor to the District for its audited financial statements for fiscal year 2021-22. Simpson has not been requested to consent to the use or to the inclusion of its reports in this Official Statement, and it has not audited or reviewed this Official Statement. The District’s audited financial statements for the fiscal year ended June 30, 2022 are included as Appendix B to this Official Statement. The complete audited financial statements of the District, including the notes thereto, are an integral part of this Official Statement.

Typically, the District is required to file its audited financial statements for the preceding fiscal year with the State Controller’s Office, the CDE and the County Superintendent of Schools by December 15 of each year. During the last five years, the District timely filed its audited financial reports with the State Controller’s Office, the CDE, and LACOE pursuant to the Education Code and any applicable legislation amending the filing deadline thereof by the respective deadlines therefor.

The audited financial statements for fiscal year 2021-22 include certain audit findings and questioned costs. With respect to the audited financial statements for fiscal year 2021-22, Simpson identified 17 audit findings and questioned costs totaling approximately \$693 million. For detailed information regarding such findings and questioned costs, see Appendix B. Notably, in fiscal year 2021-22 – like fiscal year 2020-21 – the District did not meet the minimum threshold of General Fund spending on classroom teacher salaries and benefits in accordance with Education Code Section 41372. Under Education Code Section 41372, a unified school district, like the District, is required to spend a minimum of 55% of its General Fund resources on classroom salaries and benefits. In fiscal year 2021-22, the District spent approximately 46.85% of its General Fund resources on classroom salaries and benefits, which is approximately 8.15% or \$691.1 million below such minimum threshold set forth in the Education Code. Such discrepancy is the result of the COVID-19 pandemic that caused the District to spend significant General Fund revenues on devices, internet connectivity, instructional software licenses, and other necessary expenses to support the return to campus and a safe in-person learning environment as well as expenses resulting from testing, tracing and vaccination efforts. [Accordingly, the District intends to seek a waiver from the County Superintendent with respect to fiscal year 2021-22.] **[TRACK WHEN DISTRICT BOARD APPROVES SEEKING WAIVER AND IF/WHEN GRANTED BY COUNTY SUPERINTENDENT.]** The District’s waiver for a similar audit finding with respect to fiscal year 2020-21 was approved by the County Superintendent in October 2022.

Copies of the District’s audited financial statements as well as budgets and interim financial reports may be obtained from the website of the District: www.lausd.net. The website is not incorporated herein by reference and the District, its counsel (including Bond Counsel and Disclosure Counsel), the Municipal Advisor, the Underwriters and their counsel do not make any representation as to the accuracy of the information provided therein.

Unaudited Actuals

General. Under current law, the District’s governing board is required to approve and file an annual statement of all receipts and expenditures of the District for the preceding fiscal year (commonly referred to as the unaudited actuals) with the county superintendent of schools on or before September 15 of each year. The California Department of Education imposes a uniform accounting format for school districts. The District is under the jurisdiction of the County of Los Angeles Superintendent of Schools.

[TO BE UPDATED WHEN AVAILABLE] Fiscal Year 2022-23 Unaudited Actuals. The Fiscal Year 2022-23 Unaudited Actuals (the “Fiscal Year 2022-23 Unaudited Actuals”) were approved by the District Board on September [], 2023. The Fiscal Year 2022-23 Unaudited Actuals reflect a General

Fund beginning balance of approximately \$[] billion, total unaudited revenues of \$[] billion, total unaudited expenditures of \$[] billion, other financing sources and uses of \$[] million, and an ending balance of \$[] billion. The Fiscal Year 2022-23 Unaudited Actuals indicate that the General Fund ending balance of approximately \$[] billion consists of approximately \$[] million for the mandatory Reserve for Economic Uncertainties, \$[] million of non-spendable revolving cash, stores, and prepaid expenditures, \$[] million of restricted ending balances, no committed ending balances, \$[] billion of assigned ending balances and \$[] billion of undesignated and unassigned ending balances. In fiscal year 2022-23, the District was able to meet its financial commitments and its required ending balances, as set forth in the Budget and Finance Policy. See “– District Financial Policies and Related Practices” for more information on the Budget and Finance Policy. The fiscal year 2022-23 ending balance resulted in a decrease of \$[] million in the District’s General Fund undesignated and unassigned ending balance from the District’s estimated actuals for fiscal year 2022-23.

Notably, the Fiscal Year 2022-23 Unaudited Actuals reflect approximately \$[] billion in revenue from federal sources (largely for COVID-19 relief), which differs from the \$[] billion in revenue from federal sources (largely for COVID-19 relief) originally budgeted in fiscal year 2022-23, because the Fiscal Year 2022-23 Unaudited Actuals reflect the actual federal revenue earned based on actual expenditures incurred. Portions of one-time federal revenues for COVID-19 relief that the District has budgeted that are not spent in a given fiscal year, are carried over to the following fiscal year for further program implementation.

District Budget

General School District Budget Process and Oversight. State law requires that each school district maintain a balanced budget in each fiscal year. The California Department of Education imposes a uniform budgeting and accounting format for school districts. Under current law, a school district governing board must adopt and file with the county superintendent of schools a budget by July 1 in each fiscal year. The District is under the jurisdiction of the County of Los Angeles Superintendent of Schools.

The county superintendent of schools must approve, conditionally approve, or disapprove the adopted budget for each school district by September 15 in accordance with the Education Code. The county superintendent of schools is required to examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance with the established standards. The county superintendent of schools is also required to determine whether the adopted budget will allow the school district to meet its financial obligations during the fiscal year and is consistent with a financial plan that will enable the school district to satisfy its multiyear financial commitments. The Education Code directs the county superintendent of schools to disapprove any school district budget if it determines that the budget does not include expenditures necessary to implement an LCAP or an annual update to the LCAP. See “STATE FUNDING OF SCHOOL DISTRICTS – Local Control Funding Formula – *Local Control and Accountability Plan*” herein for more information about LCAP.

In the event that the county superintendent of schools conditionally approves or disapproves the school district’s budget, the county superintendent of schools will submit to the governing board of the school district no later than September 15 of such year recommendations regarding revisions of the budget and the reasons for the recommendations, including, but not limited to, the amounts of any budget adjustments needed before the county superintendent of schools can approve that budget. In addition, school districts must make available for public review any revisions to revenues and expenditures that it has made to its budget to reflect the funding made available by the State Budget Act (defined herein) not later than 45 days after the enactment of the State Budget Act.

The governing board of the school district, together with the county superintendent of schools, must review and respond to the recommendations of the county superintendent of schools before October 8 at a regular meeting of the governing board of the school district. The county superintendent of schools will examine and approve or disapprove of the revised budget by November 8 of such year. If the county superintendent of schools disapproves a revised budget, the county superintendent of schools will call for the formation of a budget review committee. By December 31 of each year, every school district must have an adopted budget, or the county superintendent of schools may impose a budget and will report such school district to the State Legislature and the Department of Finance. In prior years, LACOE has granted a conditional approval to certain of the District's budgets pending, among other things, approval of the District's LCAP, information regarding collective bargaining and other budgetary considerations. [However, in the last ten years, LACOE has not disapproved any budget submitted to it by the District. LACOE approved the Fiscal Year 2023-24 Budget.] See “– *Fiscal Year 2023-24 Budget*” below. [LACOE has not reviewed and commented on the District's revisions to the Fiscal Year 2023-24 Budget. See “– *Revisions to Fiscal Year 2023-24 Budget*” below.]

Subsequent to approval, the county superintendent of schools will monitor each school district under its jurisdiction throughout the fiscal year pursuant to its adopted budget to determine on an ongoing basis if the school district can meet its current or subsequent year financial obligations. If the county superintendent of schools determines that a school district cannot meet its current or the subsequent year's obligations, the county superintendent of schools will notify the school district's governing board, the Superintendent of Public Instruction and the president of the State board (or the president's designee) of the determination and take at least one of the following actions, and all actions that are necessary to ensure that the school district meets its financial obligations: (a) develop and impose, after also consulting with the Superintendent of Public Instruction and the school district's governing board, revisions to the budget that will enable the school district to meet its financial obligations in the current fiscal year, (b) stay or rescind any action inconsistent with the ability of the school district to meet its obligations for the current or subsequent fiscal year, (c) assist in developing, in consultation with the school district's governing board, a financial plan that will enable the school district to meet its future obligations, (d) assist in developing, in consultation with the school district's governing board, a budget for the subsequent fiscal year and (e) as necessary, appoint a fiscal advisor to perform the aforementioned duties. The county superintendent of schools will also make a report to the Superintendent of Public Instruction and the president of the State board or the president's designee about the financial condition of the school district and the remedial actions proposed by the county superintendent of schools. However, the county superintendent of schools may not abrogate any provision of a collective bargaining agreement that was entered into prior to the date upon which the county superintendent of schools assumed authority.

Fiscal Stabilization Plan. While LACOE and the District will partner to implement actions necessary to stabilize and improve the financial condition of the District as and when needed, LACOE has not required nor has the District implemented a new fiscal stabilization plan since 2019 in light of the District's positive certification on its recent interim report. In the event that the District's financial condition were to change in future fiscal years, LACOE may require the District to implement a new fiscal stabilization plan to stabilize and improve the financial condition of the District. ***[DISTRICT TO PROVIDE FY 22-23 FIRST AND SECOND INTERIM LETTERS FROM LACOE]***

[TO BE UPDATED FOLLOWING ADOPTION OF DISTRICT BUDGET FOR FY 23-24]
Fiscal Year 2023-24 Budget. The Fiscal Year 2023-24 Budget was adopted by the District Board on June [], 2023. The Fiscal Year 2023-24 Budget was developed with the assumptions contained in the Governor's May revision to the proposed fiscal year 2023-24 State Budget, which were revised in the 2023-24 State Budget. For more information, see “– *Revisions to Fiscal Year 2023-24 Budget*” below.

The Fiscal Year 2023-24 Budget projects a General Fund beginning balance of approximately \$[] billion, total estimated revenues of \$[] billion, total estimated expenditures of \$[] billion, other financing sources and uses of \$[] million, and an ending balance of \$[] billion. The Fiscal Year 2023-24 Budget projects that its General Fund ending balance of \$[] billion will consist of approximately \$[] million for the mandatory Reserve for Economic Uncertainties, \$[] million of non-spendable revolving cash, stores, and prepaid expenditures, \$[] million of restricted ending balances, \$[] billion of committed ending balances, \$[] million of assigned ending balances and \$[] million of undesignated and unassigned ending balances.

The Fiscal Year 2023-24 Budget includes certain assumptions and policies, including:

- ***[ASSUMPTIONS TO COME WHEN AVAILABLE]***

[TO BE UPDATED WHEN LACOE LETTER RE FY 23-24 BUDGET AVAILABLE]
LACOE's Response to Fiscal Year 2023-24 Budget.

[TO BE UPDATED IF APPLICABLE] ***Revisions to Fiscal Year 2023-24 Budget.*** [On August 30, 2022, the District Board approved certain revisions to the Fiscal Year 2023-24 Budget based on revised assumptions contained in the 2023-24 State Budget and other significant changes affecting the District's finances since the adoption of the Fiscal Year 2023-24 Budget. Revisions to the Fiscal Year 2023-24 Budget relating to the revised assumptions contained in the 2023-24 State Budget include:]

- ***[TO COME IF/WHEN AVAILABLE]***

[In light of the additional funding allocated to the District in the 2023-24 State Budget, the District is able to use such funds to enhance its programs, expand early childhood educational opportunities, and improve school climate and digital literacy. Impacts to the economy, of both the State and the nation, such as rising inflation, with demand for resources outpacing supply, an interest rate increase policy to control inflation, and the potential resurgence of COVID-19 and other infectious diseases are risk factors that could affect the District's financial condition. As such, the District is continuing to build reserves and commit funds to key priorities including student equity needs, OPEB funding, and inflation protection.]

District General Fund Budgets and Audited Actuals. The following Table A-4 sets forth the District's Final Adopted Budgets for the District General Fund, inclusive of regular and specially funded programs, for fiscal years 2019-20 through 2023-24 and the actual results for fiscal years 2019-20 through 2021-22 and the unaudited actuals for fiscal year 2022-23. The budgeted beginning balance for each fiscal year reflects the estimated ending balance for the prior fiscal year based upon information as of the budget adoption date. Accordingly, the budgeted ending balance for a fiscal year and the subsequent budgeted beginning balance may differ from the actual ending balance and actual beginning balance.

TABLE A-4

LOS ANGELES UNIFIED SCHOOL DISTRICT
District General Fund Budget for Fiscal Years 2019-20 through 2023-24
Audited Actuals for Fiscal Years 2019-20 through 2021-22 and Unaudited Actuals for Fiscal Year 2022-23⁽¹⁾⁽²⁾⁽³⁾
(\$ in millions)

	Final Adopted Budget <u>2019-20</u>	Audited Actuals <u>2019-20</u>	Revised Adopted Budget <u>2020-21⁽⁴⁾</u>	Audited Actuals <u>2020-21</u>	Final Adopted Budget <u>2021-22</u>	Audited Actuals <u>2021-22</u>	Final Adopted Budget <u>2022-23</u>	Unaudited Actuals <u>2022-23</u>	Final Adopted Budget <u>2023-24⁽⁵⁾</u>
Beginning Balance	\$2,010.8	\$2,216.9	\$1,866.7	\$2,049.5	\$2,714.4	\$2,855.3	\$3,567.6	[TO COME]	[TO COME]
Revenue									
State Apportionment	\$4,364.8	\$4,264.8	\$4,122.2	\$4,133.6	\$4,357.5	\$4,487.2	\$4,573.8		
Property Taxes	<u>1,222.5</u>	<u>1,388.6</u>	<u>1,407.7</u>	<u>1,522.3</u>	<u>1,466.2</u>	<u>1,551.0</u>	<u>1,511.6</u>		
Total LCFF	<u>5,587.4</u>	<u>5,653.4</u>	<u>5,529.9</u>	<u>5,655.9</u>	<u>5,823.7</u>	<u>6,038.2</u>	<u>6,085.4</u>		
Federal	767.8	631.1	1,576.6	1,674.4	4,446.0	1,850.5	2,823.3		
Other State	873.5	1,137.0	963.1	1,223.8	1,374.3	1,748.8	1,717.9		
Other Local	<u>142.4</u>	<u>170.1</u>	<u>142.5</u>	<u>190.8</u>	<u>132.5</u>	<u>35.5</u>	<u>168.1</u>		
Total Revenue	<u>\$7,371.0</u>	<u>\$7,591.6</u>	<u>\$8,212.1</u>	<u>\$8,745.0</u>	<u>\$11,776.5</u>	<u>\$9,672.9</u>	<u>\$10,794.7</u>		
Total Beginning Balance and Revenue	<u>\$9,381.8</u>	<u>\$9,808.5</u>	<u>\$10,078.8</u>	<u>\$10,794.5</u>	<u>\$14,490.9</u>	<u>\$12,528.2</u>	<u>\$14,362.3</u>		
Expenditures									
Certificated Salaries	\$3,008.7	\$2,998.9	\$3,252.1	\$3,086.7	\$3,411.4	\$3,379.8	\$3,772.5		
Classified Salaries	986.1	1,077.6	1,073.5	1,159.8	1,107.2	1,257.2	1,260.8		
Employee Benefits	2,172.6	2,300.9	2,169.1	2,151.4	2,437.6	2,370.1	2,798.4		
Books and Supplies	698.5	267.0	1,001.9	621.3	1,638.0	479.4	2,793.8		
Other Operating Expenses	862.0	975.0	893.4	1,067.8	1,076.5	1,726.4	1,045.9		
Capital Outlay	101.4	128.1	81.5	95.7	54.3	94.9	17.9		
Debt Service	0.5	0.3	0.4	0.1	0.3	5.7	0.1		
Other Outgo	7.7	5.6	7.7	5.5	7.7	5.5	5.3		
Transfers of Indirect Cost	<u>(27.3)</u>	<u>(23.2)</u>	<u>(27.0)</u>	<u>(22.3)</u>	<u>(31.6)</u>	<u>(24.9)</u>	<u>(30.4)</u>		
Total Expenditures	<u>\$7,810.3</u>	<u>\$7,730.3</u>	<u>\$8,452.7</u>	<u>\$8,166.0</u>	<u>\$9,701.5</u>	<u>\$9,294.1</u>	<u>\$11,664.3</u>		
Excess (Deficiency) of Revenue Over (Under) Expenditures	(439.3)	(138.7)	(240.6)	579.0	2,075.0	378.9	(869.6)		
Total Other Financing Sources (Uses)	(36.5)	(28.7)	286.6	226.8	(25.1)	94.2	4.6		
Change in Fund Balance	(475.7)	(167.4)	46.0	805.8	2,049.9	473.0	(865.0)		
Ending Balance	<u>\$1,535.1</u>	<u>\$2,049.5</u>	<u>\$1,912.7</u>	<u>\$2,855.3</u>	<u>\$4,764.3</u>	<u>\$3,328.3</u>	<u>\$2,702.6</u>		

TABLE A-4

LOS ANGELES UNIFIED SCHOOL DISTRICT
District General Fund Budget for Fiscal Years 2019-20 through 2023-24
Audited Actuals for Fiscal Years 2019-20 through 2021-22 and Unaudited Actuals for Fiscal Year 2022-23⁽¹⁾⁽²⁾⁽³⁾
(Continued)
(\$ in millions)

	Final Adopted Budget 2019-20	Audited Actuals 2019-20	Revised Adopted Budget 2020-21⁽⁴⁾	Audited Actuals 2020-21	Final Adopted Budget 2021-22	Audited Actuals 2021-22	Final Adopted Budget 2022-23	Unaudited Actuals 2022-23	Final Adopted Budget 2023-24⁽⁵⁾
Fund Balance⁽⁶⁾								[TO COME]	[TO COME]
Nonspendable	\$ 27.6	\$ 37.7	\$ 27.3	\$ 58.0	\$ 37.7	\$ 48.0	\$ 46.6		
Restricted	56.7	103.9	55.2	200.0	2,731.6	544.3	208.6		
Committed	87.6	87.6	--	--	--	--	1,491.3		
Assigned	618.0	1,248.9	568.2	1,064.1	592.1	1,596.0	351.6		
Reserved for Economic Uncertainties	79.0	79.0	85.2	92.0	97.7	199.9	234.1		
Undesignated/Unassigned	<u>666.3</u>	<u>492.4</u>	<u>1,176.8</u>	<u>1,441.3</u>	<u>1,305.3</u>	<u>940.2</u>	<u>370.4</u>		
	<u>\$1,535.1</u>	<u>\$2,049.5</u>	<u>\$1,912.7</u>	<u>\$2,855.3</u>	<u>\$4,764.3</u>	<u>\$3,328.3</u>	<u>\$2,702.6</u>		

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Includes the Regular Program and the Specially-Funded Programs.

⁽³⁾ Amounts set forth in Table A-4 reflect the "Estimated Amounts" in the District's budget for the respective fiscal year rather than the "Authorized Amount." Pursuant to the Education Code, school districts may not spend more than Authorized Amount in the Final Adopted Budget as adjusted during the fiscal year.

⁽⁴⁾ The District's original budget for fiscal year 2020-21 was adopted by the District Board on June 30, 2020. On August 25, 2020, the District Board adopted a revised budget for fiscal year 2020-21, which reflects the revised assumptions contained in the Governor's fiscal year 2020-21 State budget. Figures are based on the revised budget for fiscal year 2020-21.

⁽⁵⁾ Reflects the Fiscal Year 2023-24 Budget adopted by the District Board on June [], 2023. For information on subsequent revisions to the Fiscal Year 2023-24 Budget, see "– District Budget – Revisions to Fiscal Year 2023-24 Budget."

⁽⁶⁾ The nonspendable, restricted, committed, assigned, reserved for economic uncertainties and undesignated/unassigned general fund balances in millions of dollars for fiscal years 2010-11 through 2017-18 are as follows: \$10.4, 266.4, --, 147.0, 65.4, and 414.3, respectively, for fiscal year 2010-11; \$11.2, 186.6, --, 465.3, 65.4 and 96.4, respectively, for fiscal year 2011-12; \$18.5, 138.5, --, 370.4, 65.4 and --, respectively, for fiscal year 2012-13; \$19.6, 192.9, --, 336.4, 65.4 and 85.9, respectively, for fiscal year 2013-14; \$20.7, 126.5, --, 418.4, 65.4 and 188.8, respectively, for fiscal year 2014-15; \$31.1, 182.8, 218.3, 558.7, 72.4 and 247.0, respectively, for fiscal year 2015-16; \$23.5, 163.1, --, 783.9, 73.4, and 721.3, respectively, for fiscal year 2016-17; \$27.6, 135.8, --, 1,057.4, 75.4, and 714.7, respectively, for fiscal year 2017-18; and \$27.3, 114.6, 174.6, 916.1, 75.6, and 908.6, respectively, for fiscal year 2018-19.

Sources: Los Angeles Unified School District's Final Adopted Budgets for fiscal years 2019-20 through 2023-24; Audited Annual Financial Report for fiscal years 2019-20 through 2021-22; Unaudited Actuals for fiscal year 2022-23.

Historical Review of District General Fund Actual Revenues and Expenditures. The following Table A-5 sets forth the District's total revenues, total expenditures and the difference reflected in the actual results for fiscal years 1999-00 through 2022-22 and in the unaudited actuals for fiscal year 2022-23.

TABLE A-5

LOS ANGELES UNIFIED SCHOOL DISTRICT
Historical Review of District General Fund Audited Revenues and Expenditures for
Fiscal Years 1999-00 through 2021-22 and Unaudited Actuals for Fiscal Year 2022-23
(\$ in millions)

Fiscal Year	Total Revenues⁽¹⁾	Total Expenditures⁽²⁾	Difference
1999-00	\$ 5,076.21	\$ 5,124.65	\$ (48.44)
2000-01	5,686.88	5,680.87	6.01
2001-02	5,782.00	5,931.96	(149.96)
2002-03	6,090.76	6,094.08	(3.32)
2003-04	5,881.69	6,136.75	(255.06)
2004-05	6,461.93	6,436.35	25.58
2005-06	6,572.70	6,487.75	84.95
2006-07	6,994.08	6,733.36	260.72
2007-08	6,954.29	6,992.29	(38.00)
2008-09	6,764.50	6,671.80	92.70
2009-10	6,302.12	6,389.17	(87.05)
2010-11	6,428.93	6,193.37	235.56
2011-12	5,919.59	5,998.31	(78.72)
2012-13	5,722.96	5,955.05	(232.09)
2013-14	5,896.35	5,788.82	107.53
2014-15	6,452.84	6,333.28	119.56
2015-16	7,213.53	6,723.15	490.38
2016-17	7,292.27	6,837.31	454.96
2017-18	7,308.08	7,062.45	245.63
2018-19	7,788.71	7,582.63	206.08
2019-20	7,613.72	7,781.09	(167.37)
2020-21	9,010.00	8,204.19	805.82
2021-22	9,719.50	9,308.46	411.04
2022-23	[]	[]	[]

⁽¹⁾ Includes Other Financing Sources.

⁽²⁾ Includes Other Financing Uses.

Sources: Audited Annual Financial Report for fiscal years 1999-00 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals.

District Interim Financial Reports. A State law adopted in 1991 (known as "A.B. 1200") imposed financial reporting requirements on school districts and established guidelines for emergency State aid apportionments. Under the provisions of A.B. 1200 and the Education Code (Section 42100 *et. seq.*), each school district is required to file two interim certifications with the county superintendent of schools (on December 15, for the period ended October 31, and by mid-March for the period ended January 31) as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county superintendent of schools reviews the certification and issues either a positive, negative or qualified certification. In the past five fiscal years, the District has received a qualified certification for its first and second interim reports for fiscal year 2018-19 and its first interim report for fiscal year 2021-22.

A positive certification is assigned to any school district that, based on then current projections, will meet its financial obligations for the current fiscal year and the subsequent two fiscal years. A negative certification is assigned to any school district that, based on then current projections, will be unable to meet its financial obligations for the remainder of the fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that, based on then current projections, may not meet its financial obligations for the current fiscal year or the two subsequent fiscal years. A certification may be revised to a negative or qualified certification by the county superintendent of schools, as appropriate. A school district that receives a qualified or negative certification for its second interim report must provide to the county superintendent of schools, the State Controller and the Superintendent no later than June 1, financial statement projections of the school district's fund and cash balances through June 30 for the period ending April 30. Any school district that receives a qualified or negative certification in any fiscal year may not issue, in that fiscal year or in the next succeeding fiscal year, certificates of participation, tax and revenue anticipation notes, revenue bonds or any other debt instruments that do not require the approval of the voters of the school district, unless the county superintendent of schools determines that the school district's repayment of indebtedness is probable.

For school districts under fiscal distress, the county superintendent of schools is authorized to take a number of actions to ensure that the school district meets its financial obligations, including budget revisions. However, the county superintendent of schools is not authorized to approve any diversion of revenue from *ad valorem* property taxes levied to pay debt service on district general obligation bonds. A school district that becomes insolvent may, upon the approval of a fiscal plan by the county superintendent of schools, request an emergency appropriation from the State, in which case the county superintendent of schools, the Superintendent of Public Instruction and the president of the State board or the president's designee will appoint a trustee to serve the school district until it has adequate fiscal systems and controls in place. The acceptance by a school district of an emergency apportionment exceeding 200% of the reserve recommended for that school district constitutes an agreement that the county superintendent of schools will assume control of the school district in order to ensure the school district's return to fiscal solvency.

In the event the State elects to provide an emergency apportionment to a school district, such apportionment will constitute an advance payment of apportionments owed to the school district from the State School Fund and the Education Protection Account. The emergency apportionment may be accomplished in two ways. First, a school district may participate in a two-part financing in which the school district receives an interim loan from the State general fund, with the agreement that the school district will subsequently enter into a lease financing with the California Infrastructure and Economic Development Bank for purposes of financing the emergency apportionment, including repaying such amounts advanced to the State general fund. State law provides that so long as bonds from such lease financing are outstanding, the recipient school district (via its administrator) cannot file for bankruptcy. As an alternative, a school district may receive an emergency apportionment from the State general fund that must be repaid in 20 years. Each year, the Superintendent of Public Instruction will withhold from the apportionments to be made to the school district from the State School Fund and the Education Protection Account an amount equal to the emergency apportionment repayment that becomes due that year. The determination as to whether the emergency apportionment will take the form of a lease financing or an emergency apportionment from the State general fund will be based upon the availability of funds within the State general fund.

Employees and Labor Relations

General. The District has twelve bargaining units with existing contracts. The largest bargaining unit among the District's employees is United Teachers Los Angeles ("UTLA"), which is comprised of, among other employees, teachers, counselors, advisers, nurses, psychologists, and social workers. In

addition, certain employees are not represented by a formal bargaining unit (the “District Represented Employees”). The following Table A-6 sets forth the number of members of each bargaining unit as of [October 1, 2023], and the expiration dates of the existing or successor labor agreements with each of the District’s employee bargaining units.

TABLE A-6

LOS ANGELES UNIFIED SCHOOL DISTRICT
Employee Bargaining Units and Contract Expiration Dates
As of [October 1, 2023] [TO BE UPDATED PRIOR TO POS POSTING]

Employee Bargaining Unit	Members	Contract Expiration Date (June 30)
Associated Administrators of Los Angeles (“AALA”) (Certificated)	[3,032]	[2023]
Unit A (School Police)	[235]	[2023]
Unit B (Instructional Aides)	[11,992]	[2020 ⁽²⁾]
Unit C (Operations – Support Services)	[8,212]	[2020 ⁽²⁾]
Unit D (Office – Technical and Business Services)	[4,456]	[2023]
Unit E (Skilled Crafts)	[1,291]	[2020 ⁽²⁾]
Unit F (Teacher Assistants)	[1,814]	[2020 ⁽²⁾]
Unit G (Playground Aides)	[6,509]	[2020 ⁽²⁾]
Unit H (Sergeants and Lieutenants)	[46]	[2023]
Unit J (Classified Management)	[365]	[2021 ⁽²⁾]
Unit S (Classified Supervisors)	[3,110]	[2023]
United Teachers Los Angeles	[35,357]	[2022 ⁽²⁾]
District Represented Employees ⁽¹⁾	[530]	N/A

⁽¹⁾ District-represented employees include employees that are not represented by a union due to their designation as management, confidential or unrepresented employees. Does not include unrepresented seasonal employees.

⁽²⁾ The District and the applicable bargaining unit are operating under the terms of the expired contract until a new contract is negotiated with such bargaining unit.

Source: Los Angeles Unified School District Office of Labor Relations.

[TO BE UPDATED PRIOR TO POS POSTING]Negotiations Regarding Labor Contracts.

UTLA and the District reached a three-year agreement for fiscal years 2019-20 through 2021-22 (the “UTLA Agreement”). Under the UTLA Agreement, UTLA had the option to reopen negotiations regarding salary in fiscal years 2020-21 and 2021-22. In September 2021, the District and UTLA reached an agreement on its reopener negotiations for fiscal year 2021-22, which includes a 5% on-schedule salary increase effective July 1, 2021, a \$2,000 one-time, off-schedule salary stipend, and a \$500 off-schedule technology stipend for fiscal year 2021-22. The District and UTLA have commenced negotiations for a successor contract for fiscal years 2022-23 through 2024-25.

SEIU Local 99 (Units B, C, F and G) and the District reached a three-year agreement for fiscal years 2017-18 through 2019-20 agreement (the “SEIU Agreement”). The SEIU Agreement provided for an economic reopener in fiscal year 2019-20. In June 2021, the District and SEIU came to agreement for their fiscal year 2019-20 reopener agreement which provided a \$1.00 per hour increase for all bargaining unit members and a \$750 lump-sum payment. The District and SEIU have commenced negotiations for a successor contract for fiscal years 2020-21 through 2022-23.

AALA (Certificated Administrators) and the District reached a three-year agreement for fiscal years 2020-21 through 2022-23 (the “AALA Agreement”). Pursuant to the AALA Agreement, AALA and the District agreed to a 5% salary increase, retroactive to July 1, 2021. The AALA Agreement

provides for a reopener for three unspecified articles in fiscal year 2022-23. The District and AALA have not commenced reopener negotiations for fiscal year 2022-23.

CSEA (Unit D – Technical and Business Services) and the District reached a three-year agreement for fiscal years 2020-21 through 2022-23 (the “CSEA Agreement”). Pursuant to the CSEA Agreement, CSEA and the District agreed to a 5% salary increase, retroactive to July 1, 2021. The CSEA Agreement also increases the salary for licensed vocational nurses by \$7,000. Due to the timing of the CSEA Agreement, the financial impact of the CSEA Agreement was not reflected in the Fiscal Year 2023-24 Budget, but it was subsequently reflected in the revisions to the Fiscal Year 2023-24 Budget presented to the District Board in August 2022. For more information on the impact of the CSEA Agreement on the Fiscal Year 2023-23 Budget, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above. The CSEA Agreement provides for a reopener for three articles – wages and salaries, vacation, and telecommuting – in fiscal year 2022-23. CSEA has requested to commence reopener negotiations for fiscal year 2022-23.

Teamsters (Unit S – Classified Supervisors) and the District reached a three-year agreement for fiscal years 2020-21 through 2022-23 (the “Teamsters Agreement”). Pursuant to the Teamsters Agreement, Teamsters and the District agreed to a \$1.00 per hour salary increase for all bargaining unit members, retroactive to July 1, 2019, and a 5% salary increase, retroactive to July 1, 2021. The Teamsters Agreement provides for a reopener for two articles – wages and salaries and health and welfare negotiating alternatives to retiree benefits – in fiscal year 2022-23. Teamsters has requested to commence reopener negotiations for fiscal year 2022-23.

LASPA (Unit A – School Police) and the District reached a three-year agreement for fiscal years 2020-21 through 2022-23 (the “LASPA Agreement”). Pursuant to the LASPA Agreement, LASPA and the District agreed to a 5% salary increase, retroactive to July 1, 2021. The LASPA Agreement provides for a reopener for three unspecified articles in fiscal year 2022-23. LASPA has not yet requested to commence reopener negotiations for fiscal year 2022-23. LASPA and the District are currently in dispute over LASPA’s assertion that they are entitled to a \$1.00 per hour increase for fiscal year 2019-20.

LASPMA (Unit H – School Police Management) and the District reached a three-year agreement for fiscal years 2020-21 through 2022-23 (the “LASPMA Agreement”). Pursuant to the LASPMA Agreement, LASPA and the District agreed to a 5% salary increase, retroactive to July 1, 2021. The LASPMA Agreement provides for a reopener for three unspecified articles in fiscal year 2022-23. LASPMA has not yet requested to commence reopener negotiations for fiscal year 2022-23.

Trades (Unit E) and the District reached an agreement for fiscal year 2019-20 (the “Trades Agreement”). The Trades Agreement contained a limited reopener for those bargaining unit members who did not receive an adjustment for economic inequities for fiscal year 2019-20. The District and Trades have not yet begun negotiations for a successor contract.

AALA (Unit J – Classified Managers) and the District reached a three-year agreement for fiscal years 2018-19 through 2020-21. The District and AALA have commenced negotiations for a successor contract for fiscal years 2021-22 through 2023-24.

Employees that are classified as “District-represented” are not a formal bargaining unit, but the District Board approved a 5% salary increase retroactive to July 1, 2021 for such employees on June 14, 2022. Due to the timing of such approval, the financial impact of such salary increases for District-represented employees was not reflected in the Fiscal Year 2023-24 Budget, but it was subsequently reflected in the revisions to the Fiscal Year 2023-24 Budget presented to the District Board in August 2022. For more information on the impact of the salary increases for District-represented employees on

the Fiscal Year 2023-23 Budget, see “– District Budget – *Revisions to Fiscal Year 2023-24 Budget*” above.

[DISTRICT TO REVIEW/UPDATE] Health and Welfare Agreement. The District initially entered into a three-year agreement with all of its bargaining units regarding health and welfare benefits for calendar years 2018 through 2020, which was extended through December 31, 2021 (the “Prior Health and Welfare Agreement”). In August 2022, the District and its bargaining units agreed to a new health and welfare benefits agreement (the “Health and Welfare Agreement”) for calendar years 2022 and 2023. The Health and Welfare Agreement provides over \$1.1 billion annually for health and welfare benefits and provides resources for health care coverage to continue in the same manner for current employees and retirees. Pursuant to the Health and Welfare Agreement, the District’s per-participant contribution in 2022 will remain consistent with 2021 levels, but the per-participant contribution in 2023 will increase. Accordingly, the District estimates that the overall financial impact to the District of the Health and Welfare Agreement will increase its budgeted health and welfare costs by approximately \$8.60 million in fiscal year 2022-23, \$17.16 million in fiscal year 2023-24, and \$16.81 million in fiscal year 2024-25 compared to what was included in the Fiscal Year 2023-24 Budget. Under both the Prior Health and Welfare Agreement and the Health and Welfare Agreement, any amounts in excess of \$100 million in the health care reserves in the current calendar year will, at the District’s discretion, be transferred to the District’s General Fund or used to offset the District’s contribution levels for future years. In accordance with the Prior Health and Welfare Agreement, the District transferred \$227 million to the District’s General Fund in February 2021. As of June 30, 2022 and June 30, 2023, the District had \$[] million and \$[] million (unaudited), respectively, in health care reserves. [Given the current balance of the District’s health care reserves, it is not expected that such balance will sufficiently exceed \$100 million in order to warrant a transfer to the District’s General Fund at the close of calendar year 2022.] Nonetheless, the District continues to revise and refine its financial projections as additional information becomes available.

[DISTRICT TO REVIEW/UPDATE] Reduction in Force and Release Notices. In general, pursuant to Sections 44949 and 44951 of the Education Code, the District must give written notice to a certificated employee no later than March 15 if such certificated employee is to be released or reassigned for the ensuing school year. Similarly, pursuant to Section 45117 of the Education Code, the District must give written notice to a classified employee no later than March 15 if such classified employee is to be laid off for the ensuing school year. Further, pursuant to Sections 44955.5 and 45117(d) of the Education Code (as applicable), the District Board has the authority to terminate the services of certificated and classified employees between the period commencing five days after the enactment of the annual State Budget Act and August 15 of the fiscal year to which the State Budget Act applies if the District’s LCFF apportionment per unit of ADA has not increased by at least 2% for such fiscal year.

In order to provide flexibility in the event budget reductions are necessary in a given fiscal year, the District Board may approve the use of Reduction in Force and Release Notices for a portion of its certificated and classified employees. [On February 8, 2022, the District Board authorized Reduction in Force and Release Notices to be sent no later than March 15, 2022 for all certificated contract level management, senior management employees of the classified service with expiring contracts, all non-permanent and selected permanent certificated administrators, supervisory employees, confidential employees and all non-school based administrators in specified positions and at least 45 days prior to June 30, 2022 to senior management employees of the classified service with expiring contracts informing them that they may be released or reassigned for fiscal year 2022-23, and authorizing staff to send subsequent notices by June 30, 2022, to employees who were sent notices on March 15, 2022 and have been identified for actual release. While notices of release and reassignment were sent to certain certificated and classified personnel in 2022, no layoffs of certificated or classified personnel occurred for fiscal year 2022-23.]

Retirement Systems

General. The District currently participates in CalSTRS, CalPERS and PARS (defined herein). The amounts of the District’s contributions to CalSTRS, CalPERS and PARS are subject to, among other things, modifications to or approvals of collective bargaining agreements and any changes in actuarial assumptions used by CalSTRS, CalPERS and PARS.

The information set forth below regarding CalSTRS and CalPERS and their respective actuarial valuations and comprehensive annual financial reports has been obtained from publicly available sources and has not been independently verified by the District and is not guaranteed as to the accuracy or completeness thereof by or to be construed as a representation by the District. Furthermore, the summary data below should not be read as current or definitive, as recent gains or losses on investments made by the retirement systems generally may have changed the unfunded actuarial accrued liabilities stated below.

The following Table A-7 sets forth the District’s aggregate contributions to CalSTRS, CalPERS and PARS, inclusive of employee contributions to CalPERS paid by the District, for fiscal years 2019-20 through 2022-23 and the budgeted contribution for fiscal year 2023-24 and these contributions as a percentage of the District’s Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. See Table A-8 “Annual Regular CalSTRS Contributions,” Table A-10 “Annual CalPERS Regular Contributions” and Table A-13 “Annual PARS Contribution.” See also the District’s financial statements for fiscal year 2021-22 contained in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022.”

TABLE A-7

LOS ANGELES UNIFIED SCHOOL DISTRICT
Aggregate Employer Contributions to CalSTRS, CalPERS and PARS
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	\$755.3	7.35%
2020-21	762.3	7.06
2021-22	869.2	7.12
2022-23 ⁽²⁾	[]	[]
2023-24 ⁽³⁾	[]	[]

⁽¹⁾ Reflects data for all District Funds, including the District’s General Fund. Excludes on-behalf payments from the State to CalSTRS and CalPERS.

⁽²⁾ Unaudited.

⁽³⁾ Budgeted.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California State Teachers’ Retirement System. CalSTRS is a defined benefit plan that covers all full-time certificated District employees and some classified District employees, which are District employees employed in a position that does not require a teaching credential from the State. Benefit provisions are established by State legislation in accordance with the State Teachers’ Retirement Law. CalSTRS is operated on a Statewide basis and, based on publicly available information, has substantial unfunded liabilities. Additional funding of CalSTRS by the State and the inclusion of adjustments to such

State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282. Copies of the CalSTRS' comprehensive annual financial report may be obtained from CalSTRS, P.O. Box 15275, Sacramento, California 95851-0275. The information presented in these reports is not incorporated by reference in this Official Statement.

Member benefits are determined pursuant to the Education Code and are generally based on a member's age, final compensation and years of credited service. Members are 100% vested in retirement benefits after five years of credited service and are eligible for "normal" retirement at age 60 and for early retirement at age 55 or at age 50 with 30 years of credited service. The normal retirement benefit is 2% of final compensation (as defined in the Education Code) for each year of credited service (up to 2.4% of final compensation for members retiring after age 60), and members who retire on or after January 1, 2011 with 30 or more years of service by December 31, 2010 receive monthly bonus payments of up to \$400 per month. Members hired on or after January 1, 2013 who retire at age 62 are eligible for a benefit equal to 2% of final compensation for each year of credited service (up to 2.4% of final compensation for members retiring after age 62). Benefits include a 2% cost of living increase (computed on a simple, non-compounded, basis based on the initial allowance) on each September 1 following the first anniversary of the effective date of the benefit. See "*California Public Employees' Pension Reform Act of 2013*" herein and Note 9 set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022."

[TO BE UPDATED WHEN FYE 2023 RATES ADOPTED BY STRS BOARD.] Funding: *Contributions.* The CalSTRS defined benefit plan (the "DB Plan") is funded through a combination of investment earnings and statutorily set contributions from members of CalSTRS, the participating employers (including the District) and the State. Prior to fiscal year 2014-15, the statutorily-set rate did not vary annually to adjust for funding shortfalls or actuarial surpluses. As a result, the combined employer, employee and State contributions to the DB Plan were not sufficient to pay actuarially required amounts. To address the shortfall, Assembly Bill 1469 ("AB 1469"), signed into law by the Governor as part of the State budget for fiscal year 2014-15, increased member, employer and State contributions as part of a plan to eliminate by June 30, 2046, CalSTRS' unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014.

Pursuant to AB 1469, since fiscal year 2021-22, the State Teachers' Retirement Board is authorized to modify the percentages paid by employers and employees to eliminate by June 30, 2046, CalSTRS' unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations and subject to certain limitations. The State Teachers' Retirement Board may not increase the employer contribution rate by more than 1% in any fiscal year up to a maximum contribution rate of 20.25%. The State Teachers' Retirement Board may also adjust the State's contribution rate by a maximum of 0.5% from year to year, based on the funding status of the CalSTRS actuarially determined unfunded liability. A decrease in investment earnings may result in increased employer contribution rates in order to timely eliminate by June 30, 2046, CalSTRS' unfunded liability for service credited to members of the CalSTRS defined benefit program before July 1, 2014, based upon actuarial recommendations. The District cannot predict the impact of State, national, and international events on investment earnings and contribution rates or the amount the District will be required to pay for pension related costs in future fiscal years.

The State is not an employer (with certain limited exceptions) in any of the CalSTRS programs but contributes to the DB Plan and a supplemental benefits maintenance account pursuant to provisions of the Education Code. For fiscal year 2022-23, the State contributed 8.328% of members' annual earnings to the DB Plan and an additional 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account, which is used to maintain the purchasing power of benefits. The State's contribution rate for fiscal year 2023-24 is expected to be 8.328% of members' annual earnings to the DB

Plan and an additional payment of 2.5% of member earnings into the CalSTRS supplemental benefit maintenance account.

The District's employer contribution rate for fiscal year 2022-23 was 19.10% of covered payroll. The District's employer contribution rate for fiscal year 2023-24 is expected to be approximately 19.10% of covered payroll. The District's employer contribution rate is inclusive of the employer base contribution of 8.25% of payroll provided by the Education Code.

The employee contribution rate for CalSTRS members first hired on or before December 31, 2012 to perform CalSTRS creditable activities (i.e., CalSTRS 2% at 60 members) was 10.25% for fiscal years 2016-17 through 2022-23 and is expected to remain at 10.25% for fiscal year 2023-24. The employee contribution rate for CalSTRS members first hired on or after January 1, 2013 to perform CalSTRS creditable activities (i.e., CalSTRS 2% at 62 members) was 9.205% for fiscal years 2016-17 and 2017-18, 10.205% for fiscal years 2018-19 through 2022-23, and is expected to remain at 10.205% for fiscal year 2023-24.

The following Table A-8 sets forth the District's regular annual contributions to CalSTRS for fiscal years 2019-20 through 2022-23 and the budgeted contribution for fiscal year 2023-24 and such contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. The District has always paid all required CalSTRS annual contributions. As of June 30, 2023, [] (unaudited) District employees were members of CalSTRS.

TABLE A-8

LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual Regular CalSTRS Contributions
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	CalSTRS Employer Rate	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	17.10%	\$509.0	4.95%
2020-21	16.15	497.7	4.61
2021-22	16.92	563.9	4.62
2022-23 ⁽²⁾	19.10	[]	[]
2023-24 ⁽³⁾	[19.10]	[]	[]

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund. Excludes on-behalf payments from the State to CalSTRS.

⁽²⁾ Unaudited.

⁽³⁾ Budgeted.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. The State Teachers' Retirement Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the DB Plan. CalSTRS actuarial consultant (the "Actuarial Consultant") determines the actuarial value of the DB Plan's assets by using a one-third smoothed recognition method of the difference between the actual market value of assets to the expected actuarial value of assets. Accordingly, the actuarial value of assets will not reflect the entire impact of

certain investment gains or losses on an actuarial basis as of the date of the valuation or legislation enacted subsequent to the date of the valuation.

The actuarial valuation for the entire CalSTRS defined benefit program as of June 30, 2022 (the “2022 CalSTRS Actuarial Valuation”) showed an estimated unfunded actuarial liability of \$88.6 billion, a decrease of approximately \$1.2 billion from the June 30, 2021 valuation. Such estimated unfunded actuarial liability was projected to increase in the June 30, 2021 valuation, which projected an unfunded actuarial liability of \$89.8 billion as of June 30, 2022. The actual unfunded actuarial liability as of June 30, 2022 represents a net actuarial gain of approximately \$1.3 billion. Such net actuarial gain is due primarily to member salary increases being more than assumed and market value returns (estimated at negative 2.4%) being less than assumed (7.0%). The funded ratios of the actuarial value of valuation assets over the actuarial accrued liabilities as of June 30, 2022 and June 30, 2021, based on the actuarial assumptions, were approximately 74.4% and 73.0%, respectively. According to the 2022 CalSTRS Actuarial Valuation, the funded ratio increased by 1.4% during the past year. As described in the 2022 CalSTRS Actuarial Valuation, the increase in the funded ratio is primarily due to the recognition of deferred investment gains from prior fiscal years that were used to offset the reported negative 2.4% return on investments on the market value of assets for fiscal year 2021-22, which is CalSTRS’ first negative return on investments since fiscal year 2008-09. Other factors contributing to such increase include the additional State contributions made in the prior fiscal years and contributions to pay down the unfunded actuarial liability under the State Teachers’ Retirement Board’s valuation policy. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases. The District cannot predict the impact of State, national, and international events on investment returns and employer contribution rates or the amount the District will be required to pay for pension related costs. Accordingly, there can be no assurances that the District’s required contributions to CalSTRS will not increase in the future, subject to the limitations of AB 1469.

The following are certain of the actuarial assumptions set forth in the 2022 CalSTRS Actuarial Valuation: measurement of accruing costs by the “Entry Age Normal Actuarial Cost Method,” an assumed 7.00% investment rate of return for measurements subsequent to June 30, 2016, 3.00% interest on member accounts, 3.50% projected wage growth, and 2.75% projected inflation and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions and other experience that may differ from the actuarial assumptions used for the CalSTRS valuation. The 2022 CalSTRS Actuarial Valuation also assumes that all members hired on or after January 1, 2013 are subject to the provisions of PEPPRA (as defined herein). See “— *California Public Employees’ Pension Reform Act of 2013*” below for a discussion of the pension reform measure signed by the Governor in September 2012 expected to help reduce future pension obligations of public employers with respect to employees hired on or after January 1, 2013.

The CalSTRS Comprehensive Annual Financial Report for fiscal year 2021-22 (the “2021-22 CalSTRS CAFR”) states that during fiscal year 2021-22, CalSTRS included 38,528 covered employees of the District in its State Teachers’ Retirement Program and 3,485 covered employees of the District in its tax-deferred defined contribution plans under Sections 403(b) and 457 of the Internal Revenue Code (the “Pension2 Program”). Accordingly, covered employees of the District represented approximately 7.60% and 11.80% of covered employees in the State Teachers’ Retirement Program and Pension2 Program, respectively.

The UAAL and funded status of the CalSTRS pension fund as of June 30 of fiscal years ended June 30, 2018 through June 30, 2022 are set forth in the following Table A-9. The fair market value of the CalSTRS pension fund as of June 30, 2021 and June 30, 2022 was approximately \$271.95 billion and

\$260.29 billion, respectively, based on total system assets less amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve. The individual funding progress for the District and the District's proportionate share of CalSTRS' net pension liability is set forth in the District's audited financial statements. See "*Pension Accounting and Financial Reporting Standards*" herein and APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022."

TABLE A-9

Actuarial Value of CalSTRS Defined Benefit Program
Valuation Dates June 30, 2018 through June 30, 2022
(\$ in billions)

Valuation Date (June 30)	Actuarial Obligation	Actuarial Value of Assets⁽¹⁾	Market Value of Assets	Unfunded Actuarial Obligation	Funded Ratio (Actuarial Value)	Funded Ratio (Fair Market Value)
2018	\$297.603	\$190.451	\$211.367	\$107.2	64.0%	65.7%
2019	310.719	205.016	225.466	105.7	66.0	67.0
2020	322.127	216.252	233.253	105.9	67.1	66.5
2021	332.082	242.363	292.980	89.7	73.0	81.9
2022	346.089	257.537	283.340	88.6	74.4	75.2

⁽¹⁾ Actuarial Value of Assets does not include amounts allocable to the CalSTRS Supplemental Benefits Maintenance Account Reserve which was approximately \$15.76 billion as of June 30, 2018, \$17.38 billion as of June 30, 2019, \$19.13 billion as of June 30, 2020, \$21.03 billion as of June 30, 2021, and \$23.05 billion as of June 30, 2022.

Sources: California State Teachers' Retirement System Defined Benefit Program Actuarial Valuations as of June 30, 2018 through June 30, 2022.

District Proportionate Share. As of June 30, 2021, the District's proportionate share of CalSTRS' net pension liability was approximately \$2.7 billion, based on a discount rate of 7.10%. The net pension liability was measured as of June 30, 2021, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the fiscal year 2020-21 employer contributions calculated by CalSTRS with consideration given to separately financed and irregular employer contributions relative to the projected contributions of all participating employer and non-employer contributing entities. At June 30, 2021, the District's proportionate rate was 5.568%. The District's proportionate share of the CalSTRS net pension liability was projected to be approximately \$355.9 million if the discount rate was increased to 8.1% and approximately \$5.2 billion if the discount rate was decreased to 6.1%. See Note 9(b) of the District's financial statements in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022."

California Public Employees' Retirement System. CalPERS is a defined benefit plan that covers classified personnel who work four or more hours per day. CalPERS is operated on a Statewide basis and, based on publicly available information, has significant unfunded liabilities. CalPERS issues a comprehensive annual financial report and actuarial valuations that include financial statements and required supplementary information. Copies of the CalPERS CAFR and actuarial valuations may be obtained from the CalPERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information set forth therein is not incorporated by reference in this Official Statement. Benefit provisions are established by State legislation in accordance with the Public Employees' Retirement Law and are generally based on a member's age, final compensation, and years of credited service. For a description of member benefits for both the Safety Plan and Miscellaneous Plan of the

District administered by CalPERS, see Note 9(a) set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022.”

Funding: Contributions. All qualifying classified employees of K-12 school districts in the State are members in CalPERS. All school districts contributing to CalPERS participate in the same plan and share the same contribution rate in each year. However, unlike contributions to CalSTRS, which incrementally increase at statutorily set rates, school districts’ contributions to CalPERS fluctuate each year and include a normal cost component and a component equal to an amortized amount of the unfunded liability of CalPERS. Accordingly, the District cannot provide any assurances that the District’s required contributions to CalPERS in future years will not significantly vary from any current projected levels of contributions to CalPERS.

CalPERS is funded by employee contributions and investment earnings, with the balance of the funding provided by employer contributions. School districts’ contributions decrease when investment earnings rise and increase when investment earnings decline. As a result, declines in investment earnings may result in substantial increases in school district contributions. The District cannot make any predictions as to the effect of State, national or international events on investment earnings and school district contributions. Participating employees enrolled in CalPERS prior to January 1, 2013 contribute 7.00% of their respective salaries, while participating employees enrolled after January 1, 2013 contribute the higher of fifty percent of normal costs of benefits or an actuarially determined rate of 8.00% in fiscal year 2022-23, which is expected to remain at 8.00% in fiscal year 2023-24. School districts are required to contribute to CalPERS at an actuarially determined rate, which was originally 20.733% and 22.68% of eligible salary expenditures for fiscal years 2019-20 and 2020-21, respectively. However, the employer contribution rate for fiscal year 2019-20 was reduced to 19.721% as a result of the State’s buydown of employer contribution rates in fiscal year 2019-20. Similarly, the fiscal year 2020-21 State budget allocated funding to buy down employer contribution rates in fiscal years 2020-21 and 2021-22 to approximately 20.70% and 22.91%, respectively. The actuarially determined rate for employer contributions was 25.37% for fiscal year 2022-23 and is [26.68]% for fiscal year 2023-24. For a description of employer and member contribution rates, see Note 9(a) set forth in APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022.”

The following Table A-10 sets forth the District’s employer contribution rates, regular annual contributions, inclusive of employee contributions paid by the District to CalPERS for fiscal years 2019-20 through 2022-23 and the budgeted contribution for fiscal year 2023-24 and such contributions as a percentage of the District’s Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. The District has always paid all required CalPERS annual contributions. As of June 30, 2023, [] (unaudited) District employees were members of CalPERS.

TABLE A-10
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual CalPERS Regular Contributions
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	CalPERS Employer Rate (Miscellaneous)	CalPERS Employer Rate (Safety)	District Contributions⁽¹⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	19.721%	43.059%	\$239.1	2.33%
2020-21	20.700	47.268	257.3	2.38
2021-22	22.910	48.900	298.4	2.44
2022-23 ⁽²⁾	25.370	[50.130]	[]	[]
2023-24 ⁽³⁾	[26.680]	[]	[]	[]

⁽¹⁾ Reflects data for all District Funds, including the District's General Fund.

⁽²⁾ Unaudited.

⁽³⁾ Budgeted.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Actuarial Valuation. Since the June 30, 2015 valuation, CalPERS has employed an amortization and smoothing policy that apportions all gains and losses over a fixed 30-year period with the increases or decreases in the rate spread directly over a five-year period. In contrast, the previous policy spread investment returns over a 15-year period with experience gains and losses spread over a rolling 30-year period. The amounts of the pension/award benefit obligation or UAAL will vary from time to time depending upon actuarial assumptions, and actual rates of return on investments, salary scales, and levels of contribution. See Table A-11 – “Actuarial Value of Schools Portion of CalPERS – Historical Funding Status” herein.

[TO BE UPDATED WHEN FULL VALUATION AVAILABLE; CURRENTLY ONLY SUMMARY AVAILABLE.] The CalPERS Schools Pool Actuarial Valuation as of June 30, 2022 (the “2022 CalPERS Schools Pool Actuarial Valuation”), which has not been released in full, was presented in summary form to the CalPERS Board on April 17, 2023. Such summary reported an actuarial accrued liability of approximately \$117.0 billion with the market value of assets at approximately \$79.4 billion, and a funded status of approximately 67.9%. From June 30, 2021 to June 30, 2022, the funded status of the CalPERS Schools Pool decreased by approximately 10.4%, and the unfunded accrued liability increased by approximately \$13.6 billion, largely due to the difference between the expected and actual rate of return on investments.

CalPERS reported a negative 7.50% (before recognition of administrative expenses) return on investments for fiscal year 2021-22, which is CalPERS' first negative return on investments since fiscal year 2008-09. The negative 7.50% return on investments was less than the assumed annual rate of return on investments of 6.80%. Such negative return generated an actuarial investment loss of approximately \$12.40 billion, which will be amortized over 20 years with a five-year phase in, increasing the component of the expected employer contribution rate related to the unfunded liability contribution in fiscal year 2023-24 by 1.69% of payroll. Due to the five-year phase in, the component of the employer contribution rate related to the unfunded liability contribution will increase each year until it reaches an estimated 7.60% of payroll in fiscal year 2027-28. CalPERS, however, does not currently project that the total expected employer contribution rate will increase by 7.60% over the next five years, because the

employer contribution rate consists of other components, which are affected by investment and non-investment factors, that are currently expected to offset, to some extent, the impact of the five-year phase in. Persistent negative returns on investments may result in increased employer contribution rates above the current level of expected increases reflected in the 2022 CalPERS Schools Pool Actuarial Valuation. The District cannot predict the impact of State, national, and international events on investment returns and employer contribution rates. Accordingly, there can be no assurances that the District's required contributions to CalPERS will not significantly increase in the future.

The 2022 CalPERS Schools Pool Actuarial Valuation as summarized assumes, among other things, 2.30% inflation and payroll growth of 2.80% compounded annually. The 2022 CalPERS Schools Pool Actuarial Valuation as summarized reflects a discount rate of 6.80% compounded annually (net of administrative expenses) as of June 30, 2022. The CalPERS Board adopted new demographic assumptions on November 17, 2021, including a reduction in the discount rate from 7.00% as of June 30, 2020 to 6.80% as of June 30, 2021, a reduction in the inflation assumption from 2.50% as of June 30, 2020 to 2.30% as of June 30, 2021, and an increase in payroll growth from 2.75% as of June 30, 2020 to 2.80% as of June 30, 2021. Such assumption changes result in increases in both the normal cost and unfunded liabilities contributions to be paid in the future. The actuarial funding method used in the 2022 CalPERS Schools Pool Actuarial Valuation is the "Entry Age Normal Cost Method." The UAAL and funded status of the Schools portion of CalPERS as of June 30 of fiscal years ended June 30, 2018 through June 30, 2022 are set forth in the following Table A-11.

TABLE A-11

**Actuarial Value of Schools Portion of CalPERS
Historical Funding Status
Valuation Dates June 30, 2018 through June 30, 2022
(\$ in millions)**

Valuation Date (June 30)	Actuarial Accrued Liabilities	Market Value of Assets (MVA)	Funded Status (MVA)	Unfunded Liabilities/ (Surplus) (MVA)	Projected Payroll for Determining Contributions	Unfunded Liability/ (Surplus) as a % of Payroll
2018	\$92,071	\$64,846	70.4%	\$27,225	\$14,234	191.3%
2019	99,528	68,177	68.5	31,351	14,844	211.2
2020	104,062	71,400	68.6	32,662	15,295	213.6
2021	110,507	86,519	78.3	23,988	15,181	158.0
2022	[116,982]	[79,386]	[67.9]	[37,596]	[16,731]	[224.7]

Source: CalPERS Schools Pool Actuarial Valuation as of June 30, 2022.

District Proportionate Share. As of June 30, 2022, the District reported a net pension liability of \$1.6 billion for its proportionate share of the net pension liability of the Miscellaneous Plan. The net pension liability of the Miscellaneous Plan was measured by CalPERS as of June 30, 2021, and the total pension liability for the Miscellaneous Plan used to calculate the net pension liability was determined by CalPERS pursuant to an actuarial valuation as of June 30, 2020 rolled forward to June 30, 2021 using standard update procedures. The District's proportion of the net pension liability was based on the fiscal year 2020-21 employer contributions calculated by CalPERS. As of June 30, 2022, the District's proportion of the CalPERS net pension liability was approximately 7.85%. See "– Pension Accounting and Financial Reporting Standards" herein and Note 9(a) to the audited financial statements of the District contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022."

[TO BE UPDATED WHEN FYE 2022 VALUATION AVAILABLE.] *[Safety Plan Actuarial Valuation; Net Pension Liability.* The CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2021 uses the “Entry Age Normal Cost Method” as the actuarial funding method and assumes, among other things, a 6.8% investment rate of return (net of administrative expenses), projected annual salary increases based on category, entry age, and duration of service, projected inflation of 2.30% and projected payroll growth of 2.80%.] The UAAL and funded status of the District’s Safety Plan, which is an individual component of CalPERS, as of June 30 of fiscal years ended June 30, 2018 through June 30, 2022, are set forth in the following Table A-12. As of June 30, 2022, the District’s net pension liability under the CalPERS Safety plan was \$[] million.

TABLE A-12

CalPERS Actuarial Value of LAUSD Safety Plan⁽¹⁾
Historical Funding Status
Valuation Dates June 30, 2018 through June 30, 2022
(\$ in millions)

Valuation Date (June 30)	Accrued Liability	Market Value of Assets⁽²⁾	Unfunded Liability	Funded Ratio	Annual Covered Payroll
2018	\$414.6	\$301.3	\$113.3	72.7%	\$32.2
2019	438.7	320.7	118.0	73.1	33.7
2020	459.1	335.9	123.2	73.2	33.3
2021	479.3	412.9	66.4	86.1	26.2
2022	[]	[]	[]	[]	[]

⁽¹⁾ Reflects information relating to the District’s Safety Plan and does not include information relating to the Miscellaneous Plan. Actuarial information relating to the historical funding status of the District’s Miscellaneous Plan is not available from CalPERS as a separate report but is incorporated in the combined schools portion of CalPERS’ pension fund as set forth in Table A-11 above.

⁽²⁾ CalPERS no longer uses an actuarial value of assets and only uses the market value of assets.

Source: CalPERS Safety Plan of the Los Angeles Unified School District (Employer # 3614620780) Annual Valuation Report as of June 30, 2022.

Public Agency Retirement System. On July 1, 1992, the District joined the Public Agency Retirement System (“PARS”), a multiple-employer retirement trust. This defined contribution plan covers the District’s part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax. Benefit provisions and other requirements are established by District management based on agreements with various bargaining units. The District is unable to predict the amount of the contributions which the District may be required to make to PARS in the future. Accordingly, there can be no assurances that the District’s required contributions to PARS will not significantly increase in the future above current levels. The District has always paid all required PARS annual contributions.

The following Table A-13 sets forth the District's annual contributions to PARS for fiscal years 2019-20 through 2022-23 and the budgeted annual contribution to PARS for fiscal year 2023-24, and the contributions as a percentage of the District's Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. As of June 30, 2023, [] (unaudited) active District employees were members of PARS.

TABLE A-13
LOS ANGELES UNIFIED SCHOOL DISTRICT
Annual PARS Contribution
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	District Contributions⁽¹⁾⁽²⁾	District Contribution as Percentage of Total Governmental Funds Expenditures
2019-20	\$7.2	0.07%
2020-21	7.3	0.07
2021-22	6.9	0.06
2022-23 ⁽³⁾	[]	[]
2023-24 ⁽⁴⁾	[]	[]

(1) Reflects payments to PARS for pension costs associated with the District's regular and specially funded programs.

(2) Includes amounts related to prior years' PARS contributions.

(3) Unaudited.

(4) Budgeted.

Sources: Audited Annual Financial Report for fiscal years 2019-20 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

California Public Employees' Pension Reform Act of 2013. In September 2012, the Governor approved Assembly Bill 340, the California Public Employees' Pension Reform Act of 2013 ("PEPRA"). Among other things, PEPRA establishes new retirement formulas for employees hired on or after January 1, 2013 ("PEPRA Employees") and prohibits public employers from offering defined benefit pension plans to PEPRA Employees that exceed the benefits provided thereunder. PEPRA increases the retirement age for new State, school, city and local agency employees depending on job function and limits the annual CalPERS and CalSTRS pension benefit payouts. PEPRA applies to all public employers except the University of California, charter cities and charter counties. However, PEPRA is applicable to those entities which contract with CalPERS.

PEPRA mandates equal sharing of normal costs between a contracting agency or school employer and their employees and that employers not pay any of the required employee contribution. However, PEPRA limits the contribution to an amount not in excess of 8% of pay for local miscellaneous or school members, not more than 12% of pay for local police officers, local firefighters, and county peace officers, and not more than 11% of pay for all local safety members. PEPRA requires employers to complete a good faith bargaining process as required by law prior to implementing changes regarding the contribution requirements. The contribution requirements of PEPRA went into effect on January 1, 2018. See "*California State Teachers' Retirement System*" and "*California Public Employees' Retirement System*" herein.

In addition, PEPRA amends existing laws to redefine final compensation for purposes of pension benefits for PEPRA Employees. Further, PEPRA permits certain public employers who have offered a lower defined benefit retirement plan before January 1, 2013 to continue to offer such plan to PEPRA

Employees. However, if a public employer adopts a new defined benefit plan on or after January 1, 2013, such plan will be subject to PEPRA requirements unless, among other things, its retirement system's chief actuary and retirement board certify that the new plan is not riskier or costlier to the public employer than the defined benefit formula required under PEPRA.

Pension Accounting and Financial Reporting Standards. In 2012, the Governmental Accounting Standards Board issued Governmental Accounting Standards Board Statement No. 68 – “Accounting And Financial Reporting For Pensions” (“GASB 68”), which revises and establishes new financial reporting requirements for most public employers, such as the District, that provide pension benefits to their employees. GASB 68, among other things, requires public employers providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability and provides greater guidance on measuring the annual costs of pension benefits, including thorough guidelines on projecting benefit payments, use of discount rates and use of the “entry age” actuarial cost allocation method. GASB 68 also enhances accountability and transparency through revised and new note disclosures and required supplementary information. GASB 68 became effective for the financial statements of plan employers, including the District's financial statements, commencing the fiscal year ended June 30, 2015.

Pursuant to GASB 68, CalSTRS and CalPERS will use a new blended rate that reflects a long-term rate of return on plan assets, which reflects a pension fund's long-term investment strategy, and a high-quality, non-taxable municipal bond index rate, to account for the potential need to borrow funds to pay pension benefits after net assets have been fully depleted. CalSTRS has cautioned that use of the new, blended discount rate may cause the financial statements of plans, such as CalSTRS, to reflect an increased unfunded liability.

Other Postemployment Benefits

[DISTRICT TO PROVIDE FINAL ACTUARIAL REPORT FOR FYE 2023 WHEN AVAILABLE] General. In addition to employee health care costs, the District provides post-employment health care benefits (“OPEB”) in accordance with collective bargaining agreements and the health benefits agreement. The District's OPEB consists of post-employment benefits for health, prescription drug, dental, and vision coverage for retirees and their dependents. As of June 30, 2022, there were approximately 58,886 active employees who meet the eligibility requirements for OPEB benefits, 39,111 inactive employees or beneficiaries currently receiving benefits, and 221 inactive employees entitled to but not yet receiving benefits, for a total of 98,218 current and former employees entitled to receive benefits under the District's OPEB plan. Historically, the District has funded these benefits on a pay-as-you-go basis, paying an amount in each fiscal year equal to the benefits distributed or disbursed in that fiscal year. Beginning in fiscal year 2013-14, the District's policy, subject to District Board approval, is to prefund a portion of its OPEB costs for employees, retirees and their beneficiaries by allocating funds for the express purpose of funding future other postemployment benefit costs to the extent possible. See “– District Financial Policies and Related Practices – *Budget and Finance Policy* – Liability Reserves” herein. The District Board approved the creation of the OPEB Trust Fund in May 2014. ***[HAS THE DISTRICT CONTRIBUTED TO THE OPEB TRUST FUND IN FY 22-23? IF SO, HOW MUCH? IF NOT, IS IT PLANNING TO DO SO BEFORE FYE?]*** [As of June 30, 2023, the District has contributed approximately \$[339] million to the OPEB Trust Fund, inclusive of the District's contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, \$6 million in March 2016, \$78 million in October 2016 and \$120 million in October 2017. The District did not contribute to the OPEB Trust Fund in fiscal years 2018-19, 2019-20, 2020-21, and 2021-22, [but currently expects to contribute to the OPEB Trust Fund in fiscal year 2022-23]. Based on the Fiscal Year 2023-24 Budget, the District has budgeted to contribute \$[] million to the OPEB Trust Fund in fiscal year 2023-24.] In a February 2022 Actuarial Valuation Report Postretirement Health

Benefits as of the June 30, 2021 measurement date for fiscal year 2021-22 (the “2021 Actuarial Valuation”), Aon Hewitt indicated that based on the District’s current funding policy, projected cash flows, and the assumed asset return, the assets in the OPEB Trust Fund are projected to be depleted in fiscal year 2029-30 if such assets were drawn upon to pay benefits as they come due without the District funding such benefits on a pay-as-you-go basis.

The following Table A-14 sets forth the District’s funding of other postemployment benefits for fiscal years 2019-20 through 2022-23, the budgeted contribution for fiscal year 2023-24, and the contributions as a percentage of the District’s Total Governmental Funds expenditures for fiscal years 2019-20 through 2023-24. In addition, Table A-14 sets forth the District’s contribution to the OPEB Trust for fiscal years 2019-20 through 2023-24.

TABLE A-14

LOS ANGELES UNIFIED SCHOOL DISTRICT
Expenditures for Other Postemployment Benefits
Fiscal Years 2019-20 through 2023-24
(\$ in millions)

Fiscal Year	Pay-as-You-Go Amount	OPEB Trust Fund Contribution⁽³⁾	Total Amount	Expenditure as Percentage of Total Governmental Funds Expenditures
2019-20	\$221.2	\$0.0	\$221.2	2.15%
2020-21	231.2	0.0	231.2	2.14
2021-22	231.1	0.0	231.1	1.89
2022-23 ⁽¹⁾	[]	[]	[]	[]
2023-24 ⁽²⁾	[]	[]	[]	[]

⁽¹⁾ Unaudited.

⁽²⁾ Budgeted.

⁽³⁾ [As of June 30, 2023, the District has contributed approximately \$339 million to the OPEB Trust Fund, inclusive of the District’s contributions of \$60 million in July 2014, \$30 million in September 2014, \$45 million in September 2015, and \$6 million in March 2016, \$78 million in October 2016, and \$120 million in October 2017.] **[TO BE UPDATED IF CONTRIBUTION IN FY 22-23]**

Sources: Audited Annual Financial Reports for fiscal years 2019-20 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals; Fiscal Year 2023-24 Budget; and the District for the percentage of Total Governmental Funds Expenditures.

Postemployment Benefits Other Than Pensions Accounting and Financial Reporting Standards. In June 2015, the GASB issued Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other than Pensions (“GASB 75”), which revised and established new accounting and financial reporting requirements for state and local governments, such as the District, that offer OPEB to employees. Pursuant to GASB 75, net OPEB liabilities are required to be recognized in the financial statements for such state and local governments. In addition, GASB 75 provides additional guidance with respect to recognizing and measuring liabilities, deferred outflows and inflows of resources, and expense/expenditures. GASB 75 directs the use of “entry age normal” as the actuarial cost allocation method to be used and the various procedures, assumptions and discount rates to be used in connection with the calculation of liabilities. In connection therewith, states and local governments that do not pre-fund their respective OPEB obligations may report increased liabilities. GASB 75, among other things, requires additional note disclosures and the presentation of required supplementary information in financial statements. GASB 75 was implemented in the District’s audited financial statements beginning in fiscal year 2017-18.

The District's net OPEB liability takes into consideration the adoption of GASB 75, under which the District is required to recognize in full its total net OPEB liability rather than on an incremental basis. Over the past few years, the District has taken steps to (i) reduce its OPEB liability through a more cost-effective healthcare plan and (ii) pre-fund its OPEB liability by making deposits from time to time to an irrevocable trust when its reserves exceed the 5% Minimum Reserve Threshold, subject to District Board approval.

Changes in OPEB Liability. Effective January 1, 2019, the District implemented a less costly healthcare plan, the Anthem Preferred PPO (50 state Medicare Advantage Plan) (the "Anthem PPO"), which replaced the United HealthCare Group Medicare Advantage Plan and the Anthem Blue Cross Medicare (EPO) plan. The implementation of the Anthem PPO together with certain updated actuarial assumptions resulted in a significant reduction in the District's net OPEB liability from \$14.97 billion as of June 30, 2018 (prior to the Anthem PPO implementation) to \$11.18 billion as of June 30, 2019 (after the Anthem PPO implementation) to \$8.58 billion as of June 30, 2020 (based on further revised actuarial assumptions). However, the District's net OPEB liability as of June 30, 2021 increased to \$11.06 billion as a result of certain changes in actuarial assumptions described in more detail below. See "– 2020 Actuarial Valuation" below for more information. As of June 30, 2022 the District's net OPEB liability decreased to \$10.19 billion based on certain changes in actuarial assumptions also described in more detail below. See "– 2021 Actuarial Valuation" below for more information.

2020 Actuarial Valuation. The District's net OPEB liability of \$11.06 billion at June 30, 2021 is measured as the total OPEB liability, less the OPEB plan's fiduciary net position. The District's OPEB liability as of fiscal year June 30, 2021 is based on the actuarial assumptions and plan provisions in the Actuarial Valuation Report Postretirement Health Benefits as of June 30, 2020 (the "2020 Actuarial Valuation"), prepared for the District by Aon Hewitt. The 2020 Actuarial Report reflects updated financial information for fiscal year 2020-21 and is based on the census data, actuarial assumptions, and plan provisions used in the District's prior actuarial valuation with the following changes:

- Assets: \$425,988,386 as of June 30, 2020 measurement date
- Municipal Bond Rate: 2.21% as of June 30, 2020, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Expected Long-Term Return on Assets: 7.30% as of June 30, 2020, based on District's revised expectations for certain asset allocations
- Discount Rate: 2.30% as of June 30, 2020, after reassessment based on updated assets and municipal bond rate as of June 30, 2020

Most notable of such changes in assumptions in the 2020 Actuarial Valuation is the 130-basis point decrease in the discount rate that increased the value of liabilities by more than 20% for fiscal year 2020-21, increased the unfunded liability for fiscal year 2020-21, and increased the expenses for fiscal years 2020-21 and 2021-22. As a result, the District's net OPEB liability increases to \$11.06 billion as of June 30, 2021. After evaluating data for the period of January through June 2020 provided by the District, Aon Hewitt determined that there was no significant impact to the District's OPEB plan as a result of the COVID-19 pandemic to justify changes to demographic, healthcare claims, medical trend, mortality or other behavioral assumptions.

2021 Actuarial Valuation. The District's net OPEB liability decreased by nearly \$1 billion from \$11.06 billion as of June 30, 2021 to \$10.19 billion as of June 30, 2022. According to the 2021 Actuarial Report, such decrease in net OPEB liability is primarily due to the healthcare experience gain reflected in the 2021 Actuarial Report as there were no other significant adjustments in actuarial assumptions from the 2020 Actuarial Report. The 2021 Actuarial Report reflects updated financial information for fiscal

year 2021-22 and is based on the census data, actuarial assumptions, and plan provisions used in the 2020 Actuarial Valuation with the following changes:

- Assets: \$542,828,439 as of June 30, 2021 measurement date
- Municipal Bond Rate: 2.16% as of June 30, 2021, based on the *Bond Buyer* General Obligation Bond 20-Bond Municipal Bond Index
- Expected Long-Term Return on Assets: 7.00% as of June 30, 2021, based on District's revised expectations for certain asset allocations
- Discount Rate: 2.20% as of June 30, 2021, after reassessment based on updated assets and municipal bond rate as of June 30, 2021

Table A-15 below shows the impact of the changes to the actuarial assumptions in the 2021 Actuarial Report on the District's Net OPEB Liability for the fiscal year ending June 30, 2022 compared to fiscal year June 30, 2021 that was based on the 2020 Actuarial Valuation.

TABLE A-15
LOS ANGELES UNIFIED SCHOOL DISTRICT
NET OPEB LIABILITY
As of June 30, 2021 and June 30, 2022
(\$ in billions)

	Fiscal Year Ending June 30, 2021	Fiscal Year Ending June 30, 2022
(1) OPEB Liability		
(a) Retired Participants and Beneficiaries		
Receiving payment	\$ 3.424	\$3.019
(b) Active Participants	8.065	7.710
(c) Total	11.489	10.729
(2) Plan Fiduciary Net Position	0.426	0.543
(3) Net OPEB Liability	11.063	10.186
(4) Plan Fiduciary Net Position as a Percentage of the Total OPEB Liability	3.71%	5.06%
(5) Deferred Outflow of Resources for Contributions Made After Measurement Date	\$0.231	-

Source: 2021 Actuarial Valuation.

The District cannot predict the impact future changes in actuarial assumptions and health care costs and providers will have on the District's net OPEB liability.

For more information on the District's OPEB plan, OPEB liability and related assumptions for fiscal year ended June 30, 2022, see Note 9 to the audited financial statements of the District contained in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022" attached hereto.

Risk Management and Litigation

General. The District maintains various excess property, casualty and fidelity insurance programs, which are self-insured, with varying self-insured retentions. The District's excess property coverage is provided currently through its membership in the Public Entity Property Insurance Program

(“PEPIP”), an insurance pool comprised of certain cities, counties and school districts. The District maintains excess property insurance on all District facilities under a combination of self-insurance retentions and varying sublimits through the excess insurance policies of PEPIP. The current self-insured retention for fire loss damage for excess property coverage is \$1,000,000 per occurrence and the aggregate policy limit is \$500 million. The District maintains what it considers to be adequate reserves to cover losses within the self-insurance retention. District General Fund resources are used to pay for property loss insurance and uninsured repairs for property damage. In addition to the above excess property policies, the District purchases a separate boiler and machinery policy with \$100 million in occurrence limits and a Fidelity crime coverage with \$15 million in occurrence limits.

Excess property insurance is maintained through a combination of excess policies with an occurrence limit of \$500 million. General liability insurance currently provides \$30 million coverage above a \$5 million self-insurance retention. The District expects to be reimbursed for settlements from its insurance carriers. The District maintains reserves at the level recommended by an independent actuarial analysis, which it believes are adequate to cover losses within the self-insured retention.

Prior to fiscal year 2013-14, the District’s liability coverage generally included coverage for sexual misconduct and molestation. Liability coverage beginning in fiscal year 2013-14 does not include this coverage because the District has determined that it is not available at reasonable rates from any insurance provider. In March 2014, the District Board approved a joint powers authority agreement by and between the District and the Los Angeles Trust Children’s Health Inc. to establish the Los Angeles Unified School District Risk Management Authority (the “Risk Management Authority”) which became effective July 1, 2014. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage for incidents such as sexual misconduct and molestation. The Risk Management Authority was capitalized by the District and provides an insurance program for the District and the Los Angeles Trust Children’s Health Inc. The Risk Management Authority allows the District to purchase reinsurance for excess liability coverage which is not presently available to self-insured public agencies such as the District. See “– *Sexual Misconduct Cases*” herein.

The District believes that the amounts currently reserved for potential liabilities attributable to claims of molestation, brain injury and sexual misconduct are adequate. See “– *Sexual Misconduct Cases*” herein. The District will increase the expenditures projected in its budget and interim financial reports if necessary and only to the extent that the District’s liabilities exceed the amount budgeted for self-insurance or current excess liability coverage. The District expects that such an increase will occur if claims relating to brain injury or sexual misconduct by former and suspended District employees exceed the amount reserved for settlements and monetary damages to date. See “– *Sexual Misconduct Cases*” herein. Such liabilities could decrease the District’s net position as of June 30, 2023 from the amount set forth in the District’s financial statements for fiscal year 2021-22. See APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022.”

Liabilities for loss and loss adjustment expenses under each of the District’s insurance programs include the accumulation of estimates for losses reported prior to the balance sheet date, estimates of losses incurred but not reported and estimates of expenses for investigating and adjusting reported and unreported losses. Such liabilities are estimates of the future expected settlements and are based upon analysis of historical patterns of the number of incurred claims and their values. The District believes that, given the inherent variability in any such estimates, the aggregate liabilities are within a reasonable range of adequacy. Individual reserves are continually monitored and reviewed, and, as settlements are made or reserves adjusted, differences are reflected in current operations. See APPENDIX B – “AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022.”

Workers' Compensation. The District is self-insured for its Workers' Compensation Program. A separate fund is used to account for amounts set aside to pay claims incurred and related expenditures under the Workers' Compensation Program. The amount to be deposited in the Workers' Compensation Fund is established with information from an independent actuary. The District maintains at a minimum the actuarially required deposit in its Workers' Compensation Fund in accordance with its policy. See "– District Financial Policies and Related Practices – *Budget and Finance Policy* – Liability Reserves" herein. The District's "Actuarial Study of Workers' Compensation Program" as of December 31, 2021, recommended a minimum funding level of approximately \$122.47 million for fiscal year 2022-23. As of June 30, 2023, the total revenues in the District's Workers' Compensation Fund (operating revenues and nonoperating revenues) was \$[] million (unaudited), [which reflects a year-end accounting adjustment of \$[] million to recognize the unrealized loss for the District's cash deposited in the County Treasury Pool]. [Without such accounting adjustment, the District's total revenues in the Workers' Compensation Fund exceed the actuarially determined minimum funding level.]

[DISTRICT TO CONFIRM INTEREST RATE] [Additionally, the District's actuarially determined total liability for the Workers' Compensation Program is fully funded in accordance with its policy.] The District's most recent "Actuarial Study of Workers' Compensation Program" as of December 31, 2022 reflected total expected losses of approximately \$360.21 million (at a 2.5% interest rate) as of June 30, 2023 plus an additional amount of approximately \$26.48 million in estimated outstanding unallocated loss adjustment expenses (at a 2.5% interest rate) to create a total liability of approximately \$386.68 million as of June 30, 2023. The District has approximately \$[] million (unaudited) in cash available in the Workers' Compensation Fund as of June 30, 2023, which exceeds the amount necessary to fund the District's actuarially determined liability.

The "Actuarial Study of Workers' Compensation Program" as of December 31, 2022, recommends a minimum funding level of approximately \$110.71 million for fiscal year 2023-24 and approximately \$106.82 million for fiscal year 2024-25. The following Table A-16 sets forth the actuary's recommended minimum funding levels for workers' compensation set forth in the actuarial report as of December 31, 2020, December 31, 2021 and the most recent actuarial report covering the period as of December 31, 2022.

TABLE A-16

LOS ANGELES UNIFIED SCHOOL DISTRICT
Recommended Minimum Funding Levels
Workers' Compensation
Fiscal Years 2021-22 through 2025-26
(\$ in millions)

Fiscal Year	Present Value of Projected Ultimate Losses (Discounted at 3.5% Unless Otherwise Noted)	Budgeted Expenses for Claims Handling and Administration	Recommended Minimum Funding Level
2021-22	\$102.20 ⁽¹⁾	\$17.57	\$119.77
2022-23	104.64 ⁽¹⁾	17.83	122.47
2023-24	92.31	18.40	110.71
2024-25	87.82	19.00	106.82
2025-26	88.51	19.60	108.11

⁽¹⁾ Discounted at 1.5%

Source: Los Angeles Unified School District Actuarial Study of Workers' Compensation Program as of December 31, 2020 for fiscal year 2021-22; Los Angeles Unified School District Actuarial Study of Workers' Compensation Program as of

December 31, 2021 for fiscal years 2022-23; Los Angeles Unified School District Actuarial Study of Workers' Compensation Program as of December 31, 2022 for fiscal years 2023-24 thru 2025-26.

The following Table A-17 sets forth information on changes in the Workers Compensation Program's liabilities from fiscal years 2018-19 through 2022-23. The District uses separate funds to account for amounts set aside to pay claims incurred and related expenditures under the respective insurance programs. See "– District Financial Policies and Related Practices – *Budget and Finance Policy* – Liability Reserves" herein and Note 10 in the audited financial statements for fiscal year 2021-22 set forth in APPENDIX B – "AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2022."

TABLE A-17

**LOS ANGELES UNIFIED SCHOOL DISTRICT
Workers' Compensation Claims Paid
Fiscal Years 2018-19 through 2022-23
(\$ in millions)**

Fiscal Year	Liability: Beginning of fiscal year	Current Year Claims and Changes in Estimates	Claims Paid	Liability: End of fiscal year
2018-19	\$455.4	\$85.1	\$(97.9)	\$442.7
2019-20	442.7	124.5	(87.2)	480.0
2020-21	480.0	3.1	(79.4)	403.6
2021-22	403.6	52.4	(72.6)	383.5
2022-23 ⁽¹⁾	[]	[]	[]	[]

⁽¹⁾ Unaudited.

Sources: Audited Annual Financial Report for fiscal years 2018-19 through 2021-22; Fiscal Year 2022-23 Unaudited Actuals.

[DISTRICT TO UPDATE] Pollution Legal Liability Policy. The District purchased a pollution legal liability ("PLL") policy through Ironshore Insurance Company with coverage of \$10.0 million per incident and \$10.0 million in aggregate, effective [April 17, 2019 to May 1, 2023].

Owner-Controlled Insurance Program. The District has arranged for its construction projects to be insured under its owner-controlled insurance program ("OCIP"). An OCIP is a single insurance program that insures the District, the District Board, all enrolled contractors, and enrolled subcontractors, and other designated parties for work performed at project sites. The District pays the insurance premiums for the OCIP coverages and requires each eligible bidder to exclude from its bid price the cost of insurance coverage. The exclusion of the cost of insurance premiums from each bid is intended to result in lower overall bids for projects, which would in turn lower the contract award amount and general obligation bond and other funds spent. In addition, the District may be able to pay a lower overall insurance cost than a single contractor because of the economies of scale gained by the purchase of an OCIP.

[DISTRICT TO UPDATE] Litigation Regarding Insurance Providers. In September 2015, the District filed a lawsuit entitled *Los Angeles Unified School District v. ACE et al.* (the "Miramonte Coverage Action"), in Los Angeles County Superior Court seeking more than \$200 million in damages from twenty-seven of the District's current and former insurance providers who failed to fund the defense and reimburse the District for settlement amounts paid by the District in connection with claims by hundreds of students and parents alleging that negligent hiring, supervision, and retention of former teachers Mark Berndt and Martin Springer at Miramonte Elementary School resulted in sexual abuse of

the students. In April 2017, the District filed a second lawsuit in Los Angeles County Superior Court entitled *Los Angeles Unified School District vs. AIU Insurance Company, et. al.* (the “Telfair Coverage Action”), seeking more than \$40 million in damages from eight of the District’s current and former insurance providers in connection with the lawsuits filed against the District alleging that negligence of its employees in hiring, retaining, and supervising Paul Chapel resulted in sexual abuse of approximately twenty students at Telfair Elementary School. In August 2017, the District filed a third lawsuit in Los Angeles County Superior Court entitled *Los Angeles Unified School District v. Allied World et al.* (the “De La Torre Coverage Action”), seeking more than \$60 million in damages from seven of the District’s current and former insurance providers who failed to fund the defense and reimburse the District for settlement amounts paid by the District in connection with claims by over twenty students and their parents alleging that negligent hiring, supervision, and retention of former teacher Robert Pimentel at De La Torre Elementary School resulted in sexual abuse of the students. The District has not been reimbursed by any of the defendants for amounts expended in conjunction with resolving the underlying sexual abuse litigation described in this section. While no insurer agreed to pay any of the District’s defense costs before the coverage actions were filed, rulings obtained in the Miramonte Coverage Action have forced AIG to reimburse the District for over \$21 million in defense costs. Further, the District has alleged that the insurance providers have not only breached their respective insurance obligations owed to the District in connection with underlying litigation, but also breached the implied covenant of good faith and fair dealing. The District and the insurers continue to discuss terms for a mediation of all three coverage cases. In 2021, following a bench trial, the court found that the insurer breached its duty to indemnify the District under one insurance policy at issue in the Miramonte Coverage Action for its settlements of the underlying claims.

On November 4, 2020, the District filed two new lawsuits against its insurers, *LAUSD v. Starr Indemnity & Liability Co., et al.* and *LAUSD v. Ins. Co. of the State of Pennsylvania, et al.*, in which it is seeking more than \$25 million and \$8 million, respectively, in settlement reimbursements plus defense costs relating to underlying litigation involving the alleged abuse of multiple students at Franklin High School and Cahuenga High School. The District cannot predict the final outcome of or remedy imposed by any court with respect to these complaints or the amounts, if any, by which any of the insurance providers will reimburse the District for settlements in the underlying litigation matters. In 2021, the District moved for summary adjudication to establish that the Insurance Company of State of Pennsylvania (an AIG Co.) had and breached its duty to defend the District under a 2002-2003 insurance policy, which the court denied. The District is considering its options with respect to additional motion practice and appellate review.

[DISTRICT TO UPDATE] Wrongful Death Cases. In August 2014, the parents of a deceased Garfield High School student filed a lawsuit seeking unspecified damages, which alleged negligence and liability of the District and District personnel in the drowning and eventual death of their son while attending a school-sponsored, off-campus excursion at a County-operated park. The District and District personnel were dismissed from the case brought by plaintiffs following a successful motion for summary judgment. As the prevailing party, the District obtained a costs order against plaintiffs of \$45,554.86, which the District Court affirmed after plaintiffs filed a motion to re-tax. The plaintiffs appealed the judgment in favor of the District to the Ninth Circuit, and on or about December 2021, the Ninth Circuit affirmed the District Court’s judgment. Plaintiffs subsequently waived any further appellate rights in exchange for a waiver of costs. The plaintiffs entered into a \$2.125 million settlement agreement with the County in November 2019. The County previously filed a cross-complaint against the District alleging the District’s failure to honor an earlier indemnification agreement and subsequent obligation to reimburse the County for legal expenses and settlement costs. Through a combination of dispositive motions and settlements, the County’s cross-complaint against the District and certain District employees has been dismissed with prejudice, and there will be no appeal of that outcome. The District paid no money to the County.

In March 2019, the parents of a deceased Dodson Middle School student filed a lawsuit seeking unspecified damages, which alleged insufficient supervision and life-saving measures were taken by District employees, leading to the collapse and eventual death of their son while running laps during a physical education class. The student's death was subsequently found to have been caused by a previously-undiagnosed congenital coronary artery defect. In May 2019, all parties filed a joint stipulation to strike a portion of the complaint and dismiss Dodson Middle School as a defendant because the school is not a legal entity separate from the District. On May 21, 2021, the District's motion for summary judgment was partially granted and partially denied. In March 2022, the District settled the lawsuit with plaintiffs for \$9.5 million, prior to the commencement of trial.

In June 2020, the father of a deceased North Hollywood High School student filed a lawsuit in federal district court seeking unspecified damages, which alleged (1) negligence, (2) negligent supervision, hiring, and retention, (3) violation of 42 U.S.C.S. 12131, (4) violation of 29 U.S.C.S. 794, and (5) wrongful death, for the student's off-campus death by suicide in the after-school hours of February 7, 2019. In July 2021, the federal district court granted the District's motion for partial summary judgment and dismissed the federal causes of action. The district court declined to exercise supplemental jurisdiction and dismissed the case. On August 23, 2021, Plaintiff filed a lawsuit against the District and certain individual defendants in Los Angeles County Superior Court seeking unspecified damages, alleging (1) negligence, (2) negligent supervision, training, hiring, and retention, and (3) wrongful death. Plaintiff also claimed punitive damages against the individual defendants. After multiple demurrers, in September 2021, the Los Angeles County Superior Court sustained the District's demurrer to Plaintiff's Second Amended Complaint, with thirty days leave to amend. The court also granted the individual defendants' motion to strike the punitive damages claims with thirty days leave to amend. The Plaintiff filed a Third Amended Complaint in October 2022. The District is currently evaluating that pleading and its options for responding.

In August 2020, the mother of a Normandie Avenue Elementary School student filed a lawsuit seeking unspecified damages in excess of \$1,000,000 against the District and others for the alleged wrongful death of her son on December 26, 2019, after he died from injuries sustained while at a District employee's home. The death was later ruled a homicide. The trial date was vacated by the court, and the matter is now set for a further case management conference in November 2022.

In April 2021, a parent of a deceased student from Animo Jefferson Charter Middle School, a charter school, filed a lawsuit seeking unspecified damages, which alleged dangerous conditions on public property and liability of the District in the death of her son while crossing an intersection that was two miles from her son's middle school. Plaintiff alleged that the School District created a dangerous condition by failing to employ crossing guards at the intersection, pursuant to the City of Los Angeles and the School District's "Safe Routes to School Program," which was adopted by the School District's Board of Education in September 2016. On or about November 2021, the plaintiff dismissed the lawsuit without prejudice, after the District provided a declaration stating that the District was not responsible for hiring crossing guards.

[DISTRICT TO UPDATE] COVID-19 Distance Learning Lawsuits. On September 24, 2020, a class action lawsuit was filed on behalf of nine named plaintiffs in Los Angeles County Superior Court asserting that the District's instructional plan in response to the COVID-19 pandemic has denied plaintiffs' children their basic education rights under the California Constitution. The complaint alleges that the District's distance learning approach is inadequate in that it has allegedly reduced instructional and professional development time, eliminated student assessments, failed to provide adequate access to technology, and failed to reengage students who did not participate in online learning in the spring of 2020 after the closure of school facilities due to the COVID-19 pandemic. The operative first amended complaint asserts various causes of action for injunctive and declaratory relief, including claims for

alleged violations of statutory and Constitutional rights and claims of discrimination and disparate treatment. On April 9, 2021, the District's motion to strike certain allegations in the complaint with respect to individualized education program services was granted, but its demurrer to the first amended complaint was overruled. After Plaintiffs filed a second amended complaint, the District filed another demurrer. On August 16, 2021, the Court sustained the District's demurrer with leave to amend. The Court further struck Plaintiffs' claims seeking retrospective injunctive relief on a class wide basis. Plaintiffs were given 20 days to file an amended complaint. In September 2021, the Court dismissed the action in its entirety, with prejudice, and entered judgment in favor of the defendants, including the District. Plaintiffs subsequently filed a notice of appeal, and the appeal is pending before the Court of Appeal of California, Second Appellate District.

[DISTRICT TO UPDATE] COVID-19 In-Person Instruction Lawsuits. In April 2021, three lawsuits were filed in Los Angeles Superior Court alleging that the District has violated state constitutional and statutory requirements by not reopening schools for in-person instruction to the greatest extent possible. By January 2022, all three of the lawsuits were dismissed without prejudice.

In June 2021, a lawsuit was filed in federal district court seeking injunctive relief to prohibit the District from implementing safety measures (e.g., COVID testing and masks among others) for students to access in-person instruction, which was subsequently dismissed without prejudice in November 2021.

[DISTRICT TO UPDATE] COVID-19 Employee Vaccinations Lawsuit. On March 17, 2021, a group of seven District employees filed a lawsuit in the U.S. District Court for the Central District of California, seeking declaratory and injunctive relief against the District and certain District officials with respect to the District's alleged policy mandating that employees be administered COVID-19 vaccinations for which the United States Food and Drug Administration has granted Emergency Use Authorization. Although the District provided access to such vaccines for its employees, it had not mandated vaccinations at the time the lawsuit was filed. The District filed a motion to dismiss the lawsuit, which was granted by the court in July 2021.

On November 3, 2021, a group of six District employees together with a not-for-profit corporation, identified as the Health Freedom Defense Fund, filed a similar lawsuit to the one previously dismissed in the U.S. District Court for the Central District of California, seeking declaratory and injunctive relief against certain District officials with respect to the District's vaccination policy for employees. On September 12, 2022, the Court granted the District's motion for judgment on the pleadings as to plaintiffs' substantive due process cause of action and equal protection claim, with leave to amend. Rather than filing an amended pleading, plaintiffs appealed to the Ninth Circuit on October 4, 2022.

[DISTRICT TO UPDATE] COVID-19 Student Vaccination Lawsuits. On October 8, 2021, the parent of a 12-year-old student at The Science Academy STEM Magnet filed a complaint seeking injunctive and declaratory relief and a petition for writ of mandate with respect to the District's student COVID-19 vaccination mandate. The complaint focuses on the lack of full FDA approval of the Pfizer vaccine for students between the ages of 12 and 15, and challenges the District's authority to issue the mandate. The complaint also alleges that independent study is not an effective substitute for in-person learning, and asserts various causes of action alleging breaches of statutes, regulations and rights under the California constitution. On July 5, 2022, the Superior Court granted the petition for writ of mandate and held that the District's student vaccination mandate was invalid as preempted by State law. Judgment was entered in favor of the plaintiff on September 13, 2022. The District subsequently settled the remaining claims in the case with plaintiff.

On October 13, 2021, two non-profit organizations purporting to represent groups of parents of children attending District schools filed a petition for writ of mandate and request for immediate stay with respect to the District's COVID-19 vaccination requirements for students. The petition alleges that the District lacked the authority to mandate students to be vaccinated for COVID-19, and seeks writs and orders vacating and setting aside the District's mandate, and enjoining the enforcement thereof. On April 15, 2022, the Superior Court heard and granted the District's demurrer to several of the claims in the plaintiffs' first amended complaint, but permitted the plaintiffs to provide additional pleading of facts to support their complaint. The District subsequently filed a demurrer in response to the plaintiffs' second amended complaint. In light of the July 5, 2022 Superior Court order in the student vaccination lawsuit described in the previous paragraph, which was issued after the District's demurrer in this case, Plaintiffs' counsel filed a motion for summary adjudication citing the July 5, 2022 order.

[DISTRICT TO UPDATE] Sexual Misconduct Cases. The District is occasionally subject to claims relating to the sexual misconduct of District personnel and other students. There are currently threatened and pending claims against the District brought on behalf of minor students as a result of alleged sexual misconduct by District personnel. The District is in various stages of litigation relating to such pending claims and cannot predict the outcome and effects of such claims or provide any assurances that such claims will not be successful. The damages requested by the plaintiffs in the various pending sexual misconduct cases are substantial, but vary significantly, in multiple instances there are demands for several million dollars. However, the District cannot predict any final award of damages or settlement amounts. The District also cannot predict the damages sought by any threatened litigation.

In the *Miramonte* sexual abuse litigation, involving Mark Berndt (who in 2013 pleaded no contest to 23 felony counts of lewd acts on children and was sentenced to 25 years in prison), in which there have previously been approximately \$180 million in settlements with more than 200 plaintiffs, there are four active cases remaining with 27 plaintiffs. Of the four active cases, the earliest trial date is scheduled for September 2023. In May 2021, the District reached a settlement totaling \$9 million with twelve student plaintiffs, who were part of the litigation related to *Jane Doe BT v. LAUSD*.

On May 11, 2020, a group of twenty-one plaintiffs filed a complaint against the District, Birmingham Community Charter High School ("BCCHS"), and Grace Brethren Church of Simi Valley alleging that they were sexually abused by Daniel Silva, their former lacrosse coach at BCCHS. In May 2019, following a jury trial, Silva was found guilty on twenty-five criminal counts, including sixteen counts of child molestation, six counts of child battery, two counts of lewd conduct upon a child, and one count of false imprisonment. Plaintiffs allege that students from District school Daniel Pearl Magnet High School were permitted to participate in sports team at the adjacent, independently operated BCCHS. The plaintiffs include one District student and the complaint includes an allegation that "numerous female students from [District school] Daniel Pearl participated on [BCCHS's] lacrosse team and were victimized by Silva." The District prevailed on summary judgement and obtained a judgment for costs.

In April, July, and August 2022, a total of 12 former students filed lawsuits against the District relating to sexual abuse by former teacher Robert Pimental, who was sentenced to 12 years in prison after pleading no contest to multiple charges of lewd acts on children at De La Torre Elementary School in 2014. These lawsuits involve the same alleged perpetrator as the previously-settled lawsuits addressed above in the section entitled "*Litigation Regarding Insurance Providers*." A tentative settlement has been reached in these matters, subject to approval by the District Board.

On May 13, 2022, eleven plaintiffs filed a complaint against the District alleging that they were inappropriately touched and sexually assaulted, abused, and harassed by their teacher during the 2013–2014 school year while attending 5th grade at 15th Street Elementary School. Plaintiffs allege that "such conduct took place in front of, and/or with the knowledge of other staff at 15th Street elementary and

LAUSD.” 15th Street’s former principal is also named as a defendant. Although law enforcement investigated the allegations, no charges were filed against the teacher. The case is currently at the pleadings stage and Plaintiffs are seeking an unspecified amount of damages.

In three separate complaints filed in May 2022, former George Washington Carver Middle School male students alleged negligence, and negligent hiring retention and supervision allegedly arising from childhood sexual abuse by their English and homeroom teacher, Norbert Stuart Volk, at different time periods from the late 1960s to the early 1980s. Discovery is ongoing and the District is evaluating its next steps for responding to these lawsuits, particularly in light of the fact that key witnesses, including Mr. Volk, appear to be deceased.

[TO BE UPDATED PRIOR TO POS POSTING] Assembly Bill 218 and Related Claims. Pursuant to Assembly Bill 218 (“AB 218”), which became effective on January 1, 2020, certain changes were made to the claim prerequisites, available damages and the applicable statute of limitations periods for claims of childhood sexual assault, including claims against public entities like the District. AB 218 has impacted the District’s liability exposure because it (1) extended the statute of limitations periods for claims of childhood sexual assault, (2) did away altogether with the Tort Claims Act’s presentation requirements for claims involving childhood sexual assault under which many claims were found to be late, (3) revived certain claims for which applicable statute of limitations periods have otherwise already expired (if brought within three years of January 1, 2020), and (4) provided for treble damages against a defendant, including a local public entity, who is found to have covered up the sexual assault of a minor. Pursuant to AB 218, a plaintiff now has twenty-two years from the age of majority or five years after the plaintiff discovered or reasonably should have discovered psychological injury or illness occurring after the age of majority caused by the alleged childhood sexual assault to bring an action, with certain actions being barred from commencement after the plaintiff’s fortieth birthday. With respect to claims that otherwise would have been barred as of January 1, 2020, AB 218 revived such claims for a period of three years, which period is set to expire on January 1, 2023. [As a result of such revival, the District is experiencing and expects to continue to experience for the remainder of calendar year 2022, a significant influx of additional, previously time-barred childhood sexual assault lawsuits. Further, the District cannot predict whether there will be legislative action extending, or judicial action tolling, the statute of limitations under AB 218, especially in light of the emergency tolling rule implemented by State courts as a result of the COVID-19 pandemic.]

[The District has received and could receive additional complaints seeking declaratory, injunctive, and monetary relief, including treble damages, relating to allegations of misconduct by current and former employees. The District’s potential liabilities could exceed the amounts which are currently recognized and the probable amount of contingent liabilities for which the District has set aside reserves based upon prior claims of a similar nature and an independent third-party actuarial analysis.]

[At this time, the District is still assessing the extent of additional liability that will result from recognized events in connection with claims brought under AB 218. While the District may be able to access insurance coverage for a portion of some of the AB 218 litigation matters, the District expects it will bear the expenses and liabilities relating to AB 218 litigation matters. The District cannot predict whether any plaintiffs in any pending complaints will prevail, and if so, how any final court decision or settlement agreement with respect to any lawsuit may affect the financial status, policies or operations of the District, as the nature of any court’s remedy and the responses thereto are unknown at the present time. The costs of any final court decision or settlement agreement could be substantial and materially greater than the amounts proposed under the pending settlement agreements. However, the District does not expect any decision or change in law to adversely affect the ability of the District to pay the principal of and interest on the Bonds as and when due.]

District Debt

General Obligation Bonds. From July 1997 through March 2003, the District issued the entire amount of \$2,400,000,000 general obligation bonds authorized pursuant to Proposition BB approved by voters on April 8, 1997 (the “Proposition BB Authorization”). From May 2003 to May 2010, the District issued the entire amount of \$3,350,000,000 general obligation bonds pursuant to Measure K approved by voters on November 5, 2002 (the “Measure K Authorization”). From September 2004 through October 2021, the District issued the entire amount of \$3,870,000,000 general obligation bonds pursuant to Measure R approved by voters on March 2, 2004 (the “Measure R Authorization”). From February 2006 through October 2021, the District issued the entire amount of \$3,985,000,000 general obligation bonds pursuant to Measure Y approved by voters on November 8, 2005 (the “Measure Y Authorization”).

A \$7,000,000,000 general obligation bond authorization was approved by voters on November 4, 2008 (the “Measure Q Authorization”). Prior to the issuance of the Bonds, the District has issued \$3,750,955,000 of aggregate principal amount of Measure Q general obligation bonds, leaving \$3,249,045,000 aggregate principal amount available under the Measure Q Authorization. A \$7,000,000,000 general obligation bond authorization was approved by the voters on November 3, 2020 (the “Measure RR Authorization”). Prior to the issuance of the Bonds, the District has issued \$700,000,000 aggregate principal amount of Measure RR general obligation bonds, leaving \$6,300,000,000 aggregate principal amount available under the Measure RR Authorization.

Pursuant to Section 1(b)(3) of Article XIII A of the State Constitution, Chapters 1 and 1.5 of Part 10 of Division 1 of Title 1 of the State Education Code, as amended, and other applicable law (collectively, the “Act”), the District Board has appointed the LAUSD School Construction Bond Citizens’ Oversight Committee (the “Citizens’ Bond Oversight Committee”). The Citizens’ Bond Oversight Committee is composed of 15 members representing numerous community groups and operates to inform the public concerning the spending of Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorization bond funds authorized by the Act. The Citizens’ Bond Oversight Committee regularly reviews the potential bond projects and budgets and provides non-binding advice to the District Board on how to allocate and reallocate scarce bond proceeds in order to ensure the completion of viable projects and to avoid non-completion of projects once commenced. The Citizens’ Bond Oversight Committee also informs the public concerning the spending of funds attributable to the Proposition BB Authorization, although Proposition BB was approved under statutes other than the Act. The Citizens’ Bond Oversight Committee meets monthly in order to review all matters including, among other things, changes in budget, scope and schedules that relate to the District’s general obligation bonds and the projects proposed to be funded therefrom. In addition, the Citizens’ Bond Oversight Committee makes recommendations to the District Board regarding such matters. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Proposition 39” herein. The District’s Office of the Inspector General conducts audits on a selected number of the construction management firms on an annual basis to ensure that funds from the School Upgrade Program (SUP) and other legacy bond programs are spent in compliance with the Act and the District’s policies relating thereto. The District’s outside auditor, Simpson & Simpson, currently prepares the required bond audits regarding the expenditures of general obligation bond proceeds.

The members of the District's Citizens' Bond Oversight Committee and the community groups represented by such members are set forth in Table A-18 below.

TABLE A-18

LOS ANGELES UNIFIED SCHOOL DISTRICT
Citizens' Bond Oversight Committee
(As of [October 1, 2023]) [TO BE UPDATED PRIOR TO POS POSTING]

Member	Community Group Represented
Margaret Fuentes, Chair	LAUSD Student Parent
D. Michael Hamner, Vice-Chair	American Institute of Architects
Jennifer McDowell, Secretary	Los Angeles City Mayor's Office
Susan Linschoten, Executive Member	Los Angeles County Auditor-Controller's Office
Scott Pansky, Executive Member	Los Angeles Area Chamber of Commerce
Neelura Bell	California Charter School Association
Jeffrey Fischbach	California Tax Reform Association
Chris Hannan	Los Angeles County Federation of Labor AFL-CIO
Hyepin Im	Los Angeles City Controller's Office
Brian Mello	Associated General Contractors of California
Clarence Monteclaro	Tenth District Parent Teacher Student Association
William O. Ross IV	Thirty-First District Parent Teacher Student Association
Samantha Rowles	LAUSD Student Parent
Araceli Sandoval-Gonzalez	Early Education Coalition
Dolores Sobalvarro	American Association of Retired Persons
Celia Ayala	Early Education Coalition (Alternate)
Chad Boggio	Los Angeles County Federation of Labor AFL-CIO (Alternate)
Peggy Robertson	Associated General Contractors of California (Alternate)
Connie Yee	Los Angeles County Auditor-Controller's Office (Alternate)

The following Table A-19, Table A-20, Table A-21, Table A-22, Table A-23 and Table A-24 set forth the outstanding series of general obligation bonds and the amount outstanding as of [October 1, 2023], under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorizations, respectively. The tables below do not reflect the anticipated issuance of the Bonds. For more information, see "PLAN OF FINANCE" in the forepart of this Official Statement.

TABLE A-19

LOS ANGELES UNIFIED SCHOOL DISTRICT
Proposition BB (Election of 1997) Bonds
(\$ in thousands) [DISTRICT TO UPDATE]

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of October 1, 2022	Date of Issue
2011 Refunding Bonds, Series A-1 ⁽¹⁾	\$ 206,735	\$ 27,435	November 1, 2011
2015 Refunding Bonds, Series A ⁽¹⁾	326,045	108,075	May 28, 2015
2016 Refunding Bonds, Series A ⁽¹⁾	202,420	121,420	April 5, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	139,265	84,915	May 25, 2017
2021 Refunding Bonds, Series A ⁽¹⁾	<u>25,785</u>	<u>25,290</u>	April 29, 2021
TOTAL	<u>\$900,250</u>	<u>\$367,135</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Proposition BB Authorization are not counted against the Proposition BB Authorization of \$2.4 billion.

Source: Los Angeles Unified School District.

TABLE A-20

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure K (Election of 2002) Bonds
(\$ in thousands) [DISTRICT TO UPDATE]

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of October 1, 2022	Date of Issue
Series KRY Bonds (2009)			
(Federally Taxable Build America Bonds)	\$ 200,000	\$ 200,000	October 15, 2009
2014 Refunding Bonds, Series B ⁽¹⁾	323,170	72,850	June 26, 2014
2016 Refunding Bonds, Series B ⁽¹⁾	227,535	224,920	September 15, 2016
2017 Refunding Bonds, Series A ⁽¹⁾	941,565	775,310	May 25, 2017
2019 Refunding Bonds, Series A ⁽¹⁾	153,285	127,065	May 29, 2019
2020 Refunding Bonds, Series A ⁽¹⁾	112,350	108,170	October 6, 2020
2021 Refunding Bonds, Series A ⁽¹⁾	6,430	4,570	April 29, 2021
2021 Refunding Bonds, Series B ⁽¹⁾	<u>48,855</u>	<u>47,015</u>	November 10, 2021
TOTAL	<u>\$2,013,190</u>	<u>\$1,559,900</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure K Authorization, are not counted against the Measure K Authorization of \$3.35 billion.

Source: Los Angeles Unified School District.

TABLE A-21
LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure R (Election of 2004) Bonds
(\$ in thousands) [DISTRICT TO UPDATE]

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of October 1, 2022	Date of Issue
Series KRY Bonds (2009)			
(Federally Taxable Build America Bonds)	\$ 363,005	\$ 363,005	October 15, 2009
Series RY Bonds (2010)			
(Federally Taxable Build America Bonds)	477,630	477,630	March 4, 2010
2014 Refunding Bonds, Series C ⁽¹⁾	948,795	652,145	June 26, 2014
2016 Refunding Bonds, Series A ⁽¹⁾	56,475	29,265	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	176,455	176,455	September 15, 2016
2019 Refunding Bonds, Series A ⁽¹⁾	349,350	281,985	May 29, 2019
Series RYQ Bonds (2020)	36,000	29,035	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	113,150	103,330	October 6, 2020
Series RYRR (2021)	<u>123,990</u>	<u>108,505</u>	November 10, 2021
TOTAL	<u>\$2,644,850</u>	<u>\$2,221,355</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure R Authorization, are not counted against the Measure R Authorization of \$3.87 billion.

Source: Los Angeles Unified School District.

TABLE A-22

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Y (Election of 2005) Bonds
(\$ in thousands) [DISTRICT TO UPDATE]

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of October 1, 2022	Date of Issue
Series KRY Bonds (2009) (Federally Taxable Build America Bonds)	\$ 806,795	\$ 806,795	October 15, 2009
Series H Bonds (2009) (Qualified School Construction Bonds)	318,800	318,800 ⁽²⁾	October 15, 2009
Series RY Bonds (2010) (Federally Taxable Build America Bonds)	772,955	772,955	March 4, 2010
Series J Bonds (2010) (Qualified School Construction Bonds)	290,195	290,195 ⁽³⁾	May 6, 2010
2014 Refunding Bonds, Series D ⁽¹⁾	153,385	80,420	June 26, 2014
2016 Refunding Bonds, Series A ⁽¹⁾	92,465	57,135	April 5, 2016
2016 Refunding Bonds, Series B ⁽¹⁾	96,865	96,865	September 15, 2016
Series M-1 Bonds (2018)	117,005	105,025	March 8, 2018
2019 Refunding Bonds, Series A ⁽¹⁾	91,970	76,290	May 29, 2019
Series RYQ Bonds (2020)	182,000	146,795	April 30, 2020
2020 Refunding Bonds, Series A ⁽¹⁾	76,500	74,215	October 6, 2020
Series RYRR (2021)	<u>70,150</u>	<u>61,390</u>	November 10, 2021
TOTAL	<u>\$3,069,085</u>	<u>\$2,886,880</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Y Authorization, are not counted against Measure Y Authorization of \$3.985 billion.

⁽²⁾ Includes the set-aside deposits totaling \$69.760 million for fiscal years 2019-20 and 2020-21.

⁽³⁾ Includes the set-aside deposits totaling \$85.110 million for fiscal years 2018-19 through 2020-21.

Source: Los Angeles Unified School District.

TABLE A-23

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure Q (Election of 2008) Bonds
(\$ in thousands) [DISTRICT TO UPDATE]

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of October 1, 2022	Date of Issue
Series A Bonds (2016)	\$ 648,955	\$ 340,420	April 5, 2016
Series B-1 Bonds (2018)	1,085,440	979,365	March 8, 2018
Series RYQ Bonds (2020)	724,940	584,705	April 30, 2020
Series C Bonds (2020)	1,057,060	874,660	November 10, 2020
2021 Refunding Bonds, Series A ⁽¹⁾	<u>164,095</u>	<u>160,360</u>	April 29, 2021
TOTAL	<u>\$3,680,490</u>	<u>\$2,939,510</u>	

⁽¹⁾ Refunding bonds issued to refund general obligation bonds, which were issued pursuant to the Measure Q Authorization, are not counted against Measure Q Authorization of \$7.00 billion.

Source: Los Angeles Unified School District.

TABLE A-24

LOS ANGELES UNIFIED SCHOOL DISTRICT
Measure RR (Election of 2020) Bonds
(\$ in thousands) [DISTRICT TO UPDATE]

Bond Issue	Aggregate Principal Amount	Outstanding Amount as of October 1, 2022	Date of Issue
Series RYRR (2021)	<u>\$300,000</u>	<u>\$262,530</u>	November 10, 2021
TOTAL	<u>\$300,000</u>	<u>\$262,530</u>	

Source: Los Angeles Unified School District.

[TO BE UPDATED FOLLOWING 2023 COPS] Certificates of Participation. As of [October 1, 2023], the District has outstanding lease obligations in the form of COPs in the aggregate principal amount of approximately \$[] million. The District estimates that the aggregate payment of principal and interest evidenced by COPs will be approximately \$[] million until the final maturity thereof. The District's lease obligations are not subject to acceleration in the event of a default thereof. The following Table A-25 sets forth the District's lease obligations paid from the District General Fund with respect to its outstanding COPs as of [October 1, 2023], and reflects the execution and delivery of the Los Angeles Unified School District Certificates of Participation, 2023 Series A (the "2023 Certificates") in the aggregate principal amount of \$[]. See " – Future Financings – *Lease Financings*" for more information.

TABLE A-25

LOS ANGELES UNIFIED SCHOOL DISTRICT
Certificates of Participation Lease Obligations Debt Service Schedule⁽¹⁾
(as of [October 1, 2023])
(\$ in thousands) [TO BE UPDATED FOLLOWING 2023 COPS]

Fiscal Year Ending (June 30)	Paid From General Fund⁽²⁾⁽³⁾
2024 ⁽⁴⁾	13,771
2025	13,770
2026	13,759
2027	13,759
2028	13,763
2029	13,752
2030	12,004
2031	12,002
2032	1,595
2033	1,590
2034	1,586
2035	<u>1,578</u>
Total⁽³⁾	<u>\$117,639</u>

⁽¹⁾ The lease payments reflect the net obligations of the District due to the defeasance of certain COPs.

⁽²⁾ The District expects to pay all or a portion of the final debt service payments evidenced by such series of COPs from funds on deposit in the related debt service reserve fund.

⁽³⁾ Total may not equal sum of component parts due to rounding.

(4) Only reflects remaining debt service for fiscal year ending June 30, 2024 as of [October 1, 2023]. Total debt service for fiscal year ending June 30, 2024 is \$[] million.

Source: Los Angeles Unified School District.

Limitations Related to Receipt of Federal Funds. On March 1, 2013, then-President Barack Obama signed an executive order (the “Sequestration Executive Order”) to reduce budgetary authority in certain accounts subject to sequester in accordance with the Budget Control Act of 2011 and the American Taxpayer Relief Act of 2012. Pursuant to the Sequestration Executive Order, budget authority for all accounts in the domestic mandatory spending category including, among others, accounts for the payments to issuers of “Direct Pay Bonds,” which includes the District’s outstanding Series KRY Bonds (2009) (Federally Taxable Build America Bonds) (the “Series KRY Bonds (2009)”) and Series RY Bonds (2010) (Federally Taxable Build America Bonds) (the “Series RY Bonds (2010)”) and Series J (Qualified School Construction Bonds) (the “Series J Bonds”). Direct Pay Bonds are issued as taxable bonds and provide credits to the District from the federal government pursuant to Section 54AA(d) and 54AA(g) of the Code.

Pursuant to the Bipartisan Budget Act of 2013, enacted in December 2013, the District’s Direct Pay Bonds are subject to the full amount of sequestration budget cuts and will have their planned federal payments reduced until the federal fiscal year ending September 30, 2023. The federal subsidy for the Direct Pay Bonds for the federal fiscal year ended September 30, 2023 was reduced by 5.7%, and the U.S. Treasury Department has announced a decrease in subsidy amounts by 5.7% through federal fiscal year ending 2030. During the federal fiscal year ended September 30, 2023, the sequester resulted in a reduction in the aggregate amount of approximately \$[4.2] million with respect to the refundable credits for the Series KRY Bonds (2009), Series RY Bonds (2010) and Series J Bonds.

Congress can terminate, extend or otherwise modify reductions in federal subsidy payments on Direct Pay Bonds due to sequestration at any time. The Consolidated Appropriations Act of 2023, enacted in December 2022, prevented the sequestration provisions from being triggered in January 2023, and such provisions are not expected to be triggered in January 2024 based on existing legislation, but such provisions are expected to be triggered in January 2025 absent further legislation. Accordingly, the District cannot predict what action, if any, that Congress may take with respect to the federal subsidy and its impact on the District’s Direct Pay Bonds in future federal fiscal years. However, the District’s Series KRY Bonds (2009), Series RY Bonds (2010), and Series J Bonds are payable from and secured by *ad valorem* property taxes which are to be assessed in amounts sufficient to pay principal of and interest on the Series KRY Bonds (2009), Series RY Bonds (2010), and Series J Bonds when due. The County has levied and will continue to levy *ad valorem* property taxes in an amount sufficient to pay principal of and interest on the Series KRY Bonds (2009), Series RY Bonds (2010), and Series J Bonds when due regardless of the amount of federal subsidy.

Future Financings

General Obligation Bonds. The District may not issue general obligation bonds without voter approval and may not issue general obligation bonds in an amount greater than its bonding capacity. The District may not issue general obligation bonds under the Measure Q Authorization, or the Measure RR Authorization, as applicable, if the tax rate levied to meet the debt service requirements under the related Authorization for general obligation bonds is projected to exceed \$60 per year per \$100,000 of taxable property in accordance with Article XIII A of the State Constitution. See “CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution” and “– Proposition 39” herein.

Pursuant to the Education Code, the District's bonding capacity for general obligation bonds may not exceed 2.5% of taxable property valuation in the District as shown by the last equalized assessment roll of the County. The taxable property valuation in the District for fiscal year 2023-24 is approximately \$[] billion, which results in a total current bonding capacity of approximately \$[] billion. The District's available capacity for the issuance of new general obligation bonds is approximately \$[] billion (taking into account current outstanding debt before the issuance of the Bonds). The fiscal year 2022-23 assessed valuation of property within the District's boundaries of approximately \$[] billion reflects an increase of []% from fiscal year 2022-23. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District" in the forefront of this Official Statement and "CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution" herein.

Prior to the issuance of the Bonds, the District has \$3,249,045,000 authorized and unissued general obligation bond authorization remaining under the Measure Q Authorization. Prior to the issuance of the Bonds, the District has \$6,300,000,000 authorized and unissued general obligation bond authorization remaining under the Measure RR Authorization. The District may issue additional general obligation bonds or general obligation refunding bonds in the future depending upon project needs and market conditions.

As provided in the text of each of the ballots of Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR the District Board does not guarantee that the respective bonds authorized and issued under the Proposition BB, Measure K, Measure R, Measure Y, Measure Q, and Measure RR Authorizations will provide sufficient funds to allow completion of all potential projects listed in connection with said measures.

Lease Financings. The District may finance capital projects through the execution and delivery of certificates of participation or other obligations secured by general fund lease payments from time to time. See "– District Financial Policies and Related Practices – *Debt Management Policy*" herein. For more information on the 2023 Certificates, see "District Debt – Certificates of Participation" above.

Tax and Revenue Anticipation Notes. The District did not issue tax and revenue anticipation notes in fiscal year 2022-23 [and does not expect to issue tax and revenue anticipation notes in fiscal year 2023-24]. However, the District may issue tax and revenue anticipation notes in future fiscal years depending on State and federal funding.

CALIFORNIA CONSTITUTIONAL AND STATUTORY PROVISIONS RELATING TO *AD VALOREM* PROPERTY TAXES, DISTRICT REVENUES AND APPROPRIATIONS

Constitutionally Required Funding of Education

The State Constitution requires that from all State revenues there shall first be set apart the moneys to be applied by the State for the support of the public school system and public institutions of higher education. California school districts receive a significant portion of their funding from State appropriations. As a result, decreases as well as increases in State revenues can significantly affect appropriations made by the State Legislature to school districts.

Article XIII A of the State Constitution

On June 6, 1978, California voters approved Proposition 13 ("Proposition 13"), which added Article XIII A to the State Constitution ("Article XIII A"). On June 3, 1986, California voters approved

Proposition 46 (“Proposition 46”) which amended Article XIII A to permit local governments and school districts to increase the *ad valorem* property tax rate above 1% if two-thirds of those voting in a local election approve the issuance of such bonds and the proceeds of such bonds are used to acquire or improve real property. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – California Constitutional and Statutory Provisions Relating to *Ad Valorem* Property Taxes – Article XIII A of the California Constitution” in the forepart of this Official Statement.

The provisions of Article XIII A were subsequently modified pursuant to Proposition 39, which was approved by California voters on November 7, 2000. See “– Proposition 39” below. Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership has occurred after the 1975 assessment.” The full cash value may be adjusted annually to reflect inflation at a rate not to exceed 2% per year, or a reduction in the consumer price index or comparable local data at a rate not to exceed 2% per year or reduced in the event of declining property value caused by substantial damage, destruction or other factors including a general economic downturn. Subsequent amendments further limit the amount of any *ad valorem* tax on real property to 1% of the full cash value except that additional taxes may be levied to pay debt service on bonded indebtedness approved by the requisite percentage of voters voting on the proposition.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any *ad valorem* property tax (except to pay voter-approved indebtedness). The 1% *ad valorem* property tax is automatically levied by the County and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the up to 2% annual inflationary adjustment of the 1% tax base are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years. Separate *ad valorem* property taxes to pay voter approved indebtedness such as general obligation bonds are levied by the County on behalf of the local agencies. Article XIII A effectively prohibits the levying of any other *ad valorem* property tax above the Proposition 13 limit except for taxes to support such indebtedness.

The full cash value of taxable property under Article XIII A represents the maximum taxable value for property. Accordingly, the fair market value for a given property may not be the equivalent of the full cash value under Article XIII A. During periods in which the real estate market within the District evidences an upward trend, the fair market value for a given property, which has not been reappraised due to a change in ownership, may exceed the full cash value of such property. During periods in which the real estate market demonstrates a downward trend, the fair market value of a given property may be less than the full cash value of such property and the property owner may apply for a “decline in value” reassessment pursuant to Proposition 8. Reassessments pursuant to Proposition 8, if approved by the Office of the County Assessor, lower valuations of properties (where no change in ownership has occurred) if the current value of such property is lower than the full cash value of record of the property. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Assessed Valuation of Property Within the District” in the forepart of this Official Statement. The value of a property reassessed as a result of a decline in value may change, but in no case may its full cash value exceed its fair market value. When and if the fair market value of a property which has received a downward reassessment pursuant to Proposition 8 increases above its Proposition 13 factored base year value, the Office of the County Assessor will enroll such property at its Proposition 13 factored base year value.

Article XIII B of the State Constitution

An initiative to amend the State Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979 thereby adding Article XIII B to the State Constitution (“Article XIII B”). In June 1990, Article XIII B was amended by the voters through their approval of Proposition 111. Under Article XIII B, the State and each local governmental entity have an annual “appropriations limit” and are not permitted to spend certain moneys that are called “appropriations subject to limitation” (consisting of tax revenues, State subventions and certain other funds) in an amount higher than the appropriations limit. Article XIII B does not affect the appropriations of moneys that are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the appropriations limit is to be based on certain 1978-79 expenditures and is to be adjusted annually to reflect changes in costs of living and changes in population, and adjusted where applicable for transfer of financial responsibility of providing services to or from another unit of government. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years. However, in the event that a school district’s revenues exceed its spending limit, the district may, in any fiscal year, increase its appropriations limit to equal its spending by borrowing appropriations limit from the State, provided the State has sufficient excess appropriations limit in such year. See “STATE FUNDING OF SCHOOL DISTRICTS” herein.

[TO BE UPDATED WHEN 2023-24 STATE BUDGET AVAILABLE] [The 2023-24 State Budget projects that the State will be below its appropriations limit (also referred to as the Gann Limit) for fiscal year 2023-24, based in part on statutory changes enacted as part of the 2023-24 State Budget that more accurately account for selected expenditures under both State and local limits and revised the level of excluded spending. For more information on the Gann Limit under the 2023-24 State Budget, see “STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act – 2023-24 State Budget” herein.]

The District Board adopted the annual appropriation limit for fiscal year 2023-24 of approximately \$[] billion. The limitation applies only to proceeds of taxes and therefore does not apply to service fees and charges, investment earnings on non-proceeds of taxes, fines, and revenue from the sale of property and taxes received from the State and federal governments that are tied to special programs. For fiscal year 2022-23, the appropriations subject to limitation totaled approximately \$[] billion.

Article XIII C and Article XIII D of the State Constitution

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIII C and XIII D (respectively, “Article XIII C” and “Article XIII D”), which contain a number of provisions affecting the ability of local agencies, including community college districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as community college districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds percent vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and

charges. Article XIIC further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds percent vote under Article XIII A, Section 4.

On November 2, 2010, Proposition 26 was approved by State voters, which amended Article XIIC to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIID. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Article XIID deals with assessments and property-related fees and charges. Article XIID explicitly provides that nothing in Article XIIC or XIID shall be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development; however, it is not clear whether the initiative power is therefore unavailable to repeal or reduce developer and mitigation fees imposed by the District. Proposition 218 does not affect the *ad valorem* property taxes to be levied to pay debt service on the Bonds.

Proposition 98

On November 8, 1988, State voters approved Proposition 98, a combined initiative, constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). The Accountability Act changed State funding of public education below the university level, and the operation of the State’s Appropriations Limit, primarily by guaranteeing State funding for K-12 school districts and community college districts (collectively, “K-14 districts”).

Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 districts are guaranteed the greater of (i) in general, a fixed percent of the State general fund’s revenues (“Test 1”), (ii) the amount appropriated to K-14 districts in the prior year, adjusted for changes in the cost of living (measured as in Article XIIB by reference to State per capita personal income) and enrollment (“Test 2”), or (iii) a third test, which would replace Test 2 in any year when the percentage growth in per capita State general fund revenues from the prior year plus 0.05% is less than the percentage growth in State per capita personal income (“Test 3”). Under Test 3, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 would become a “credit” to schools which would be the basis of payments in future years when per capita State general fund revenue growth exceeds per capita personal income growth. Legislation adopted prior to the end of fiscal year 1988-89 that implemented Proposition 98, determined the K-14 districts’ funding

guarantee under Test 1 to be 40.3% of the State general fund tax revenues, based on 1986-87 appropriations. However, that percentage has been adjusted to 34.559% to account for a subsequent redirection of local property taxes whereby a greater proportion of education funding now comes from local property taxes.

Proposition 98 permits the State Legislature, by a two-thirds vote of both houses of the State Legislature and with the Governor's concurrence, to suspend the K-14 districts' minimum funding formula for a one-year period. In the fall of 1989, the State Legislature and the Governor utilized this provision to avoid having 40.3% of revenues generated by a special supplemental sales tax enacted for earthquake relief go to K-14 districts. In the fall of 2004, the State Legislature and the Governor agreed to suspend the K-14 districts' minimum funding formula set forth pursuant to Proposition 98 in order to address a projected shortfall during fiscal year 2004-05. Proposition 98 also contains provisions transferring certain State tax revenues in excess of the Article XIII B limit to K-14 districts.

[TO BE UPDATED WHEN 2023-24 STATE BUDGET AVAILABLE] [The 2023-24 State Budget projects increased Proposition 98 funding, resulting in funding estimates of \$[] billion in fiscal year 2021-22, \$[] billion in fiscal year 2022-23, and \$[] billion in fiscal year 2023-24 due to a significant increase in projected revenues for fiscal years 2021-22 through 2023-24. Such funding represents a historically high three-year increase in the minimum guarantee of roughly \$[] billion over the level funded in the fiscal year 2022-23 State budget. Per-pupil funding is at the highest levels for school districts in California's history, totaling \$[] per pupil in Proposition 98 funding and \$[] per pupil when accounting for all funding sources. For more information on the Proposition 98 funding under the 2023-24 State Budget, see "STATE FUNDING OF SCHOOL DISTRICTS – State Budget Act –2023-24 State Budget" herein.]

Proposition 39

Proposition 39, which was approved by California voters in November 2000 ("Proposition 39"), provides an alternative method for passage of school facilities bond measures by lowering the constitutional voting requirement from two-thirds to 55% of voters and allows property taxes to exceed the current 1% limit in order to repay such bonds. The lower 55% vote requirement would apply only to bond issues to be used for construction, rehabilitation, or equipping of school facilities or the acquisition of real property for school facilities. The State Legislature enacted additional legislation which placed certain limitations on this lowered threshold, requiring that (i) two-thirds of the governing board of a school district approve placing a bond issue on the ballot, (ii) the bond proposal be included on the ballot of a Statewide or primary election, a regularly scheduled local election, or a Statewide special election (rather than a school district election held at any time during the year), (iii) the tax rate levied as a result of any single election not exceed \$25 for a community college district, \$60 for a unified school district, or \$30 for an elementary school or high school district per \$100,000 of taxable property value, and (iv) the governing board of the school district appoint a citizen's oversight committee to inform the public concerning the spending of the bond proceeds. In addition, the school board of the applicable district is required to perform an annual, independent financial and performance audit until all bond funds have been spent to ensure that the funds have been used only for the projects listed in the measure. The District's Measure K, Measure R, Measure Y, Measure Q, and Measure RR bond programs were authorized pursuant to Proposition 39. See "DISTRICT FINANCIAL INFORMATION – District Debt – *General Obligation Bonds*" herein. The District is in full compliance with all Proposition 39 requirements.

Proposition 1A

Proposition 1A, which was approved by California voters in November 2004 (“Proposition 1A”), provides that the State may not reduce any local sales tax rate, limit existing local government authority to levy a sales tax rate or change the allocation of local sales tax revenues, subject to certain exceptions. Proposition 1A generally prohibits the State from shifting to schools or community colleges any share of property tax revenues allocated to local governments for any fiscal year, as set forth under the laws in effect as of November 3, 2004. Any change in the allocation of property tax revenues among local governments within a county must be approved by two-thirds of both houses of the Legislature. Proposition 1A provided, however, that beginning in fiscal year 2008-09, the State could shift to schools and community colleges up to 8% of local government property tax revenues, which amount must be repaid, with interest, within three years, if the Governor proclaims that the shift is needed due to a severe state financial hardship, the shift is approved by two-thirds of both houses of the State Legislature and certain other conditions are met. The State may also approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also provides that if the State reduces the vehicle license fee rate below 0.65% of vehicle value, the State must provide local governments with equal replacement revenues. Further, Proposition 1A requires the State, beginning July 1, 2005, to suspend State mandates affecting cities, counties and special districts, excepting mandates relating to employee rights, schools or community colleges, in any year that the State does not fully reimburse local governments for their costs to comply with such mandates. The State’s ability to initiate future exchanges and shifts of funds will be limited by Proposition 22. See “– Proposition 22” below.

Proposition 22

Proposition 22, which was approved by California voters in November 2010, prohibits the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services and prohibits fuel tax revenues from being loaned for cash-flow or budget balancing purposes to the State general fund or any other State fund. Due to the prohibition with respect to State’s ability to take, reallocate, and borrow money raised by local governments for local purposes, Proposition 22 supersedes certain provisions of Proposition 1A of 2004. See “– Proposition 1A” herein. In addition, Proposition 22 generally eliminated the State’s authority to temporarily shift property taxes from cities, counties, and special districts to schools, temporarily increased school and community college district’s share of property tax revenues, prohibited the State from borrowing or redirecting redevelopment property tax revenues or requiring increased pass-through payments thereof, and prohibited the State from reallocating vehicle license fee revenues to pay for State-imposed mandates. In addition, Proposition 22 requires a two-thirds vote of each house of the State Legislature and a public hearing process to be conducted in order to change the amount of fuel excise tax revenues shared with cities and counties. The LAO stated that Proposition 22 would prohibit the State from enacting new laws that require redevelopment agencies to shift funds to schools or other agencies. However, the California Supreme Court, in *California Redevelopment Association v. Matosantos*, held that the dissolution provisions set forth in Assembly Bill No. 26 of the First Extraordinary Session (2011) were constitutional and permitted the State to allocate revenues that would have been directed to the redevelopment agencies to make pass-through payments (*i.e.*, payments that such entities would have received under prior law) to local agencies and to successor agencies for retirement of the debts and certain administrative costs of the redevelopment agencies.

Proposition 22 prohibits the State from borrowing sales taxes or excise taxes on motor vehicle fuels or changing the allocations of those taxes among local government except pursuant to specified procedures involving public notices and hearings. In addition, Proposition 22 requires that the State apply the formula setting forth the allocation of State fuel tax revenues to local agencies revert to the formula in effect on June 30, 2009. The LAO stated that Proposition 22 would require the State to adopt alternative

actions to address its fiscal and policy objectives, particularly with respect to short-term cash flow needs. The District does not believe that the adoption of Proposition 22 will have a significant impact on their respective revenues and expenditures.

Proposition 30

Proposition 30, which was approved by voters in the State in November 2012 (“Proposition 30”) authorized the State to temporarily increase the maximum marginal personal income tax rates for individuals, heads of households and joint filers above 9.3% by creating three additional tax brackets of 10.3%, 11.3% and 12.3%. The tax increases set forth in Proposition 30 were in effect from tax year 2012 to tax year 2018. In addition, Proposition 30 temporarily increased the State’s sales and use tax rate by 0.25% from 2013 to 2016.

Pursuant to Proposition 30, the State included revenues from the temporary tax increases in the general fund calculation of the Proposition 98 minimum guarantee for education spending. The State deposited a portion of the new general fund revenues into an Education Protection Account established to support funding for schools and community colleges. The remainder of the new general fund revenues was available to help the State balance its budget through fiscal year 2017-18. However, the allocation of such revenues to particular programs was subject to the discretion of the Governor and the State Legislature.

In addition, Proposition 30 amended the State Constitution to address certain provisions relating to the realignment of State program responsibilities to local governments. Proposition 30 required the State to continue to provide tax revenues that were redirected in calendar year 2011 (or equivalent funds) to local governments to pay for transferred program responsibilities. Further, Proposition 30 permanently excluded sales tax revenues that are redirected to local governments from the calculation of the Proposition 98 minimum guarantee for schools and community colleges.

The Proposition 30 sales and use tax increases expired at the end of the 2016 tax year. Under Proposition 30, the personal income tax increases were set to expire at the end of the 2018 tax year. However, the voters approved on November 8, 2016 the California Tax Extension to Fund Education and Healthcare Initiative (“Proposition 55”), which extended by twelve years the temporary personal income tax increases on incomes over \$250,000 that was first enacted by Proposition 30. Revenues from the tax increase will be allocated to school districts and community colleges in the State.

Proposition 2

General. Proposition 2, which included certain constitutional amendments to the State Rainy Day Fund and, upon its approval, triggered the implementation of certain provisions which could limit the amount of reserves that may be maintained by a school district, was approved by the voters in the November 2014 election.

State Rainy Day Fund. The Proposition 2 constitutional amendments related to the State Rainy Day Fund (i) require deposits into the State Rainy Day Fund whenever capital gains revenues rise to more than 8% of general fund tax revenues; (ii) set the maximum size of the State Rainy Day Fund at 10% of general fund revenues; (iii) for the next 15 years, require half of each year’s deposit to be used for supplemental payments to pay down the budgetary debts or other long-term liabilities and, thereafter, require at least half of each year’s deposit to be saved and the remainder used for supplemental debt payments or savings; (iv) allow the withdrawal of funds only for a disaster or if spending remains at or below the highest level of spending from the past three years; (v) require the State to provide a multiyear budget forecast; and (vi) create a Proposition 98 reserve (the “Public School System Stabilization

Account”) to set aside funds in good years to minimize future cuts and smooth school spending. The State may deposit amounts into such account only after it has paid all amounts owing to school districts relating to the Proposition 98 maintenance factor for fiscal years prior to fiscal year 2014-15. The State, in addition, may not transfer funds to the Public School System Stabilization Account unless the State is in a Test 1 year under Proposition 98 or in any year in which a maintenance factor is created. For more information on limitations on school district reserves [and the District’s commitment of funds in fiscal year 2023-24], see “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves.”

SB 858. Senate Bill 858 (“SB 858”) became effective upon the passage of Proposition 2. SB 858 includes provisions which could limit the amount of reserves that may be maintained by a school district in certain circumstances. Under SB 858, in any fiscal year immediately following a fiscal year in which the State has made a transfer into the Public School System Stabilization Account, any adopted or revised budget by a school district would need to contain a combined unassigned and assigned ending fund balance that (a) for school districts with an ADA of less than 400,000, is not more than two times the amount of the reserve for economic uncertainties mandated by the Education Code, or (b) for school districts with an ADA that is more than 400,000, is not more than three times the amount of the reserve for economic uncertainties mandated by the Education Code. In certain cases, the county superintendent of schools may grant a school district a waiver from this limitation on reserves for up to two consecutive years within a three-year period if there are certain extraordinary fiscal circumstances.

SB 751. Senate Bill 751 (“SB 751”), enacted on October 11, 2017, alters the reserve requirements imposed by SB 858. Under SB 751, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Public School System Stabilization Account is equal to or exceeds 3% of the combined total general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal year, a school district budget that is adopted or revised cannot have an assigned or unassigned ending fund balance that exceeds 10% of those funds. SB 751 excludes from the requirements of those provisions basic aid school districts (also known as community funded districts) and small school districts having fewer than 2,501 units of average daily attendance.

[The District, which has an ADA between 30,001 and 400,000 students, is required to maintain a reserve for economic uncertainty in an amount equal to 2.00% of its general fund expenditures and other financing uses. The District’s assigned and unassigned ending General Fund balance for fiscal year 2023-24 does not exceed 10% of the total General Fund expenditures and other financing uses. Thus, the District complies with the limitations on reserves. For more information on limitations on school district reserves and the District’s commitment of funds in fiscal year 2023-24, see “STATE FUNDING OF SCHOOL DISTRICTS – Limitations on School District Reserves.”]

The Bonds are payable from *ad valorem* taxes to be levied within the District pursuant to the California Constitution and other State law. Accordingly, the District does not expect SB 858 or SB 751 to adversely affect its ability to pay the principal of and interest on the Bonds as and when due.

State School Facilities Bonds

General. The District applies for apportionments from State bond initiatives and historically has received funding from such State bond initiatives. No assurances can be given that the District will continue to apply for apportionments from current or future State bond initiatives or that the District will continue to receive funding from State bond initiatives for which it applies.

Proposition 47. The Class Size Reduction Kindergarten – University Public Education Facilities Bond Act of 2002 appeared on the November 5, 2002 ballot as Proposition 47 (“Proposition 47”) and was

approved by State voters. Proposition 47 authorized the sale and issuance of \$13.05 billion in general obligation bonds by the State to fund construction and renovation of K-12 school facilities (\$11.4 billion) and higher education facilities (\$1.65 billion). Proposition 47 includes \$6.35 billion for acquisition of land and new construction of K-12 school facilities. Of this amount, \$2.9 billion is set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002. The balance of \$3.45 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. To be eligible for bond proceeds under Proposition 47, K-12 school districts are required to pay 50% of the costs for land acquisition and new construction with local revenues. In addition, Proposition 47 provided that up to \$100 million of the \$3.45 billion would be allocated for charter school facilities. Proposition 47 provides up to \$3.3 billion for reconstruction or modernization of existing K-12 school facilities. Of this amount, \$1.9 billion will be set aside to fund backlog projects for which school districts submitted applications to the State on or prior to February 1, 2002 and the balance of \$1.4 billion would be used to fund projects for which school districts submitted applications to the State after February 1, 2002. K-12 school districts will be required to pay 40% of the costs for reconstruction or modernization with local revenues. Proposition 47 provides a total of \$1.7 billion to K-12 school districts which are considered critically overcrowded, specifically to schools that have a large number of pupils relative to the size of the school site. In addition, \$50 million will be available to fund joint-use projects. Proposition 47 also includes \$1.65 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in the State's public higher education systems. As of [October 1, 2023], the District has received approximately \$[] million in funds attributable to Proposition 47.

Proposition 55 (2004). The Kindergarten-University Public Education Facilities Bond Act of 2004 appeared on the March 2, 2004 ballot as Proposition 55 ("Proposition 55 (2004)") and was approved by State voters. Proposition 55 (2004) authorizes the sale and issuance of \$12.3 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$10 billion) and public higher education facilities (\$2.3 billion). Proposition 55 (2004) includes \$5.26 billion for the acquisition of land and construction of new school buildings. Under Proposition 55 (2004), a school district is required to provide a 50% matching share for new construction or a 60% matching share for modernization projects with local resources unless it qualifies for state hardship funding. Proposition 55 (2004) also allocates up to \$300 million of new construction funds for charter school facilities.

Proposition 55 (2004) makes \$2.25 billion available for the reconstruction or modernization of existing public school facilities. School districts would be required to pay 40% of project costs from local resources. Proposition 55 (2004) directs a total of \$2.44 billion to school districts with schools which are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of the school site. Proposition 55 (2004) also makes a total of \$50 million available to fund joint-use projects. Proposition 55 (2004) includes \$2.3 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State's public higher education systems. The measure allocates \$690 million to the University of California and California State University and \$920 million to community colleges in the State. The Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of [October 1, 2023], the District has received approximately \$[] billion in funds attributable to Proposition 55 (2004).

Proposition 1D. The Kindergarten-University Public Education Facilities Bond Act of 2006 was approved by State voters at the November 7, 2006 ballot as Proposition 1D ("Proposition 1D"). Proposition 1D authorizes the sale and issuance of \$10.4 billion in general obligation bonds by the State to fund construction and renovation of public K-12 school facilities (\$7.3 billion) and public higher education facilities (\$3.1 billion). Proceeds of bonds issued by the State under Proposition 1D are required to be deposited in the 2006 State School Facilities Fund established in the State Treasury under

the Greene Act and allocated by the State Allocation Board. Proposition 1D includes \$1.9 billion for land acquisition and construction of new school buildings. Under Proposition 1D, a school district is required to pay for 50% of costs with local resources unless it qualifies for state hardship funding. Proposition 1D also allocates \$500 million for charter school facilities.

Proposition 1D makes \$3.3 billion available for the reconstruction or modernization of existing public school facilities. Districts would be required to pay 40% of project costs from local resources. Proposition 1D directs a total of \$1.0 billion to school districts with schools that are considered critically overcrowded. These funds would go to schools that have a large number of pupils relative to the size of the school site. Proposition 1D also makes a total of \$29 million available to fund joint-use projects. Proposition 1D includes \$3.1 billion to construct new buildings and related infrastructure, alter existing buildings and purchase equipment for use in these buildings for the State's public higher education systems. Pursuant to Proposition 1D, the Governor and the State Legislature select specific projects to be funded by the bond proceeds. As of [October 1, 2023], the District has received approximately \$[] million in funds attributable to Proposition 1D.

Proposition 51. The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 was approved by State voters at the November 8, 2016 ballot as Proposition 51 ("Proposition 51"). Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds by the State to fund new construction of school facilities (\$3 billion), school facilities for charter schools (\$500 million), modernization of school facilities (\$3 billion), facilities for career technical education programs (\$500 million), and acquisition, construction, renovation, and equipping of community college facilities (\$2 billion). Proceeds of bonds issued by the State for K-12 under Proposition 51 are required to be deposited in the 2016 State School Facilities Fund established in the State Treasury under the Greene Act and allocated by the State Allocation Board. As of [October 1, 2023], the District has received approximately \$[] million in funds attributable to Proposition 51.

Future Initiatives

The foregoing described amendments to the State Constitution and propositions were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time, other initiative measures could be adopted that further affect District revenues or the District's ability to expend revenues.

REGIONAL ECONOMIC AND DEMOGRAPHIC INFORMATION

The District is located in the City of Los Angeles and portions of the County of Los Angeles. The following economic and demographic information pertains to the City of Los Angeles (the “City”) and the County of Los Angeles (the “County”). The historical data and results presented in the tables that follow may differ materially from future results as a result of economic or other factors.

The Bonds are general obligations of the District secured by and payable from *ad valorem* property taxes levied within the District. The Bonds are not general obligations of the City or the County.

Population

The following Table A-26 sets forth the estimates of the population of the City, the County and the State in calendar years 2019 through 2023.

TABLE A-26

POPULATION ESTIMATES 2019 through 2023

Year (as of January 1)	City of Los Angeles	County of Los Angeles	State of California
2019	3,986,031	10,163,139	39,605,361
2020	3,975,234	10,135,614	39,648,938
2021	3,853,323	9,931,338	39,303,157
2022	3,819,538	9,861,224	39,185,605
2023	3,766,109	9,761,210	38,940,231

Source: Department of Finance Demographic Research Unit.

Income

The following Table A-27 sets forth the median household income for the City, the County, the State and the United States for calendar years 2017 through 2021. ***[TO BE UPDATED IF 2022 DATA IS AVAILABLE PRIOR TO POSTING POS.]***

TABLE A-27

**MEDIAN HOUSEHOLD INCOME⁽¹⁾
2017 through 2021**

<u>Year</u>	<u>City of Los Angeles</u>	<u>County of Los Angeles</u>	<u>State of California</u>	<u>United States</u>
2017	\$60,197	\$65,006	\$71,513	\$61,423
2018	62,474	68,093	75,277	61,937
2019	67,418	72,797	80,440	65,712
2020	65,290	71,358	78,672	64,994
2021	70,372	77,456	84,907	69,717

⁽¹⁾ Estimated. In inflation-adjusted dollars.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

The following Table A-28 sets forth the distribution of income by certain income groupings per household for the City, the County, the State and the United States for calendar year 2021. ***[TO BE UPDATED IF 2022 DATA IS AVAILABLE PRIOR TO POSTING POS.]***

TABLE A-28

**INCOME GROUPINGS 2021⁽¹⁾
(Percent of Households)**

<u>Income Per Household</u>	<u>City of Los Angeles</u>	<u>County of Los Angeles</u>	<u>State of California</u>	<u>United States</u>
\$24,999 & Under	20.7%	17.7%	14.8%	17.4%
\$25,000-49,999	17.3	16.2	15.2	19.1
\$50,000 & Over	62.1	66.2	70.0	63.6

⁽¹⁾ Estimated. In inflation-adjusted dollars. Data may not add up due to rounding.

Source: U.S. Census Bureau – Economic Characteristics – American Community Survey.

Employment

The District is within the Los Angeles-Long Beach Primary Metropolitan Statistical Area Labor Market (Los Angeles County). The following Table A-29 sets forth wage and salary employment in the County from calendar years 2018 through 2022. *[TO BE UPDATED WITH 2022 DATA IN JUNE 2023.]*

TABLE A-29

**LABOR FORCE AND EMPLOYMENT IN THE COUNTY OF LOS ANGELES⁽¹⁾
2018 through 2022**

	2018	2019	2020	2021	2022
Civilian Labor Force	5,121,300	5,153,100	4,968,900	4,994,100	
Employment	4,885,300	4,926,100	4,355,900	4,548,900	
Unemployment	235,900	227,000	613,000	445,200	
Unemployment Rate	4.6%	4.4%	12.3%	8.9%	%
Wage and Salary Employment					
Farm	4,600	4,400	4,400	4,600	
Mining and Logging	1,900	1,900	1,700	1,600	
Construction	146,300	149,800	146,500	149,800	
Manufacturing	342,600	340,700	315,100	311,700	
Trade, Transportation and Utilities	851,400	851,000	788,000	817,600	
Information	214,700	215,300	191,000	213,200	
Financial Activities	223,200	223,600	212,600	210,800	
Professional and Business Services	632,300	647,000	599,800	629,500	
Educational and Health Services	817,900	839,900	820,300	839,600	
Leisure and Hospitality	536,500	547,200	393,500	429,300	
Other Services	158,800	158,400	128,700	134,100	
Government	590,600	586,900	570,200	558,200	
Total ⁽¹⁾	4,520,700	4,566,100	4,171,700	4,300,000	

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

Source: California Employment Development Department, Labor Market Information Division.

The following Table A-30 sets forth taxable sales in the County for the calendar years 2019 through 2023. **[TO BE UPDATED WITH 2023 QUARTERLY DATA PRIOR TO POSTING POS.]**

TABLE A-30

**COUNTY OF LOS ANGELES
TAXABLE TRANSACTIONS⁽¹⁾
2019 through 2023
(\$ in thousands)**

Type of Business	2019	2020	2021	2022	2023⁽²⁾
Motor Vehicle and Parts Dealers	\$ 18,954,470	\$ 18,534,326	\$ 23,555,049	\$ 25,236,081	\$
Home Furnishings and Appliance Stores	7,308,501	6,608,482	8,177,309	7,682,325	
Building Materials and Garden Equipment and Supplies Dealers	8,698,495	9,556,946	10,450,185	10,997,781	
Food and Beverage Stores	7,255,360	7,650,294	7,861,401	8,137,012	
Gasoline Stations	12,491,790	8,132,307	12,405,237	16,114,153	
Clothing and Clothing Accessories Stores	12,536,982	9,498,705	13,957,944	14,388,631	
General Merchandise Stores	12,910,844	12,263,784	14,541,309	15,072,717	
Food Services and Drinking Places	25,097,944	17,006,158	23,577,050	27,861,821	
Other Retail Group	<u>17,190,290</u>	<u>24,164,972</u>	<u>24,407,441</u>	<u>24,618,548</u>	—
Total Retail and Food Services	<u>\$122,444,678</u>	<u>\$113,415,974</u>	<u>\$138,932,925</u>	<u>\$150,109,069</u>	\$
All Other Outlets	<u>\$ 49,868,925</u>	<u>\$ 44,322,010</u>	<u>\$53,340,253</u>	<u>\$62,671,752</u>	\$
TOTAL ALL OUTLETS	<u>\$172,313,603</u>	<u>\$157,737,984</u>	<u>\$192,273,178</u>	<u>\$212,780,821</u>	\$

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Values reflect [] quarter of 2023.

Source: California Department of Tax and Fee Administration, Taxable Sales in California.

Leading County Employers

The economic base of the County is diverse with no one sector being dominant. Some of the leading activities include government (including education), business/professional management services (including engineering), health services (including training and research), tourism, distribution, and entertainment. The following Table A-31 sets forth the major employers in the County for fiscal year 2022-23. **[TO BE UPDATED WITH 2023 LISTS IN AUGUST 2023.]**

TABLE A-31

**COUNTY OF LOS ANGELES
MAJOR EMPLOYERS⁽¹⁾
2023**

<u>Employer</u>	<u>Product/Service</u>	<u>Employees</u>
Los Angeles County	Government	100,729
Los Angeles Unified School District	Education	73,805
U.S. Government – Federal Executive Board	Government	50,000
University of California, Los Angeles	Education	48,743
Kaiser Permanente Southern California	Nonprofit health plan	40,303
City of Los Angeles	Government	33,562
State of California	Government	32,300
University of Southern California	Private university	22,735
Northrop Grumman Corp.	Systems and products in aerospace, electronics and information systems	18,000
Cedars-Sinai	Health system	16,659
Target Corp.	Retailer	15,888
Allied Universal	Provider of security services and technology solutions	15,326
Providence	Health care	14,935
Ralphs/Food 4 Less (Kroger Co. division)	Grocery retailer	14,000
Walmart Inc.	Retailer	14,000
Walt Disney Co.	Media and entertainment	12,200
Boeing Co.	Aerospace and defense, commercial jetliners, space and security systems	12,005
Long Beach Unified School District	Education	12,000
Los Angeles County Metropolitan Transportation Authority	Transportation	11,700
UPS	Logistics, transportation and freight	11,643
Los Angeles Community College District	Education	11,618
Home Depot	Home improvement retailer	11,200
Los Angeles Department of Water & Power	Energy	11,000
NBCUniversal	Media and entertainment	11,000
AT&T Inc.	Telecommunications, DirecTV, cable, satellite and television provider	10,500
Albertsons Cos.	Retail grocer	10,406
California Institute of Technology	Private university, operator of Jet Propulsion Laboratory	8,830
Cal State Long Beach	Education	8,477
Edison International	Electric utility, energy services	7,672
City of Hope	Treatment and research center for cancer, diabetes and other life-threatening diseases	7,404
ABM Industries Inc.	Facility services, energy solutions, commercial cleaning, maintenance and repair	7,400
FedEx Corp.	Shipping and logistics	6,750
Children's Hospital Los Angeles	Nonprofit freestanding children's hospital	6,644
City of Long Beach	Government	6,300
Dignity Health	Health care	6,263
Costco Wholesale	Membership chain of warehouse stores	6,002
Space Exploration Technologies Corp.	Rockets and spacecraft	6,000
Raytheon Intelligence and Space	Advanced sensors, training, cyber and software solutions	5,707
Amgen Inc.	Biotechnology	5,578
SoCalGas	Natural gas utility	5,200

⁽¹⁾ This information was provided by representatives of the employers themselves and annual budget reports. Government agencies and companies are ranked by the current number of full-time employees in the County. Several organizations and companies may have qualified for this list, but failed to submit information or do not break out local employment data.

Source: "Public-Sector Employers" and "Private Sector Employers," Los Angeles Business Journal, [____], 2023.

Construction

The following Table A-32 sets forth the valuation of permits for new residential buildings and the number of new single-family and multi-family dwelling units in the City for the years 2019 through 2023. **[TO BE UPDATED WITH 2023 YEAR-TO-DATE DATA IN SEPTEMBER/OCTOBER 2023.]**

TABLE A-32
CITY OF LOS ANGELES
PERMIT VALUATIONS AND UNITS OF CONSTRUCTION⁽¹⁾
2019 through 2023
(\$ in thousands)

Year	New Residential Valuation	New Single Family Dwelling Units	New Multi-Family Dwelling Units	Total New Units
2019	\$3,726,652	2,623	11,291	13,914
2020	3,235,640	1,887	10,448	12,335
2021	3,013,650	2,469	11,667	14,136
2022	3,783,606	3,042	13,049	16,091
2023 ⁽²⁾	[]	[]	[]	[]

⁽¹⁾ Total may not equal sum of component parts due to rounding.

⁽²⁾ Values reflect [] of 2023.

Source: California Homebuilding Foundation | Construction Industry Research Board.

The following Table A-33 sets forth the lending activity, home prices and sales, recorded notices of default, unsold new housing and vacancy rates of properties within the County from 2018 through 2022. **[TO BE UPDATED IF DATA IS AVAILABLE PRIOR TO POSTING.]**

TABLE A-33
COUNTY OF LOS ANGELES
REAL ESTATE AND CONSTRUCTION INDICATORS
2018 through 2022

Indicator	2018	2019	2020	2021	2022⁽³⁾
Construction Lending ⁽¹⁾	\$20,419	\$14,193	\$9,247	\$11,038	\$5,583
Residential Purchase Lending ⁽¹⁾	\$48,203	\$56,480	\$72,996	\$96,872	\$38,879
New & Existing Median Home Prices	\$598,387	\$614,080	\$674,964	\$777,767	\$844,008 ⁽²⁾
New & Existing Home Sales	75,086	73,548	71,479	90,259	38,471
Notices of Default Recorded	9,726	9,821	4,858	3,566	3,434
Office Market Vacancy Rates ⁽²⁾	14.4%	13.9%	14.9%	18.5%	19.5%
Industrial Market Vacancy Rates ⁽²⁾	1.4%	1.2%	1.8%	1.2%	0.9%

⁽¹⁾ Dollars in millions.

⁽²⁾ Average of quarterly data.

⁽³⁾ Values reflect second quarter of 2022.

Source: Real Estate Research Council of Southern California – Second Quarter 2022 (2018-2022).

The following Table A-34 sets forth information with respect to building permits and building valuations in the County from 2019 through 2023. **[TO BE UPDATED WITH 2023 YEAR-TO-DATE DATA IN SEPTEMBER/OCTOBER 2023.]**

TABLE A-34
COUNTY OF LOS ANGELES
BUILDING PERMITS AND VALUATIONS⁽¹⁾
2019 through 2023

	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023⁽²⁾</u>
Residential Building Permits (Units)					
New Residential Permits					
Single Family	5,738	6,198	7,327	8,301	
Multi-Family	<u>15,884</u>	<u>14,056</u>	<u>16,718</u>	<u>18,912</u>	
Total Residential Building Permits	<u>21,622</u>	<u>20,254</u>	<u>24,045</u>	<u>27,213</u>	
Building Valuations (\$ in millions)					
Residential Building Valuations					
Single Family	\$1,967	\$1,874	\$2,086	\$2,180	\$
Multi-Family	2,961	2,790	3,027	3,524	
Alterations and Additions	<u>1,626</u>	<u>1,014</u>	<u>908</u>	<u>1,423</u>	
Residential Building Valuations Subtotal	<u>\$6,554</u>	<u>\$5,678</u>	<u>\$6,021</u>	<u>\$7,127</u>	\$
Non-Residential Building Valuations					
New Industrial Buildings	\$ 64	\$ 32	\$ 28	\$ 25	\$
Office Buildings	475	242	162	69	
Store & Other Mercantile	1,338	897	170	879	
Hotels and Motels	203	232	53	40	
Industrial Buildings	64	32	28	25	
Alterations and Additions	3,404	1,241	946	2,417	
Amusement and Recreation	32	2	38	3	
Parking Garages	231	103	0	80	
Service Stations and Repair Garages	1	72	1	6	
Other	<u>840</u>	<u>691</u>	<u>466</u>	<u>661</u>	
Non-Residential Building Valuations Subtotal	<u>\$6,590</u>	<u>\$3,513</u>	<u>\$1,863</u>	<u>\$4,184</u>	\$
Total Building Valuations	<u>\$13,144</u>	<u>\$9,191</u>	<u>\$7,884</u>	<u>\$11,311</u>	\$

⁽¹⁾ Totals may not equal sum of component parts due to rounding.

⁽²⁾ Values reflect [] of 2023.

Sources: California Homebuilding Foundation | Construction Industry Research Board.

GLOSSARY OF CERTAIN TERMS AND ABBREVIATIONS

The following are definitions and abbreviations of certain terms used in this Appendix A.

“AALA” means the Associated Administrators of Los Angeles, which represents the middle managers in the District.

“ADA” means average daily attendance, a measure of pupil attendance used as the basis for providing revenue to school districts and as a measure of unit costs. ADA includes only in-seat attendance.

“CAFR” means comprehensive annual financial report.

“CalPERS” means the California Public Employees’ Retirement System, a defined benefit plan which covers classified personnel who work four or more hours per day.

“CalSTRS” means the California State Teachers’ Retirement System, a defined benefit plan which covers all full-time certificated and some classified District employees.

“CARES Act” means Coronavirus Aid, Relief and Economic Security Act.

“CDE” means the California Department of Education.

“COLA” means cost-of-living adjustments, which is used in determining the District’s funding from the State.

“Common Core” means Common Core State Standards.

“COPS” means certificates of participation.

“COVID-19” means Coronavirus Disease 2019.

“CSEA” means California School Employees Association.

“EL” means English learners, a classification for students.

“FRPM” means free or reduced-price meal.

“GASB” means the Governmental Accounting Standards Board, an operating entity of the Financial Accounting Foundation establish to set standards of financial accounting and reporting for state and local governmental entities.

“ISMP” means the Information Security Management Program.

“LACOE” means the Los Angeles County Office of Education.

“LAO” means the Legislative Analyst’s Office of the State of California.

“LASPA” means the Los Angeles Sheriff’s Professional Association.

“LASPMA” means the Los Angeles School Police Management Association.

“LCAP” means the Local Control and Accountability Plan.

“LCFF” means the Local Control Funding Formula.

“LEA” means local education agency as defined under the NCLB Act.

“LI” means students classified as foster youth.

“OCIP” means owner controlled insurance program.

“OPEB” means Other Post-Employment Benefits.

“PARS” means the Public Agency Retirement System, a defined contribution plan which covers the District’s part-time, seasonal, temporary and other employees not otherwise covered by CalPERS or CalSTRS, but whose salaries would otherwise be subject to Social Security tax.

“PEPIP” means the Public Entity Property Insurance Program, an insurance pool comprised of certain cities, counties and school districts.

“PEPRA” means the California Public Employees’ Pension Reform Act of 2013.

“PERB” means the Public Employee Relations Board.

“PLL” means pollution legal liability.

“SEIU” means Service Employees International Union.

“SUP” means School Upgrade Program.

“UAAL” means unfunded actuarial accrued liability.

“UTLA” means the United Teachers Los Angeles, which is the collective bargaining unit representing teachers and support service personnel of the District.

APPENDIX B

**AUDITED ANNUAL FINANCIAL REPORT OF THE DISTRICT
FOR FISCAL YEAR ENDED JUNE 30, 2022**

APPENDIX C
SUMMARY OF PRINCIPAL LEGAL DOCUMENTS

APPENDIX D
FORM OF SPECIAL COUNSEL OPINION

APPENDIX E
FORM OF CONTINUING DISCLOSURE CERTIFICATE

APPENDIX F

THE LOS ANGELES COUNTY TREASURY POOL

The Treasurer and Tax Collector of the County of Los Angeles (the “Treasurer”) manages, in accordance with California Government Code Section 53600 et seq., funds deposited with the Treasurer by County school and community college districts, various special districts and some cities. State law generally requires that all moneys of the County, school districts and certain special districts be held in the County’s Treasury Pool (the “Treasury Pool”) as described below. The composition and value of investments under management in the Treasury Pool vary from time to time, depending on the cash flow needs of the County and the other public agencies invested in the Treasury Pool, the maturity or sale of investments, purchase of new securities and fluctuations in interest rates generally. Additionally, the Treasurer, with the consent of the Board of Supervisors of the County of Los Angeles (the “County”), may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Treasury Pool will not vary significantly from the values described herein. Neither the District, the Municipal Advisor nor the Underwriters make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained herein is correct as of any time subsequent to its date. The Treasurer maintains a website, the address of which is <https://ttc.lacounty.gov/monthly-reports/>, on which the Treasurer periodically places information relating to the Treasury Pool. However, the information presented there is not part of this Official Statement, is not incorporated by reference herein and should not be relied upon in making an investment decision with respect to the Certificates.

The County of Los Angeles Pooled Surplus Investments

The Treasurer and Tax Collector (the “Treasurer”) of the County of Los Angeles (the “County”) has the delegated authority to invest funds on deposit in the County Treasury (the “Treasury Pool”). As of [____], 2023, investments in the Treasury Pool were held for local agencies including school districts, community college districts, special districts and discretionary depositors such as cities and independent districts in the following amounts:

Local Agency	Invested Funds (in billions)
County of Los Angeles and Special Districts	
Schools and Community Colleges	
Discretionary Participants	
Total	

The Treasury Pool participation composition is as follows:

Non-discretionary Participants	
Discretionary Participants:	
Independent Public Agencies	
County Bond Proceeds and Repayment Funds	
Total	

Decisions on the investment of funds in the Treasury Pool are made by the County Investment Officer in accordance with established policy, with certain transactions requiring the Treasurer’s prior approval. In Los Angeles County, investment decisions are governed by Chapter 4 (commencing with

Section 53600) of Part 1 of Division 2 of Title 5 of the California Government Code, which governs legal investments by local agencies in the State of California, and by a more restrictive Investment Policy developed by the Treasurer and adopted by the Los Angeles County Board of Supervisors on an annual basis. The Investment Policy adopted on March 1, 20[22], reaffirmed the following criteria and order of priority for selecting investments:

1. Safety of Principal
2. Liquidity
3. Return on Investment

The Treasurer prepares a monthly Report of Investments (the “Investment Report”) summarizing the status of the Treasury Pool, including the current market value of all investments. This report is submitted monthly to the Board of Supervisors. According to the Investment Report dated [____], 2023, the [____], 2023 book value of the Treasury Pool was approximately \$[____] billion, and the corresponding market value was approximately \$[____] billion.

An internal controls system for monitoring cash accounting and investment practices is in place. The Treasurer’s Compliance Auditor, who operates independently from the Investment Officer, reconciles cash and investments to fund balances daily. The Compliance Auditor’s staff also reviews each investment trade for accuracy and compliance with the Board adopted Investment Policy. On a quarterly basis, the County’s outside independent auditor (the “External Auditor”) reviews the cash and investment reconciliations for completeness and accuracy. Additionally, the External Auditor reviews investment transactions on a quarterly basis for conformance with the approved Investment Policy and annually accounts for all investments.

The following table identifies the types of securities held by the Treasury Pool as of [____], 2022:

<u>Type of Investment</u>	<u>% of Pool</u>
Certificates of Deposit	
U.S. Government and Agency Obligations	
Bank Acceptances	
Commercial Paper	
Municipal Obligations	
Corporate Notes & Deposit Notes	
Repurchase Agreements	
Asset Backed Instruments	
Other	
	<u>100.00%</u>

The Treasury Pool is highly liquid. As of [____], 2023, approximately [____]% of the investments mature within 60 days, with an average of [____] days to maturity for the entire portfolio.

APPENDIX G

BOOK-ENTRY ONLY SYSTEM

The following information has been provided by DTC for use in securities offering documents, and none of the District, the Corporation or the Underwriters takes any responsibility for the accuracy or completeness thereof.

1. The Depository Trust Company (“DTC”), will act as securities depository for the Certificates. The Certificates will be executed and delivered as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Certificate will be issued for each stated Principal Payment Date of the Certificates, each in the aggregate amount of the principal evidenced by Certificates with such stated Principal Payment Date, and will be deposited with DTC.

2. DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. The information on such website is not incorporated into this Official Statement by reference or otherwise.

3. Purchases of Certificates under the DTC system must be made by or through Direct Participants, which will receive a credit for the Certificates on DTC’s records. The ownership interest of each actual purchaser of each Certificate (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners, however, are expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Certificates are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Certificates, except in the event that use of the book-entry system for the Certificates is discontinued.

4. To facilitate subsequent transfers, all Certificates deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be

requested by an authorized representative of DTC. The deposit of Certificates with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Certificates; DTC's records reflect only the identity of the Direct Participants to whose accounts such Certificates are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Certificates may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Certificates, such as redemptions, tenders, defaults, and proposed amendments to the Certificate documents. For example, Beneficial Owners of Certificates may wish to ascertain that the nominee holding the Certificates for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

6. Prepayment notices will be sent to DTC. If less than all of the Certificates with a particular stated Principal Payment Date are being prepaid, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such Certificates to be prepaid.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Certificates unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Certificates are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Payments of principal, premium, if any, interest and other payments evidenced by the Certificates will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the District or the Trustee, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payments of principal, premium, if any, interest and other payments evidenced by the Certificates to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Trustee, and disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. DTC may discontinue providing its services as depository with respect to the Certificates at any time by giving reasonable notice to the District or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, Certificates are required to be printed and delivered.

10. The District may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, Certificates will be printed and delivered to DTC.

11. The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

THE DISTRICT, THE CORPORATION AND THE TRUSTEE CANNOT AND DO NOT GIVE ANY ASSURANCES THAT DTC WILL DISTRIBUTE TO PARTICIPANTS, OR THAT PARTICIPANTS OR OTHERS WILL DISTRIBUTE PAYMENTS OF PRINCIPAL, INTEREST OR ANY PREMIUM EVIDENCED BY THE CERTIFICATES PAID TO DTC OR ITS NOMINEE AS THE REGISTERED OWNER, OR ANY PREPAYMENT OR OTHER NOTICES, TO THE BENEFICIAL OWNERS, OR THAT THEY WILL DO SO ON A TIMELY BASIS OR WILL SERVE AND ACT IN THE MANNER DESCRIBED IN THIS OFFICIAL STATEMENT. THE DISTRICT, THE CORPORATION AND THE TRUSTEE ARE NOT RESPONSIBLE OR LIABLE FOR THE FAILURE OF DTC OR ANY PARTICIPANTS TO MAKE ANY PAYMENT OR GIVE ANY NOTICE TO A BENEFICIAL OWNER WITH RESPECT TO THE CERTIFICATES OR ANY ERROR OR DELAY RELATING THERETO.

THE FOREGOING DESCRIPTION OF THE PROCEDURES AND RECORD KEEPING WITH RESPECT TO BENEFICIAL OWNERSHIP INTERESTS IN THE CERTIFICATES, PAYMENT OF PRINCIPAL, INTEREST AND OTHER PAYMENTS EVIDENCED BY THE CERTIFICATES TO PARTICIPANTS OR BENEFICIAL OWNERS, CONFIRMATION AND TRANSFER OF BENEFICIAL OWNERSHIP INTERESTS IN SUCH CERTIFICATES AND OTHER RELATED TRANSACTIONS BY AND BETWEEN DTC, THE PARTICIPANTS AND THE BENEFICIAL OWNERS IS BASED ON INFORMATION PROVIDED BY DTC. ACCORDINGLY, THE DISTRICT TAKES NO RESPONSIBILITY FOR THE ACCURACY THEREOF.

CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Los Angeles Unified School District (the “District”) in connection with the execution of \$ _____ principal amount of Certificates of Participation, 2023 Series A (the “Certificates”). The Certificates are being issued pursuant to a Trust Agreement, dated as of _____ 1, 2023 (the “Trust Agreement”), by and among U.S. Bank Trust Company, National Association, the LAUSD Financing Corporation and the District. The District covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District and the Dissemination Agent for the benefit of the Holders and Beneficial Owners of the Certificates and in order to assist the Participating Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Trust Agreement, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 4 and 5 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person who (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Certificates (including persons holding Certificates through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Certificates for federal income tax purposes.

“County” shall mean the County of Los Angeles, California.

“CUSIP Numbers” shall mean the Committee on Uniform Security Identification Procedure’s unique identification number for each public issue of a security.

“Dissemination Agent” shall mean Digital Assurance Certification, L.L.C., or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“Disclosure Counsel” shall mean an attorney-at-law, or a firm of such attorneys, of nationally recognized standing in matters pertaining to the disclosure obligations under the Rule, duly admitted to the practice of law before the highest court of any state of the United States of America.

“EMMA System” shall mean the MSRB’s Electronic Municipal Market Access system, the current internet address of which is <http://emma.msrb.org>.

“Financial Obligation” shall mean, for purposes of the Listed Events set out in Section 6(b)(xv) and Section 6(b)(xvi), a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include

municipal securities (as defined in the Securities Exchange Act of 1934, as amended) as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

“Holder” shall mean either the registered owners of the Certificates, or if the Certificates are registered in the name of The Depository Trust Company or another recognized depository, any applicable participant in such depository system.

“Listed Events” shall mean any of the events listed in Section 6(b) of this Disclosure Certificate.

“MSRB” shall mean the Municipal Securities Rulemaking Board established pursuant to Section 15B(b)(1) of the Securities Exchange Act of 1934, or any successor thereto or to the functions of the MSRB contemplated by this Disclosure Certificate.

“Official Statement” shall mean the Official Statement dated _____, 2023 with respect to the Certificates.

“Participating Underwriters” shall mean the original underwriters of the Certificates required to comply with the Rule in connection with execution and delivery of the Certificates.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Section 3. Transmission of Notices, Documents and Information. (a) Unless otherwise required by the MSRB, all notices, documents and information provided to the MSRB shall be provided to the EMMA System.

(b) All notices, documents and information provided to the MSRB shall be provided in an electronic format as prescribed by the MSRB.

Section 4. Provision of Annual Reports. (a) The District shall, or shall cause the Dissemination Agent to, not later than 240 days following the end of the District’s fiscal year (currently ending June 30), commencing with the report for the 2022-23 fiscal year (which is due not later than February 25, 2024), provide to the MSRB through its EMMA System an Annual Report which is consistent with the requirements of Section 5 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 5 of this Disclosure Certificate. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 6(c).

(b) Not later than thirty (30) days (not more than sixty (60) days) prior to the date on which the Annual Report is to be provided pursuant to subsection (a), the Dissemination Agent shall give notice to the District that the Annual Report is so required to be filed in accordance with the terms of this Disclosure Certificate. Not later than fifteen (15) days prior to said date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to the MSRB through its EMMA System an Annual Report by the

date required in subsection (a), the Dissemination Agent shall send a timely notice of such fact to the MSRB through its EMMA System.

(c) The Dissemination Agent shall:

(i) determine each year prior to the date for providing the Annual Report to the EMMA System the date on which such Annual Report shall be due and notify the District of such date; and

(ii) (if the Dissemination Agent is other than the District) file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and that it was provided to the MSRB through the EMMA System.

Section 5. Content of Annual Reports. The District's Annual Report shall contain or include by reference the following:

(a) Audited financial statements of the District for the preceding fiscal year, prepared in accordance with the laws of the State of California and including all statements and information prescribed for inclusion therein by the Controller of the State of California. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 4 hereof, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) To the extent not included in the audited financial statements of the District, the Annual Report shall also include the following:

(i) Adopted budget of the District for the current fiscal year;

(ii) Information regarding total assessed valuation of taxable properties within the District as set forth in Table [A-__] of Appendix A to the Official Statement;

(iii) Information regarding total tax levies and collections on taxable properties within the District as set forth in Table [A-__] of Appendix A to the Official Statement;

(iv) District outstanding debt as set forth in Tables [A-19] – “Proposition BB (Election of 1997) Bonds,” Table [A-20] – “Measure K (Election of 2002) Bonds,” Table [A-21] – “Measure R (Election of 2004) Bonds,” Table [A-22] – “Measure Y (Election of 2005) Bonds,” Table [A-23] – “Measure Q (Election of 2008) Bonds” and Table [A-24] – “Measure RR (Election of 2020) Bonds” of Appendix A to the Official Statement, and the aggregate debt service on the District's outstanding certificates of participation as set forth in Table [A-25] – “Certificates of Participation Lease Obligations Debt Service Schedule” of Appendix A to the Official Statement;

(v) District average daily attendance as set forth in Table [A-1] of Appendix A to the Official Statement entitled “Average Daily Attendance”; and

(vi) Statement of revenues, expenditures and changes in general fund balances of the District.

(c) It shall be sufficient for purposes of Section 4 hereof if the District provides annual financial information by specific reference to documents (i) available to the public on the MSRB Internet Web site (currently, www.emma.msrb.org) or (ii) filed with the Securities and Exchange Commission. The District shall clearly identify each such other document so included by reference. The provisions of this Section 5(c) shall not apply to notices of Listed Events pursuant to Section 6 hereof.

(d) The descriptions contained in clause (b) above of financial information and operating data constituting to be included in the Annual Report are of general categories or types of financial information and operating data. When such descriptions include information that no longer can be generated because the operations to which it related have been materially changed or discontinued, or due to changes in accounting practices, legislative or organizational changes, a statement to that effect shall be provided in lieu of such information. Comparable information shall be provided if available.

Section 6. Reporting of Listed Events. (a) If a Listed Event occurs, the District shall provide or cause to be provided, in a timely manner not in excess of ten (10) Business Days of the District having notice of such Listed Event, notice of such Listed Event to (i) the EMMA System of the MSRB and (ii) the Dissemination Agent.

(b) Pursuant to the provisions of this Section 6, the District shall give, or cause to be given, notice of the occurrence of any of the following events (each, a “Listed Event”) with respect to the Certificates:

- (i) principal and interest payment delinquencies;
- (ii) non-payment related defaults, if material;
- (iii) modifications to rights of Holders, if material;
- (iv) Certificate calls, if material and tender offers;
- (v) defeasances;
- (vi) rating changes;

(vii) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (Internal Revenue Service Form 5701-TEB) or other material notices of determinations with respect to the tax status of the Certificates, or other material events affecting the tax status of the Certificates;

(viii) unscheduled draws on the debt service reserves reflecting financial difficulties;

(ix) unscheduled draws on the credit enhancements reflecting financial difficulties;

(x) release, substitution or sale of property securing repayment of the Certificates, if material;

(xi) bankruptcy, insolvency, receivership or similar event of the District (such event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under State or federal law in which a court or government authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District);

(xii) substitution of credit or liquidity providers, or their failure to perform;

(xiii) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(xiv) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(xv) incurrence of a Financial Obligation of the District, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the District, any of which affect security holders, if material;

(xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties; and

(xvii) any amendment or waiver of a provision of this Disclosure Certificate.

The District intends to comply with the Listed Events described in Section 6(b)(xv) and Section 6(b)(xvi), and the definition of “Financial Obligation” in Section 1, with reference to the Rule, any other applicable federal securities laws and the guidance provided by the Securities and Exchange Commission in Release No. 34-83885, dated August 20, 2018 (the “2018 Release”), and any further amendments or written guidance provided by the Securities and Exchange Commission or its staff with respect the amendments to the Rule effected by the 2018 Release. The District notes that items (viii), (ix), (x) and (xii) are not applicable to the Certificates.

(c) If the District determines that a Listed Event has occurred, the District shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to Section 3 hereof.

(d) If the Dissemination Agent has been instructed by the District to report the occurrence of a Listed Event, the Dissemination Agent shall file a notice of such occurrence with the MSRB through its EMMA System.

(e) Notwithstanding the foregoing, notice of Listed Events described in subsections (b)(iv) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Certificates pursuant to the Trust Agreement.

Section 7. CUSIP Numbers. Whenever providing information to the Dissemination Agent, including but not limited to Annual Reports, documents incorporated by reference to the Annual Reports, Audited Financial Statements and notices of Listed Events, the District shall indicate the full name of the Certificates and the 9-digit CUSIP numbers for the Certificates as to which the provided information relates.

Section 8. Termination of Reporting Obligation. (a) The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Certificates. If such termination occurs prior to the final maturity of the Certificates, the District shall give notice of such termination in the same manner as for a Listed Event under Section 6(c).

(b) This Disclosure Certificate, or any provision hereof, shall cease to be effective in the event that the District (1) delivers to the Dissemination Agent an opinion of Disclosure Counsel, addressed to the District and the Dissemination Agent, to the effect that those portions of the Rule which require this Disclosure Certificate, or such provision, as the case may be, do not or no longer apply to the Certificates, whether because such portions of the Rule are invalid, have been repealed, or otherwise, as shall be specified in such opinion, and (2) delivers copies of such opinion to the MSRB.

Section 9. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall be Digital Assurance Certification, L.L.C. If at any time there is no designated Dissemination Agent appointed by the District, or if the Dissemination Agent so appointed is unwilling or unable to perform the duties of the Dissemination Agent hereunder, the District shall be the Dissemination Agent and undertake or assume its obligations hereunder. The Dissemination Agent (other than the District) shall not be responsible in any manner for the content of any notice or report required to be delivered by the District pursuant to this Disclosure Certificate.

Section 10. Amendment; Waiver. (a) This Disclosure Certificate may be amended by the District without the consent of the holders of the Certificates (except to the extent required under clause (a)(iv)(2) below), if all of the following conditions are satisfied:

(i) such amendment is made in connection with a change in circumstances that arises from a change in legal (including regulatory) requirements, a change in law (including rules or regulations) or in interpretations thereof, or a change in the identity, nature or status of the District or the type of business conducted thereby;

(ii) this Disclosure Certificate as so amended would have complied with the requirements of the Rule as of the date of this Disclosure Certificate, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;

(iii) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the same effect as set forth in (a)(ii) above;

(iv) either (1) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the effect that the amendment does not materially impair the interests of the holders of the Certificates or (2) is approved by the Holders of the Certificates in the same manner as provided in the Trust Agreement for amendments to the Trust Agreement with the consent of Holders; and

(v) the District shall have delivered copies of such opinion and amendment to the MSRB through its EMMA system within ten (10) Business Days from the execution thereof.

(b) In addition to subsection 10(a) above, this Disclosure Certificate may be amended and any provision of this Disclosure Certificate may be waived, by written certificate of the District, without the consent of the holders of the Certificates, if all of the following conditions are satisfied:

(i) an amendment to the Rule is adopted, or a new or modified official interpretation of the Rule is issued, after the effective date of this Disclosure Certificate which is applicable to this Disclosure Certificate;

(ii) the District shall have received an opinion of a nationally recognized bond counsel or counsel expert in federal securities laws, addressed to the District, to the effect that performance by the District under this Disclosure Certificate as so amended or giving effect to such waiver, as the case may be, will not result in a violation of the Rule; and

(iii) the District shall have delivered copies of such opinion and amendment to the MSRB through its EMMA system.

(c) In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements,

(i) notice of such change shall be given in the same manner as for a Listed Event under Section 6 hereof, and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 11. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 12. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate, the Dissemination Agent may (and, at the request of any Participating Underwriters or the Holders or Beneficial Owners of at least 25% of aggregate principal amount of the Certificates then outstanding, shall) or any Holders or Beneficial Owners of the Certificates may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate; provided that any such action may be instituted only in the Superior Court of the State of California in and for the County of Los Angeles or in the U.S. District Court in the County of Los Angeles. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Trust Agreement, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

Section 13. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Certificates.

Section 14. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriters and Holders and Beneficial Owners from time to time of the Certificates, and shall create no rights in any other person or entity.

Section 15. Execution in Counterparts. This Disclosure Certificate may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same certificate.

Dated: _____, 2023

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____

David D. Hart
Chief Business Officer

ACKNOWLEDGED AND AGREED TO BY:

DIGITAL ASSURANCE CERTIFICATION,
L.L.C., as Dissemination Agent

By: _____
Dissemination Agent

TRUST AGREEMENT

Dated as of [As Of Date]

by and among

U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION,
as Trustee

and the

LAUSD FINANCING CORPORATION

and the

LOS ANGELES UNIFIED SCHOOL DISTRICT

\$(Principal Amount)
Certificates of Participation, 2023 Series A

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TRUST AGREEMENT

THIS TRUST AGREEMENT, dated as of [As of Date], by and among U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION, a national banking association organized and existing under the laws of the United States of America as trustee (the "Trustee"), the LAUSD FINANCING CORPORATION, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California as lessor under the Lease Agreement (hereinafter referred to as the "Corporation"), and the LOS ANGELES UNIFIED SCHOOL DISTRICT, a school district organized and existing under the Constitution and laws of the State of California, including, without limitation, Sections 4000 et seq. of the Education Code of the State of California, as lessee under said Lease (the "District");

W I T N E S S E T H :

WHEREAS, the District desires to finance the costs of the [acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds (collectively, the "Project"); and

WHEREAS, the District proposes to utilize the assistance of the Corporation, a nonprofit public benefit corporation duly organized and existing under the laws of the State, including, without limitation, the Nonprofit Public Benefit Corporation Law (Sections 5110 *et. seq.* of the State Corporations Code); and

WHEREAS, the District and the Corporation desire to facilitate the financing of the Project by entering into a Site Lease (as defined herein), pursuant to which the District will lease to the Corporation real property described in the Site Lease, together with the facilities and improvements thereon (collectively, the "Property"); and

WHEREAS, the District and the Corporation propose to enter into the Lease Agreement (as defined herein) pursuant to which the Corporation will sublease the Property to the District and the District will pay Lease Payments (as defined herein) and Prepayments (as defined herein) to be evidenced and represented by the Certificates; and

WHEREAS, as security therefor, the Corporation will assign the rights to receive such Lease Payments and Prepayments, and the Corporation and District will grant a security interest in all moneys held by the Trustee hereunder to the Trustee for the benefit of the Owners of Certificates executed and delivered hereunder; and

WHEREAS, the Trustee has agreed to execute and deliver the Certificates each evidencing proportionate interests in the Lease Payments and Prepayments made by the District under the Lease Agreement; and

NOW, THEREFORE, in consideration of the above premises and of the mutual covenants hereinafter contained and for other good and valuable consideration, the receipt and adequacy of which is hereby acknowledged, the parties hereto hereby agree as follows:

ARTICLE I

DEFINITIONS

Section 1.01. Definitions and Rules of Construction. Unless the context otherwise requires, the terms defined in this Section shall, for all purposes of this Trust Agreement, have the meanings herein specified. Words of the masculine gender used in this Trust Agreement shall be deemed and construed to include correlative words of the feminine and neuter genders. Unless the context otherwise indicates, words importing the singular number shall include the plural number and vice versa. The terms “hereby,” “hereof,” “hereto,” “herein,” “hereunder” and any similar terms, as used in this Trust Agreement, refer to this Trust Agreement as a whole.

“Additional Payments” means all costs and expenses incurred by the District and the Corporation in complying with the provisions of this Trust Agreement, including without limitation payment of all Delivery Costs (to the extent not paid from amounts on deposit in the Delivery Costs Fund), compensation, reimbursable expenses and fees due to the Trustee, all costs and expenses of auditors, engineers, counsel and accountants and any amounts required to be rebated to the federal government.

“Assignment Agreement” means the Assignment Agreement, dated as of the date hereof, by and between the Trustee and the Corporation, as amended or supplemented in accordance with its terms.

“Authorized Denominations” means, with respect to the Certificates, \$5,000 and any integral multiple thereof.

“Book-Entry Certificates” means the Certificates registered in the name of the nominee of DTC, or any successor securities depository for such Certificates, as the registered owner thereof pursuant to the terms and provisions of Section 2.14 hereof.

“Business Day” means any day of the year other than Saturday or Sunday or any other day on which banks in New York, New York or Los Angeles, California are not authorized or obligated by law or executive order to close and on which the New York Stock Exchange is not closed.

“Certificate of Completion” means the certificate of a District Representative certifying that a Project has been completed and that all Project Costs related to such Project have been paid.

“Certificate of the District” means an instrument in writing signed by a District Representative. Such certificate shall include (a) a statement that, in the opinion of the signer, he or she has made or caused to be made such examination or investigation as is necessary to enable the signatory to express an informed opinion as to what he or she is certifying to and (b) a statement as to whether, in the opinion of the signer, the agreement, condition, covenant or term being certified to has been complied with.

“Certificate of the Corporation” means an instrument in writing signed by a Corporation Representative. Such certificate shall include (a) a statement that, in the opinion of the signer, he or she has made or caused to be made such examination or investigation as is necessary to enable the signatory to express an informed opinion as to what he or she is certifying to and (b) a statement as to whether, in the opinion of the signer, the agreement, condition, covenant or term being certified to has been complied with.

“Certificate Register” means the registration books required to be maintained by the Trustee pursuant to Section 2.12 hereof.

“Certificates” means the \$[Principal Amount] Certificates of Participation, 2023 Series A to be executed and delivered pursuant hereto.

“Closing Date” means the day when the Certificates, duly executed by the Trustee, are delivered to the underwriter thereof.

“Code” means the Internal Revenue Code of 1986, as amended, and the regulations issued thereunder, as the same may be amended from time to time, and any successor provisions of law. Reference to a particular section of the Code shall be deemed to be a reference to any successor to any such section.

“Completion Date” means the date of completion of the Project, as evidenced by the filing by the District with the Trustee of a Certificate of Completion.

“Continuing Disclosure Certificate” means the Continuing Disclosure Certificate executed by the District dated the date of the execution and delivery of the Certificates, as amended or supplemented in accordance with its terms.

“Corporation” means the LAUSD Financing Corporation, a California nonprofit public benefit corporation, and its successors and assigns.

“Corporation Representative” means the President, the Vice President, the Treasurer or the Secretary of the Corporation, or any person authorized to act on behalf of the Corporation under or with respect to the Lease Agreement.

“Defeasance Obligations” means, unless otherwise approved by the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy, (1) cash, (2) non-callable direct obligations of, or obligations fully and unconditionally guaranteed as to the timely payment of principal and interest by, the United States or (3) obligations as otherwise may be authorized under State law and approved by the Insurer.

“Delivery Costs” means and includes all items of expense directly or indirectly payable by or reimbursable to the District or the Corporation relating to the execution and delivery of the Certificates, including but not limited to underwriting costs, title insurance, filing and recording costs, settlement costs, printing costs, reproduction and binding costs, initial fees and charges of the Trustee, including its first annual administration fee and the fees of its counsel, legal fees and charges, financing and other professional consulting fees, costs of rating agencies or credit ratings,

fees for execution, transportation and safekeeping of the Certificates and charges and fees in connection with the foregoing.

“Delivery Costs Fund” means the fund by that name established and held by the Trustee pursuant to Article III hereof.

“District” means the Los Angeles Unified School District, a school district organized and existing under the Constitution and laws of the State, and its successors and assigns.

“District Representative” means the Chief Business Officer or the Controller of the District, or a person authorized by the Chief Business Officer or the Controller to act on behalf of the District under or with respect to this Trust Agreement.

“DTC” means The Depository Trust Company, New York, New York, a limited purpose trust company organized under the laws of the State of New York in its capacity as securities depository for the Certificates.

“Eligible Securities” means (1) Non-callable direct obligations of, or obligations fully and unconditionally guaranteed as to the timely payment of principal and interest by, the United States. These include, but are not limited to:

- U.S. Treasury Obligations
All direct or fully guaranteed obligations
- Farmers Home Administration
Certificates of beneficial ownership
- General Services Administration
participation certificates
- U.S. Maritime Administration
Guaranteed Title XI financing
- Small Business Administration
Guaranteed participation certificates
Guaranteed pool certificates
- Government National Mortgage Association (GNMA)
GNMA - guaranteed mortgage-backed securities
GNMA - guaranteed participation certificates
- U.S. Department of Housing and Urban Development
Local authority bonds
- Washington Metropolitan Area Transit Authority
Guaranteed transit bonds
- State and Local Government Series

- Veterans Administration
Guaranteed REMIC Pass-through certificates

(2) Non-callable obligations of government-sponsored agencies that are not backed by the full faith and credit of the U.S. Government. These include, but are not limited to:

- Federal Home Loan Mortgage Corp. (FHLMC)
Debt Obligations
- Farm credit System (Formerly: Federal Land Banks, Intermediate Credit Banks, and Banks for Cooperatives)
Consolidated Systemwide bonds and notes
- Federal Home Loan Banks (FHL Banks)
Consolidated debt obligations
- Federal National Mortgage Association (FNMA)
Debt Obligations
- Student Loan Marketing Association (SLMA)
Debt obligations
- Resolution Funding Corp. (REFCORP)
Debt obligations
- U.S. Agency for International Development (U.S. A.I.D.)
Guaranteed Notes (must mature at least 4 business days before the appropriate payment date)

(3) Certain stripped securities where the principal-only and interest-only strips are derived from non-callable obligations issued by the U.S. Treasury, and REFCORP securities stripped by the Federal Reserve Bank of New York. (No custodial receipts, i.e. CATs, TIGERS, unit investment trusts and mutual funds, etc. will be permitted).

“Event of Default” means an event of default under the Lease Agreement, as defined in Section 9.1 thereof.

“Facility” means, as of any date, the improvements comprising a portion of the Property leased by the Corporation to the District pursuant to the Lease Agreement.

“Fiscal Year” means the fiscal year of the District commencing on July 1 of each calendar year and ending June 30 of the next calendar year.

“Hazardous Substances” means any substances, pollutants, wastes and contaminants now or hereafter included in such (or any similar) term under any federal, state or local ordinance, code or regulation now existing or hereafter enacted or amended.

“Independent Counsel” means an attorney duly admitted to the practice of law before the highest court of the state in which such attorney maintains an office and who is not an employee of the Corporation, the Trustee or the District.

[“Insurance Policy” means the Municipal Bond Insurance Policy issued by the Insurer guaranteeing the scheduled payment of principal evidenced and represented by and interest with respect to the Insured Certificates when due.]

[“Insured Certificates” means the Certificates maturing on October 1 of the years ____ through ____, inclusive.]

[“Insurer” means [Insurer], or any successor thereto or assignee thereof.]

“Interest Payment Date” means [April 1] and [October 1] of each year, commencing on [First Interest Payment Date], with respect to the interest payments evidenced by the Certificates so long as any Certificates remain Outstanding.

[“Late Payment Rate” means _____.]

“Lease Agreement” means the Lease Agreement, dated the date hereof, between the District and the Corporation, as amended or supplemented in accordance with its terms.

“Lease Deposit Date” means fifteen (15) Business Days preceding any Lease Payment Date.

“Lease Payment” means any payment required to be paid by the District to the Corporation pursuant to Section 4.4 of the Lease Agreement and set forth in Exhibit A thereto.

“Lease Payment Date” means each [April 1] and [October 1], commencing on [First Interest Payment Date].

“Lease Payment Fund” means the fund by that name established and held by the Trustee pursuant to Article V hereof.

“Letter of Representations” means the letter of the District and the Trustee delivered to and accepted by the Depository on or prior to delivery of the Certificates as Book-Entry Certificates setting forth the basis on which the Depository serves as depository for such Book-Entry Certificates, as originally executed or as it may be supplemented or revised or replaced by a letter from the District and the Trustee delivered to and accepted by the Depository.

“Moody’s” means Moody’s Investors Service, a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, and, if such corporation shall for any reason no longer perform the function of a securities rating agency, “Moody’s” shall be deemed to refer to any other nationally recognized rating agency designated by the District.

“Net Proceeds” means any proceeds of insurance carried pursuant to Article V of the Lease Agreement, performance bonds, or taking by eminent domain or condemnation paid with respect

to the Property remaining after payment therefrom of any expenses (including attorneys' fees) incurred in the collection thereof.

"Net Proceeds Fund" means the fund by that name established and held by the Trustee pursuant to Article VII hereof.

"Nominee" means the nominee of DTC or a Substitute Depository, as determined from time to time pursuant to Section 2.14 hereof. The initial Nominee shall be "Cede & Co."

"Outstanding," when used as of any particular time with respect to the Certificates, means (subject to the provisions of Section 10.03 hereof) all Certificates theretofore executed and delivered by the Trustee under this Trust Agreement except:

(1) Certificates theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation;

(2) Certificates for the payment or prepayment of which funds or Defeasance Obligations, together with interest earned thereon, in the necessary amount shall have theretofore been deposited with the Trustee (whether upon or prior to the maturity or prepayment date of such Certificates) pursuant to Article XIV hereof, provided that, if such Certificates are to be prepaid prior to maturity, notice of such prepayment shall have been given as provided in Section 4.04 hereof or provision satisfactory to the Trustee shall have been made for the giving of such notice; and

(3) Certificates in lieu of or in exchange for which other Certificates shall have been executed and delivered by the Trustee pursuant to Sections 2.08 or 2.09 hereof;

[provided however, that any amounts paid by the Insurer under the Insurance Policy shall not be deemed paid for purposes of this Trust Agreement and the Certificates relating to such payments shall remain Outstanding and continue to be due and owing until paid by the Corporation in accordance with the Trust Agreement.]

"Owner" or "Certificate Owner" or "Owner of a Certificate," or any similar term, when used with respect to a Certificate, means the person in whose name such Certificate is registered on the Certificate Register.

"Participants" means those broker-dealers, banks and other financial institutions from time to time for which the Depository holds Book-Entry Certificates as securities depository.

"Permitted Encumbrances" means, with respect to the Property, as of any particular time: (i) liens for general *ad valorem* taxes and assessments, if any, not then delinquent, or which the District may permit to remain unpaid; (ii) the Assignment Agreement; (iii) the Lease Agreement; (iv) the Site Lease, (v) any right or claim of any mechanic, laborer, materialman, supplier or vendor filed or perfected in the manner prescribed by law; (vi) ground leases, judgment liens in favor of the District, easements, rights of way, mineral rights, drilling rights and other rights, reservations, covenants, conditions or restrictions which exist of record on the Closing Date; (vii) easements, rights of way, mineral rights, drilling rights and other rights, reservations, covenants, conditions or restrictions established following the date of recordation of the Lease Agreement and to which

the Corporation and the District consent in writing [and (viii) any encumbrance authorized in writing by the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy].

“Permitted Investments” means any of the following that at the time of investment are legal investments under the laws of the State for the moneys proposed to be invested therein and are assigned the ratings, if any, required hereby (without regard to ratings subcategories):

1. Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the United States Department of the Treasury) or obligations the timely payment of principal of and interest on which are fully and unconditionally guaranteed by the United States of America.
2. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following federal agencies and provided such obligations are backed by the full faith and credit of the United States of America (stripped securities are only permitted if they have been stripped by the agency itself):
 - a. Farmers Home Administration (FmHA) certificates of beneficial ownership
 - b. Federal Housing Administration debentures (FHA)
 - c. General Services Administration participation certificates
 - d. Government National Mortgage Association (GNMA or “Ginnie Mae”) GNMA-guaranteed mortgage-backed bonds and GNMA-guaranteed pass-through obligations (participation certificates)
 - e. U.S. Maritime Administration guaranteed Title XI financing
 - f. U.S. Department of Housing and Urban Development (HUD) project notes and local authority bonds
3. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following non-full faith and credit U.S. government agencies (stripped securities are only permitted if they have been stripped by the agency itself):
 - a. Federal Home Loan Bank System senior debt obligations (consolidated debt obligations)
 - b. Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) Participation Certificates (Mortgage-backed securities) and senior debt obligations
 - c. Federal National Mortgage Association (FNMA or “Fannie Mae”) Mortgage-backed securities and senior debt obligations (excluded are stripped mortgage securities that are valued greater than par on the portion of unpaid principal.)

- d. Student Loan Marketing Association (SLMA or “Sallie Mae”) senior debt obligations
 - e. Resolution Funding Corp. (REFCORP): Only the interest component of REFCORP strips that have been stripped by request to the Federal Reserve Bank of New York in book-entry form are acceptable.
 - f. Farm Credit System consolidated system-wide bonds and notes
4. Money market mutual funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by Standard & Poor’s of “AAAm-G,” “AAAm,” or “AA-m” and if rated by Moody’s, “Aaa,” “Aa1,” or “Aa2,” including funds for which the Trustee or its affiliates provide investment advisory or other management services or serve as investment administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Trustee or an affiliate of the Trustee receives and retains a fee for services provided to the fund, (ii) the Trustee collects fees for services rendered pursuant to this Trust Agreement, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to this Trust Agreement may at times duplicate those provided to such funds by the Trustee or an affiliate of the Trustee.
 5. Certificates of deposit secured at all times by collateral described in (1) and/or (2) above. Certificates of deposit must have a five year or less maturity. Such certificates must be issued by commercial banks, including the Trustee and its affiliates, savings and loan associations or mutual savings banks whose short term obligations are rated “A-1”+ or better by Standard & Poor’s and “Prime-1” by Moody’s.
The collateral must be held by a third party and the Trustee must have a perfected first security interest in the collateral.
 6. Certificates of deposit (including those placed by a third-party pursuant to an agreement between the District and the Trustee), time deposits, interest bearing deposits, overnight bank deposits, interest bearing money market accounts, trust funds, trust accounts), savings accounts, deposit accounts or money market deposits which are fully insured by FDIC, including BIF and SAIF including those of the Trustee or its affiliates.
 7. Investment agreements, including guaranteed investment contracts, approved by the rating agencies then rating the Certificates.
 8. Commercial paper rated at the time of purchase “Prime-1” by Moody’s and “A-1+” or better by Standard & Poor’s.
 9. Bonds or notes issued by any state or municipality that are rated by Moody’s and Standard & Poor’s in one of the two highest long-term rating categories assigned by such agencies.

10. Federal funds, bank deposits, bank deposit products or bankers' acceptances with a maximum term of one year of any bank which has an unsecured, uninsured and non-guaranteed obligation rating of "Prime-1" or "A3 " or better by Moody's and "A-1+" by Standard & Poor's or are fully FDIC-insured, including those of the Trustee and its affiliates.
11. Repurchase agreements (including those of the Trustee or any of its affiliates) that provide for the transfer of securities from a dealer bank or securities firm (seller/borrower) to the Trustee (buyer/lender), and the transfer of cash from the Trustee to the dealer bank or securities firm with an agreement that the dealer bank or securities firm will repay the cash plus a yield to the Trustee in exchange for the securities at a specified date. Repurchase agreements (each a "repo" and, collectively, "repos") must satisfy the following criteria:
 - a. Repos must be between the Trustee and the following dealers or banks:
 - (1) Primary dealers on the Federal Reserve reporting dealer list which fall under the jurisdiction of the SIPC and that are rated A or better by Standard & Poor's and Moody's, or
 - (2) Banks rated "A" or above by Standard & Poor's and Moody's.
 - b. The written repo contract must include the following:
 - (1) Securities that are acceptable for transfer are: (a) Direct U.S. governments, and (b) Federal agencies backed by the full faith and credit of the U.S. government (and FNMA & FHLMC)
 - (2) The term of the repo may be up to 30 days
 - (3) The collateral must be delivered to the Trustee (if Trustee is not supplying the collateral) or third party acting as agent for the Trustee (if the Trustee is supplying the collateral) before/simultaneous with payment (perfection by possession of certificated securities).
 - (4) The Trustee has a perfected first priority security interest in the collateral.
 - (5) Collateral is free and clear of third-party liens and in the case of SIPC brokers, was not acquired pursuant to a repo or reverse repo.
 - (6) Failure to maintain the requisite collateral percentage, after a two day restoration period, will require the Trustee to liquidate collateral.
 - (7) Valuation of Collateral is determined as follows: (a) The securities must be valued weekly, marked-to-market at current market price plus accrued interest; (b) The value of collateral must be equal to 104% of the amount of cash transferred by the Trustee to the dealer bank or security firm under the repo plus accrued interest. If the value of securities held as collateral slips

below 104% of the value of the cash transferred by Trustee, then additional cash and/or acceptable securities must be transferred. If, however, the securities used as collateral are FNMA or FHLMC, then the value of collateral must equal 105%.

- c. A legal opinion must be delivered to the Trustee that the Repo meets guidelines under State law for legal investment of public funds.
- 12. Pre-refunded municipal bonds rated “Aaa” by Moody’s and “AAA” by Standard & Poor’s. If, however, the issue is rated only by Standard & Poor’s (i.e., there is no Moody’s rating), then the pre-refunded bonds must have been pre-refunded with cash, direct U.S. or U.S. guaranteed obligations, or “AAA” rated pre-refunded municipals to satisfy this condition.
- 13. Los Angeles County Investment Pool.
- [14. Any other investment authorized in writing by the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy.]

“Prepayment” means any payment made by the District pursuant to Article X of the Lease Agreement as a prepayment of the Lease Payments.

“Prepayment Fund” means the fund by that name established and held by the Trustee pursuant to Article IV hereof.

“Principal Office” means the corporate trust office of the Trustee in Los Angeles, California; provided however, that for purposes of transfer, exchange, surrender, payment and prepayment, such term means the designated corporate trust office or agency of the Trustee, U.S. Bank Trust Company, National Association, or such other office designated by the Trustee.

“Principal Payment Date” means [October 1] of each year, commencing on [First Principal Payment Date], with respect to the principal payments evidenced by the Certificates.

“Project” means the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds.

“Project Costs” means all costs of payment of, or reimbursement for, acquisition and improvement of the Project by the District and the Corporation, including but not limited to, architect and engineering fees, costs relating to environmental remediation, if any, title insurance premiums, costs of feasibility and other reports, inspection costs and permit fees.

“Project Fund” means the fund by that name established and held by the Trustee pursuant to Article III of this Trust Agreement.

“Property” means that certain real property and the improvements thereon as defined in the Lease Agreement.

“Record Date” means the close of business on the fifteenth day of the month preceding each Interest Payment Date, whether or not such fifteenth day is a Business Day.

“Requisition” means the form of written requisition substantially in the form attached hereto as Exhibit B.

“Rental Period” means the period from the Closing Date through June 30, 2024 and, thereafter, the twelve-month period commencing on July 1 of each year during the term of the Lease Agreement.

“Site Lease” means the Site Lease, dated the date hereof, by and between the Corporation and the District, as amended or supplemented in accordance with its terms.

“Special Counsel” means an attorney or firm of attorneys of nationally recognized standing in matters pertaining to the tax-exempt status of interest on obligations issued by states and their political subdivisions and acceptable to the District.

“Standard & Poor’s” means Standard & Poor’s Ratings Services, division of The McGraw-Hill Companies, Inc., a corporation organized and existing under the laws of the State of New York, its successors and their assigns, or, if such corporation shall for any reason no longer perform the function of a securities rating agency, “Standard & Poor’s” shall be deemed to refer to any other nationally recognized rating agency designated by the District.

“State” means the State of California.

“Substitute Depository” shall have the meaning ascribed thereto in Section 2.14(e)(i)(A).

“Tax Certificate” means the Tax Certificate dated the date of delivery of the Certificates executed by and delivered to the District, including any and all exhibits attached thereto.

“Term” means the time during which the Lease Agreement is in effect, as provided in Section 4.2 of the Lease Agreement.

“Trust Agreement” means this Trust Agreement, as amended or supplemented in accordance with the terms hereof.

“Trustee” means U.S. Bank Trust Company, National Association, or any successor thereto.

“Written Request of the District” means an instrument in writing signed by a District Representative.

“Written Request of the Corporation” means an instrument in writing signed by a Corporation Representative.

Section 1.02. Interpretation.

(a) Unless the context otherwise indicates, words expressed in the singular shall include the plural and vice versa and the use of the neuter, masculine, or feminine gender is for convenience only and shall be deemed to mean and include the neuter, masculine or feminine gender, as appropriate.

(b) Headings of articles and sections herein and the table of contents hereof are solely for convenience of reference, do not constitute a part hereof and shall not affect the meaning, construction or effect hereof.

(c) All references herein to “Articles,” “Sections” and other subdivisions are to the corresponding Articles, Sections or subdivisions of this Trust Agreement; the words “herein,” “hereof,” “hereby,” “hereunder” and other words of similar import refer to this Trust Agreement as a whole and not to any particular Article, Section or subdivision hereof.

(d) Except as otherwise set forth herein, any reference to a time of day set forth herein shall mean Los Angeles time.

Section 1.03. Authorization. Each of the parties hereby represents and warrants that it has full legal authority and is duly empowered to enter into this Trust Agreement, and has taken all actions necessary to authorize the execution of this Trust Agreement by the officers and persons signing it.

ARTICLE II

THE CERTIFICATES OF PARTICIPATION

Section 2.01. Authorization. The Trustee is hereby authorized and directed to register, execute and deliver the Certificates in an aggregate principal amount of \$[Principal Amount] evidencing proportionate and undivided ownership interests in the Lease Payments and the Prepayments evidenced by the Certificates. In no event shall the Certificates be deemed a debt or liability of the Trustee.

Section 2.02. Date. Each Certificate shall be dated the Closing Date, and interest evidenced thereby shall be payable from the Interest Payment Date next preceding the date of execution thereof, unless (a) it is executed as of the Interest Payment Date, in which event interest evidenced thereby shall be payable from the date thereof; (b) it is executed after a Record Date and before the following Interest Payment Date, in which event interest evidenced thereby shall be payable from such following Interest Payment Date, or (c) it is executed prior to the close of business on the first Record Date, in which event interest evidenced thereby shall be payable from the Closing Date; *provided, however*, that if, as of the date of execution of any Certificate, interest has not been paid when due with respect to any Outstanding Certificate, interest evidenced by such Certificate shall be payable from the Interest Payment Date to which interest has previously been paid or made available for payment with respect to the Outstanding Certificates.

Section 2.03. Maturity; Interest Rates. The principal evidenced by the Certificates shall become due and payable on [October 1] of the following years and shall evidence interest at the following rates:

<u>Year</u>	<u>Principal Amount</u>	<u>Interest Rate</u>
	\$	%

Section 2.04. Registration; Interest. The Certificates shall be delivered in the form of fully registered Certificates without coupons in the denomination of \$5,000 or any integral multiple thereof. The Certificates shall be numbered as the Trustee deems appropriate.

Interest evidenced by the Certificates shall be payable semiannually on April 1 and October 1 of each year, commencing on [First Interest Payment Date], to the date of maturity or prepayment, whichever is earlier. Said interest shall represent the portion of Lease Payments designated as interest and coming due during the six-month period preceding each Interest Payment Date evidenced by the Certificates computed on the basis of a 360-day year of twelve 30-day months. The proportionate share of the portion of Lease Payments designated as interest evidenced by any Certificate shall be computed by multiplying the portion of Lease Payments designated as principal evidenced by such Certificate by the rate of interest applicable to such Certificate.

Section 2.05. Form of Certificates. The Certificates and the assignment to appear thereon shall be substantially in the form set forth in Exhibit A attached hereto and by this reference incorporated herein, with necessary or appropriate variations, omissions and insertions as permitted or required by this Trust Agreement. Pending the preparation of definitive Certificates, at the request of the underwriter, the Certificates may be delivered in temporary form exchangeable for definitive Certificates when ready for delivery. If the Trustee delivers temporary Certificates, it shall execute and deliver definitive Certificates in an equal aggregate principal amount, when available, and thereupon the temporary Certificates shall be surrendered to the Trustee at its Principal Office. Until so exchanged, the temporary Certificates shall be entitled to the same benefits under this Trust Agreement as definitive Certificates.

Section 2.06. Execution. The Certificates shall be executed by and in the name of the Trustee by the manual or electronic signature of any authorized signatory of the Trustee. If any officer whose signature appears on any Certificate ceases to be such officer before the date of delivery of said Certificate, such signature shall nevertheless be as effective as if the signatory had remained in office until such date.

Section 2.07. Application of Proceeds and Other Amounts. The proceeds received by the Trustee from the sale of the Certificates in the aggregate amount of \$[Net Proceeds] (representing the principal amount of the Certificates, plus \$[OIP] original issue premium, less \$[UW Discount] paid to the underwriter[, and less the insurance premium of \$[Insurance Premium] transferred to the Insurer for the premium for the Insurance Policy)], shall forthwith be deposited by the Trustee as follows:

(a) Project Fund: The Trustee shall deposit \$[Project Fund Deposit] in the Project Fund.

(b) Delivery Costs Fund: The Trustee shall deposit \$[COI Deposit] in the Delivery Costs Fund to pay certain costs of delivery with respect to the Certificates.

Section 2.08. Transfer and Exchange.

(a) Transfer of Certificates. Any Certificate may, in accordance with its terms, be transferred upon the books required to be kept pursuant to the provisions of Section 2.12 hereof by the person in whose name it is registered, in person or by his or her duly authorized attorney, upon surrender of such Certificate for cancellation at the Principal Office accompanied by a duly executed written instrument of transfer in a form acceptable to the Trustee. Whenever any Certificate or Certificates shall be surrendered for transfer, the Trustee shall execute and deliver a new Certificate or Certificates of the same aggregate principal amount, maturity and interest rate in Authorized Denominations.

(b) Exchange of Certificates. Certificates may be presented for exchange at the Principal Office for the same aggregate principal amount of Certificates of other authorized denominations of the same maturity and interest rate. The Trustee may require the payment by the Certificate Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange. The District shall pay all other registration and exchange costs, including the cost of printing Certificates. All Certificates surrendered pursuant to the provisions of this Section shall be cancelled by the Trustee and shall not be redelivered.

(c) Transfer or Exchange of Certificates Outside Book-Entry System. Prior to any transfer or exchange of the Certificates outside the book-entry system (including, but not limited to, the initial transfer outside the book-entry system) the transferor shall provide or cause to be provided to the Trustee all information necessary to allow the Trustee to comply with any applicable tax reporting obligations, including without limitation any cost basis reporting obligations under Internal Revenue Code Section 6045, as amended. The Trustee shall conclusively rely on the information provided to it and shall have no responsibility to verify or ensure the accuracy of such information.

(d) Time for Transfer or Exchange. The Trustee shall not be obligated to transfer or exchange any Certificate (i) between the date which is fifteen (15) days immediately preceding the selection of Certificates for prepayment and the date that notice of such prepayment is mailed, and (ii) as to any Certificate selected for prepayment.

Section 2.09. Certificates Mutilated, Lost, Destroyed or Stolen. If any Certificate shall become mutilated, the Trustee shall execute and deliver a new Certificate of like tenor as the

Trustee shall determine in exchange and substitution for the Certificate so mutilated, but only upon surrender to the Trustee of the Certificate so mutilated and provision of indemnity satisfactory to the Trustee. Every mutilated Certificate so surrendered to the Trustee shall be cancelled by it and redelivered to, or upon the order of, the District. If any Certificate shall be lost, destroyed or stolen, evidence of such loss, destruction or theft may be submitted to the Trustee, and if such evidence is satisfactory to the Trustee and the District and if an indemnity satisfactory to the Trustee and the District indemnifying the Trustee, the Corporation and the District shall be given, the Trustee shall execute and deliver a new Certificate of like tenor and numbered as the Trustee shall determine in lieu of and in substitution for the Certificate so lost, destroyed or stolen. The Trustee may require payment of an appropriate fee for each new Certificate delivered under this Section and of the expenses which may be incurred by the Trustee in carrying out the duties under this Section. Any Certificate executed under the provisions of this Section in lieu of any Certificate alleged to be lost, destroyed or stolen shall be equally and proportionately entitled to the benefits of this Trust Agreement with all other Certificates secured by this Trust Agreement. The Trustee shall not be required to treat both the original Certificate and any replacement Certificate as being Outstanding for the purpose of determining the principal amount of Certificates which may be executed and delivered hereunder or for the purpose of determining any percentage of Certificates Outstanding hereunder, but both the original and replacement Certificate shall be treated as one and the same. Notwithstanding any other provision of this Section, in lieu of delivering a new Certificate which has been mutilated, lost, destroyed or stolen, and which has matured, the Trustee may make payment with respect to such Certificate upon receipt of the aforementioned indemnity.

Section 2.10. Payment. Payment of interest evidenced by any Certificate on any Interest Payment Date or prepayment date shall be made to the person appearing on the Certificate Register as the Owner thereof as of the Record Date immediately preceding such Interest Payment Date or prepayment date, as the case may be, such interest to be paid by check mailed on the Interest Payment Date by first class mail to such Owner at his or her address as it appears on the Certificate Register. Payment of interest evidenced by the Certificates may, at the option of any Owner of at least \$1,000,000 aggregate principal amount of Certificates (such option to be exercised by the written request of such Owner to the Trustee on or before the Record Date), be transmitted by wire transfer to a bank account located in the United States of America, which bank account number shall be on file with the Trustee as of the Record Date immediately preceding the applicable Interest Payment Date. The principal and premium, if any, payable upon maturity or prepayment with respect to the Certificates shall be payable by check or wire upon surrender of the Certificate at the Principal Office. Said amounts shall be payable in lawful money of the United States of America. The Trustee is hereby authorized to pay or prepay the Certificates when duly presented for payment at maturity or on prepayment, or on purchase by the Trustee prior to maturity, and to cancel all Certificates upon payment thereof.

Section 2.11. Execution of Documents and Proof of Ownership. Any request, direction, consent, revocation of consent or other instrument in writing required or permitted by this Trust Agreement to be signed or executed by Certificate Owners may be in any number of concurrent instruments of similar tenor, and may be signed or executed by such Owners in person or by their attorneys or agents appointed by an instrument in writing for that purpose, or by any bank, trust company or other depository for such Certificates. Proof of the execution of any such instrument, or of any instrument appointing any such attorney or agent, and of the ownership of Certificates

shall be sufficient for any purpose of this Trust Agreement (except as otherwise herein provided), if made in the following manner:

(a) The fact and date of the execution by any Owner or his or her attorney or agent of any such instrument and of any instrument appointing any such attorney or agent, may be proved by a certificate, which need not be acknowledged or verified, of an officer of any bank or trust company located within the United States of America, or of any notary public, or other officer authorized to take acknowledgments of deeds to be recorded in such jurisdictions, that the persons signing such instruments acknowledged before such notary public or other officer the execution thereof. Where any such instrument is executed by an officer of a corporation or association or a member of a partnership on behalf of such corporation, association or partnership, such certificate shall also constitute sufficient proof of his authority.

(b) The fact of the ownership of Certificates by any person, the amount and numbers of such Certificates and the date of execution shall be proved by the Certificate Register.

Nothing contained in this Article II shall be construed as limiting the Trustee to such proof, it being intended that the Trustee may accept any other evidence of the matters herein stated which the Trustee may deem sufficient. Any request or consent of the Owner of any Certificate shall bind every future Owner of the same Certificate in respect of anything done or to be done by the Trustee in pursuance of such request or consent.

Section 2.12. Certificate Register. The Trustee will keep or cause to be kept sufficient books for the registration and transfer of the Certificates which shall, during normal working hours, be open to inspection by the District and the Corporation with reasonable prior notice; and, upon presentation for such purpose, the Trustee shall, under such reasonable regulations as it may prescribe, register or transfer or cause to be registered or transferred, on said books, Certificates as hereinbefore provided. The District, the Corporation and the Trustee shall be entitled to treat the Owner of a Certificate as the absolute owner thereof for all purposes, whether or not a Certificate shall be overdue, and the District, the Corporation and the Trustee shall not be affected by any notice to the contrary.

Section 2.13. Destruction of Cancelled Certificates. Whenever in this Trust Agreement provision is made for the surrender or cancellation by the Trustee and the delivery to the District of any Certificates, the Trustee shall, in lieu of such delivery, destroy such Certificates and deliver a certificate of such destruction to the District upon its request.

Section 2.14. Book-Entry System.

(a) Election of Book-Entry System. Prior to the execution and delivery of the Certificates, the District may provide that such Certificates shall be initially executed and delivered as Book-Entry Certificates. If the District shall elect to deliver any Certificates in book-entry, then the District shall cause the delivery of a separate single fully registered certificate (which may be typewritten) for each maturity date and interest rate of such Certificates in an authorized denomination corresponding to that total principal amount of such Certificates designated to mature on such date and bear interest at such rate. Upon initial execution and delivery, the ownership of each such Certificate shall be registered in the Certificate Register in the name of the

Nominee of DTC and ownership of the Certificates, or any portion thereof may not thereafter be transferred except as provided in Section 2.14(e).

With respect to Book-Entry Certificates, the District and the Trustee shall have no responsibility or obligation to any Participant or to any person on behalf of which such a Participant holds an interest in such Book-Entry Certificates. Without limiting the immediately preceding sentence, the District and the Trustee shall have no responsibility or obligation with respect to (i) the accuracy of the records of DTC, the Nominee, or any Participant with respect to any ownership interest in Book-Entry Certificates, (ii) the delivery to any Participant or any other person, other than an Owner as shown in the Certificate Register, of any notice with respect to Book-Entry Certificates, including any notice of prepayment, (iii) the selection by DTC and its Participants of the beneficial interests in Book-Entry Certificates to be prepaid in the event the District prepays the Certificates in part, or (iv) the payment by DTC or any Participant or any other person, of any amount with respect to principal, premium, if any, or interest evidenced and represented by Book-Entry Certificates. The District and the Trustee may treat and consider the person in whose name each Book-Entry Certificate is registered in the Certificate Register as the absolute Owner of such Book-Entry Certificate for the purpose of payment of principal, premium and interest with respect to such Certificate, for the purpose of giving notices of prepayment and other matters with respect to such Certificate, for the purpose of registering transfers with respect to such Certificate, and for all other purposes whatsoever. The Trustee shall pay all principal, premium, if any, and interest evidenced and represented by the Certificates only to or upon the order of the respective Owner, as shown in the Certificate Register, or his or her respective attorney duly authorized in writing, and all such payments shall be valid and effective to fully satisfy and discharge the District's obligations with respect to payment of principal of, premium, if any, and interest evidenced and represented by the Certificates to the extent of the sum or sums so paid. No person other than an Owner, as shown in the Certificate Register, shall receive a Certificate evidencing the obligation to make payments of principal, premium, if any, and interest evidenced and represented by the Certificates. Upon delivery by DTC to the Owner and the Trustee, of written notice to the effect that DTC has determined to substitute a new nominee in place of the Nominee, and subject to the provisions herein with respect to Record Dates, the word "Nominee" in this Trust Agreement shall refer to such nominee of DTC.

(b) Delivery of Letter of Representations. In order to qualify the Book-Entry Certificates for DTC's book-entry system, the District shall execute and deliver to DTC the Letter of Representations. The execution and delivery of the Letter of Representations shall not in any way impose upon the District or the Trustee any obligation whatsoever with respect to persons having interests in such Book-Entry Certificates other than the Owners, as shown on the Certificate Register. In addition to the execution and delivery of the Letter of Representations, the District and the Trustee shall take such other actions, not inconsistent with this Trust Agreement, as are reasonably necessary to qualify the Certificates for DTC's book-entry program.

(c) Selection of Depository. In the event (i) DTC determines not to continue to act as securities depository for Book-Entry Certificates, or (ii) the District determines that continuation of the book-entry system is not in the best interest of the beneficial owners of the Certificates or the District, then the District may discontinue the book-entry system with DTC. If the District determines to replace DTC with another qualified securities depository, the District shall prepare or direct the preparation of a new single, separate, fully registered Certificate for each of the

different maturity dates and interest rates of such Book-Entry Certificates, registered in the name of such successor or substitute qualified securities depository or its Nominee as provided in subsection (e) hereof. If the District fails to identify another qualified securities depository to replace DTC, then the Certificates shall no longer be restricted to being registered in the Certificate Register in the name of the Nominee, but shall be registered in whatever name or names the Owners transferring or exchanging such Certificates shall designate, in accordance with the provisions of Section 2.08 hereof.

(d) Payments To Depository. Notwithstanding any other provision of this Trust Agreement to the contrary, so long as all Outstanding Certificates are held in book-entry and registered in the name of the Nominee, all payments with respect to principal, prepayment premium, if any, and interest evidenced and represented by such Certificate and all notices with respect to such Certificate shall be made and given, respectively to the Nominee, as provided in the Letter of Representations or as otherwise instructed by DTC and agreed to by the Trustee notwithstanding any inconsistent provisions herein.

(e) Transfer of Certificates to Substitute Depository.

(i) Registered ownership of the Certificates, or any portions thereof, may not thereafter be transferred except:

(A) to any successor of DTC or its nominee, or of any substitute depository designated pursuant to clause (B) of subsection (i) of this Section 2.14(e) (“Substitute Depository”); provided that any successor of DTC or Substitute Depository shall be qualified under any applicable laws to provide the service proposed to be provided by it;

(B) to any Substitute Depository, upon (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository, or (2) a determination by the District that DTC (or its successor) is no longer able to carry out its functions as depository; provided that any such Substitute Depository shall be qualified under any applicable laws to provide the services proposed to be provided by it; or

(C) to any person as provided below, upon (1) the resignation of DTC or its successor (or any Substitute Depository or its successor) from its functions as depository, or (2) a determination by the District to discontinue the book-entry system.

(ii) In the case of any transfer pursuant to clause (A) or clause (B) of subsection (i) of this Section 2.14(e), upon receipt of all Outstanding Certificates by the Trustee, together with a Written Request of the District to the Trustee designating the Substitute Depository, a single new Certificate, which the District shall prepare or cause to be prepared, shall be executed and delivered for each maturity and interest rate of Certificates then Outstanding, registered in the name of such successor or such Substitute Depository or their nominees, as the case may be, all as specified in such Written Request of the District. In the case of any transfer pursuant to clause (C) of subsection (i) of this Section

2.14(e), upon receipt of all Outstanding Certificates by the Trustee, together with a Written Request of the District to the Trustee, new Certificates, which the District shall prepare or cause to be prepared, shall be executed and delivered in such denominations and registered in the names of such persons as are requested in such Written Request of the District, provided that the Trustee shall not be required to deliver such new Certificates within a period of less than sixty (60) days from the date of receipt of such Written Request of the District.

(iii) In the case of a partial prepayment or an advance refunding of any Certificates evidencing a portion of the principal maturing in a particular year, DTC or its successor (or any Substitute Depository or its successor) shall make an appropriate notation on such Certificates indicating the date and amounts of such reduction in principal, in form acceptable to the Trustee, all in accordance with the Letter of Representations. The Trustee shall not be liable for DTC or the Substitute Depository's failure to make such notations or errors in making such notations.

(iv) The District and the Trustee shall be entitled to treat the person in whose name any Certificate is registered as the Owner thereof for all purposes of this Trust Agreement and any applicable laws, notwithstanding any notice to the contrary received by the Trustee or the District; and the District and the Trustee shall not have responsibility for transmitting payments to, communicating with, notifying, or otherwise dealing with any beneficial owners of the Certificates. Neither the District nor the Trustee shall have any responsibility or obligation, legal or otherwise, to any such beneficial owners or to any other party, including DTC or its successor (or Substitute Depository or its successor), except to the Owner of any Certificates, and the Trustee may rely conclusively on its records as to the identity of the Owners of the Certificates.

ARTICLE III

PROJECT FUND AND DELIVERY COSTS FUND

Section 3.01. Project Fund.

(a) There is hereby established and the Trustee shall maintain a special fund designated as the "2023 Certificates Los Angeles Unified School District Project Fund" (the "Project Fund"). The Trustee shall keep such fund separate and apart from all other funds and moneys held by it, and shall administer such fund and accounts as provided herein.

There shall be credited to the Project Fund the proceeds of the sale of the Certificates required to be deposited in the Project Fund pursuant to Section 2.07 hereof, together with all investment earnings on moneys held in the Project Fund and any other amounts from time to time deposited with the Trustee for such purpose as may be identified in writing to the Trustee, and shall be used and withdrawn by the Trustee to pay the costs of the Project or transferred to the District for the purpose of paying arbitrage rebate with respect to the Certificates in accordance with Section 148 of the Code, provided that any request by the District for a disbursement to pay such arbitrage rebate shall include a statement that the amount remaining in the Project Fund, together with earnings thereon or deposited therein, after payment of the amount requested to be

disbursed, shall be sufficient to pay the remaining Project Costs with respect to the Project then estimated.

(b) Amounts in the Project Fund, other than amounts transferred to the District for the purpose of paying arbitrage rebate with respect to the Certificates, shall be disbursed for Project Costs. The Trustee shall disburse moneys in the Project Fund upon receipt of a requisition requesting disbursement executed by a District Representative, the form of which is attached hereto as Exhibit B. Each such requisition shall:

(i) set forth the amounts to be disbursed for payment or reimbursement of previous payments of Project Costs with respect to the Project and the person or persons to whom said amounts are to be disbursed;

(ii) state that the amounts to be disbursed constitute Project Costs with respect to the Project, that said amounts are required to be disbursed pursuant to a contract entered into therefor by or on behalf of the Corporation or the District, or were necessarily and reasonably incurred, and that said amounts are not being paid in advance of the time, if any, fixed for payment;

(iii) state that no amount set forth in the requisition was included in any requisition requesting disbursement previously filed with the Trustee pursuant to this Section 3.01; and

(iv) state that the amount remaining in the Project Fund, together with interest earnings thereon or deposited therein will, after payment of the amount set forth in the requisition requesting disbursement, be sufficient to pay all remaining Project Costs with respect to the Project as then estimated.

Section 3.02. Delivery Costs Fund. (a) There is hereby established and the Trustee shall maintain a special fund designated as the “2023 Certificates Series A Los Angeles Unified School District Delivery Costs Fund” (the “Delivery Costs Fund”). The Trustee shall keep such fund separate and apart from all other funds and moneys held by it, and shall administer such fund and accounts as provided herein.

(a) There shall be credited to the Delivery Costs Fund the proceeds of sale of the Certificates required to be deposited therein pursuant to Section 2.07 hereof, all investment earnings on moneys held in the Delivery Costs Fund, and any other funds from time to time deposited with the Trustee to pay Delivery Costs of the Certificates.

(b) The Trustee shall disburse moneys within the Delivery Costs Fund from time to time to pay for Delivery Costs of the Certificates directly or to reimburse the District for payment of such Delivery Costs upon receipt by the Trustee of a Written Request of the District in substantially the form prescribed in Exhibit C hereto. The Trustee shall be absolutely protected in making any disbursement from the Delivery Costs Fund in reliance upon a Written Request of the District. Amounts disbursed from the Delivery Costs Fund shall be deemed disbursed first from moneys therein other than the proceeds of the Certificates.

Section 3.03. Use of Unexpended Proceeds from the Delivery Costs Fund. Upon the earlier of (i) receipt of a Certificate of the District that all Delivery Costs have been paid or (ii) the date that is one year following the date of execution and delivery of the Certificates, the Trustee shall withdraw all remaining moneys in the Delivery Costs Fund, shall transfer such moneys to the District free and clear of the lien of this Trust Agreement.

Section 3.04. Transfers of Unexpended Proceeds from the Project Fund. The Trustee is hereby directed that all unexpended moneys remaining in the Project Fund with respect to the Project and not identified in writing by a District Representative to be required for payment of Project Costs, on the Completion Date (evidenced by the filing by the District of a Certificate of Completion) with respect to the Project, be transferred to the Lease Payment Fund and applied to pay the Lease Payments with respect to the Project and the Certificates as the same become due and payable.

ARTICLE IV

PREPAYMENT OF CERTIFICATES

Section 4.01. Prepayment Fund. There is hereby established and the Trustee shall maintain a special fund designated as the “2023 Certificates Series A Los Angeles Unified School District Prepayment Fund” (the “Prepayment Fund”). The Trustee shall keep such funds and accounts separate and apart from all other funds and moneys held by it and shall administer such fund as herein provided. Moneys to be used for prepayment of any Certificates shall be deposited into the Prepayment Fund and used solely for the purpose of prepaying such Certificates in advance of their maturity on the date designated for prepayment and upon presentation and surrender of such Certificates.

Section 4.02. Prepayment.

(a) Optional Prepayment. The Certificates maturing on or after [October 1], 20__ shall be subject to optional prepayment prior to maturity on or after [October 1], 20__, at the option of the District, as a whole or in part on any date, from amounts deposited with the Trustee by the District, at a prepayment price equal to 100%, plus accrued but unpaid interest to the prepayment date.

(b) Mandatory Sinking Fund Prepayment. The Certificates with a stated principal payment date of [October 1], 20__ (the “Term Certificates”) shall be subject to prepayment prior to such stated principal payment date, in part, from mandatory sinking account payments, on each [October 1] specified below, at a prepayment price equal to the principal evidenced thereby, plus accrued interest evidenced thereby to the date fixed for prepayment, without premium. The principal evidenced by such Term Certificates to be so prepaid and the dates therefor shall be as follows:

Year	Principal Amount
<u>[(October 1)]</u>	<u></u>
†	\$

[†]Stated Maturity.

If some but not all of Term Certificates are prepaid pursuant to the extraordinary prepayment provisions as described herein under Section 4.02(c), the principal amount of Term Certificates to be prepaid pursuant to the mandatory sinking fund prepayment provisions will be reduced by the aggregate principal amount of the Term Certificates so prepaid pursuant to the extraordinary prepayment provisions, such reduction to be allocated as nearly as practicable on a *pro rata* basis.

If some but not all of the Term Certificates are prepaid pursuant to the optional prepayment provisions as described herein under Section 4.02(a), the principal amount of Term Certificates to be prepaid pursuant to the mandatory sinking fund prepayment provisions shall be reduced by the aggregate principal amount of the Term Certificates so prepaid pursuant to such optional prepayment provisions, such reduction to be allocated among sinking fund prepayment dates selected by the District.

(c) Extraordinary Prepayment. The Certificates shall be subject to prepayment on any Business Day, in whole or in part, from Net Proceeds of condemnation or any insurance award resulting from any defect in title, damage or destruction of all or a portion of the Property which the Trustee shall transfer to the Prepayment Fund at least forty-five (45) days prior to such date of prepayment and credited towards the Prepayment made by the District pursuant to the Lease Agreement, at a prepayment price equal to the principal amount of Certificates prepaid together with accrued interest to the date fixed for prepayment, without premium provided, however, that so long as the Insurer is not in default with respect to its obligations with respect to the Insurance Policy, the prior written consent of the Insurer shall be required for any such prepayment unless all outstanding Certificates are to be prepaid from such Net Proceeds or awards.

Section 4.03. Selection of Certificates for Prepayment. Whenever provision is made in this Trust Agreement for the prepayment of less than all of the Certificates pursuant to Section 4.02(a), the Trustee shall select the Certificates to be prepaid from all Outstanding Certificates not previously called for prepayment pursuant to this Trust Agreement, among maturities selected by the District and designated in a Written Request of the District delivered to the Trustee at least sixty (60) days (or such shorter period as acceptable to the Trustee) prior to the prepayment date and by lot within any maturity. The Trustee shall promptly notify the District and the Corporation in writing of the Certificates of such Series so selected for prepayment. Whenever provision is made in this Trust Agreement for the prepayment of less than all of the Certificates pursuant to Section 4.02(c), the Trustee shall select the Certificates to be prepaid from all Certificates not previously called for prepayment among maturities of all Series of Certificates on a *pro rata* basis as nearly as practicable.

Section 4.04. Notice of Prepayment.

(a) Content. When prepayment with respect to the Certificates is authorized or required pursuant to this Article IV, the Trustee shall give notice on behalf and at the expense of the District of the prepayment of the Certificates. Such notice shall specify: (a) that the Certificates or a designated portion thereof are to be prepaid; (b) the numbers of the Certificates (unless all Certificates or all Certificates of a specific maturity have been selected for prepayment) together with the CUSIP numbers to be prepaid (provided that none of the District, the Corporation or the

Trustee shall be held liable for the accuracy of such CUSIP numbers); (c) the date of notice and the date of prepayment; (d) the place or places where the prepayment will be made; and (e) the interest rates and stated maturity dates of the Certificates to be prepaid. Such notice shall further state that on the specified prepayment date there shall become due and payable upon each Certificate or portion thereof to be prepaid, the portion of the principal amount represented by such Certificate to be prepaid, together with interest accrued to said date and prepayment premium, if any, and that from and after such date interest with respect thereto shall cease to accrue and be payable.

(b) Recipients; Timing. Notice of any such prepayment shall be given by the Trustee on behalf and at the expense of the District by registered or otherwise secure mail or delivery service, postage prepaid, or by facsimile transmission, confirmed by telephone, [to the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] and DTC, by electronic submission to the Municipal Securities Rulemaking Board through the Electronic Municipal Market Access system, or any other entity designated or authorized by the Municipal Securities Rulemaking Board or Securities and Exchange Commission, at least twenty (20) days but not more than sixty (60) days prior to the prepayment date; provided, that neither failure to receive such notice nor any defect in any notice so mailed shall affect the sufficiency of the proceedings for the prepayment of such Certificates.

(c) Conditional Notice; Rescission. With respect to any notice of prepayment of the Certificates, such notice may state that such prepayment shall be conditional upon the receipt by the Trustee, on or prior to the date fixed for such prepayment, of moneys sufficient to pay the prepayment price of and accrued interest evidenced by such Certificates to be prepaid, and that if such moneys shall not have been so received, said notice shall be of no force and effect and the District shall not be required to prepay such Lease Payment. In the event that such notice of prepayment contains such a provision and such moneys are not so received, the prepayment shall not be made and the Trustee shall within a reasonable time thereafter give notice, in the manner in which the notice of prepayment was given, that such moneys were not so received and that the prepayment was cancelled. The District may rescind any prepayment and notice thereof may be rescinded for any reason by providing written notice of such rescission to the Trustee on any date prior to the date fixed for prepayment. Within one day of receipt of such written notice, the Trustee shall give written notice of the rescission to the Owners of the Certificates so called for prepayment. Notice of rescission of prepayment will be given in the same manner in which notice of prepayment was originally given. The actual receipt by the Owner of any Certificate of notice of such rescission will not be a condition precedent to rescission and failure to receive such notice or any defect in such notice will not affect the validity of the rescission.

Section 4.05. Partial Prepayment of Certificates. Upon surrender by the Owner of a Certificate for partial prepayment at the Principal Office, payment of such partial prepayment of the principal amount represented by such Certificate will be made to such Owner by check mailed by first class mail to the Owner at his or her address as it appears on the Certificate Register. Upon surrender of any Certificate prepaid in part only, the Trustee shall execute and deliver to the Owner thereof, at the expense of the District, a new Certificate or Certificates that shall be of Authorized Denominations equal in aggregate principal amount to the unprepaid portion of the Certificate surrendered and of the same interest rate and the same maturity. Such partial prepayment shall be

valid upon payment of the amount thereby required to be paid to such Owner, and the District, the Corporation and the Trustee shall be released and discharged from all liability to the extent of such payment.

Section 4.06. Effect of Notice of Prepayment. Notice having been given as aforesaid, and the moneys for the prepayment (including the interest and prepayment premium, if any, to the applicable date of prepayment), having been set aside in the Prepayment Fund, the Certificates to be prepaid shall become due and payable on said date of prepayment, and, upon presentation and surrender thereof at the Principal Office, said Certificates shall be paid at the unpaid prepayment price with respect thereto, plus interest accrued and unpaid to said date of prepayment.

If, on said date of prepayment, moneys for the prepayment of all of the Certificates to be prepaid, together with interest to said date of prepayment, shall be held by the Trustee so as to be available therefor on such date of prepayment, and, if notice of prepayment thereof shall have been given as aforesaid, then, from and after said date of prepayment, interest evidenced by such Certificates shall cease to accrue and become payable. All moneys held by or on behalf of the Trustee for the prepayment of Certificates shall be held in trust for the account of the Owners of the Certificates so to be prepaid without liability for interest thereon.

All Certificates paid at maturity or prepaid prior to maturity pursuant to the provisions of this Article shall be cancelled upon surrender thereof and destroyed.

Section 4.07. Surplus. The Trustee shall notify the District of any funds remaining in the Prepayment Fund after prepayment and payment of all Certificates Outstanding, including accrued interest, and payment of any applicable fees and expenses to the Trustee (including amounts due pursuant to Sections 9.06 and 9.07 hereof), or provision made therefor satisfactory to the Trustee, and provisions for all amounts required to be transferred to the District to pay rebate pursuant to the Tax Certificate. All such funds shall be withdrawn by the Trustee and timely remitted to the District.

Section 4.08. Credit for Amounts on Deposit. In the event of prepayment of the principal components of the Lease Payments in full under this Article IV and Article X of the Lease Agreement, such that this Trust Agreement shall be discharged by its terms as a result of such prepayment, all amounts then on deposit in the Lease Payment Fund shall be credited towards the amounts then required to be so prepaid.

ARTICLE V

LEASE PAYMENTS; LEASE PAYMENT FUND

Section 5.01. Security Provisions.

(a) In order to secure the respective rights of the Owners to the payments required to be made thereto as provided herein, the District hereby irrevocably pledges to the Trustee, for the benefit of the Owners [and the Insurer for so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy (provided, the Insurer shall always retain its right to the extent it has become subrogated to holders of any Certificates)], all of its right, title and interest, if any, in and to all amounts on deposit from

time to time in the funds and accounts established hereunder. It is the intent of the District and the Corporation that by reason of the assignment by the Corporation pursuant to the Assignment Agreement, the Corporation shall have no right, title or interest in or to the funds and accounts established hereunder or the amounts on deposit therein. Nonetheless, should it be determined that, notwithstanding the intent of the parties, the Corporation does have any interest in the funds and accounts established hereunder or the amounts on deposit therein, the Corporation hereby irrevocably pledges to the Trustee for the benefit of the Owners all of its right, title and interest in and to all amounts on deposit from time to time in the funds and accounts established hereunder. This pledge shall constitute a first lien on the funds and accounts established hereunder in accordance with the terms hereof.

(b) All Lease Payments shall be paid directly by the District to the Trustee, and if received by the Corporation at any time shall be deposited by the Corporation with the Trustee within one Business Day after the receipt thereof. All Lease Payments paid by the District shall be deposited by the Trustee in the Lease Payment Fund which the Trustee shall establish and maintain until all required Lease Payments are paid in full pursuant to the Lease Agreement and until the first date upon which the Certificates are no longer Outstanding. The moneys in the Lease Payment Fund shall be held in trust by the Trustee and shall be disbursed only for the purposes and uses herein authorized.

(c) The District, the Corporation, the Trustee and each of them acknowledges and agree that upon the execution and delivery of the Assignment Agreement, the Corporation shall have no rights (except its rights to indemnification), obligations, or duties under the Site Lease and the Lease Agreement, and shall have been released from all of such rights, obligations, and duties, all of which have been assigned to the Trustee pursuant to the Assignment Agreement.

Section 5.02. Lease Payment Fund.

(a) The Trustee shall establish a special fund designated as the “2023 Certificates Series A Los Angeles Unified School District Lease Payment Fund” (the “Lease Payment Fund”). All moneys at any time deposited by the Trustee in the Lease Payment Fund shall be held by the Trustee in trust for the benefit of the Owners of the Certificates. So long as any Certificates are Outstanding, neither the District nor the Corporation shall have any beneficial right or interest in the Lease Payment Fund or the moneys deposited therein, except only as provided in this Trust Agreement, and such moneys shall be used and applied by the Trustee as hereinafter set forth.

(b) The Trustee, on each Lease Payment Date, shall deposit in the Lease Payment Fund a sufficient amount of money such that the aggregate of amounts therein equal the portion of the Lease Payments designated as the principal and interest component coming due on such Lease Payment Date. Moneys in the Lease Payment Fund shall be used by the Trustee for the purpose of paying the principal and interest evidenced by the Certificates when due and payable.

Section 5.03. Deposits. There shall be deposited in the Lease Payment Fund all Lease Payments received by the Trustee, including any moneys received by the Trustee for deposit therein pursuant to Section 4.4 of the Lease Agreement (regarding Lease Payments), and any other moneys required to be deposited therein pursuant to the Lease Agreement or pursuant to this Trust Agreement, including pursuant to Section 5.5 of the Lease Agreement (regarding proceeds of

rental interruption insurance). Upon receipt of all amounts to be deposited in the Lease Payment Fund, the Trustee will credit the amount of Lease Payments required to pay the principal and interest with evidenced by the Certificates.

Section 5.04. Application of Moneys. All amounts in the Lease Payment Fund shall be used and withdrawn by the Trustee solely for the purpose of paying the principal and interest evidenced by the Certificates as the same shall become due and payable, in accordance with the provisions of Article II and Article IV hereof, subject to the requirement that certain investment earnings thereon may be transferred to the District to pay rebate as the District instructs the Trustee in writing in accordance with the Tax Certificate.

On or before each Interest Payment Date, the Trustee shall *first* set aside from the Lease Payment Fund an amount sufficient to pay the interest evidenced by the Certificates becoming due and payable on such date, and pay such amount to the Owners, *second*, set aside from the Lease Payment Fund an amount sufficient to pay the principal evidenced by the Certificates becoming due and payable on such Interest Payment Date, and pay such amount to the Owners, and *third*, to the payment of any amounts due and owing to the Insurer.

Section 5.05. Surplus. The Trustee shall notify the District of any funds remaining in the Lease Payment Fund after payment of all Certificates Outstanding, including accrued interest and payment of any applicable fees to the Trustee or other amounts due the Trustee pursuant to Sections 9.06 and 9.07 hereof, or provision made therefor satisfactory to the Trustee, and provision for any amounts required to be transferred to the District to pay rebate as the District instructs the Trustee in writing in accordance with the Tax Certificate. All such funds shall be withdrawn by the Trustee and timely remitted to the District.

Section 5.06. Notice. The Trustee shall send written notification to the District at least twenty-one (21) days prior to each Interest Payment Date, which notification will indicate the Lease Payment due on the next succeeding Lease Payment Date for the Certificates as provided in Section 4.4(a) of the Lease Agreement, less any amount available under the Trust Agreement in the Lease Payment Fund for application as a credit against such Lease Payments; provided, however, that any failure of the Trustee to send such notice shall not relieve the District of its obligation to make Lease Payments.

ARTICLE VI

PROVISIONS RELATING TO THE INSURANCE POLICY

[Reserved]

ARTICLE VII

NET PROCEEDS FUND AND RESERVE FUND

Section 7.01. Net Proceeds Fund. There is hereby established and the Trustee shall maintain a special fund when needed designated as the “2023 Certificates Series A Los Angeles Unified School District Net Proceeds Fund” (the “Net Proceeds Fund”) to be maintained and held in trust for the benefit of the Owners, subject to disbursement therefrom as provided herein. The

Trustee shall deposit Net Proceeds in the Net Proceeds Fund as provided in Section 6.2 of the Lease Agreement.

The Trustee shall disburse Net Proceeds for replacement or repair of the Property as provided in Section 6.3 of the Lease Agreement only if it has received the certification and moneys, if any, required by Section 6.3 of the Lease Agreement (and the Trustee shall be protected absolutely in making any disbursements from the Net Proceeds Fund in reliance upon the requisition described in Section 6.3(b) of the Lease Agreement), or transfer such Net Proceeds to the Prepayment Fund upon notification by the District Representative as provided in Section 6.4 of the Lease Agreement. After all of the Certificates have been retired, the entire amount of principal and interest with respect to the Certificates has been paid in full, and payment of any amounts due to the Trustee pursuant to Sections 9.06 and 9.07 hereof, or provision is made therefor satisfactory to the Trustee, including provisions for all amounts required to be transferred to the District to pay rebate pursuant to the Tax Certificate, the Trustee shall remit any remaining moneys in the Net Proceeds Fund to the District.

The Corporation and the Trustee shall cooperate fully with the District at the expense of the District in filing any proof of loss with respect to any insurance policy maintained pursuant to Article V of the Lease Agreement and in the prosecution or defense of any prospective or pending condemnation proceeding with respect to the Property or any item or portion thereof.

Section 7.02. Reserve Fund. [To come.]

ARTICLE VIII

MONEYS IN FUNDS; INVESTMENT

Section 8.01. Held in Trust. The moneys and investments held by the Trustee under this Trust Agreement are irrevocably held in trust for the benefit of the Owners of the Certificates, and such moneys, and any income or interest earned thereon, shall be expended only as provided in this Trust Agreement, and shall not be subject to levy or attachment or lien by or for the benefit of any creditor of the Corporation, the Trustee or the District, or any of them. The Certificates evidence an interest in all Lease Payments, and all funds and accounts established hereunder are held for the benefit of all Owners equally.

Section 8.02. Investments Authorized.

(a) Upon Direction of District. The District shall by Written Request of the District filed at least two Business Days in advance with the Trustee direct investment in specific Permitted Investments identified in such Written Request of the District. In the absence of such Written Request of the District, the Trustee shall make investments solely in those Permitted Investments set forth in paragraph (4) of the definition thereof; provided, however, that such investment shall be made by the Trustee only if, prior to the date on which such investment is to be made, the Trustee shall have received written direction of the District specifying a specific money market fund, and if no such written direction of the District is so received, the Trustee shall hold such moneys uninvested. The Trustee may conclusively rely upon such investment direction as a certification that such investment constitutes a Permitted Investment.

(b) Registration. Such investments, if registrable, shall be registered in the name of the Trustee for the benefit of the Owners and held by the Trustee. The Trustee or any of its affiliates may act as sponsor, advisor or provide administrative or management services in connection with any Permitted Investments.

(c) Trustee as Purchaser or Agent. The Trustee or an affiliate may purchase or sell to itself or any affiliate, as principal or agent, Permitted Investments and shall be entitled to its customary fee therefor. The Trustee may act as purchaser or agent in the making or disposing of any investment.

(d) Trustee Standard of Care. The Trustee shall not be responsible or liable for any loss suffered in connection with any investment of funds made by it in accordance with this Section and upon the Written Request of the District.

Section 8.03. Crediting of Investments. Any income, profit or loss on the investment of moneys held by the Trustee hereunder shall be credited for which such moneys are held, except as otherwise provided herein; provided that in all cases income on investments may be transferred to the District to pay rebate pursuant to the Tax Certificate upon the Written Request of the District. The Trustee shall have no duty to review, verify or analyze any financial statements furnished to it by the District, and shall hold such financial statements solely as a repository for Certificate Owners. The Trustee shall not be deemed to have notice of any information contained therein or any Event of Default that may be disclosed therein in any manner.

Section 8.04. Accounting. The Trustee shall furnish to the District, not less frequently than monthly, an accounting of all investments made by the Trustee and all funds and amounts held by the Trustee hereunder. The Trustee shall keep accurate records in accordance with corporate trust industry standards of all funds administered by it and of all Certificates paid and discharged. The Corporation and District acknowledge that to the extent regulations of the Comptroller of the Currency or other applicable regulatory entity grant the Corporation or the District the right to receive brokerage confirmations of security transactions as they occur at no additional cost, the Corporation and the District specifically waive receipt of such confirmations to the extent permitted by law. The Trustee will furnish the Corporation and the District periodic cash transaction statements which include detail for all investment transactions made by the Trustee hereunder.

Section 8.05. Disposition of Investments. The Trustee shall sell at the best price obtainable, or present for prepayment, any Permitted Investment so purchased by the Trustee whenever it shall be necessary in order to provide moneys to meet any required payment, transfer, withdrawal or disbursement from the fund to which such Permitted Investment is credited.

Section 8.06. Commingling of Moneys in Funds. The Trustee may commingle any of the funds held by it pursuant to this Trust Agreement into a separate fund or funds for investment purposes only; provided, however, that all funds or accounts held by the Trustee hereunder shall be accounted for separately notwithstanding any such commingling by the Trustee.

Section 8.07. Information Concerning Investments. The Trustee shall supply information regarding investments made under this Article VIII at the Written Request of the District,

including: (i) purchase date; (ii) purchase price; (iii) any accrued interest paid; (iv) face amount; (v) coupon rate; (vi) periodicity of interest payments; (vii) disposition price; (viii) any accrued interest received; and (ix) disposition date.

Section 8.08. Notice Concerning Investments. The Trustee shall provide notice to the District of any investments made under this Article VIII in monthly account statements.

ARTICLE IX

THE TRUSTEE

Section 9.01. Trustee.

(a) Appointment. U.S. Bank Trust Company, National Association, is hereby appointed Trustee by the Corporation and the District.

(b) Qualifications. Any successor Trustee appointed pursuant to the provisions of this Section shall be a national banking association supervised by the Office of the Comptroller of the Currency, located in or incorporated under the laws of the State, duly authorized to exercise trust powers and, and have a reported capital and surplus of not less than \$250,000,000 (B) a state-chartered commercial bank that is a member of the Federal Reserve System and has at least \$1 billion of assets, or (C) otherwise approved by the Insurer. If such bank or national banking association publishes a report of condition at least annually pursuant to law or to the requirements of any supervising or examining authority referred to above, then for the purpose of this Section the combined capital and surplus of such bank or national banking association shall be deemed to be its combined capital and surplus as set forth in its most recent published report of condition.

(c) Removal. So long as there is no Event of Default or occurrence that with the passage of time will become an Event of Default, upon 30 days' written notice, the District may, with the prior written consent of the Insurer, remove the Trustee initially appointed, and any successor thereto, and may appoint a successor or successors thereto. The Trustee may be removed by the District any time for any breach of trust hereunder.

(d) Resignation. The Trustee may resign by giving written notice to the District, the Corporation and the Insurer; provided that such resignation shall not take effect until a successor Trustee is appointed as provided in this Section. Upon receiving such notice of resignation, the District shall promptly appoint a successor Trustee. In the event the District does not name a successor Trustee within 30 days of receipt of notice of the Trustee's resignation, then the Trustee may petition a court of suitable jurisdiction to seek the immediate appointment of a successor Trustee.

(e) Successor; Effective Date. Any resignation or removal of the Trustee and appointment of a successor Trustee shall become effective upon acceptance of appointment by the successor Trustee. Upon such acceptance, the successor Trustee shall mail notice thereof to the Certificate Owners at their respective addresses set forth on the Certificate Register.

Section 9.02. Merger or Consolidation. Any banking corporation or national banking association into which the Trustee may be merged or converted or with which it may be

consolidated or any company resulting from any merger, conversion or consolidation to which it shall be a party or any banking corporation or national banking association to which the Trustee may sell or transfer all or substantially all of its corporate trust business, provided that such banking corporation or national banking association shall be eligible under Section 9.01 hereof, shall be the successor to the Trustee without the execution or filing of any paper or further act, anything herein to the contrary notwithstanding. Prompt notice of such merger or consolidation shall be given to the District and the Corporation. All costs and expenses of such merger or consolidation shall be paid by the successor trustee and no additional charges shall be levied against the District or the Corporation.

Section 9.03. Protection of the Trustee.

(a) Reliance Upon Papers or Documents. The Trustee shall be protected and shall incur no liability in acting or proceeding in good faith upon any resolution, notice, telegram, request, consent, waiver, certificate, statement, affidavit, voucher, bond, requisition or other paper or document which it shall in good faith believe to be genuine and to have been passed or signed by the proper board or person or to have been prepared and furnished pursuant to any of the provisions of this Trust Agreement, and the Trustee shall be under no duty to make any investigation or inquiry as to any statements contained or matters referred to in any such instrument, but may, in the absence of bad faith on its part, accept and rely upon the same as conclusive evidence of the truth and accuracy of such statements and matters.

(b) Reliance Upon Opinions of Counsel. The Trustee may consult with counsel, who may be counsel to the District, with regard to legal questions, and the opinion of such counsel shall be full and complete authorization and protection in respect of any action taken or suffered by the Trustee hereunder in good faith in accordance therewith. Before being required to take any action, the Trustee may require an opinion of Special Counsel acceptable to the Trustee, which opinion shall be made available to the other parties hereto upon request, which counsel may be counsel to any of the parties hereto, or the Trustee may require a Certificate of the District or Certificate of the Corporation, in lieu of or in addition to such opinion, concerning the proposed action. If it does so in good faith, the Trustee shall be absolutely protected in relying on such opinion or such verified certificate.

(c) Reliance Upon Requested Certificates. Whenever in the administration of its duties under this Trust Agreement, the Trustee shall deem it necessary or desirable that a matter be proved or established prior to taking or suffering any action hereunder, such matter (unless other evidence in respect thereof be herein specifically prescribed), in the absence of bad faith on the Trustee's part, shall be deemed to be conclusively proved and established by a Certificate of the District or a Certificate of the Corporation and such certificate shall be full warranty to the Trustee, in the absence of bad faith on its part, for any action taken or suffered under the provisions of this Trust Agreement upon the faith thereof, but in its discretion the Trustee may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as the Trustee may deem reasonable.

(d) Additional Protections. No provision in this Trust Agreement shall require the Trustee to risk or expend its own funds or otherwise incur any financial liability in the performance of any of its duties hereunder if the Trustee shall have reasonable grounds for believing that

repayment of such funds or indemnity satisfactory to it against such risk or liability is not assured to it.

The Trustee shall not be accountable for the use or application by the District, the Corporation or any other party of any funds which the Trustee has released in accordance with the terms of this Trust Agreement.

The Trustee makes no representation or warranty, express or implied, as to the title, value, design, compliance with specifications or legal requirements, quality, durability, operation, condition, merchantability or fitness for any particular purpose or fitness for the use contemplated by the District or the Corporation of the Property. In no event shall the Trustee be liable for incidental, indirect, special or consequential damages in connection with or arising from the Lease Agreement or this Trust Agreement for the existence, furnishing or use of the Property.

The Trustee undertakes to perform such duties, and only such duties as are specifically set forth in this Trust Agreement and no implied duties or obligations shall be read into this Trust Agreement against the Trustee.

In accepting the trust hereby created, the Trustee acts solely as Trustee for the Owners and not in its individual capacity, and all persons, including without limitation the Owners, the District and the Corporation, having any claim against the Trustee arising from actions taken by the Trustee in compliance with this Trust Agreement shall look only to the funds and accounts held by the Trustee hereunder for payment except as otherwise provided herein. Under no circumstances shall the Trustee be liable in its individual capacity for the obligations evidenced by the Certificates.

Before taking any action under Article XIII of this Trust Agreement at the request of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy or the Owners, the Trustee may require that a satisfactory indemnity bond be furnished by the Owners for the reimbursement of all expenses to which it may be put and to protect it against all liability, except liability which is adjudicated to have resulted from its negligence or willful misconduct in connection with any action so taken.

The Trustee shall have no responsibility, opinion or liability with respect to any information, statement or recital in any offering memorandum or other disclosure material prepared or distributed with respect to the execution and delivery of the Certificates.

All indemnifications and releases from liability granted hereunder to the Trustee shall extend to its officers, directors, employees and agents.

The Trustee shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Insurer or the Owners of a majority in aggregate principal amount of Outstanding Certificates relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee hereunder.

The Trustee shall have the right to accept and act upon instructions, including funds transfer instructions ("Instructions") given pursuant to this Trust Agreement and delivered using Electronic

Means (“Electronic Means” shall mean the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Trustee, or another method or system specified by the Trustee as available for use in connection with its services hereunder); provided, however, that the District and/or Corporation shall provide to the Trustee an incumbency certificate listing officers with the authority to provide such Instructions (“Authorized Officers”) and containing specimen signatures of such Authorized Officers, which incumbency certificate shall be amended by the District and/or the Corporation whenever a person is to be added or deleted from the listing. If the District and/or Corporation elects to give the Trustee Instructions using Electronic Means and the Trustee in its discretion elects to act upon such Instructions, the Trustee’s understanding of such Instructions shall be deemed controlling. The District and Corporation understand and agree that the Trustee cannot determine the identity of the actual sender of such Instructions and that the Trustee shall conclusively presume that directions that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Trustee have been sent by such Authorized Officer. The District and Corporation shall be responsible for ensuring that only Authorized Officers transmit such Instructions to the Trustee and that the District, Corporation and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the District and/or Corporation. The Trustee shall not be liable for any losses, costs or expenses arising directly or indirectly from the Trustee’s reliance upon and compliance with such Instructions notwithstanding such directions conflict or are inconsistent with a subsequent written instruction. The District and Corporation agree: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Trustee, including without limitation the risk of the Trustee acting on unauthorized Instructions, and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the District and Corporation; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Trustee immediately upon learning of any compromise or unauthorized use of the security procedures.

The permissive right of the Trustee to do things enumerated in this Trust Agreement shall not be construed as a duty and the Trustee shall not be answerable for other than its negligence or willful misconduct. The Trustee shall not be required to give any bond or surety in respect of the execution of the said trusts and powers or otherwise in respect of the premises.

In acting or omitting to act pursuant to any documents executed in connection herewith or therewith, the Trustee shall be entitled to all of the rights, immunities and indemnities accorded to it under this Trust Agreement and the Lease Agreement, including, but not limited to, this Article IX.

The Trustee shall have no duty to review, verify or analyze any financial statements furnished to it by the District, and shall hold such financial statements solely as a repository for Owners of the Certificates. The Trustee shall not be deemed to have notice of any information contained therein or any Event of Default that may be disclosed therein in any manner. The Trustee

may rely on the investment directions of the District as to both the suitability and legality of the directed investments.

Section 9.04. Rights of the Trustee.

(a) Ownership of Certificates. The Trustee may become the Owner of Certificates with the same rights that it would have if it were not Trustee; may acquire and dispose of other bonds or evidences of indebtedness of the District with the same rights that it would have if it were not the Trustee; and may act as a depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of Owners of Certificates, whether or not such committee shall represent the Owners of the majority in principal amount of the Certificates then Outstanding.

(b) Attorneys, Agents, Receivers. The Trustee may execute any of the trusts or powers hereof and perform the duties required of it hereunder by or through attorneys, agents, or receivers, and shall be entitled to advice of counsel concerning all matters of trust and its duty hereunder.

Section 9.05. Standard of Care. The Trustee shall not be liable in connection with the performance of its duties hereunder or under the Assignment Agreement, except for its own negligence or willful misconduct. Upon the occurrence of an Event of Default, the Trustee shall exercise such care in performing its duties hereunder as a reasonable person would exercise in the conduct of his or her affairs.

Section 9.06. Compensation of the Trustee. As Additional Payments under Section 4.9 of the Lease Agreement, the District shall pay to the Trustee reasonable compensation for its services as shall be agreed upon between the Trustee and the District, and the District shall reimburse the Trustee for all of its advances and expenditures, including but not limited to advances to and fees and expenses of independent appraisers, accountants, consultants, counsel, agents and attorneys-at-law or other experts employed by the Trustee in the exercise and performance of its powers and duties hereunder, and the Trustee shall have a lien therefor on any and all funds at any time held by it under this Trust Agreement, which lien shall be prior and superior to the lien of the Certificate Owners. The District's obligation hereunder shall remain valid and binding notwithstanding maturity and payment of the Certificates.

Section 9.07. Indemnification of the Trustee. The District shall indemnify, to the extent permitted by law, and save the Trustee harmless from and against all claims, losses, costs, expenses, liability and damages, including legal fees and expenses, arising out of: (i) the use, maintenance, condition or management of, or from any work or thing done on or to, the Property by the District; (ii) any breach or default on the part of the District in the performance of any of its obligations under this Trust Agreement and any other agreement made and entered into for purposes of the Property; (iii) any act of negligence of the District or of any of its agents, contractors, servants, employees or licensees with respect to the Property; (iv) any act of negligence of any assignee of, or purchaser from, the District or of any of its or their agents, contractors, servants, employees or licensees with respect to the Property; (v) acquisition or construction of the Property; (vi) the actions of any other party, including but not limited to the ownership, operation or use of the Property by the District; (vii) the Trustee's exercise and performance of its powers and duties hereunder; (viii) any untrue statement or alleged untrue

statement of any material fact or omission or alleged omission to state a material fact necessary to make the statements made, in light of the circumstances under which they were made, not misleading in any official statement or other offering circular utilized in connection with the sale of the Certificates; or (ix) or related to the presence on, under or about, or release from the Property, or any portion thereof, of any substance, material or waste which is or becomes regulated or classified as toxic or hazardous under State, local or federal law, and the violation or noncompliance with, any such laws by the District or the Corporation. Such indemnification shall include the costs and expenses of defending against any claim or liability arising under this Trust Agreement. No indemnification will be made under this Section or elsewhere in this Trust Agreement for willful misconduct, negligence, or breach of duty under this Trust Agreement by the Trustee, its officers, agents, employees, successors or assigns. The District's obligations hereunder shall remain valid and binding notwithstanding maturity and payment of the Certificates or the resignation or removal of the Trustee. The District's obligations under Section 9.06 and under this Section 9.07 shall remain valid and binding notwithstanding the maturity and payment of the Certificates or resignation or removal of the Trustee.

ARTICLE X

MODIFICATION OR AMENDMENT OF AGREEMENTS

Section 10.01. Amendments.

(a) With Owners' Consent. This Trust Agreement and the rights and obligations of the Owners, the Lease Agreement and the rights and obligations of the parties thereto, the Site Lease and the rights and obligations of the parties thereto and the Assignment Agreement and the rights and obligations of the parties thereto may be modified or amended at any time by a supplemental agreement that shall become effective when the written consents of the Owners of a majority in aggregate principal amount of the Certificates then Outstanding, exclusive of Certificates disqualified as provided in Section 10.03 hereof[, and the Insurer for so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] shall have been filed with the Trustee. No such modification or amendment shall:

- (i) extend or have the effect of extending the fixed maturity of any Certificate or the time of payment of interest evidenced thereby, or reduce or have the effect of reducing the interest rate with respect to any Certificate, the amount of principal evidenced thereby or the amount of any premium payable upon the prepayment thereof, or
- (ii) reduce or have the effect of reducing the percentage of Certificates required for the affirmative vote or written consent to an amendment or modification of the Lease Agreement, or
- (iii) modify any of the rights or obligations of the Trustee without its written assent thereto.

Any such supplemental agreement shall become effective as provided in Section 10.02 hereof.

(b) Without Owners' Consent. This Trust Agreement and the rights and obligations of the Owners, the Lease Agreement and the rights and obligations of the parties thereto, the Site Lease and the rights and obligations of the parties thereto and the Assignment Agreement and the rights and obligations of the parties thereto, may be modified or amended at any time by a supplemental agreement [with the prior consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and] without the consent of any Owners, but only to the extent permitted by law and only:

(i) to cure, correct or supplement any ambiguous or defective provision contained herein or therein;

(ii) in regard to matters arising hereunder or thereunder, as the parties hereto or thereto may deem necessary or desirable and which (based upon opinions as provided in this Section 10.01), shall not adversely affect the interest of the Owners; or

(iii) to remove, add or substitute Property as provided by Section 8.3 of the Lease Agreement.

Any such supplemental agreement shall become effective upon execution and delivery by the parties hereto or thereto as the case may be.

[In determining whether any amendment, consent, waiver or other action to be taken, or any failure to take action, under this Trust Agreement would adversely affect the security for the Certificates or the rights of the Owners of the Certificates, the effect of any such amendment, consent, waiver, action or inaction shall be considered as if there were no Insurance Policy.]

Prior to executing such supplemental agreements, the Trustee shall be entitled to receive and rely on an opinion of counsel to the effect that the execution of such supplemental agreement is authorized or permitted hereunder.

Section 10.02. Procedure for Amendment with Written Consent of the Owners. This Trust Agreement, the Lease Agreement, the Site Lease or the Assignment Agreement may be amended by supplemental agreement as provided in this Section in the event that the consent of the Owners is required pursuant to Section 10.01(a) hereof. A copy of such supplemental agreement, together with a request to the Owners for their consent thereto, shall be mailed by the Trustee by first-class mail, postage prepaid, to each Owner of a Certificate at his or her address as set forth in the Certificate Register, but failure to receive copies of such supplemental agreement and request so mailed shall not affect the validity of the supplemental agreement when assented to as provided in this Section.

Such supplemental agreement shall not become effective unless there shall be filed with the Trustee the written consent of the [Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and the] Owners of at least a majority in aggregate principal amount of the Certificates then Outstanding (exclusive of Certificates disqualified as provided in Section 10.03 hereof) and notices shall have been mailed as hereinbefore provided in this Section. Each such consent shall be effective only if accompanied by proof of ownership of the Certificates for which such consent is

given, which proof shall be such as is permitted by Section 2.11 hereof. Any such consent shall be binding upon [the Insurer and] the Owner of the Certificate giving such consent and on any subsequent Owner thereof (whether or not such subsequent Owner has notice thereof) unless such consent is revoked in writing by the [Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and the] Owner giving such consent or a subsequent Owner by filing such revocation with the Trustee prior to the date when the notice provided for in the next paragraph has been mailed.

[After the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and the Owners of the required percentage of Certificates shall have filed their consents to such supplemental agreement, the Trustee shall mail a notice to the Owners of the Certificates in the manner hereinbefore provided in this Section for the mailing of such supplemental agreement, stating in substance that such supplemental agreement has been consented to by the Owners of the required percentage of Certificates and will be effective as provided in this Section (but failure to mail copies of said notice shall not affect the validity of such supplemental agreement or consents thereto). A record, consisting of the papers required by this Section to be filed with the Trustee, shall be proof of the matters therein stated until the contrary is proved.]

Section 10.03. Disqualified Certificates. Certificates owned or held by or for the account of the District or the Corporation or by any person directly or indirectly controlled or controlled by, or under direct or indirect common control with the District or the Corporation (except any Certificates held in any pension or retirement fund) shall not be deemed Outstanding for the purpose of any vote, consent, waiver or other action or any calculation of Outstanding Certificates provided for in this Trust Agreement, and shall not be entitled to vote upon, consent to, or take any other action provided for in this Trust Agreement; except that in determining whether the Trustee shall be protected in relying upon any such vote, consent, waiver or other action of an Owner, only Certificates which the Trustee actually knows to be owned or held by or for the account of the District or the Corporation or by any person directly or indirectly controlled or controlled by, or under direct or indirect common control with the District or the Corporation (except any Certificates held in any pension or retirement fund) shall be disregarded unless all Certificates are so owned, in which case such Certificates shall be considered outstanding for the purpose of such determination.

The District or Trustee may adopt appropriate regulations to require each Owner, before his consent provided for in this Article X shall be deemed effective, to reveal if the Certificates as to which such consent is given are disqualified.

Section 10.04. Effect of Supplemental Agreement. From and after the time that any supplemental agreement becomes effective pursuant to this Article X, this Trust Agreement, the Site Lease or the Lease Agreement, as the case may be, shall be deemed to be modified and amended in accordance therewith, the respective rights, duties and obligations of the parties hereto or thereto and of all Owners of Certificates Outstanding, as the case may be, shall thereafter be determined, exercised and enforced hereunder subject in all respects to such modification and amendment, and all of the terms and conditions of any supplemental agreement shall be deemed to be part of the terms and conditions of this Trust Agreement, the Lease Agreement or the Site Lease, as the case may be, for any and all purposes.

Section 10.05. Endorsement or Replacement of Certificates Delivered After Amendments. The Trustee may determine that Certificates delivered after the effective date of any action taken as provided in this Article X shall bear a notation, by endorsement, in form approved by the Trustee, as to such action. In that case, upon demand of the Owner of any Outstanding Certificate at such effective date and presentation of his or her Certificate for the purpose at the Principal Office, a suitable notation shall be made on such Certificate at the cost of the District. The Trustee may determine that replacement Certificates, so modified as in the opinion of the District is necessary to conform to such Owners' action, shall be prepared, executed and delivered. In that case, upon demand of the Owner of any Certificate then Outstanding, such replacement Certificate shall be exchanged at the Principal Office without cost to such Owner, for a Certificate of the same character then Outstanding, upon surrender of such Certificate.

Section 10.06. Amendatory Endorsement of Certificates. Subject to the provisions of Section 10.01 hereof, the provisions of this Article X shall not prevent any Certificate Owner from accepting any amendment as to the particular Certificates held by him or her, provided that due notification thereof is made on such Certificates.

ARTICLE XI

COVENANTS; NOTICES

Section 11.01. Compliance With and Enforcement of the Lease Agreement. The District covenants and agrees with [the Insurer and] the Owners to perform all obligations and duties imposed on it under the Lease Agreement. The Corporation covenants and agrees with the Owners to perform all obligations and duties imposed on it under the Lease Agreement.

The District will not do or permit anything to be done, or omit or refrain from doing anything, in any case where any such act done or permitted to be done, or any such omission of or refraining from action, would or might be a ground for cancellation or termination of the Lease Agreement by the Corporation. The Corporation and the District, immediately upon receiving or giving any notice, communication or other document in any way relating to or affecting their respective estates, or the leasehold interests therein, which may or can in any manner affect such estate of the District, will deliver the same, or a copy thereof, to the Trustee.

Section 11.02. Observance of Laws and Regulations. The District will well and truly keep, observe and perform all valid and lawful obligations or regulations now or hereafter imposed on it by contract, or prescribed by any law of the United States of America, or of the State, or by any officer, board or commission having jurisdiction or control, as a condition of the continued enjoyment of any and every right, privilege or franchise now owned or hereafter acquired by the District, including its right to exist and carry on business as a school district, to the end that such rights, privileges and franchises shall be maintained and preserved, and shall not become abandoned, forfeited or in any manner impaired.

Section 11.03. Prosecution and Defense of Suits. The District shall promptly take such action as may be necessary or proper to remedy or cure any defect in or cloud upon the title to the Property, whether now existing or hereafter developing and shall prosecute all such suits, actions and other proceedings as may be appropriate for such purpose and shall indemnify, to the extent

permitted by law, and save the Trustee and every Owner harmless from all loss, cost, damage and expense, including attorneys' fees, which they or any of them may incur by reason of any such defect, cloud, suit, action or proceeding.

Section 11.04. Further Assurances. The Corporation and the District will make, execute and deliver any and all such further resolutions, instruments and assurances as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of this Trust Agreement, and for the better assuring and confirming unto the Owners the rights and benefits provided herein.

Section 11.05. Notice of Trustee. The Trustee shall provide the District and the Corporation with written notice within five days after a responsible officer of the Trustee acquires actual knowledge of an Event of Default, as defined in Section 9.1 of the Lease Agreement.

Section 11.06. Continuing Disclosure. The District hereby covenants and agrees that it will comply with and carry out the provisions of the Continuing Disclosure Certificate. Notwithstanding any other provision of this Trust Agreement, failure of the District to comply with the Continuing Disclosure Certificate shall not be considered an Event of Default hereunder; however, any Owner or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Section. For purposes of this Section, "Beneficial Owner" means any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Certificates (including persons holding Certificates through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Certificates for federal income tax purposes. [The District will provide the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy with all notices and other information it is obligated to provide in accordance with the Continuing Disclosure Certificate.]

ARTICLE XII

LIMITATION OF LIABILITY

Section 12.01. Limited Liability of the District and Corporation. Except for the payment of Lease Payments, Additional Payments and Prepayments when due in accordance with the Lease Agreement and the performance of the other covenants and agreements of the District contained herein and in the Lease Agreement, the District shall have no obligation or liability to the Owners or to any of the other parties hereto with respect to this Trust Agreement or the terms, execution, delivery or transfer of the Certificates, or the distribution of Lease Payments to the Owners by the Trustee. The Corporation shall not have any obligation or liability to the Owners or to any of the other parties hereto with respect to this Trust Agreement or the terms, execution, delivery or transfer of the Certificates, or the payment when due of the Lease Payments or the Additional Payments by the District or the distribution of the Lease Payments to the Owners by the Trustee, or the performance by the District of the other agreements and covenants required to be performed by the District contained in the Lease Agreement and this Trust Agreement.

Section 12.02. No Liability of the District or Corporation for Trustee Performance. Except as expressly provided herein, neither the District nor the Corporation shall have any obligation or liability to any of the other parties or to the Owners with respect to the performance by the Trustee of any duty imposed upon it under this Trust Agreement.

Section 12.03. Limited Liability of Trustee.

(a) No Investment Advice. The Trustee shall have no obligation or responsibility for providing information to the Owners concerning the investment character of the Certificates.

(b) Sufficiency of this Trust Agreement or Lease Payments. The Trustee makes no representations as to the validity or sufficiency of the Certificates, shall incur no responsibility in respect thereof, other than in connection with the duties or obligations herein or in the Certificates expressly assigned to or imposed upon it. The Trustee shall not be responsible for the sufficiency of the Lease Agreement. The Trustee shall not be liable for the sufficiency or collection of any Lease Payments or other moneys required to be paid to it under the Lease Agreement (except as provided in this Trust Agreement), its right to receive moneys pursuant to said Lease, or the value of the Property.

(c) Actions of Corporation and District. The Trustee shall have no obligation or liability to any of the other parties or the Owners with respect to this Trust Agreement or the failure or refusal of any other party to perform any covenant or agreement made by any of them under this Trust Agreement or the Lease Agreement, but shall be responsible solely for the performance of the duties and obligations expressly imposed upon it hereunder as provided in Section 9.05 hereof.

(d) Recitals and Agreements of Corporation and District. The Trustee assumes no responsibility for the correctness of the recitals of facts, covenants and agreements herein and contained in the Certificates of the District or the Corporation (as the case may be).

Section 12.04. Limitation of Rights of Parties and Certificate Owners. Nothing in this Trust Agreement or in the Certificates expressed or implied is intended or shall be construed to give any person other than the District, the Corporation, the Trustee, and the Owners any legal or equitable right, remedy or claim under or in respect of this Trust Agreement or any covenant, condition or provision hereof; and all such covenants, conditions and provisions are and shall be for the sole and exclusive benefit of the District, the Corporation, the Trustee, and the Owners.

ARTICLE XIII

EVENTS OF DEFAULT AND REMEDIES OF CERTIFICATE OWNERS

Section 13.01. Events of Default. The following events shall be Events of Default:

(a) default in the due and punctual payment of the principal of or premium, if any, with respect to any Certificate when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for prepayment, by declaration or otherwise;

(b) default in the due and punctual payment of any installment of interest with respect to any Certificate when and as such interest installment shall become due and payable;

(c) default by the District in the observance of any of the covenants, agreements or conditions on its part in this Trust Agreement contained, if such default shall have continued for a period of 30 days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the District and the Corporation by the Trustee, or to the District, the Corporation and the Trustee by the Owners of not less than twenty-five percent in aggregate principal amount of the Certificates at the time Outstanding; provided, however, that [with the consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] if such default can be remedied but not within such 30-day period and if the District has taken all action reasonably possible to remedy such default within such 30-day period, such default shall not become an Event of Default for so long as the District shall diligently proceed to remedy the same in accordance with and subject to any directions or limitations of time reasonably established by the Trustee; or

(d) an event of default shall have occurred and be continuing under the Lease Agreement.

Section 13.02. Remedies.

(a) Remedies. If an Event of Default shall happen, then, and in each and every such case during the continuance of such Event of Default, the Trustee may, after being indemnified to its satisfaction and subject to the provisions of this Trust Agreement[, upon direction by the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy], exercise any and all remedies available pursuant to law or granted pursuant to the Lease Agreement; provided, however, that notwithstanding anything herein or in the Lease Agreement to the contrary, THERE SHALL BE NO RIGHT UNDER ANY CIRCUMSTANCES TO ACCELERATE THE MATURITIES OF THE CERTIFICATES OR OTHERWISE TO DECLARE ANY LEASE PAYMENTS NOT THEN IN DEFAULT TO BE IMMEDIATELY DUE AND PAYABLE. [Anything in this Trust Agreement or the Lease Agreement to the contrary notwithstanding, upon the occurrence and continuance of a default or an event of default, the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy shall be entitled to control and direct the enforcement of all rights and remedies granted to the owners of the Insured Obligations or the Trustee for the benefit of the owners of the Insured Certificates under this Trust Agreement or the Lease Agreement. No default or Event of Default may be waived without the Insurer's written consent so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy.]

(b) Actual Knowledge. The Trustee shall not be deemed to have knowledge of any Event of Default hereunder unless and until a responsible officer of the Trustee having direct responsibility for the administration of this Trust Agreement shall have actual knowledge thereof or shall have received written notice thereof at its Principal Office.

Section 13.03. Application of Funds. All moneys received by the Trustee pursuant to any right given or action taken under the provisions of this Article XIII or of Article IX of the Lease Agreement, shall be deposited into the Lease Payment Fund on a *pro rata* basis and shall be applied by the Trustee in the following order upon presentation and surrender of the several Certificates.

First, Costs and Expenses: to the payment of the costs and expenses of the Trustee and then of the Owners, including reasonable compensation to its or their agents, attorneys and counsel incurred in connection with the particular Event of Default and any sums owed to the Trustee pursuant to Sections 9.06 or 9.07 hereof;

Second, Interest: to the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installment, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference.

Third, Principal: to the payment to the persons entitled thereto of the unpaid principal of any Certificates that shall have become due, whether at maturity or by call for prepayment, in the order of their due dates, with interest on the overdue principal and interest at a rate equal to the rate paid with respect to the Certificates and, if the amount available shall not be sufficient to pay in full all the amounts due with respect to the Certificates on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal due on such date to the persons entitled thereto, without any discrimination or preference.

[Fourth, Insurer: to the extent not included in First, Second or Third above, to the payment of all costs and other amounts owing to the Insurer.]

Section 13.04. Institution of Legal Proceedings. If one or more Events of Default shall happen and be continuing, the Trustee in its discretion may, [with the prior written consent of the Insurer] and upon the written request of the [Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and the] Owners of a majority in principal amount of the Certificates then Outstanding and the Insurer so long as the Insured Certificates are Outstanding [and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy], and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of the Owners [and the Insurer] by a suit in equity or action at law, either for the specific performance of any covenant or agreement contained herein or in the Lease Agreement, or in aid of the execution of any power herein granted, or by mandamus or other appropriate proceeding for the enforcement of any other legal or equitable remedy as the Trustee shall deem most effectual in support of any of its rights or duties hereunder.

Section 13.05. Non-Waiver. Nothing in this Article XIII or in any other provision of this Trust Agreement or in the Certificates shall affect or impair the obligation of the District, which is absolute and unconditional, to pay or prepay (in certain circumstances) the Lease Payments as provided in the Lease Agreement (or prepay Lease Payments in certain circumstances as provided in the Lease Agreement). No delay or omission of [the Insurer,] the Trustee or of any Owner to

exercise any right or power arising upon the happening of any Event of Default shall impair any such right or power or shall be construed to be a waiver of any such Event of Default or an acquiescence therein, and every power and remedy given by this Article XIII to [the Insurer,] the Trustee or to the Owners may be exercised from time to time and as often as shall be deemed expedient by [the Insurer,] the Trustee or the Owners, as applicable.

Section 13.06. Remedies Not Exclusive. No remedy herein conferred upon or reserved to [the Insurer,] the Trustee or to the Owners is intended to be exclusive of any other remedy, and every such remedy shall be cumulative and shall be in addition to every other remedy given hereunder or now or hereafter existing, at law or in equity or by statute or otherwise.

Section 13.07. Power of Trustee [and Insurer] to Control Proceedings. In the event that the Trustee, upon the happening of an Event of Default, shall have taken any action, by judicial proceedings or otherwise, pursuant to its duties hereunder, whether upon its own discretion or upon the request of the Owners of a majority in principal amount of the Certificates then Outstanding, it shall have full power, in the exercise of its discretion for the best interest of the Owners of the Certificates, with respect to the continuance, discontinuance, withdrawal, compromise, settlement or other disposal of such action; provided, however, that the Trustee shall not, unless there no longer continues an Event of Default, discontinue, withdraw, compromise or settle, or otherwise dispose of any litigation pending at law or in equity, if at the time there has been filed with it a written request signed by [the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] and the Owners of at least a majority in principal amount of the Outstanding Certificates (along with continued indemnities to the Trustee's satisfaction) hereunder opposing such discontinuance, withdrawal, compromise, settlement or other disposal of such litigation.

[Anything in this Trust Agreement or the Lease Agreement to the contrary notwithstanding, upon the occurrence and continuance of a default or an event of default, the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy shall be entitled to control and direct the enforcement of all rights and remedies granted to the owners of the Insured Obligations or the Trustee for the benefit of the owners of the Insured Certificates under the Trust Agreement or the Lease Agreement. No default or Event of Default may be waived without the Insurer's written consent so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy.]

Section 13.08. Limitation on Certificate Owners' Right to Sue. No Owner of any Certificate executed hereunder shall have the right to institute any suit, action or proceeding at law or in equity, for any remedy under or upon this Trust Agreement, unless (a) such Owner shall have previously given to [the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and] the Trustee written notice of the occurrence of an Event of Default under the Lease Agreement; (b) [the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and] the Owners of a majority in aggregate principal amount of all of the Certificates then Outstanding shall have made written request upon the Trustee to exercise the powers hereinbefore granted or to institute such action, suit or proceeding in its own name; (c) [the Insurer so long as the Insured Certificates are Outstanding

and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and] said Owners shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; and (d) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee.

Such notification, request, tender of indemnity and refusal or omission are hereby declared, in every case, to be conditions precedent to the exercise by any Owner of any remedy hereunder; it being understood and intended that no one or more Owners shall have any right in any manner whatever by their action to enforce any right under this Trust Agreement, except in the manner herein provided and for the equal benefit of all Owners of the Outstanding Certificates.

The right of any Owner of any Certificate to receive payment of said Owner's proportionate interest in the Lease Payments as the same become due, or to institute suit for the enforcement of such payment, shall not be impaired or affected without the consent of such Owner, notwithstanding the foregoing provisions of this Section or any other provision of this Trust Agreement.

Section 13.09. Agreement to Pay Attorneys' Fees and Expenses. In the event the District or Corporation should default under any of the provisions hereof and the nondefaulting party should employ attorneys or incur other expenses for the collection of moneys or the enforcement or observance of any obligation or agreement on the part of the defaulting party contained herein, the defaulting party agrees that it will on demand therefor pay to the nondefaulting party the reasonable fees of such attorneys and such other expenses so incurred by the nondefaulting party.

Section 13.10. Assignment of Rights. The parties hereto acknowledge that, pursuant to the Assignment Agreement, the Corporation has transferred, assigned and set over to the Trustee for the benefit of the Owners certain of the Corporation's rights under the Lease Agreement.

Section 13.11. [Insurer Default]. If an Insurer Default shall occur and be continuing, then, notwithstanding anything in this Trust Agreement to the contrary, (1) if at any time prior to or following an Insurer Default, the Insurer has made payment under the Insurance Policy, to the extent of such payment the Insurer shall be treated like any other Certificateholder for all purposes, including giving of consents, and (2) if the Insurer has not made any payment under the Insurance Policy, the Insurer shall have no further consent rights until the particular Insurer Default is no longer continuing or the Insurer makes a payment under the Insurance Policy, in which event, the foregoing clause (1) shall control. For purposes of this paragraph, "Insurer Default" means: (A) the Insurer has failed to make any payment under the Insurance Policy when due and owing in accordance with its terms; or (B) the Insurer shall (i) voluntarily commence any proceeding or file any petition seeking relief under the United States Bankruptcy Code or any other Federal, state or foreign bankruptcy, insolvency or similar law, (ii) consent to the institution of or fail to controvert in a timely and appropriate manner, any such proceeding or the filing of any such petition, (iii) apply for or consent to the appointment of a receiver, trustee, custodian, sequestrator or similar official for such party or for a substantial part of its property, (iv) file an answer admitting the material allegations of a petition filed against it in any such proceeding, (v) make a general assignment for the benefit of creditors, or (vi) take action for the purpose of effecting any of the

foregoing; or (C) any state or federal agency or instrumentality shall order the suspension of payments on the Insurance Policy or shall obtain an order or grant approval for the rehabilitation, liquidation, conservation or dissolution of the Insurer (including without limitation under the New York Insurance Law).]

ARTICLE XIV

MISCELLANEOUS

Section 14.01. Defeasance.

(a) Methods. If and when any Outstanding Certificates shall be paid and discharged in any one or more of the following ways:

(i) Payment: by paying or causing to be paid the principal of and interest and prepayment premiums (if any) evidenced by such Certificates to be defeased, as and when the same become due and payable;

(ii) Cash: if prior to maturity and having given notice of prepayment by irrevocably depositing with the Trustee, in trust, at or before maturity, an amount of cash which (together with cash then on deposit in the Lease Payment Fund) is sufficient to pay such Certificates, including all principal and interest and premium, if any; or

(iii) Defeasance Obligations: by irrevocably depositing with the Trustee, in trust in an escrow fund, noncallable Defeasance Obligations, together with cash and moneys then on deposit in the Lease Payment Fund, in such amount as will, together with interest to accrue thereon, as set forth in the opinion of an independent certified public accountant delivered to the Trustee, be fully sufficient to pay and discharge such Certificates (including all principal and interest represented thereby and prepayment premiums, if any) at or before their maturity date.

so long as all amounts due or to become due to the Insurer have been paid in full or duly provided for then, notwithstanding that any such Certificates shall not have been surrendered for payment, all obligations of the Corporation, the Trustee and the District with respect to such Certificates shall cease and terminate, except only the rights of the Trustee under Section 9.06 and 9.07 hereof and the obligation of the Trustee to pay or cause to be paid, from Lease Payments paid by or on behalf of the District from funds deposited pursuant to paragraphs (ii) and (iii) of this Subsection (a), to the Owners of such Certificates not so surrendered and paid all sums due with respect thereto, and in the event of deposits pursuant to paragraphs (ii) and (iii) of this Subsection (a), such Certificates shall continue to represent direct and proportionate interests of the Owners thereof in the Lease Payments under the Lease Agreement.

To accomplish defeasance the District shall at least three (3) Business Days prior to the effective date of such defeasance (i) deliver to the Trustee and the Insurer a report of an independent firm of nationally recognized certified public accountants or such other accountant as shall be addressed to and acceptable to the Insurer verifying the sufficiency of the escrow established to pay the Certificates in full on the maturity or prepayment date (a "Verification"), (ii) enter into an escrow deposit agreement (which shall be acceptable in form and substance to the

Insurer), (iii) provide an opinion of nationally recognized special counsel addressed to the Trustee and the Insurer and acceptable to the Insurer regarding the validity and enforceability of the escrow deposit agreement and stating that the Certificates are no longer Outstanding under this Trust Agreement, and (iv) provide a certificate of discharge of the Trustee, which certificate may rely on the Verification with respect to the Certificates. The Insurer shall be provided with final drafts of the above-referenced documentation not less than three business days prior to the funding of the escrow.

The escrow deposit agreement shall provide that (i) any substitution of securities following the execution and delivery of the escrow deposit agreement shall require the delivery of a Verification, an opinion of special counsel that such substitution will not adversely affect the exclusion from gross income of the Certificateholders of the interest on the Certificates for federal income tax purposes and the prior written consent of the Insurer, which consent will not be unreasonably withheld; (ii) the District will not exercise any optional prepayment of the Lease Payments to affect a prepayment of the Certificates secured by the escrow deposit agreement or any other prepayment other than any Lease Payment related to a mandatory sinking fund prepayment on the Certificates unless the right to make any such prepayment has been expressly reserved in the escrow deposit agreement and such right of prepayment has been described in the offering document for the Certificates and a Verification is delivered to the Insurer as to the sufficiency of escrow receipts without reinvestment to meet the escrow requirements remaining following any such prepayment; and (iii) no amendment shall be made to the escrow deposit agreement, nor shall the District enter into a forward purchase agreement or other agreement with respect to rights in the defeasance escrow without the prior written consent of the Insurer.

(b) Surplus Monies. The Trustee shall notify the District of any funds held by the Trustee at the time of payment or provision for payment of all Outstanding Certificates pursuant to one of the procedures described in paragraphs (i) through (iii) of Section 14.01(a), which are not required for payment to be made to Owners shall, after the payment of all fees and expenses of the Trustee, including pursuant to Sections 9.06 and 9.07 hereof, be timely paid over to the District.

(c) Surviving Provisions. Notwithstanding the satisfaction and discharge hereof, the Trustee shall retain such rights, powers and privileges hereunder as may be necessary or convenient for the payment of the principal, interest and prepayment premium, if any, evidenced by the Certificates and for the registration, transfer and exchange of the Certificates.

Section 14.02. Non-Presentation of Certificates. In the event that any Certificate shall not be presented for payment when the principal with respect thereof becomes due, either at maturity, or at the date fixed for prepayment thereof, if moneys sufficient to pay such Certificate shall have been deposited in the Lease Payment Fund, all liability of the District to the Owner thereof for payment of such Certificate shall forthwith cease, terminate and be completely discharged, and thereupon it shall be the duty of the Trustee to hold such moneys, without liability for interest thereon, for the benefit of the Owner of such Certificate who shall thereafter be restricted exclusively to such moneys, for any claim of whatever nature on his part under this Trust Agreement or on, or with respect to, said Certificate.

Any moneys (including semi-annual interest due evidenced by the Certificates) so deposited with and held by the Trustee not so applied to the payment of Certificates within two (2) years after the date on which the same shall have become due shall be paid by the Trustee to the District (without liability for interest), free from the trusts created by this Trust Agreement. Thereafter, Owners shall be entitled to look only to the District for payment, and then only to the extent of the amount so disbursed by the Trustee. The District shall not be liable for any interest on the sums paid to it pursuant to this Section and shall not be regarded as a trustee or trustees of such money.

Section 14.03. Records. The Trustee shall keep complete and accurate records of all moneys received and disbursed under this Trust Agreement, which shall be available upon prior written notice for inspection by the District, the Corporation and any Owner, or the agent of any of them, at any time during regular business hours.

Section 14.04. Notices. Except for notice of prepayment required to be given as provided in Section 4.04, all written notices to be given under this Trust Agreement shall be given by mail or personal delivery (including facsimile transmission followed by telephone confirmation) to the party entitled thereto at its address set forth below, or at such address as the party may provide to the other party in writing from time to time. Notice to the Trustee shall be effective upon receipt. Notice to the other parties shall be deemed to have been received upon delivery via facsimile transmission (followed by telephonic confirmation) or the earlier of actual receipt or five business days after deposit in the United States mail, in registered or otherwise secure mail, postage prepaid or, in the case of personal delivery, upon delivery to the address set forth below:

If to the District:	Los Angeles Unified School District 333 S. Beaudry Avenue, 26th Floor Los Angeles, California 90017-5141 Phone: (213) 281-7888 Facsimile: (213) 281-6813 Attention: Chief Business Officer
If to the Corporation:	LAUSD Financing Corporation c/o Los Angeles Unified School District 333 S. Beaudry Avenue, 26th Floor Los Angeles, California 90017-5141 Phone: (213) 281-7888 Facsimile: (213) 281-6813 Attention: Secretary
If to the Trustee:	U.S. Bank Trust Company, National Association [TO COME]
If to Moody's:	Moody's Investors Service 250 Greenwich Street, 7 World Trade Center New York, New York 10007 Attention: Public Finance Department

Phone: (212) 553-0300
Telecopy: (212) 553-0882

[CONFIRM RATING AGENCIES]

If to the Insurer: [TO COME]

[The District will provide the Insurer with all notices and other information it is obligated to provide to the Certificateholders hereunder and under the Lease. In addition, in each case in which notice or other communication to the Insurer refers to an event of default or a claim on the Insurance Policy, notice thereof shall also be sent to the following address and shall be marked to indicate "URGENT MATERIAL ENCLOSED":]

[TO COME]

Section 14.05. Parties Interested Herein. Nothing in this Trust Agreement expressed or implied is intended or shall be construed to confer upon, or to give to, any person or entity, other than the District, the Corporation, the Trustee, the Insurer, and the Owners, any right, remedy or claim under or by reason of this Trust Agreement or any covenant, condition or stipulation hereof, and all covenants, stipulations, promises and agreements in this Trust Agreement contained by and on behalf of the District shall be for the sole and exclusive benefit of the District, the Corporation, the Trustee[, the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy (provided, the Insurer shall always retain its right to the extent it has become subrogated to holders of any Insured Certificates)] and the Owners.

Section 14.06. Governing Law. This Trust Agreement shall be construed and governed in accordance with the laws of the State.

Section 14.07. Binding Effect; Successors. This Trust Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective successors and assigns. Whenever in this Trust Agreement the Corporation, the District or the Trustee is named or referred to, such reference shall be deemed to include the successors or assigns thereof and all the covenants and agreements in this Trust Agreement contained by or on behalf of the Corporation, the District or the Trustee shall bind and inure to the benefit of the respective successors and assigns thereof whether so expressed or not.

Section 14.08. Headings. The headings or titles of the several Articles and Sections hereof, and any table of contents appended to copies hereof, shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Trust Agreement. All references herein to "Articles," "Sections" and other subdivisions are to the corresponding Articles, Sections or subdivisions of this Trust Agreement; and the words "herein," "hereof," "hereunder" and other words of similar import refer to this Trust Agreement as a whole and not to any particular Article, Section or subdivision hereof.

Section 14.09. Waiver of Notice. Whenever in this Trust Agreement the giving of notice by mail or otherwise is required, the giving of such notice may be waived in writing by the person

entitled to receive such notice and in any case the giving or receipt of such notice shall not be a condition precedent to the validity of any action taken in reliance upon such waiver.

Section 14.10. Severability of Invalid Provisions. In case any one or more of the provisions contained in this Trust Agreement or in the Certificates shall for any reason be held to be invalid, illegal or unenforceable in any respect, then such invalidity, illegality or unenforceability shall not affect any other provision of this Trust Agreement, and this Trust Agreement shall be construed as if such invalid or illegal or unenforceable provision had never been contained herein. The parties hereto hereby declare that they would have entered into this Trust Agreement and each and every other Section, paragraph, sentence, clause or phrase hereof and authorized the delivery of the Certificates pursuant thereto irrespective of the fact that any one or more Sections, paragraphs, sentences, clauses or phrases of this Trust Agreement may be held illegal, invalid or unenforceable.

Section 14.11. Unclaimed Moneys. Notwithstanding any provisions of this Trust Agreement, any moneys held by the Trustee in trust for the payment of the principal or prepayment price, or interest evidenced by any Certificates appertaining thereto and remaining unclaimed for two years after the date such principal or prepayment price or interest evidenced by any of the Certificates become due and payable (whether at maturity or upon call for prepayment as provided in this Trust Agreement), if such moneys were so held at such date, or two years after the date of deposit of such moneys if deposited after said date when the principal or prepayment price, or interest evidenced by any of the Certificates became due and payable, shall be repaid to the District, free from the trusts created by this Trust Agreement, and all liability of the Trustee with respect to such moneys shall thereupon cease; provided, however, that before the repayment of such moneys to the District as aforesaid, the Trustee shall (at the cost of the District) first mail to the Owners of any Certificate which has not been paid at the addresses shown on the registration books maintained by the Trustee a notice, in such form as may be deemed appropriate by the Trustee, with respect to the Certificates so payable and not presented and with respect to the provisions relating to the prepayment to the District of the moneys held for the payment thereof.

Section 14.12. [Insurer a Third Party Beneficiary]. [The Insurer is a third party beneficiary of this Trust Agreement.]

Section 14.13. Execution in Counterparts. This Trust Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same agreement.

IN WITNESS WHEREOF, the parties have executed this Trust Agreement as of the date and year first above written.

U.S. BANK TRUST COMPANY, NATIONAL
ASSOCIATION, as Trustee

By: _____
Authorized Signatory

LAUSD FINANCIAL CORPORATION

By: _____
Joy Mayor
Secretary

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
David D. Hart
Chief Business Officer

EXHIBIT A

FORM OF CERTIFICATE OF PARTICIPATION

Unless this Certificate is presented by an authorized representative of The Depository Trust Company to the Trustee or any Certificate executed and delivered is registered in the name of Cede & Co. or such other name as requested by an authorized representative of The Depository Trust Company and any payment is made to Cede & Co., ANY TRANSFER, PLEDGE OR OTHER USE HEREOF FOR VALUE OR OTHERWISE BY OR TO ANY OTHER PERSON IS WRONGFUL since the registered owner hereof, Cede & Co., has an interest herein.

CERTIFICATE OF PARTICIPATION, 2023 SERIES A

Evidencing the Proportionate Interest of
the Owner Hereof In Lease Payments to be Made by the

Los Angeles Unified School District
(Los Angeles County, California)

<u>INTEREST RATE</u>	<u>MATURITY DATE</u>	<u>DATED DATE</u>	<u>CUSIP</u>
_____ %	[October 1], 20__	_____ 1, 20__	544648

REGISTERED OWNER: CEDE & CO.

PRINCIPAL AMOUNT: \$ _____

THIS IS TO CERTIFY THAT the Owner named above, or registered assign, as the Owner of this Certificate of Participation, 2023 Series A (this "Certificate") is the owner of a proportionate and undivided interest in the right to receive certain Lease Payments and Prepayments thereof under and as defined in that certain Lease Agreement, dated as of [As of Date] (the "Lease Agreement"), by and between the LAUSD Financing Corporation (the "Corporation"), a public benefit corporation duly organized and existing under the laws of the State of California, and the Los Angeles Unified School District (the "District"), a school district organized and existing under and by virtue of the Constitution and the laws of the State of California, which Lease Payments and Prepayments and certain other rights and interests under the Lease Agreement have been assigned to U.S. Bank Trust Company, National Association, as trustee (the "Trustee"), having a corporate trust office in Los Angeles, California (said office being herein referred to as the "Principal Office"); provided however, that for purposes of transfer, exchange, surrender, payment and prepayment, such term means the designated corporate trust office of the Trustee, or such other office designated by the Trustee.

The Owner of this Certificate is entitled to receive, subject to the terms of the Lease Agreement, on the Maturity Date specified above, the Principal Amount specified above, plus an amount representing a portion of the Lease Payments designated as interest at the Interest Rate set forth above payable semiannually on [April 1] and [October 1] in each year, commencing on [First

Interest Payment Date] (each, an “Interest Payment Date”), until payment of such Principal Amount in full; provided that the interest with respect hereto shall be payable from the Interest Payment Date next preceding the date of execution of this Certificate unless (i) this Certificate is executed as of an Interest Payment Date, in which event interest shall be payable from the date thereof or (ii) this Certificate is executed after the close of business on the fifteenth day of the month preceding an Interest Payment Date (the “Record Date”), and before the following Interest Payment Date, in which event interest shall be payable from such following Interest Payment Date.

The portion of the Lease Payments designated as interest is computed on the basis of a 360-day year of twelve 30-day months and is the result of the multiplication of the aforesaid portion of the Lease Payments designated as principal by the rate per annum identified above. Said amounts are payable in lawful money of the United States of America. The amount representing principal payable at maturity or upon prepayment in whole or in part is payable to the Owner upon presentation and surrender of this Certificate at the Principal Office. In the event that this Certificate is prepaid in part only, payment of such partial prepayment of principal represented by this Certificate will be by check mailed by first class mail upon presentation and surrender of this Certificate at the Principal Office. Payment of interest with respect to any Certificate on any Interest Payment Date or prepayment date shall be by check mailed on such Interest Payment Date by first class mail by the Trustee to the Owner hereof as of the Record Date preceding the Interest Payment Date at such Owner’s address as it appears on the registration books of the Trustee. At the option of any Owner of at least \$1,000,000 aggregate principal amount of 1 Certificates, interest with respect to Certificates may be payable by wire transfer to an account in the United States of America designated in writing to the Trustee no later than the applicable Record Date.

This Certificate has been executed and delivered by the Trustee pursuant to the terms of that certain Trust Agreement, dated as of [As of Date] (the “Trust Agreement”), by and among the District, the Corporation and the Trustee. The Corporation will execute and deliver its Certificate of Participation, 2023 Series A (the “Certificates”) in the aggregate principal amount of \$[Principal Amount].

The District is authorized to enter into the Lease Agreement and the Trust Agreement under the Constitution and the laws of the State of California. Reference is hereby made to the Lease Agreement and the Trust Agreement (copies of which are on file at the Principal Office) for a description of the terms on which the Certificates are delivered, the rights thereunder of the Owners of the Certificates, the rights, duties and immunities of the Trustee and the rights and obligations of the District under the Lease Agreement, to all of the provisions of which Lease and Trust Agreement the Owner of this Certificate, by acceptance hereof, assents and agrees. Capitalized terms not otherwise defined herein shall have the meanings set forth in the Trust Agreement.

The District is obligated to make Lease Payments from any source of legally available funds, and the District has covenanted in the Lease Agreement to make the necessary annual appropriations therefor. The obligation of the District to make Lease Payments does not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation. The obligation of the District to make the Lease Payments does not constitute an indebtedness of the District, the Corporation, the State of California or any political subdivision thereof within the meaning of any constitutional or statutory debt limitation or restriction. Lease Payments with respect to the

Certificates will be abated during any period in which, by reason of damage, destruction, any defect in title or other event (other than by eminent domain which is hereinbefore provided for), there is substantial interference with the use and occupancy by the District of the Property or any portion thereof (other than any portions of the Property described in the provisions of the Lease Agreement relating to the District's right to, at its own expense, remove portions of the Property or to make additions or modifications to the Property). Failure of the District to make Lease Payments during any such period shall not constitute a default under the Lease Agreement, the Trust Agreement or any Certificate.

The Trust Agreement, Lease Agreement, Site Lease and Assignment Agreement may be amended to the extent and in the manner permitted by their respective terms.

This Certificate is transferable by the Owner hereof, in person or by such Owner's duly authorized attorney, at the Principal Office, but only in the manner, subject to the limitations and upon payment of the charges provided in the Trust Agreement and upon surrender and cancellation of this Certificate. Upon such transfer a new Certificate or Certificates, of authorized denomination or denominations, for the same aggregate principal amount, maturity and interest rate, will be delivered to the transferee. The Trustee shall not be required to register the transfer or exchange of any Certificate (i) between the date which is 15 days immediately preceding the selection of Certificates for prepayment and the date of mailing notice of prepayment and (ii) selected for prepayment. This Certificate also may be exchanged for a like aggregate principal amount of Certificates of other Authorized Denominations as prescribed in the Trust Agreement. The District, the Corporation and the Trustee may treat the Owner hereof as the absolute owner hereof for all purposes whether or not this Certificate shall be overdue, and the District, the Corporation and the Trustee shall not be affected by any notice to the contrary.

The Certificates are subject to prepayment as set forth in the Trust Agreement.

The Trustee has no obligation or liability to the Owners to make payments of principal of, premium, if any, or interest evidenced by the Certificates except from Lease Payments paid to the Trustee and from the various funds and accounts established under the Trust Agreement.

The District has certified that all acts, conditions and things required by the Constitution and statutes of the State of California and the Trust Agreement to exist, to have happened and to have been performed precedent to and in connection with the execution and delivery of this Certificate do exist, have happened and have been performed in regular and due time, form and manner as required by law, and that the Trustee is duly authorized to execute and deliver this Certificate, and that the amount of this Certificate, together with all other Certificates executed and delivered under the Trust Agreement, is not in excess of the amount of Certificates authorized to be executed and delivered thereunder.

IN WITNESS WHEREOF, this Certificate has been executed and delivered by U.S. Bank Trust Company, National Association, as Trustee, acting pursuant to the Trust Agreement.

U.S. BANK TRUST COMPANY, NATIONAL
ASSOCIATION, as Trustee

Authorized Officer

Date of Execution: _____

ASSIGNMENT

FOR VALUE RECEIVED, the undersigned hereby sells, assigns and transfers unto

(Please print or typewrite name, address and social security or other identifying number of Transferee)

the within Certificate and all rights thereunder, hereby irrevocably constitutes and appoints

to transfer the within Certificate on the Certificate Register, with full power of substitution in the premises.

Dated: _____

Signature Guaranteed:

Note: Signature(s) must be guaranteed by an eligible guarantor institution.

Note: The signature on this assignment must correspond with the name as it appears upon the face of the within Certificate in every particular, without alteration or enlargement or any change whatsoever.

[STATEMENT OF INSURANCE]

EXHIBIT B

FORM OF REQUISITION FROM PROJECT FUND

U.S. Bank Trust Company, National Association

Attention: Corporate Trust Services

RE: Disbursement from the Project Fund pursuant to Section 3.01 of the Trust Agreement, dated as of [As Of Date], by and among U.S. Bank Trust Company, National Association, as trustee (the "Trustee"), LAUSD Financing Corporation (the "Corporation") and the Los Angeles Unified School District (the "District")

REQUISITION NO. _____

You are hereby instructed to pay to: _____ at
_____ an amount equal to \$_____ for costs incurred
(describe expenditure): _____.

This cost has been properly incurred, is a proper charge against the Project Fund for Project Costs and has not been the basis of any previous disbursements.

This requisition sets forth the amount to be disbursed for payment or reimbursement of previous payments of Project Costs with respect to the Project and the person or persons to whom said amounts is to be disbursed;

The amount to be disbursed constitutes Project Costs with respect to the Project. Such amount is required to be disbursed pursuant to a contract entered into therefor by or on behalf of the Corporation or the District, or was necessarily and reasonably incurred. Such amount is not being paid in advance of the time, if any, fixed for payment;

The amount set forth above was not included in any requisition requesting disbursement previously filed with the Trustee pursuant to Section 3.01 of the Trust Agreement.

The amount remaining in the Project Fund, together with interest earnings thereon or deposited therein will, after payment of the amount set forth above, be sufficient to pay all remaining Project Costs with respect to the Project as currently estimated.

Very truly yours,

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
District Representative

EXHIBIT C

FORM OF REQUISITION FROM DELIVERY COSTS FUND

U.S. Bank Trust Company, National Association

[To Come]

RE: Disbursement from the Delivery Costs Fund pursuant to Section 3.02 of the Trust Agreement, dated as of [As of Date], by and among U.S. Bank Trust Company, National Association, as trustee (the "Trustee"), LAUSD Financing Corporation (the "Corporation") and the Los Angeles Unified School District (the "District")

REQUISITION NO. _____

You are hereby instructed to pay to: each person or entity identified on the attached Exhibit A at the places indicated therein an amount equal to the amount shown on Exhibit A for costs incurred and/or services provided.

Each cost or service has been properly incurred, is a proper charge against the Delivery Costs Fund and has not been the subject of any previous requisition.

Very truly yours,

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
District Representative

EXHIBIT A

Requisition No. _____

Payee**Purpose**

\$

Amount

Recording Requested By:)
Los Angeles Unified School District)

When Recorded Mail To:)
Hawkins Delafield & Wood LLP)
333 S. Grand Ave., Suite 3650)
Los Angeles, California 90071)
Attn: Diane K. Quan)

This document is recorded for the benefit of the Los Angeles Unified School District, and recording is fee-exempt under §6103 and §27383 of the Government Code.

LEASE AGREEMENT

Dated as of [As of Date]

by and between

LAUSD FINANCING CORPORATION, as lessor

and the

LOS ANGELES UNIFIED SCHOOL DISTRICT, as lessee

\$(Principal Amount)
Certificates of Participation, 2023 Series A

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LEASE AGREEMENT

THIS LEASE AGREEMENT (this “Lease Agreement”), dated as of [As of Date], is by and between the LAUSD FINANCING CORPORATION, a nonprofit public benefit corporation organized and existing under the laws of the State of California, as lessor (the “Corporation”), and the LOS ANGELES UNIFIED SCHOOL DISTRICT, a school district duly organized and existing under the Constitution and laws of the State of California, as lessee (the “District”);

WITNESSETH:

WHEREAS, pursuant to the Education Code, the District may enter into a lease and an immediate sublease back with the Corporation with respect to the financing of capital acquisitions and improvements to be used by the District; and

WHEREAS, the Corporation is authorized to provide financial assistance to the District by acquiring, constructing, remodeling, rehabilitating, equipping, improving, financing and refinancing various public facilities, land and equipment and by leasing certain facilities, land and equipment for the use, benefit and enjoyment of the public, served by the District, as well as any other purpose incidental thereto; and

WHEREAS, the District desires to finance the costs of the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds (collectively, the “Project”) through the sale of the Certificates of Participation, 2023 Series A (the “Certificates”) evidencing undivided interests in lease payments to be made by the District under this Lease Agreement which will be executed and delivered pursuant to the Trust Agreement (hereinafter referred to); and

WHEREAS, the District has entered into a Site Lease of even date herewith and recorded concurrently herewith (the “Site Lease”) with the Corporation, under which the Corporation has agreed to lease the Property from the District, and to sublease back the Property to the District pursuant hereto, under which the title to the Property shall vest in the District at the expiration of such Site Lease, and which Site Lease contains other terms and conditions as the governing board of the District deems to be in the best interest of the District; and

WHEREAS, the Corporation will assign without recourse certain of its rights under the Site Lease and the Lease Agreement, including all of its rights to receive the Lease Payments (as defined in the Trust Agreement) scheduled to be paid by the District pursuant to the Lease Agreement, to the Trustee for the benefit of the Owners of the Certificates pursuant to an Assignment Agreement, dated as of the date hereof (the “Assignment Agreement”), by and between the Corporation and the Trustee; and

WHEREAS, all acts, conditions and things required by law to exist, to have happened and to have been performed precedent to and in connection with the execution and entering into of this Lease Agreement do exist, have happened and have been performed in

regular and due time, form and manner as required by law, and the parties hereto are now duly authorized to execute and enter into this Lease Agreement;

NOW, THEREFORE, in consideration of the above premises and of the mutual covenants hereinafter contained and for other good and valuable consideration, the receipt and adequacy of which is hereby acknowledged, the parties hereto agree as follows:

ARTICLE I

DEFINITIONS; RULES OF CONSTRUCTION AND EXHIBITS

Section 1.1. Definitions. All capitalized terms used herein shall, for all purposes of this Lease Agreement, have the meanings ascribed to them in the Trust Agreement, dated as of the date hereof, by and among U.S. Bank Trust Company, National Association, as trustee thereunder (the “Trustee”), the Corporation and the District (the “Trust Agreement”), together with any amendments thereof or supplements thereto permitted to be made thereunder, unless the context clearly requires some other meaning.

Section 1.2. Article and Section Headings. Unless otherwise specified, references to Articles, Sections, and other subdivisions of this Lease Agreement are to the designated Articles, Sections, and other subdivisions of this Lease Agreement as originally executed. The headings or titles of the several articles and sections, and the table of contents appended to copies hereof, shall be solely for convenience of reference and shall not affect the meaning, construction or effect of the provisions hereof.

Section 1.3. References to Lease Agreement. The words “hereof,” “herein,” “hereunder,” and words of similar import refer to this Lease Agreement as a whole.

Section 1.4. Number and Gender. The singular form of any word used herein, including terms defined as provided in Section 1.1, shall include the plural and vice versa. The use of a word of any gender shall include all genders.

ARTICLE II

REPRESENTATIONS, COVENANTS AND WARRANTIES

Section 2.1. Representations, Covenants and Warranties of the District. The District represents, covenants and warrants to the Corporation as follows:

(a) Due Organization and Existence. The District is a school district organized and existing under the laws of the State, has full legal right, power and authority under the laws of the State to enter into this Lease Agreement, the Site Lease and the Trust Agreement and to carry out and consummate all transactions contemplated hereby and thereby, and by proper action the District has duly authorized the execution and delivery of this Lease Agreement, the Site Lease and the Trust Agreement.

(b) Due Execution. The representatives of the District executing this Lease Agreement, the Site Lease and the Trust Agreement have been fully authorized to execute the same pursuant to a resolution duly adopted by the Board of Education of the District.

(c) Valid, Binding and Enforceable Obligations. This Lease Agreement, the Site Lease and the Trust Agreement have been duly authorized, executed and delivered by the District and constitute the legal, valid and binding obligations of the District enforceable against the District in accordance with their respective terms.

(d) No Encumbrances. The District will not mortgage or encumber the Property, except as provided under the terms of this Lease Agreement, the Site Lease and the Trust Agreement.

(e) No Conflicts. The execution and delivery of this Lease Agreement, the Site Lease and the Trust Agreement, the consummation of the transactions herein and therein contemplated and the fulfillment of or compliance with the terms and conditions hereof and thereof, do not and will not conflict with or constitute a violation or breach of or default (with due notice or the passage of time or both) under any applicable law or administrative rule or regulation, or any applicable court or administrative decree or order, or any indenture, mortgage, deed of trust, lease, contract or other agreement or instrument to which the District is a party or by which it or its properties are otherwise subject or bound, or result in the creation or imposition of any prohibited lien, charge or encumbrance of any nature whatsoever upon any of the property or assets of the District, which conflict, violation, breach, default, lien, charge or encumbrance would have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease and the Trust Agreement, or the financial condition, assets, properties or operations of the District.

(f) Consents and Approvals. No consent or approval of any trustee or holder of any indebtedness of the District or of the voters of the District, and no consent, permission, authorization, order or license of, or filing or registration with, any governmental authority is necessary in connection with the execution and delivery of this Lease Agreement, the Site Lease and the Trust Agreement, or the consummation of any transaction herein or therein contemplated, except as have been obtained or made and as are in full force and effect.

(g) No Litigation. There is no action, suit, proceeding, inquiry or investigation before or by any court or federal, state, municipal or other governmental authority pending or, to the knowledge of the District after reasonable investigation, threatened against or affecting the District or the assets, properties or operations of the District which, if determined adversely to the District or its interests, would have a material and adverse effect upon the consummation of the transactions contemplated by or the validity of this Lease Agreement, the Site Lease and the Trust Agreement, or upon the financial condition, assets, properties or operations of the District, and the District is not in default with respect to any order or decree of any court or any order, regulation or demand of any federal, state, municipal or other governmental authority, which default might have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease and the Trust Agreement, or the financial conditions, assets, properties or operations of the District.

(h) Education Code Compliance. In accordance with Section 17456 of the Education Code of the State, with respect to this Lease Agreement and the Site Lease, the District will expend the proceeds of the sale of the Certificates solely for capital outlay purposes and, in accordance with Section 17457 of the Education Code, no proceeds of the sale of the Certificates will be used for general operating purposes of the District.

(i) FEMA Flood Plain. The District represents, warrants, and covenants that neither the Property nor any portion thereof is located in the Federal Emergency Management Agency 100 year flood plain.

Section 2.2. Representations, Covenants and Warranties of Corporation. The Corporation represents, covenants and warrants to the District as follows:

(a) Due Organization and Existence. The Corporation is a nonprofit, public benefit corporation organized and existing under and by virtue of the laws of the State; has power to enter into this Lease Agreement, the Site Lease, the Assignment Agreement and the Trust Agreement; is possessed of full power to own and hold, improve and equip real and personal property and to lease and sell the same; and has duly authorized the execution and delivery of all of the aforesaid agreements and such agreements constitute the legal, valid and binding agreements of the Corporation, enforceable against the Corporation in accordance with their respective terms.

(b) Due Execution. The representatives of the Corporation executing this Lease Agreement, the Assignment Agreement, the Site Lease and the Trust Agreement have been fully authorized to execute the same pursuant to a resolution duly adopted by the Board of Directors of the Corporation.

(c) Valid, Binding and Enforceable Obligations. This Lease Agreement, the Site Lease, the Assignment Agreement and the Trust Agreement have been duly authorized, executed and delivered by the Corporation and constitute the legal, valid and binding obligations of the Corporation enforceable against the Corporation in accordance with their respective terms.

(d) No Encumbrances. The Corporation will not pledge the Lease Payments or other amounts derived from the Property and from its other rights under this Lease Agreement and will not mortgage or encumber the Property, except as provided under the terms of this Lease Agreement, the Site Lease, the Assignment Agreement and the Trust Agreement.

(e) No Conflicts. The execution and delivery of this Lease Agreement, the Site Lease, the Assignment Agreement and the Trust Agreement, the consummation of the transactions herein and therein contemplated and the fulfillment of or compliance with the terms and conditions hereof and thereof, do not and will not conflict with or constitute a violation or breach of or default (with due notice or the passage of time or both) under any applicable law or administrative rule or regulation, or any applicable court or administrative decree or order, or any indenture, mortgage, deed of trust, lease, contract or other agreement or instrument to which the Corporation is a party or by which it or its properties are otherwise subject or bound, or result in the creation or imposition of any prohibited lien, charge or encumbrance of any nature whatsoever upon any of the property or assets of the Corporation, which conflict, violation,

breach, default, lien, charge or encumbrance would have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease and the Trust Agreement, or the financial condition, assets, properties or operations of the Corporation.

(f) No Assignments. Except as provided herein and in the Assignment Agreement, the Corporation will not assign this Lease Agreement, its right to receive Lease Payments from the District or its duties and obligations hereunder to any other person, firm or corporation so as to impair or violate the representations, covenants and warranties contained in this Section 2.2.

(g) Consents and Approvals. No consent or approval of any trustee or holder of any indebtedness of the Corporation, and no consent, permission, authorization, order or license of, or filing or registration with, any governmental authority is necessary in connection with the execution and delivery of this Lease Agreement, the Site Lease, the Assignment Agreement and the Trust Agreement, or the consummation of any transaction herein or therein contemplated, except as have been obtained or made and as are in full force and effect.

(h) No Litigation. There is no action, suit, proceeding, inquiry or investigation before or by any court or federal, state, municipal or other governmental authority pending or, to the knowledge of the Corporation after reasonable investigation, threatened against or affecting the Corporation or the assets, properties or operations of the Corporation which, if determined adversely to the Corporation or its interests, would have a material and adverse effect upon the consummation of the transactions contemplated by or the validity of this Lease Agreement, the Site Lease, the Assignment Agreement or the Trust Agreement, or upon the financial condition, assets, properties or operations of the Corporation, and the Corporation is not in default with respect to any order or decree of any court or any order, regulation or demand of any federal, state, municipal or other governmental authority, which default might have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease, the Assignment Agreement or the Trust Agreement or the financial conditions, assets, properties or operations of the Corporation.

(i) The District covenants and agrees to comply in all material respects with all laws applicable to the Property or any portion thereof, including without limitation all local, State and federal environmental and Hazardous Substances laws, rules and regulations, and with any order of any jurisdiction over the Property.

ARTICLE III

DEPOSIT OF MONEYS; PAYMENT OF DELIVERY COSTS

Section 3.1. Deposit of Moneys. On the Closing Date for the Certificates, the Corporation shall cause to be deposited with the Trustee the proceeds of the sale of the Certificates delivered on such Closing Date[, including any original issue premium and less any underwriter's discount, original issue discount and bond insurance premium)], which amounts shall be applied in accordance with Section 2.07 of the Trust Agreement.

Section 3.2. Payment of Delivery Costs. Payment of Delivery Costs for the Certificates shall be made from the moneys deposited in the Delivery Costs Fund, which moneys shall be disbursed for such purpose in accordance and upon compliance with Section 3.02 of the Trust Agreement.

ARTICLE IV

AGREEMENT TO LEASE; TERM OF LEASE AGREEMENT; LEASE PAYMENTS

Section 4.1. Lease. The Corporation hereby leases the Property to the District, and the District hereby leases the Property from the Corporation, upon the terms and conditions set forth in this Lease Agreement.

Section 4.2. Term of Lease Agreement. The Term of this Lease Agreement shall commence on the date of recordation hereof and shall end on [October 1], 20__, unless such term is extended as hereinafter provided. If, on [October 1], 20__, the Trust Agreement and this Lease Agreement shall not be discharged or otherwise terminated by their respective terms, if the Lease Payments payable hereunder shall have been abated at any time and for any reason, [or if any payments are due to the Insurer,] then the Term of this Lease Agreement shall be extended until there has been deposited with the Trustee an amount sufficient to pay all obligations due under the Trust Agreement and this Lease Agreement, [and all amounts due to the Insurer], as the case may be; provided, however, that in no event shall the Term of this Lease Agreement extend beyond [October 1, 20__].

Section 4.3. Possession. The District hereby agrees to accept and take possession of the Property on or prior to the date of recordation of this Lease Agreement.

Section 4.4. Lease Payments.

(a) Obligation to Pay. Subject to Section 6.5 hereof, the District agrees to pay to the Corporation, its successors and assigns, as rental for the use and occupancy of the Property, as composed at any time, and from time to time, during each Rental Period, the Lease Payments (denominated into components of principal and interest) in the semiannual amounts and on the dates specified in Exhibit A hereto, as such exhibit may be amended and modified from time to time in connection with any change in the Property, to be due and payable on the respective Lease Deposit Dates. Each Lease Payment shall be deposited with the Trustee no later than the Lease Deposit Date preceding the Lease Payment Date on which such Lease Payment is due.

Any amount held in the Lease Payment Fund on any Lease Payment Date (other than amounts resulting from the prepayment of the Lease Payments in part but not in whole pursuant to Article X hereof and other than amounts required for payment of Certificates not yet surrendered) shall be credited towards the Lease Payment due and payable on the succeeding Lease Payment Date; and no Lease Payment need be deposited on any Lease Deposit Date if the amounts then held in the Lease Payment Fund and available for such purpose are at least equal to the Lease Payment then required to be deposited. The Lease Payments for the Property due and

payable in any Rental Period shall be for the use and occupancy of the Property during such Rental Period.

THE OBLIGATION OF THE DISTRICT TO MAKE LEASE PAYMENTS DOES NOT CONSTITUTE AN OBLIGATION OF THE DISTRICT FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE DISTRICT TO MAKE THE LEASE PAYMENTS DOES NOT CONSTITUTE AN INDEBTEDNESS OF THE DISTRICT, THE CORPORATION, THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

(b) Effect of Prepayment. In the event that the District prepays all remaining Lease Payments evidenced by the Certificates in full pursuant to Article X hereof and Article XIV of the Trust Agreement, the obligations under this Lease Agreement with respect to such Lease Payments shall thereupon cease and terminate including, but not limited to, the obligation to pay such Lease Payments under this Section 4.4 evidenced by such Certificates; subject however, to the provisions of Section 10.1 hereof in the case of prepayment by application of a security deposit. In the event that the District prepays the Lease Payments in part for the Certificates, but not in whole, pursuant to Section 10.3 hereof as a result of any insurance or condemnation award with respect to any portion of the Property, the District shall apply such amounts towards the prepayment of the principal components of the Lease Payments in Authorized Denominations as set forth in an amendment to this Lease Agreement executed and delivered pursuant to Section 8.3(c) hereof.

(c) Overdue Payments. In the event the District should fail to make any of the payments required in this Section 4.4 evidenced by the Certificates, the payment in default shall continue as an obligation of the District until the amount in default shall have been fully paid.

(d) Fair Rental Value. The Lease Payments for the Property for each Rental Period shall constitute the total rental for the Property for each such Rental Period and shall be paid by the District in each Rental Period for and in consideration of the right of the use and occupancy, and the continued quiet use and enjoyment, of the Property during each Rental Period. The parties hereto have agreed and determined that the Lease Payments for the Property do not exceed the fair rental value of the Property. In making such determination, consideration has been given to the obligations of the parties under this Lease Agreement, the uses and purposes which may be served by the Property and the benefits therefrom which will accrue to the District and the general public.

(e) Source of Payments; Budget and Appropriation. The Lease Payments shall be payable from any source of available funds of the District, subject to the provisions of Article VI and Section 10.3 hereof. The District covenants to take such action as may be necessary to include all Lease Payments and Additional Payments due under this Lease Agreement in each of its budgets during the Term of this Lease Agreement and to make the necessary appropriations for all such Lease Payments and Additional Payments due under this Lease Agreement in the Fiscal Year covered by such budget. The covenants on the part of the

District contained herein shall be deemed to be and shall be construed to be duties imposed by law and it shall be the duty of each and every public official of the District to take such action and do such things as are required by law in the performance of the official duty of such officials to enable the District to carry out and perform the covenants and agreements in this Lease Agreement agreed to be carried out and performed by the District.

(f) Assignment. The District understands and agrees that all Lease Payments have been assigned by the Corporation to the Trustee in trust, pursuant to the Assignment Agreement, for the benefit of the Owners of the Certificates and the District hereby assents to such assignment. The Corporation hereby directs the District, and the District hereby agrees to pay to the Trustee at its Principal Office, all payments payable by the District pursuant to this Section 4.4 and all amounts payable by the District pursuant to Article X hereof.

Section 4.5. Principal Components and Interest Components of the Lease Payments. The aggregate principal amount of the Lease Payments of the Certificates to be paid by the District to the Corporation hereunder with respect to the Property shall be as set forth in Exhibit A attached hereto. The interest components of the Lease Payments evidenced by the Certificates shall accrue at the rates set forth in the Trust Agreement. The District shall pay to the Trustee for deposit in the Lease Payment Fund the scheduled principal components and interest components of the Lease Payments on the Lease Deposit Dates. The Lease Payment Dates related thereto are set forth in Exhibit A attached hereto.

Section 4.6. Quiet Enjoyment. During the Term of this Lease Agreement, the Corporation shall provide the District with quiet use and enjoyment of the Property, and the District shall, during such Term, peaceably and quietly have and hold and enjoy the Property, without suit, trouble or hindrance from the Corporation, except as expressly set forth in this Lease Agreement. The Corporation will, at the request and at the cost of the District, join in any legal action in which the District asserts its right to such possession and enjoyment to the extent the Corporation may lawfully do so. Notwithstanding the foregoing, the Corporation shall have the right to inspect the Property as provided in Section 7.2 hereof.

Section 4.7. Title.

(a) During the Term of this Lease Agreement, the Corporation shall hold fee title (or leasehold title pursuant to (i) the Site Lease when the District shall hold fee title to the Property or (ii) a Permitted Encumbrance) to those portions of the Property which are newly acquired and any and all additions which compose fixtures, repairs, replacements or modifications to the Property, except for those fixtures, repairs, replacements or modifications which are added to the Property by the District at its own expense and which may be removed without damaging the Property and except for any items added to the Property by the District pursuant to Section 5.9 hereof.

(b) If the District prepays the Lease Payments in full pursuant to Article X hereof or makes the security deposit permitted by Section 10.1 hereof, or pays all Lease Payments during the Term of this Lease Agreement as the same become due and payable[and all amounts due to the Insurer are paid in full], all right, title and interest of the Corporation under this Lease Agreement in and to the related Property shall be transferred to and vested in the

District. The Corporation agrees to take any and all steps and execute and record any and all documents reasonably required by the District to consummate any such transfer of title or other interest.

Section 4.8. Additional Payments. In addition to the Lease Payments, the District shall pay when due all costs and expenses incurred by the District and the Corporation in complying with the provisions of the Trust Agreement, including without limitation payment of all Delivery Costs (to the extent not paid from amounts on deposit in the Delivery Costs Fund), compensation, reimbursable expenses and fees due to the Trustee, [all amounts due to the Insurer,] all costs and expenses of auditors, engineers, counsel and accountants and any amounts required to be rebated to the federal government, which payments shall not be subject to abatement. Any Additional Payments shall be paid directly to the person or person to whom such amounts shall be payable.

Section 4.9. No Merger. It is the express intention of the parties hereto that this Lease Agreement, and the obligations of the parties hereunder, shall be and remain separate and distinct from the Site Lease, if the Site Lease shall be delivered, and the obligations of the parties thereunder, and that, during the term of the Site Lease, if the Site Lease shall be delivered, no merger of title or interest shall occur or be deemed to occur as a result of the position of the District as lessor under the Site Lease and as lessee hereunder or the position of the Corporation as lessee under the Site Lease and as lessor under this Lease Agreement.

ARTICLE V

MAINTENANCE; TAXES; INSURANCE; USE LIMITATIONS; AND OTHER MATTERS

Section 5.1. Acquisition, Construction and Installation of the Project. The Corporation hereby appoints the District as its agent to carry out all phases of the acquisition, construction and installation of the Project. The District hereby accepts such appointment and, as such agent, hereby assumes all duties, rights, responsibilities and liabilities of the Corporation regarding the acquisition, construction and installation of the Project. The District, as agent of the Corporation, will, in all respects, supervise and provide for, or cause to be supervised and provided for, the acquisition, construction and installation of the Project.

In connection with the acquisition, construction and installation of the Project, payment of the Project Costs shall be made from the moneys deposited with the Trustee in the Project Fund, which shall be disbursed for such purposes in accordance and upon compliance with Article III of the Trust Agreement. In the event that there is at any time a deficiency in the Project Fund to pay all Project Costs in full, the amount of such deficiency shall be deposited therein by the District, from and only to the extent it has additional funds legally available to it for such purpose.

Section 5.2. Maintenance, Utilities, Taxes and Assessments. Throughout the Term of this Lease Agreement, as part of the consideration for the rental of the Property, all improvement, repair and maintenance of the Property shall be the responsibility of the District, and the District shall pay for or otherwise arrange for the payment of all utility services supplied

to the Property, which may include, without limitation, janitor service, security, power, gas, telephone, light, heating, water and all other utility services, and shall pay for or otherwise arrange for the payment of the cost of the repair and replacement of the Property resulting from ordinary wear and tear or want of care on the part of the District or any assignee or sublessee thereof. In exchange for the Lease Payments herein provided, the Corporation agrees to provide only the Property, as hereinbefore more specifically set forth. The District waives the benefits of subsection 2 of Section 1932 and subsection 4 of Section 1933 of the California Civil Code, but such waiver shall not limit any of the rights of the District under the terms of this Lease Agreement.

The District shall also pay or cause to be paid all taxes and assessments of any type or nature, if any, charged to the Corporation or the District affecting the Property or the respective interests or estates therein; provided that with respect to special assessments or other governmental charges that may lawfully be paid in installments over a period of years, the District shall be obligated to pay only such installments as are required to be paid during the Term of this Lease Agreement as and when the same become due.

The District may, at its expense and in its name, in good faith contest any such taxes, assessments, utility and other charges and, in the event of any such contest, may permit the taxes, assessments or other charges so contested to remain unpaid during the period of such contest and any appeal therefrom unless the Corporation shall notify the District that, in the opinion of Independent Counsel, by nonpayment of any such items, the interest of the Corporation in the Property will be materially endangered or the Property or any part thereof will be subject to loss or forfeiture, in which event the District shall promptly pay such taxes, assessments or charges or provide the Corporation with full security against any loss which may result from nonpayment, in form satisfactory to the Corporation and the Trustee.

Section 5.3. Modification of Property. The District shall, at its own expense, have the right to remove portions of the Property or to make additions or modifications to the Property. All additions and modifications shall thereafter compose part of the Property and be subject to the provisions of this Lease Agreement. Such additions and modifications shall not in any way damage the Property, substantially alter its nature, cause the interest component of Lease Payments evidenced by the Certificates to be subject to federal income taxes or cause the Property to be used for purposes other than those authorized under the provisions of State and federal law or the articles of incorporation of the Corporation; and the Property, during and upon completion of any removal, additions or modifications made thereto pursuant to this Section 5.3, shall be of a rental value which is not less than the maximum annual Lease Payments due in any Rental Period evidenced and represented by all Outstanding Certificates. The District will not permit any mechanic's or other lien to be established or remain against the Property for labor or materials furnished in connection with any remodeling, additions, modifications, improvements, repairs, renewals or replacements made by the District pursuant to this Section 5.3; provided that if any such lien is established and the District shall first notify or cause to be notified the Corporation of the intention to do so, the District may in good faith contest any lien filed or established against the Property, and in such event may permit the items so contested to remain undischarged and unsatisfied during the period of such contest and any appeal therefrom and shall provide the Corporation with full security against any loss or forfeiture which might arise from the nonpayment of any such item, in form satisfactory to the Corporation. The Corporation

will cooperate fully in any such contest, upon the request and at the expense of the District. The District agrees that it will take no action that would affect the availability of the Property for its use and possession.

Section 5.4. Liability and Property Damage Insurance. The District shall maintain or cause to be maintained, throughout the Term of this Lease Agreement, insurance policies, including a standard comprehensive general insurance policy or policies in protection of the Corporation, the District and the Trustee and their respective members, officers, agents and employees. Such liability insurance may be maintained as part of or in conjunction with any other liability insurance coverage carried by the District, including through the District's current program of self-insurance, and may be maintained through the Corporation or in the form of self-insurance by the District; provided, however, that the District shall not maintain rental interruption insurance in the form of self-insurance. Said policy or policies shall provide for coverage of said parties against direct or consequential loss or liability for damages for bodily and personal injury, death or property damage occasioned by reason of the operation of the Property. Said policy or policies shall provide coverage in the minimum liability limits of \$1,000,000 for personal injury or death of each person and \$3,000,000 for personal injury or deaths of two or more persons in each accident or event, and in a minimum amount of \$1,000,000 for damage to property resulting from each accident or event (in each case subject to a deductible clause, or self-retention in the case of self-insurance, not to exceed \$5,000,000 per occurrence). Such liability and property damage insurance may, however, be in the form of a single limit policy in the amount of \$3,000,000 covering all such risks.

Section 5.5. Fire, Extended Coverage, Boiler and Machinery and Workers' Compensation Insurance.

(a) The District shall procure and maintain, or cause to be procured and maintained, throughout the Term of this Lease Agreement, insurance against loss or damage to any structures constituting any part of the Property by fire, lightning and flood (if reasonably necessary), with extended coverage and vandalism and malicious mischief insurance, which coverage may exclude earthquake insurance, with the Trustee named as additional insured and loss payee, with responsible and reputable insurance companies. Such insurance may be maintained as part of or in conjunction with any other fire and extended coverage insurance carried by the District and may be maintained in whole or in part through the Corporation.

Said extended coverage insurance shall, as nearly as practicable, cover loss or damage by explosion, windstorm, riot, aircraft, vehicle damage, smoke and such other hazards as are normally covered by such insurance. Such insurance shall be in an amount equal to the greater of 100% of the replacement value of the Property or 100% of the remaining Lease Payments evidencing and representing principal with respect to all outstanding Certificates. The Net Proceeds of such insurance shall be applied as provided in Section 6.2 hereof.

(b) The District shall also procure and maintain, or cause to be maintained, throughout the term of this Lease Agreement, boiler and machinery coverage against loss or damage by explosion of steam boilers, pressure vessels and similar apparatus now or hereafter installed on any portion of the Property in an amount not less than \$5,000,000 per accident, and worker's compensation insurance issued by a responsible carrier authorized under the laws of the

State of California to insure its employees against liability for compensation under the Worker's Compensation Insurance and Safety Act now in force in the State of California, or any act hereafter enacted as an amendment or supplement thereto. As an alternative, such insurance may be maintained as part of or in conjunction with any other insurance carried by the District, including through the District's current program of self-insurance.

Section 5.6. Rental Interruption Insurance. The District shall procure and maintain, or cause to be maintained, throughout the Term of this Lease Agreement rental interruption insurance to cover loss, total or partial, of the use of any part of the Property during the Term of this Lease Agreement with respect to the Property in an amount equal to the greatest twenty-four (24) months of Lease Payments for such Property, with the Trustee named as additional insured and loss payee. Such insurance may be carried in conjunction with, and may be subject to the same provisions as, the insurance required under Section 5.5 hereof. The District hereby assigns to the Corporation all right of the District, if any, to collect and receive Net Proceeds under any of said policies, which right has been assigned by the Corporation to the Trustee pursuant to the Assignment Agreement. The Net Proceeds of such insurance shall be paid to the Trustee and deposited in the Lease Payment Fund and shall be credited towards the payment of the Lease Payments in the order in which the Lease Payments are due and payable.

Section 5.7. Title Insurance.

(a) The District shall provide, from moneys in the Delivery Costs Fund or at its own expense, on the Closing Date or as soon thereafter as practicable, an ALTA or a CLTA title insurance policy covering, and in the amount of not less than the principal amount of the Certificates, insuring all of the fee title of the District in the Property, the subleasehold estate of the Corporation in the Property and the leasehold estate of the District in the Property securing the Certificates (provided that one or more of said estates may be insured through an endorsement to such policy), subject only to Permitted Encumbrances, with the Trustee as additional insured and loss payee.

(b) The Net Proceeds of such title insurance shall be applied as provided in Section 6.2 hereof.

Section 5.8. General Insurance Requirements; Form of Policies; Annual Certification; Advances. The District shall maintain or cause to be maintained, during the entire term of this Lease Agreement, with insurers of recognized responsibility (or through the District's current program of self-insurance with respect to insurance required by Sections 5.4 and 5.5) all coverage required by Sections 5.4, 5.5, 5.6 and 5.7[; provided however that the District shall not maintain the insurance required by Section 5.5 and 5.6 in the form of self-insurance or pool insurance without the prior written consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy]. Each policy of insurance required by Sections 5.5, 5.6 and 5.7 hereof shall be obtained from an insurance provider licensed to do business in the State and rated "A" or better by A.M. Best & Company, and shall provide that all proceeds thereunder shall be payable to the District and the Trustee as insureds and applied as provided in Section 6.2 hereof. The District shall pay or cause to be paid when due the premiums for all insurance policies required by this Lease Agreement.

The District shall cause to be delivered to the Trustee [and the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] on prior to the end of each fiscal year of the District a certificate of the District that the insurance requirements of this Lease Agreement have been met. If the District maintains the insurance required by Sections 5.4 and 5.5 through a program of self-insurance, the District shall include with such annual certificate a statement, verified by a risk manager of the District or an independent financial consultant, which specifies the amounts of coverage available through such self-insurance program. If it shall appear to such risk manager or independent financial consultant that the amounts available pursuant to such self-insurance program are insufficient, taking into account the loss history of the District and the requirements of this Lease Agreement, then (i) such report shall so state and (ii) the District shall obtain commercial insurance or increase the amounts available under such self-insurance program in accordance with the recommendations of such risk manager or independent financial consultant to the extent moneys are available for such purpose and not otherwise appropriated and, provided, that the District shall obtain the insurance required by Section 5.5 hereof in an amount equal to the greater of 100% of the replacement value of the Property or 100% of the remaining Lease Payments evidencing and representing principal with respect to all Outstanding Certificates.

The Trustee shall not be responsible for the sufficiency of any insurance herein required, including any forms of self-insurance and shall be fully protected in accepting payment on account of such insurance or any adjustment, compromise or settlement of any loss.

The District will affirmatively make (or cause to be made) a claim for payment under any insurance required to be maintained pursuant to this Lease Agreement as soon as practicable following the event or events giving rise to such a claim.

If the District shall fail to perform any of its obligations with respect to obtaining and maintaining insurance pursuant to this Article V, the Corporation or the Trustee may, but shall not be obligated to, take such action as may be necessary to cure such failure, including the advancement of money, and the District shall be obligated to repay all such advances as soon as possible, with interest at rates equal to the rates then payable with respect to the Certificates.

Section 5.9. Installation of Equipment. The District may at any time and from time to time, in its sole discretion and at its own expense, install or permit to be installed other items of equipment or other personal property in or upon the Property. All such items shall remain the sole property of the District, in which neither of the Corporation nor the Trustee shall have any interest, and may be modified or removed by the District at any time provided that the District shall repair and restore any and all damage to the Property resulting from the installation, modification or removal of any such items. Nothing in this Lease Agreement shall prevent the District from purchasing or leasing items to be installed pursuant to this Section 5.9 under a lease or conditional sale agreement, or subject to a vendor's lien or security agreement, as security for the unpaid portion of the purchase price thereof, provided that no such lien or security interest shall attach to any part of the Property.

Section 5.10. Liens. The District shall not, directly or indirectly, create, incur, assume or suffer to exist any mortgage, pledge, lien, charge, encumbrance or claim on or with

respect to the Property, other than the respective rights of the Corporation and the District as herein provided and Permitted Encumbrances. Except as expressly provided in this Article V, the District shall promptly, at its own expense, take such action as may be necessary to duly discharge or remove any such mortgage, pledge, lien, charge, encumbrance or claim, for which it is responsible, if the same shall arise at any time. The District shall reimburse the Corporation or the Trustee, as applicable, for any expense incurred by either of them in order to discharge or remove any such mortgage, pledge, lien, charge, encumbrance or claim.

Section 5.11. Tax Covenants.

(a) General. The District hereby covenants with the holders of the Certificates that, notwithstanding any other provisions of this Lease, it shall not take any action, or fail to take any action, if any such action or failure to take action would adversely affect the exclusion from gross income of interest evidenced by the Certificates with respect to Section 103 of the Code. The District shall not, directly or indirectly, use or permit the use of proceeds of the Certificates or any of the property financed or refinanced with proceeds of the Certificates, or any portion thereof, by any person other than a governmental unit (as such term is used in Section 141 of the Code), in such manner or to such extent that could result in the loss of exclusion from gross income for federal income tax purposes of the interest evidenced by the Certificates.

(b) Use of Proceeds. The District shall not take any action, or fail to take any action, if any such action or failure to take action would cause the District's obligations evidenced by the Certificates to be "private activity bonds" within the meaning of Section 141 of the Code, and in furtherance thereof, shall not make any use of the proceeds of the Certificates or any of the property financed or refinanced with proceeds of the Certificates, or any portion thereof, or any other funds of the District, that would cause the District's obligations evidenced by the Certificates to be "private activity bonds" within the meaning of Section 141 of the Code. To that end, so long as any Certificates are outstanding, the District, with respect to such proceeds and property and such other funds, will comply with applicable requirements of the Code and all regulations of the Treasury Department issued thereunder. The District shall establish reasonable procedures necessary to ensure continued compliance with Section 141 of the Code and the continued qualification of the District's obligations evidenced by the Certificates as "governmental bonds."

(c) Arbitrage. The District shall not, directly or indirectly, use or permit the use of any proceeds of any Certificates, or of any property financed or refinanced thereby, or other funds of the District, or take or omit to take any action, that would cause the District's obligations evidenced by the Certificates to be "arbitrage bonds" within the meaning of Section 148 of the Code. To that end, the District shall comply with all requirements of Section 148 of the Code and all regulations of the Treasury Department issued thereunder to the extent such requirements are, at the time, in effect and applicable to the District's obligations evidenced by the Certificates.

(d) Federal Guarantee. The District shall not make any use of the proceeds of the Certificates or any other funds of the District, or take or omit to take any other action, that

would cause the District's obligations evidenced by the Certificates to be "federally guaranteed" within the meaning of Section 149(b) of the Code.

(e) Compliance with Tax Certificate. In furtherance of the foregoing tax covenants of this Section 5.11, the District covenants that it will comply with the provisions of the Tax Certificate, which is incorporated herein as if fully set forth herein. This covenant shall survive payment in full or defeasance of the Certificates.

Section 5.12. No Condemnation. The District hereby covenants and agrees, to the extent it may do so, that so long as any of the Certificates remain Outstanding and unpaid, the District will not exercise the power of condemnation with respect to the Property. The District further covenants and agrees, to the extent it may lawfully do so, that if for any reason the foregoing covenant is determined to be unenforceable or if the District should fail or refuse to abide by such covenant and condemns the Property, the appraised value of the Property shall not be less than the greater of (i) if the Certificates are then subject to prepayment, the principal and interest components of the Certificates Outstanding through the date of their prepayment; or (ii) if such Certificates are not then subject to prepayment, the amount necessary to defease such Certificates to the first available prepayment date in accordance with the Trust Agreement.

ARTICLE VI

DESTRUCTION AND EMINENT DOMAIN; USE OF NET PROCEEDS

Section 6.1. Eminent Domain. If all of the Property (or portions thereof such that the remainder is not usable for public purposes by the District) shall be taken permanently under the power of eminent domain or sold to a government threatening to exercise the power of eminent domain, the Term of this Lease Agreement shall thereupon terminate. If less than all of the Property shall be taken permanently and the remainder is usable for public purposes by the District at the time of such taking, or if all of the Property shall be taken temporarily under the power of eminent domain, (1) this Lease Agreement shall continue in full force and effect and shall not be terminated by virtue of such taking and the parties waive the benefit of any law to the contrary, and (2) there shall be a partial abatement of Lease Payments as a result of the application of the Net Proceeds of any eminent domain award to the prepayment of the Lease Payments hereunder, in an amount to be agreed upon by the District and the Corporation such that the resulting Lease Payments represent fair consideration for the use and occupancy of the remaining usable portion of such Property.

Section 6.2. Application of Net Proceeds. The District shall remit promptly to the Trustee any Net Proceeds received by the District regarding casualty insurance, and the Trustee shall deposit such Net Proceeds pursuant to Section 7.02 of the Trust Agreement, promptly upon receipt thereof. The District and/or the Corporation shall transfer to the Trustee any other Net Proceeds received by the District and/or Corporation in the event of any accident, destruction, or taking by eminent domain or condemnation with respect to the Property for deposit in the Net Proceeds Fund.

Section 6.3. Disbursement for Replacement or Repair of the Property. Upon receipt of the certification described in paragraph (a) below and the requisition described in

paragraph (b) below, the Trustee shall disburse moneys in the Net Proceeds Fund to the person, firm or corporation named in such requisition as provided in Section 7.02 of the Trust Agreement.

(a) Certification. The District Representative must certify to the Corporation and the Trustee that:

(i) Sufficiency of Net Proceeds. The Net Proceeds available for such purpose, together with any other funds supplied by the District to the Trustee and held in the Net Proceeds Fund for such purpose, are expected to equal at least 110% of the projected costs of replacement or repair, as demonstrated in an attached requisition budget; and

(ii) Timely Completion. In the event that damage, destruction or taking results or is expected to result in an abatement of Lease Payments, such replacement or repair can be fully completed within a period not in excess of the period in which rental interruption insurance proceeds as described in Section 5.6 hereof, together with other identified available moneys, will be available to pay in full all Lease Payments coming due during such period as demonstrated in an attached requisition schedule; and

(iii) No Unauthorized Encumbrances. There are no encumbrances on the Property other than Permitted Encumbrances.

(b) Requisition. The District Representative must state with respect to each payment to be made: (i) the requisition number; (ii) the name and address of the person, firm or corporation to whom payment is due; (iii) the amount to be paid; (iv) that each obligation mentioned therein has been properly incurred, is a proper charge against the Net Proceeds Fund and has not been the basis of any previous withdrawal; and (v) in reasonable detail, the nature of the payment obligation.

Subject to the requirements of Section 7.02 of the Trust Agreement, any balance of the Net Proceeds remaining after such replacement or repair has been completed, as certified in a Written Request of the District to the Trustee, shall be paid to the District.

Section 6.4. Disbursement for Prepayment. If the District shall not have determined to repair or replace the Property, as provided above, the Trustee shall promptly transfer the Net Proceeds to the Prepayment Fund as provided in Section 7.02 of the Trust Agreement and apply them to prepayment of Lease Payments, as provided in Section 10.1 hereof, and prepayment of the corresponding amount of principal represented by the Certificates as provided in Section 4.02 of the Trust Agreement, upon the earlier of the following events:

(i) Written determination of the District Representative that the certification provided in Section 6.3(a) cannot be made and that replacement or repair of any item or portion of the Property, is not economically feasible or in the best interest of the District; and

(ii) One (1) year after the receipt of Net Proceeds.

Section 6.5. Abatement of Lease Payments.

(a) The fair rental value of the Property shall equal or exceed the unpaid principal components and interest components of the Lease Payments at all times; therefore, such payments due hereunder shall not be subject to abatement except as provided in paragraph (b) below.

(b) Lease Payments with respect to the Certificates shall be abated during any period in which, by reason of damage, destruction, any defect in title or other event (other than by eminent domain which is hereinbefore provided for), there is substantial interference with the use and occupancy by the District of the Property or any portion thereof (other than any portions of the Property described in Section 5.3 hereof), and the District waives the benefits of subsection 2 of Section 1932 and subsection 4 of Section 1933 of the California Civil Code and any and all other rights to terminate this Lease Agreement by virtue of any such interference, and this Lease Agreement shall continue in full force and effect. The extent of such abatement shall be agreed upon by the District and the Corporation such that the resulting Lease Payments represent fair consideration for the use and occupancy of the portions of the Property not damaged, destroyed or otherwise unavailable for use and occupancy by the District. Such abatement shall continue for the period commencing with such damage, defect in title, destruction or other event and, with respect to damage or destruction of property, ending with the substantial completion of the work of repair or reconstruction or of completion of the Property or of the regained availability of use and occupancy. In the event of any such damage, destruction or non-availability, this Lease Agreement shall continue in full force and effect and the District waives any right to terminate this Lease Agreement by virtue of any such damage, destruction or unavailability.

Notwithstanding the foregoing, there shall be no abatement of Lease Payments under this Section 6.5 by reason of damage, destruction or unavailability of all or a portion of the Property to the extent that:

(i) the fair rental value of the portions of the Property not damaged, destroyed, incomplete or otherwise unavailable for use and occupancy by the District (giving due consideration to the factors identified in the last sentence of Section 4.4(d) hereof), based upon a qualified employee of the District or an independent certified real estate appraiser selected by the District with expertise in valuing such properties or other appropriate method of valuation, is equal to or greater than the unpaid Lease Payments; or

(ii) (A) the proceeds of rental interruption insurance or (B) amounts in the Net Proceeds Fund and/or the Lease Payment Fund are available to pay Lease Payments which would otherwise be abated under this Section 6.5, it being hereby declared that such proceeds and amounts constitute special funds for the payment of the Lease Payments.

ARTICLE VII

DISCLAIMER OF WARRANTIES; ACCESS;
RELEASE AND INDEMNIFICATION

Section 7.1. Disclaimer of Warranties. THE CORPORATION MAKES NO WARRANTY OR REPRESENTATION, EITHER EXPRESS OR IMPLIED, AS TO THE VALUE, DESIGN, CONDITION, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OR FITNESS FOR THE USE CONTEMPLATED BY THE DISTRICT OF THE PROPERTY OR ANY OTHER REPRESENTATION OR WARRANTY WITH RESPECT TO THE PROPERTY. IN NO EVENT SHALL THE CORPORATION OR ITS ASSIGNS BE LIABLE FOR INCIDENTAL, INDIRECT, SPECIAL OR CONSEQUENTIAL DAMAGES IN CONNECTION WITH OR ARISING OUT OF THE SITE LEASE, IF ANY, THIS LEASE AGREEMENT OR THE TRUST AGREEMENT FOR THE EXISTENCE, FURNISHING, FUNCTIONING OR THE USE OF THE PROPERTY.

Section 7.2. Access to the Property. The District agrees that the Corporation and any Corporation Representative, the Corporation's successors or assigns, shall have the right at all reasonable times to enter upon and to examine and inspect the Property. The District further agrees that the Corporation, any Corporation Representative, the Corporation's successors or assigns shall have such rights of access to the Property as may be reasonably necessary to cause the proper maintenance of the Property in the event of failure by the District to perform its obligations hereunder.

Section 7.3. Release and Indemnification. To the extent permitted by law, the District shall and hereby agrees to indemnify and save the Corporation and the Trustee and their officers, agents, successors and assigns harmless from and against all claims, losses and damages, including legal fees and expenses, arising out of (i) the use, maintenance, condition or management of, or from any work or thing done on the Property by the District, including, without limitation, the presence on, under or about, or release from, the Property of any substance, material or waste which is or becomes regulated or classified as hazardous or toxic under State, federal or local law, (ii) any breach or default on the part of the District in the performance of any of its obligations under this Lease Agreement, (iii) any act or omission of the District or of any of its agents, contractors, servants, employees or licensees with respect to the Property, (iv) any act or omission of any sublessee of the District with respect to the Property, (v) the acquisition, construction, installation and equipping of the Property or the authorization of payment of the Project Costs and Delivery Costs, or (vi) the execution of the Trust Agreement and acceptance, administration and performance by the Trustee of the duties of the Trustee under the Trust Agreement. No indemnification is made under this Section 7.3 or elsewhere in this Lease Agreement for willful misconduct, negligence or breach of duty under this Lease Agreement by the Corporation or the Trustee, their officers, agents, employees, successors or assigns. The indemnification hereunder shall survive removal or resignation of the Trustee, termination of this Lease Agreement or discharge of the Certificates.

ARTICLE VIII

ASSIGNMENT AND SUBLEASING; SUBSTITUTION, ADDITION AND RELEASE OF PROPERTY; AMENDMENTS

Section 8.1. Assignment by the Corporation. The Corporation's rights under this Lease Agreement, including the right to receive and enforce payment of the Lease Payments to be made by the District under this Lease Agreement have been assigned to the Trustee pursuant to the Assignment Agreement, to which assignment the District hereby consents.

Section 8.2. Assignment and Subleasing by the District. This Lease Agreement may not be assigned by the District. The District may sublease the Property or any portion thereof, but only with the prior written consent of the Corporation [and the Insurer for so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy], subject to all of the following conditions:

(i) This Lease Agreement and the obligation of the District to make Lease Payments hereunder shall remain obligations of the District;

(ii) The District shall, within thirty (30) days after the delivery thereof, furnish or cause to be furnished to the Corporation and the Trustee a true and complete copy of such sublease;

(iii) No such sublease by the District shall cause the Property to be used for a purpose other than as may be authorized under the provisions of the constitution and laws of the State; and

(iv) The District shall furnish the Corporation and the Trustee with a written opinion of Special Counsel stating that such sublease will not in and of itself result in the interest components of the Lease Payments evidenced by the Certificates to become subject to federal income taxation.

Section 8.3. Substitution, Addition and Release of Property; Amendments.

(a) Substitution or Addition of Property. The District shall have, and is hereby granted, the option at any time and from time to time during the Term of this Lease Agreement, to substitute other land, including the facilities thereon (a "Substitute Site") for the Property or a portion thereof, or to add additional land, including the Facilities thereon to the Property ("Additional Site"), provided that the District shall satisfy all of the following requirements which are hereby declared to be conditions precedent to such substitution or addition:

(i) If the District holds fee title to such Substitute Site or Additional Site, the District shall file with the Corporation and the Trustee an amended and recorded Site Lease which describes such Substitute Site or Additional Site and shall record or caused to be recorded with the Los Angeles County Recorder any document necessary to include such Substitute Site or Additional Site in the description of the Property contained in the Site Lease;

(ii) The District shall file with the Corporation and the Trustee an amended and recorded Lease Agreement and shall record or caused to be recorded with the Los Angeles County Recorder any document necessary to include such Substitute Site or Additional Site in the description of the Property contained herein;

(iii) The District delivers to the Trustee and the Corporation a certificate of the District stating that the Property after said substitution or addition has an annual fair rental value equal to or greater than the maximum Lease Payments due in any Rental Period, as determined by a qualified employee of the District or an independent certified real estate appraiser selected by the District and that the Property after said substitution or addition has a useful life equal to or greater than the maximum remaining term of this Lease Agreement (including any extensions authorized pursuant to Section 4.2 hereof);

(iv) The District shall obtain an amendment to the existing title insurance policy required pursuant to or shall obtain a new title insurance policy meeting the requirements of Section 5.7 hereof which describes the Substitute Site or Additional Site;

(v) The District shall provide notice of such substitution or addition to any rating agency then rating the Certificates;

(vi) Such substitution or addition shall not cause the District to violate any of its covenants, representations and warranties made in this Lease Agreement or in the Trust Agreement, as evidenced by a certificate of a District Representative delivered to the Trustee;

(vii) The District shall deliver to the Trustee and the Corporation a certificate that the substituted or additional property is essential for performing the District's governmental functions relating to public education;

(viii) [The District shall obtain the written consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy; and]

(ix) The District shall obtain an opinion of Special Counsel that such substitution or addition, in and of itself, will not result in the loss of exclusion from gross income for federal income tax purposes of the interest evidenced by the Certificates.

(b) Release of Property. The District shall have, and is hereby granted, the option at any time and from time to time during the Term of this Lease Agreement to release any portion of the Property, provided that the District shall satisfy all of the following requirements which are hereby declared to be conditions precedent to such release:

(i) If the District holds fee title to such Property, the District shall file with the Corporation[, the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] and the Trustee an amended and recorded Exhibit A to the Site Lease which describes the Property, as revised by such release and shall record or cause to be recorded any document necessary to re-convey such released property under the Site Lease;

(ii) The District shall file with the Corporation and the Trustee an amended and recorded Exhibit B to this Lease Agreement which describes the Property, as revised by such release and shall record or cause to be recorded with the Los Angeles County Recorded any document necessary to re-convey such released property hereunder;

(iii) The District delivers to the Trustee and the Corporation a certificate of the District stating that the Property after said release has an annual fair rental value equal to or greater than the maximum Lease Payments due in any Rental Period, as determined on the basis of an appraisal of the Property after said release, conducted by an MAI appraiser designated by the District and that the Property after said release has a useful life equal to or greater than the maximum remaining term of this Lease Agreement (including of any extensions authorized pursuant to Section 4.2 hereof);

(iv) The District shall obtain an amendment to the title insurance policy required pursuant to or shall obtain a new title insurance policy meeting the requirements of Section 5.7 hereof which describes the Property, as revised by such release;

(v) The District shall provide notice of such release to any rating agency then rating the Certificates;

(vi) [The District shall obtain the written consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy;]

(vii) Such release shall not cause the District to violate any of its covenants, representations and warranties made in this Lease Agreement or in the Trust Agreement, as evidenced by a certificate of a District Representation delivered to the Trustee; and

(viii) The District shall obtain an opinion of Special Counsel that such release, in and of itself, will not result in the loss of exclusion from gross income for federal income tax purposes of the interest evidenced by the Certificates.

(c) Amendments. The District and the Corporation will not alter, modify or cancel, or agree or consent to alter, modify or cancel this Lease Agreement, except [with the written consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] in connection with a substitution, addition or release permitted by this Section 8.3 and as may be permitted by Article X of the Trust Agreement.

ARTICLE IX

EVENTS OF DEFAULT AND REMEDIES

Section 9.1. Events of Default Defined. The following shall be “Events of Default” under this Lease Agreement and the terms “Events of Default” and “Default” shall mean, whenever they are used in this Lease Agreement, any one or more of the following events:

(a) Failure by the District to pay any Lease Payment or Additional Payment required to be paid hereunder at the time specified herein.

(b) Failure by the District to observe and perform any covenant, condition or agreement on its part to be observed or performed, other than as referred to in clause (a) of this Section 9.1, for a period of thirty (30) days after written notice specifying such failure and requesting that it be remedied has been given to the District by the Corporation, [the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] the Trustee or the Owners of not less than twenty-five percent (25%) in aggregate principal amount of Certificates then Outstanding; provided, however, [with the consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] if the failure stated in the notice can be corrected, but not within the applicable period, the Corporation and the Trustee shall not unreasonably withhold their consent to an extension of such time if corrective action is instituted by the District within the applicable period and diligently pursued until the default is corrected.

(c) The filing by the District of a voluntary petition in bankruptcy, or failure by the District promptly to lift any execution, garnishment or attachment, or adjudication of the District as a bankrupt, or assignment by the District for the benefit of creditors, or the entry by the District into an agreement of composition with creditors, or the approval by a court of competent jurisdiction of a petition applicable to the District in any proceedings instituted under the provisions of the Federal Bankruptcy Code, as amended, or under any similar acts which may hereafter be enacted.

Section 9.2. Remedies on Default. Whenever any Event of Default or Default referred to in Section 9.1 hereof shall have happened and be continuing, it shall be lawful for the Corporation[, at the direction of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy], to exercise any and all remedies available pursuant to law or granted pursuant to this Lease Agreement; provided, however, that notwithstanding anything herein or in the Trust Agreement to the contrary, there shall be no right under any circumstances to accelerate the Lease Payments or otherwise declare any Lease Payments not then in default to be immediately due and payable. Each and every covenant hereof to be kept and performed by the District is expressly made a condition and upon the breach thereof the Corporation[, at the direction of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy], may exercise any and all rights of entry and re-entry upon the Property, and also, at its option, with or without such entry, may terminate this Lease Agreement as provided in paragraph (b) of this Section 9.2; provided, that no such termination shall be effected either by operation of law or acts of the parties hereto, except only in the manner herein expressly provided. In the event of such Event of Default or Default and notwithstanding any re-entry by the Corporation, the District shall, as herein expressly provided, continue to remain liable for the payment of the Lease Payments and/or damages for breach of this Lease Agreement and the performance of all conditions herein contained and, in any event such Lease Payments and/or damages shall be payable to the Corporation at the time and in the manner as herein provided, to wit:

(a) In the event the Corporation, [at the direction of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] does not elect to terminate this Lease Agreement in the manner hereinafter provided for in subparagraph (b) hereof, the District agrees to and shall remain liable for the payment of all Lease Payments and the performance of all conditions herein contained and shall reimburse the Corporation for any deficiency arising out of the re-leasing of the Property, or, in the event the Corporation does not re-lease the Property, then for the full amount of all Lease Payments to the end of the Term of this Lease Agreement, but said Lease Payments and/or deficiency shall be payable only at the same time and in the same manner as hereinabove provided for the payment of Lease Payments hereunder, notwithstanding such entry or re-entry by the Corporation or any suit in unlawful detainer, or otherwise, brought by the Corporation [or the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] for the purpose of effecting such re-entry or obtaining possession of the Property or the exercise of any other remedy by the Corporation. The District hereby irrevocably appoints the Corporation as the agent and attorney-in-fact of the District to enter upon and re-lease the Property upon the occurrence and continuation of any Default or Event of Default and to remove all personal property whatsoever situated upon the Property to place such property in storage or other suitable place in Los Angeles County, for the account of and at the expense of the District, and the District hereby exempts and agrees to save harmless the Corporation [and the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] from any costs, loss or damage whatsoever arising or occasioned by any such entry upon and re-leasing of the Property and the removal and storage of such property by the Corporation [or the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy or either] of [their] duly authorized agents in accordance with the provisions herein contained. The District hereby waives any and all claims for damages caused or which may be caused by the Corporation [and the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] in re-entering and taking possession of the Property as herein provided and all claims for damages that may result from the destruction of or injury to the Property and all claims for damages to or loss of any property belonging to the District that may be in or upon the Property. The District agrees that the terms of this Lease Agreement constitute full and sufficient notice of the right of the Corporation to re-lease the Property in the event of such re-entry without effecting a surrender of this Lease Agreement, and further agrees that no acts of the Corporation in effecting such re-leasing shall constitute a surrender or termination of this Lease Agreement irrespective of the term for which such re-leasing is made or the terms and conditions of such re-leasing, or otherwise, but that, on the contrary, upon the occurrence and continuation of any Default or Event of Default hereunder, the right to terminate this Lease Agreement shall vest in the Corporation to be effected in the sole and exclusive manner hereinafter provided for in subparagraph (b) hereof. The District further waives the right to any rental obtained by the Corporation in excess of the Lease Payments and hereby conveys and releases such excess to the Corporation as compensation to the Corporation for its services in re-leasing the Property.

(b) Upon the occurrence and continuation of any Default or Event of Default hereunder, the Corporation at its option[, at the direction of the Insurer so long as the Insured

Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] may terminate this Lease Agreement and re-lease all or any portion of the Property. In the event of the termination of this Lease Agreement by the Corporation at its option and in the manner hereinafter provided on account of an Event of Default or a Default by the District (and notwithstanding any re-entry upon the Property by the Corporation in any manner whatsoever or the re-leasing or sale of the Property), the District nevertheless agrees to pay to the Corporation all costs, loss or damages howsoever arising or occurring payable at the same time and in the same manner as is herein provided in the case of payment of Lease Payments. Any surplus received by the Corporation from such re-leasing shall be the absolute property of the Corporation and the District shall have no right thereto, nor shall the District be entitled to any credit in the event of a deficiency in the rentals received by the Corporation from the Property. Neither notice to pay rent or to deliver up possession of the premises given pursuant to law nor any proceeding in unlawful detainer taken by the Corporation shall of itself operate to terminate this Lease Agreement, and no termination of this Lease Agreement on account of default by the District shall be or become effective by operation of law, or otherwise, unless and until the Corporation shall have given written notice to the District of the election on the part of the Corporation to terminate this Lease Agreement. The District covenants and agrees that no surrender of the Property or of the remainder of the Term of this Lease Agreement or any termination of this Lease Agreement shall be valid in any manner or for any purpose whatsoever unless stated or accepted by the Corporation by such written notice.

Section 9.3. No Remedy Exclusive. No remedy herein conferred upon or reserved to the Corporation [and the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] is intended to be exclusive and every such remedy shall be cumulative and shall be in addition to every other remedy given under this Lease Agreement or now or hereafter existing at law or in equity. No delay or omission to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver thereof, but any such right and power may be exercised from time to time and as often as may be deemed expedient. In order to entitle the Corporation [and the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy] to exercise any remedy reserved to it in this Article it shall not be necessary to give any notice, other than such notice as may be required in this Article or by law.

Section 9.4. Agreement to Pay Attorneys' Fees and Expenses. In the event either party to this Lease Agreement should default under any of the provisions hereof and the nondefaulting party should employ attorneys or incur other expenses for the collection of moneys or the enforcement or performance or observance of any obligation or agreement on the part of the defaulting party contained herein, the defaulting party agrees that it will on demand therefor pay to the nondefaulting party the reasonable fees of such attorneys and such other expenses so incurred by the nondefaulting party.

Section 9.5. No Additional Waiver Implied by One Waiver. In the event any agreement contained in this Lease Agreement should be breached by either party and thereafter waived by the other party, such waiver shall be limited to the particular breach so waived and shall not be deemed to waive any other breach hereunder.

Section 9.6. Application of Proceeds. All net proceeds received from the release or other disposition of the Property under this Article IX, and all other amounts derived by the Corporation or the Trustee as a result of a Default or an Event of Default hereunder, shall be transferred to the Trustee promptly upon receipt thereof and applied by the Trustee in accordance with Section 13.03 of the Trust Agreement.

Section 9.7. Trustee[, Insurer] and Certificate Owners to Exercise Rights. Such rights and remedies as are given to the Corporation under this Article IX have been assigned by the Corporation to the Trustee under the Trust Agreement, to which assignment the District hereby consents. Such rights and remedies shall be exercised by the Trustee, [the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy and] the Owners of the Certificates as provided in the Trust Agreement and herein.

ARTICLE X

PREPAYMENT OF LEASE PAYMENTS

Section 10.1. Security Deposit. Notwithstanding any other provision of this Lease Agreement the District may, secure the payment of all or a portion of the Lease Payments remaining due with respect to the Certificates by a deposit with an escrow holder under an escrow deposit and trust agreement as referenced in Section 14.01(a)(iii) of the Trust Agreement, of: (a) in the case of a security deposit relating to all Lease Payments, either (i) an amount which, together with amounts on deposit in the Lease Payment Fund and Net Proceeds Fund, is sufficient to pay all unpaid Lease Payments with respect to such Certificates, including the principal and interest components thereof, in accordance with the Lease Payment schedule set forth in Exhibit A, or (ii) Eligible Securities in such amount as will, in the opinion of an independent certified public accountant, together with interest to accrue thereon and, if required, all or a portion of moneys or Eligible Securities then on deposit and interest earnings thereon in the Lease Payment Fund and Net Proceeds Fund with respect to such Certificates, be fully sufficient to pay or repay all unpaid Lease Payments with respect to such Certificates on or before their respective Payment Dates (a “Verification Report”); or (b) in the case of a security deposit relating to a portion of the Lease Payments with respect to such Certificates, a certificate executed by a District Representative designating the portion of the Lease Payments with respect to such Certificates to which the deposit pertains, and either (i) an amount of money which is sufficient to pay the portion of the Lease Payments with respect to such Certificates designated in such District Representative’s certificate, including the principal and interest components thereof, or (ii) Eligible Securities in such amount as will, together with interest to be received thereon, if any, in the opinion of an independent certified public accountant, be fully sufficient to pay the portion of the Lease Payments with respect to such Certificates designated in the aforesaid District Representative’s certificate.

Prior to any defeasance becoming effective under this Article, (i) the District shall cause to be delivered a copy of the escrow deposit agreement entered into in connection with such defeasance, which escrow deposit agreement shall provide that no substitution of Eligible Securities shall be permitted except with other Eligible Securities and upon delivery of a new Verification Report and no reinvestment of Eligible Securities shall be permitted except as

contemplated by the original Verification Report or upon delivery of a new Verification Report, and (ii) a copy of an opinion of Special Counsel, dated the date of such defeasance and addressed to the Trustee and the District, in form and in substance acceptable to the Trustee and the District, to the effect that such Certificates have been paid within the meaning and with the effect expressed in the Trust Agreement, and all agreements and covenants of the Corporation, the District and the Trustee to the Owners of such Certificates under the Trust Agreement have ceased, terminated and become void and have been discharged and satisfied.

In the event of a deposit pursuant to this Section 10.1 as to all Lease Payments evidenced by the Certificates and satisfaction of the requirements set forth in section 14.01 of the Trust Agreement, all obligations of the District under this Lease Agreement shall cease and terminate, excepting only the obligation of the District to make, or cause to be made, all payments from the deposit made by the District pursuant to this Section 10.1. Said deposit and interest earnings thereon shall be deemed to be and shall constitute a special fund for the payments provided for by this Section 10.1.

Section 10.2. Optional Prepayment. (a) The District may prepay all or a portion of the Lease Payments evidenced by the Certificates from any source of available funds, on any date on or after [October 1, 20__], by paying all or a portion, as elected by the District, of principal components of such Lease Payments evidenced by the Certificates and accrued but unpaid interest components of such Lease Payments evidenced by the Certificates to be prepaid to the date of such Prepayment.

(b) The District may prepay, from any source of available funds, all or any portion of the Lease Payments by depositing with the Trustee moneys or securities as provided, and subject to the terms and conditions set forth, in Section 10.1 hereof and Article XIV of the Trust Agreement sufficient to make such Lease Payments when due or to make such Lease Payments through a specified date on which the District has a right to prepay such Lease Payments pursuant to subsection (a) of this Section, and to prepay such Lease Payments on such prepayment date, at a prepayment price determined in accordance with subsection (a) of this Section.

(c) If less than all of the Lease Payments are prepaid pursuant to this Section then, as of the date of such Prepayment pursuant to subsection (a) of this Section, or the date of a deposit pursuant to subsection (b) of this Section, the principal and interest components of the Lease Payments shall be recalculated in order to take such Prepayment into account. The District agrees that if, following a partial prepayment of Lease Payments, the Property is damaged, destroyed or taken by eminent domain, or a defect in title to the Property is discovered, the District shall not be entitled to, and by such prepayment waives the right of, abatement of such prepaid Lease Payments and the District shall not be entitled to any reimbursement of such Lease Payments.

(d) Prepayments of Lease Payments made pursuant to this Section 10.2 shall be applied to the prepayment of Certificates as provided in Section 4.02 of the Trust Agreement.

Section 10.3. Extraordinary Prepayment from Net Proceeds of Insurance or Eminent Domain. The District shall be obligated to prepay the Lease Payments in whole or in

part, (subject to any additional requirements of Section 4.02 of the Trust Agreement) in any integral multiple of an Authorized Denomination on any date on which the Certificates are subject to prepayment pursuant to Section 4.02 of the Trust Agreement, from and to the extent of any Net Proceeds of an insurance or title insurance award or a condemnation award theretofore deposited in the Prepayment Fund for such purpose pursuant to Article VI hereof and Article IV of the Trust Agreement. The District and the Corporation hereby agree that such Net Proceeds, to the extent remaining after payment of any delinquent Lease Payments, shall be credited towards the obligations under this Section 10.3. Any such mandatory prepayment must be made from Net Proceeds.

ARTICLE XI

MISCELLANEOUS

Section 11.1. Notices. Unless otherwise specified herein, all notices, certificates or other communications hereunder shall be given in the manner and to the addresses specified in Section 14.04 of the Trust Agreement.

Section 11.2. Binding Effect. This Lease Agreement shall inure to the benefit of and shall be binding upon the Corporation and the District and their respective successors and assigns.

Section 11.3. Severability. In the event any provision of this Lease Agreement shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

Section 11.4. Net-net-net Lease. This Lease Agreement shall be deemed and construed to be a “net-net-net lease” and the District hereby agrees that the Lease Payments shall be an absolute net return to the Corporation, free and clear of any expenses, charges or set-offs whatsoever.

Section 11.5. Further Assurances and Corrective Instruments. The Corporation and the District agree that they will, from time to time, execute, acknowledge and deliver, or cause to be executed, acknowledged and delivered, such supplements hereto and such further instruments as may reasonably be required for correcting any inadequate or incorrect description of the Property hereby leased or intended so to be or for carrying out the expressed intention of this Lease Agreement.

Section 11.6. Applicable Law. This Lease Agreement shall be governed by and construed in accordance with the laws of the State.

Section 11.7. Corporation and District Representatives. Whenever under the provisions of this Lease Agreement the approval of the Corporation or the District is required, or the Corporation or the District is required to take some action at the request of the other, such approval or such request shall be given for the Corporation by a Corporation Representative and for the District by a District Representative, and any party hereto shall be authorized to rely upon any such approval or request.

Section 11.8. Captions. The captions or headings in this Lease Agreement are for convenience only and in no way define, limit or describe the scope or intent of any provisions or Section of this Lease Agreement.

Section 11.9. Assignment to Trustee; Third-Party Beneficiaries. The District understands and agrees that, upon the execution and delivery of the Assignment Agreement (which is occurring simultaneously with the execution and delivery hereof), all right, title and interest of the Corporation in and to this Lease Agreement will be sold, assigned and transferred to the Trustee for the benefit of the Owners of the Certificates. The District hereby consents to such sale, assignment and transfer. Upon the execution and delivery of the Assignment Agreement, subject to the provisions therein, references in the operative provisions hereof to the Corporation shall be deemed to be references to the Trustee, as assignee of the Corporation. [The Certificateholders, the Trustee and the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy are expressly recognized as third-party beneficiaries under this Lease and the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy may enforce any right, remedy, or claim conferred upon, given, or granted hereunder.]

Section 11.10. Execution in Counterparts. This Lease Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

IN WITNESS WHEREOF, the Corporation has caused this Lease Agreement to be executed in its corporate name by its duly authorized officers; and the District has caused this Lease Agreement to be executed in its name by its duly authorized officers, as of the date first above written.

LAUSD FINANCING CORPORATION

By: _____
Joy Mayor
Secretary

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
David D. Hart,
Chief Business Officer

EXHIBIT A

SCHEDULE OF LEASE PAYMENTS

<u>Lease Payment Dates</u>	<u>Principal</u>	<u>Interest</u>	<u>Total Lease Payments</u>
	\$	\$	\$

EXHIBIT B

DESCRIPTION OF THE PROPERTY

THE LAND REFERRED TO HEREIN BELOW IS SITUATED IN THE CITY OF LOS ANGELES, IN THE COUNTY OF LOS ANGELES, STATE OF CALIFORNIA, AND IS DESCRIBED AS FOLLOWS:

[TO COME.]

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
COUNTY OF LOS ANGELES)

On _____, before me,
personally appeared _____ Date _____ Name and Title of Officer (e.g. "Jane Doe, Notary Public")

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

Signature of Notary Public

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
 COUNTY OF LOS ANGELES)

On _____, before me,
 personally appeared _____ Date _____ Name and Title of Officer (e.g. "Jane Doe, Notary Public")

 Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

 Signature of Notary Public

CERTIFICATE OF ACCEPTANCE
BY PUBLIC AGENCY
(Calif. Govt. Code Section 27281)

This is to certify that the interest in real property conveyed by the within and foregoing Lease Agreement to the Los Angeles Unified School District, a governmental agency, by the LAUSD Financing Corporation, is hereby accepted by order of its Board of Education, and the lessee consents to recordation thereof by its duly authorized officer.

LOS ANGELES UNIFIED SCHOOL DISTRICT,
a school district formed under the laws of the
State of California

Date: [Closing Date]

BY: David D. Hart
ITS: Chief Business Officer

HDW Draft – 5/15/23

Recording Requested By:)
Los Angeles Unified School District)

When Recorded Mail To:)
Hawkins Delafield & Wood LLP)
333 S. Grand Ave., Suite 3650)
Los Angeles, California 90071)
Attn: Arto C. Becker)

This document is recorded for the benefit of the Los Angeles Unified School District, and recording is fee-exempt under §6103 and §27383 of the Government Code.

LEASE AGREEMENT

Dated as of [Dated Date]

by and between

LAUSD FINANCING CORPORATION

and the

LOS ANGELES UNIFIED SCHOOL DISTRICT

relating to
2023 Lease Agreement

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LEASE AGREEMENT

THIS LEASE AGREEMENT (this "Lease Agreement"), dated as of [Dated Date], is by and between the LAUSD FINANCING CORPORATION, a nonprofit public benefit corporation organized and existing under the laws of the State of California, as lessor (the "Corporation"), and the LOS ANGELES UNIFIED SCHOOL DISTRICT, a school district duly organized and existing under the Constitution and laws of the State of California, as lessee (the "District");

WITNESSETH:

WHEREAS, pursuant to the Education Code, the District may enter into a lease and an immediate sublease back with the Corporation with respect to the financing of capital acquisitions and improvements to be used by the District; and

WHEREAS, the Corporation is authorized to provide financial assistance to the District by acquiring, constructing, remodeling, rehabilitating, equipping, improving, financing and refinancing various public facilities, land and equipment and by leasing certain facilities, land and equipment for the use, benefit and enjoyment of the public, served by the District, as well as any other purpose incidental thereto; and

WHEREAS, the District desires to finance the costs of the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds (collectively, the "Project") through the assignment of this Lease Agreement; and

WHEREAS, the District has entered into a Site Lease of even date herewith and recorded concurrently herewith (the "Site Lease") with the Corporation, under which the Corporation has agreed to lease the Property (as herein defined) from the District and to lease back the Property to the District pursuant hereto, under which the title to the Property shall vest in the District at the expiration of such Site Lease, and which Site Lease contains other terms and conditions as the governing board of the District deems to be in the best interest of the District; and

WHEREAS, the Corporation will assign without recourse certain of its rights under the Site Lease and the Lease Agreement, including all of its rights to receive the Lease Payments (as defined in the Lease Agreement) scheduled to be paid by the District pursuant to the Lease Agreement, to the Assignee (as herein defined) for the benefit of the Assignee pursuant to an Assignment Agreement, dated as of the date hereof (the "Assignment Agreement"), by and between the Corporation and the Assignee; and

WHEREAS, all acts, conditions and things required by law to exist, to have happened and to have been performed precedent to and in connection with the execution and entering into of this Lease Agreement do exist, have happened and have been performed in regular and due time, form and manner as required by law, and the parties hereto are now duly authorized to execute and enter into this Lease Agreement;

NOW, THEREFORE, in consideration of the above premises and of the mutual covenants hereinafter contained and for other good and valuable consideration, the receipt and adequacy of which is hereby acknowledged, the parties hereto agree as follows:

ARTICLE I

DEFINITIONS; RULES OF CONSTRUCTION AND EXHIBITS

Section 1.1. Definitions. Unless the context otherwise requires, the terms defined in this Section shall, for all purposes of this Lease Agreement, have the meanings herein specified.

“Additional Payments” means all costs and expenses incurred by the District and the Corporation in complying with the provisions of this Lease Agreement, including without limitation payment of all Delivery Costs, compensation, reimbursable expenses and fees due to the Assignee, all costs and expenses of auditors, engineers, counsel and accountants and any amounts required to be rebated to the federal government.

“Assignee” means [Assignee], as Assignee under the Assignment Agreement.

“Assignment Agreement” means the Assignment Agreement, dated as of the date hereof, by and between the Assignee and the Corporation, as amended or supplemented in accordance with its terms.

“Business Day” means any day of the year other than Saturday or Sunday or any other day on which banks in New York, New York or Los Angeles, California are not authorized or obligated by law or executive order to close and on which the New York Stock Exchange is not closed.

“Certificate of the District” means an instrument in writing signed by a District Representative. Such certificate shall include (a) a statement that, in the opinion of the signer, he or she has made or caused to be made such examination or investigation as is necessary to enable the signatory to express an informed opinion as to what he or she is certifying to and (b) a statement as to whether, in the opinion of the signer, the agreement, condition, covenant or term being certified to has been complied with.

“Closing Date” means the day when the Lease Agreement, Site Lease and Assignment Agreement are executed and delivered by the parties thereto.

“Code” means the Internal Revenue Code of 1986, as amended, and the regulations issued thereunder, as the same may be amended from time to time, and any successor provisions of law. Reference to a particular section of the Code shall be deemed to be a reference to any successor to any such section.

“Corporation” means the LAUSD Financing Corporation, a California nonprofit public benefit corporation, and its successors and assigns.

“Corporation Representative” means the President, the Vice President, the Treasurer or the Secretary of the Corporation, or any person authorized to act on behalf of the Corporation under or with respect to the Lease Agreement.

“Delivery Costs” means and includes all items of expense directly or indirectly payable by or reimbursable to the District or the Corporation relating to the execution and delivery of the Lease Agreement, including but not limited to underwriting costs, title insurance, filing and recording costs, settlement costs, printing costs, word processing costs, reproduction and binding costs, legal fees and charges, financing and other professional consulting fees, and charges and fees in connection with the foregoing.

“Disposition” means the date of transfer of the District’s fee interest or its future right to a fee interest in the Property.

“District” means the Los Angeles Unified School District, a school district organized and existing under the Constitution and laws of the State, and its successors and assigns.

“District Representative” means the Chief Business Officer or the Controller of the District, or a person authorized by the Chief Business Officer or the Controller to act on behalf of the District under or with respect to this Lease Agreement.

“Eligible Securities” means (1) Non-callable direct obligations of, or obligations fully and unconditionally guaranteed as to the timely payment of principal and interest by, the United States. These include, but are not limited to:

- U.S. Treasury Obligations
All direct or fully guaranteed obligations
- Farmers Home Administration
Certificates of beneficial ownership
- General Services Administration
participation certificates
- U.S. Maritime Administration
Guaranteed Title XI financing
- Small Business Administration
Guaranteed participation certificates
Guaranteed pool certificates
- Government National Mortgage Association (GNMA)
GNMA - guaranteed mortgage-backed securities
GNMA - guaranteed participation certificates
- U.S. Department of Housing and Urban Development
Local authority bonds
- Washington Metropolitan Area Transit Authority
Guaranteed transit bonds
- State and Local Government Series

- Veterans Administration
Guaranteed REMIC Pass-through certificates

(2) Non-callable obligations of government-sponsored agencies that are not backed by the full faith and credit of the U.S. Government. These include, but are not limited to:

- Federal Home Loan Mortgage Corp. (FHLMC)
Debt Obligations
- Farm credit System (Formerly: Federal Land Banks, Intermediate Credit Banks, and Banks for Cooperatives)
Consolidated Systemwide bonds and notes
- Federal Home Loan Banks (FHL Banks)
Consolidated debt obligations
- Federal National Mortgage Association (FNMA)
Debt Obligations
- Student Loan Marketing Association (SLMA)
Debt obligations
- Resolution Funding Corp. (REFCORP)
Debt obligations
- U.S. Agency for International Development (U.S. A.I.D.)
Guaranteed Notes (must mature at least 4 business days before the appropriate payment date)

(3) Certain stripped securities where the principal-only and interest-only strips are derived from non-callable obligations issued by the U.S. Treasury, and REFCORP securities stripped by the Federal Reserve Bank of New York. (No custodial receipts, i.e., CATs, TIGERS, unit investment trusts and mutual funds, etc. will be permitted).

“Event of Default” means an event of default under the Lease Agreement as defined in Section 9.1 hereof.

“Facility” means the Property and all improvements thereon leased by the Corporation to the District pursuant to the Lease Agreement.

“Fiscal Year” means the fiscal year of the District commencing on July 1 of each calendar year and ending June 30 of the next calendar year.

“Independent Counsel” means an attorney duly admitted to the practice of law before the highest court of the state in which such attorney maintains an office and who is not an employee of the Corporation, the Assignee or the District.

“Lease Agreement” means the Lease Agreement, dated the date hereof, between the District and the Corporation, as amended or supplemented in accordance with its terms.

“Lease Payment” means any payment required to be paid by the District to the Corporation pursuant to Section 4.4 of the Lease Agreement and set forth in Exhibit A thereto.

“Lease Payment Date” means each April 1 and October 1, commencing on [FIPD].

“Net Proceeds” means any proceeds of insurance carried pursuant to Article V of this Lease Agreement, performance bonds, or taking by eminent domain or condemnation paid with respect to the Property remaining after payment therefrom of any expenses (including attorneys’ fees) incurred in the collection thereof.

“Permitted Encumbrances” means, with respect to the Property, as of any particular time: (i) liens for general *ad valorem* taxes and assessments, if any, not then delinquent, or which the District may permit to remain unpaid; (ii) the Assignment Agreement; (iii) the Lease Agreement; (iv) the Site Lease, (v) any right or claim of any mechanic, laborer, materialman, supplier or vendor filed or perfected in the manner prescribed by law; (vi) ground leases, judgment liens in favor of the District, easements, rights of way, mineral rights, drilling rights and other rights, reservations, covenants, conditions or restrictions which exist of record on the Closing Date; and (vii) easements, rights of way, mineral rights, drilling rights and other rights, reservations, covenants, conditions or restrictions established following the date of recordation of the Lease Agreement and to which the Assignee, the Corporation and the District consent in writing.

“Prepayment” means any payment made by the District pursuant to Article X of the Lease Agreement as a prepayment of the Lease Payments.

“Principal Office” means the office of the Assignee in _____.

“Principal Payment Date” means October 1 of each year, commencing on [October 1, 20__], with respect to the principal payments payable under the Lease Agreement.

“Property” means that certain real property and the improvements thereon as described in this Lease Agreement.

“Rental Period” means the period from the Closing Date through [June 30, 2024] and, thereafter, the twelve-month period commencing on July 1 of each year during the term of the Lease Agreement.

“Site Lease” means the Site Lease, dated the date hereof, by and between the Corporation and the District, as amended or supplemented in accordance with its terms.

“Special Counsel” means an attorney or firm of attorneys of nationally recognized standing in matters pertaining to the tax-exempt status of interest on obligations issued by states and their political subdivisions and acceptable to the District.

“State” means the State of California.

“Tax Certificate” means the Tax Certificate dated the date of delivery of the Lease Agreement executed by and delivered to the District, including any and all exhibits attached thereto.

“Term” means the time during which the Lease Agreement is in effect, as provided in Section 4.2 of the Lease Agreement.

“Written Request of the District” means an instrument in writing signed by a District Representative..

Section 1.2. Article and Section Headings. Unless otherwise specified, references to Articles, Sections, and other subdivisions of this Lease Agreement are to the designated Articles, Sections, and other subdivisions of this Lease Agreement as originally executed. The headings or titles of the several articles and sections, and the table of contents appended to copies hereof, shall be solely for convenience of reference and shall not affect the meaning, construction or effect of the provisions hereof.

Section 1.3. References to Lease Agreement. The words “hereof,” “herein,” “hereunder,” and words of similar import refer to this Lease Agreement as a whole.

Section 1.4. Number and Gender. The singular form of any word used herein, including terms defined as provided in Section 1.1, shall include the plural and vice versa. The use of a word of any gender shall include all genders.

ARTICLE II

REPRESENTATIONS, COVENANTS AND WARRANTIES

Section 2.1. Representations, Covenants and Warranties of the District. The District represents, covenants and warrants to the Corporation as follows:

(a) Due Organization and Existence. The District is a school district organized and existing under the laws of the State, has full legal right, power and authority under the laws of the State to enter into this Lease Agreement and the Site Lease and to carry out and consummate all transactions contemplated hereby and thereby, and by proper action the District has duly authorized the execution and delivery of this Lease Agreement and the Site Lease.

(b) Due Execution. The representatives of the District executing this Lease Agreement and the Site Lease have been fully authorized to execute the same pursuant to a resolution duly adopted by the Board of Education of the District.

(c) Valid, Binding and Enforceable Obligations. This Lease Agreement and the Site Lease have been duly authorized, executed and delivered by the District and constitute the legal, valid and binding obligations of the District enforceable against the District in accordance with their respective terms.

(d) No Encumbrances. The District will not mortgage or encumber the Property, except as provided under the terms of this Lease Agreement and the Site Lease.

(e) No Conflicts. The execution and delivery of this Lease Agreement and the Site Lease, the consummation of the transactions herein and therein contemplated and the fulfillment of or compliance with the terms and conditions hereof and thereof, do not and will not conflict

with or constitute a violation or breach of or default (with due notice or the passage of time or both) under any applicable law or administrative rule or regulation, or any applicable court or administrative decree or order, or any indenture, mortgage, deed of trust, lease, contract or other agreement or instrument to which the District is a party or by which it or its properties are otherwise subject or bound, or result in the creation or imposition of any prohibited lien, charge or encumbrance of any nature whatsoever upon any of the property or assets of the District, which conflict, violation, breach, default, lien, charge or encumbrance would have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease and the Assignment Agreement, or the financial condition, assets, properties or operations of the District.

(f) Consents and Approvals. No consent or approval of owner of any indebtedness of the District or of the voters of the District, and no consent, permission, authorization, order or license of, or filing or registration with, any governmental authority is necessary in connection with the execution and delivery of this Lease Agreement and the Site Lease, or the consummation of any transaction herein or therein contemplated, except as have been obtained or made and as are in full force and effect.

(g) No Litigation. There is no action, suit, proceeding, inquiry or investigation before or by any court or federal, state, municipal or other governmental authority pending or, to the knowledge of the District after reasonable investigation, threatened against or affecting the District or the assets, properties or operations of the District which, if determined adversely to the District or its interests, would have a material and adverse effect upon the consummation of the transactions contemplated by or the validity of this Lease Agreement, the Site Lease and the Assignment Agreement, or upon the financial condition, assets, properties or operations of the District, and the District is not in default with respect to any order or decree of any court or any order, regulation or demand of any federal, state, municipal or other governmental authority, which default might have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease and the Assignment Agreement, or the financial conditions, assets, properties or operations of the District.

(h) Education Code Compliance. In accordance with Section 17456 of the Education Code of the State, with respect to this Lease Agreement and the Site Lease the District will expend the proceeds of the sale of the Certificates solely for capital outlay purposes and, in accordance with Section 17457 of the Education Code, no proceeds of the sale of the Certificates will be used for general operating purposes of the District.

(i) FEMA Flood Plain. The District represents, warrants, and covenants that neither the Property nor any portion thereof is located in the Federal Emergency Management Agency 100 year flood plain.

Section 2.2. Representations, Covenants and Warranties of Corporation. The Corporation represents, covenants and warrants to the District as follows:

(a) Due Organization and Existence. The Corporation is a nonprofit, public benefit corporation organized and existing under and by virtue of the laws of the State; has power to enter into this Lease Agreement, the Site Lease and the Assignment Agreement; is possessed of full

power to own and hold, improve and equip real and personal property and to lease and sell the same; and has duly authorized the execution and delivery of all of the aforesaid agreements and such agreements constitute the legal, valid and binding agreements of the Corporation, enforceable against the Corporation in accordance with their respective terms.

(b) Due Execution. The representatives of the Corporation executing this Lease Agreement, the Site Lease and the Assignment Agreement have been fully authorized to execute the same pursuant to a resolution duly adopted by the Board of Directors of the Corporation.

(c) Valid, Binding and Enforceable Obligations. This Lease Agreement, the Site Lease and the Assignment Agreement have been duly authorized, executed and delivered by the Corporation and constitute the legal, valid and binding obligations of the Corporation enforceable against the Corporation in accordance with their respective terms.

(d) No Encumbrances. The Corporation will not pledge the Lease Payments or other amounts derived from the Property and from its other rights under this Lease Agreement and will not mortgage or encumber the Property, except as provided under the terms of this Lease Agreement, the Site Lease and the Assignment Agreement.

(e) No Conflicts. The execution and delivery of this Lease Agreement, the Site Lease and the Assignment Agreement, the consummation of the transactions herein and therein contemplated and the fulfillment of or compliance with the terms and conditions hereof and thereof, do not and will not conflict with or constitute a violation or breach of or default (with due notice or the passage of time or both) under any applicable law or administrative rule or regulation, or any applicable court or administrative decree or order, or any indenture, mortgage, deed of trust, lease, contract or other agreement or instrument to which the Corporation is a party or by which it or its properties are otherwise subject or bound, or result in the creation or imposition of any prohibited lien, charge or encumbrance of any nature whatsoever upon any of the property or assets of the Corporation, which conflict, violation, breach, default, lien, charge or encumbrance would have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease and the Assignment Agreement, or the financial condition, assets, properties or operations of the Corporation.

(f) No Assignments. Except as provided herein and in the Assignment Agreement, the Corporation will not assign this Lease Agreement, its right to receive Lease Payments from the District or its duties and obligations hereunder to any other person, firm or corporation so as to impair or violate the representations, covenants and warranties contained in this Section 2.2.

(g) Consents and Approvals. No consent or approval of any Assignee or holder of any indebtedness of the Corporation, and no consent, permission, authorization, order or license of, or filing or registration with, any governmental authority is necessary in connection with the execution and delivery of this Lease Agreement, the Site Lease and the Assignment Agreement, or the consummation of any transaction herein or therein contemplated, except as have been obtained or made and as are in full force and effect.

(h) No Litigation. There is no action, suit, proceeding, inquiry or investigation before or by any court or federal, state, municipal or other governmental authority pending or, to the

knowledge of the Corporation after reasonable investigation, threatened against or affecting the Corporation or the assets, properties or operations of the Corporation which, if determined adversely to the Corporation or its interests, would have a material and adverse effect upon the consummation of the transactions contemplated by or the validity of this Lease Agreement, the Site Lease or the Assignment Agreement, or upon the financial condition, assets, properties or operations of the Corporation, and the Corporation is not in default with respect to any order or decree of any court or any order, regulation or demand of any federal, state, municipal or other governmental authority, which default might have consequences that would materially and adversely affect the consummation of the transactions contemplated by this Lease Agreement, the Site Lease or the Assignment Agreement or the financial conditions, assets, properties or operations of the Corporation.

ARTICLE III

USE OF PROCEEDS

Section 3.1. Use of Proceeds. The proceeds received by the District from the Assignee upon the execution of this Lease Agreement, the Site Lease and the Assignment will be used to finance the Project and to pay the costs of executing and delivering this Lease Agreement and matters relating thereto.

ARTICLE IV

AGREEMENT TO LEASE; TERM OF LEASE AGREEMENT; LEASE PAYMENTS

Section 4.1. Lease. The Corporation hereby leases the Property to the District, and the District hereby leases the Property from the Corporation, upon the terms and conditions set forth in this Lease Agreement.

Section 4.2. Term of Lease Agreement. The Term of this Lease Agreement shall commence on the date of recordation hereof and shall end on October 1, 20[], unless such term is extended as hereinafter provided. If, on October 1, 20[], any amounts due under this Lease Agreement shall not be discharged or otherwise terminated by their respective terms, if the Lease Payments payable hereunder shall have been abated at any time and for any reason, then the Term of this Lease Agreement shall be extended until there has been deposited with the Assignee an amount sufficient to pay all obligations due under this Lease Agreement; provided, however, that in no event shall the Term of this Lease Agreement extend beyond October 1, 20[].

Section 4.3. Possession. The District hereby agrees to accept and take possession of the Property on or prior to the date of recordation of this Lease Agreement.

Section 4.4. Lease Payments.

(a) Obligation to Pay. Subject to Section 6.5 hereof, the District agrees to pay to the Corporation, its successors and assigns, as rental for the use and occupancy of the Property, as composed at any time, and from time to time, during each Rental Period, the Lease Payments (denominated into components of principal and interest) in the semiannual amounts and on the

dates specified in Exhibit A hereto, as such exhibit may be amended and modified from time to time in connection with any change in the Property, to be due and payable on the respective Lease Payment Date. Each Lease Payment shall be deposited with the Assignee no later than the Lease Payment Date on which such Lease Payment is due. The Lease Payments for the Property due and payable in any Rental Period shall be for the use and occupancy of the Property during such Rental Period.

THE OBLIGATION OF THE DISTRICT TO MAKE LEASE PAYMENTS DOES NOT CONSTITUTE AN OBLIGATION OF THE DISTRICT FOR WHICH THE DISTRICT IS OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION OR FOR WHICH THE DISTRICT HAS LEVIED OR PLEDGED ANY FORM OF TAXATION. THE OBLIGATION OF THE DISTRICT TO MAKE THE LEASE PAYMENTS DOES NOT CONSTITUTE AN INDEBTEDNESS OF THE DISTRICT, THE CORPORATION, THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

(b) Effect of Prepayment. In the event that the District prepays all remaining Lease Payments in full pursuant to Article X hereof, the obligations under this Lease Agreement with respect to such Lease Payments shall thereupon cease and terminate including, but not limited to, the obligation to pay such Lease Payments under this Section 4.4; subject however, to the provisions of Section 10.1 hereof in the case of prepayment by application of a security deposit. In the event that the District prepays the Lease Payments in part but not in whole pursuant to Section 10.3 hereof as a result of any insurance or condemnation award with respect to any portion of the Property, the District shall apply such amounts towards the prepayment of the principal components of the Lease Payments as set forth in an amendment to this Lease Agreement executed and delivered pursuant to Section 8.3(c) hereof.

(c) Overdue Payments. In the event the District should fail to make any of the payments required in this Section 4.4, the payment in default shall continue as an obligation of the District until the amount in default shall have been fully paid.

(d) Fair Rental Value. The Lease Payments for the Property for each Rental Period shall constitute the total rental for the Property for each such Rental Period and shall be paid by the District in each Rental Period for and in consideration of the right of the use and occupancy, and the continued quiet use and enjoyment, of the Property during each Rental Period. The parties hereto have agreed and determined that the Lease Payments for the Property do not exceed the fair rental value of the Property. In making such determination, consideration has been given to the obligations of the parties under this Lease Agreement, the uses and purposes which may be served by the Property and the benefits therefrom which will accrue to the District and the general public.

(e) Source of Payments; Budget and Appropriation. The Lease Payments shall be payable from any source of available funds of the District, subject to the provisions of Article VI and Section 10.3 hereof. The District covenants to take such action as may be necessary to include all Lease Payments and Additional Payments due under this Lease Agreement in each of its budgets during the Term of this Lease Agreement and to make the necessary appropriations for all such Lease Payments and Additional Payments due under this Lease Agreement in the Fiscal Year covered by such budget. The covenants on the part of the District contained herein shall be deemed

to be and shall be construed to be duties imposed by law and it shall be the duty of each and every public official of the District to take such action and do such things as are required by law in the performance of the official duty of such officials to enable the District to carry out and perform the covenants and agreements in this Lease Agreement agreed to be carried out and performed by the District.

(f) Assignment. The District understands and agrees that all Lease Payments have been assigned by the Corporation to the Assignee pursuant to the Assignment Agreement and the District hereby assents to such assignment. The Corporation hereby directs the District, and the District hereby agrees to pay to the Assignee at its Principal Office, all payments payable by the District pursuant to this Section 4.4 and all amounts payable by the District pursuant to Article X hereof.

Section 4.5. Principal Components and Interest Components of the Lease Payments. The aggregate principal amount of the Lease Payments to be paid by the District to the Corporation hereunder with respect to the Property shall be as set forth in Exhibit A attached hereto. The interest components of the Lease Payments shall accrue at the rate of ___% per annum. The District shall pay to the Assignee scheduled principal components and interest components of the Lease Payments on the Lease Payment Dates as set forth in Exhibit A attached hereto.

Section 4.6. Quiet Enjoyment. During the Term of this Lease Agreement, the Corporation shall provide the District with quiet use and enjoyment of the Property, and the District shall, during such Term, peaceably and quietly have and hold and enjoy the Property, without suit, trouble or hindrance from the Corporation, except as expressly set forth in this Lease Agreement. The Corporation will, at the request and at the cost of the District, join in any legal action in which the District asserts its right to such possession and enjoyment to the extent the Corporation may lawfully do so. Notwithstanding the foregoing, the Corporation shall have the right to inspect the Property as provided in Section 7.2 hereof.

Section 4.7. Title.

(a) Fee Title. During the Term of this Lease Agreement, the Corporation shall hold fee title to those portions of the Property which are newly acquired and any and all additions which compose fixtures, repairs, replacements or modifications to the Property, except for those fixtures, repairs, replacements or modifications which are added to the Property by the District at its own expense and which may be removed without damaging the Property and except for any items added to the Property by the District pursuant to Section 5.9 hereof.

(b) Transfer Upon Termination of Lease Agreement. If the District prepays the Lease Payments in full pursuant to Article X hereof or makes the security deposit permitted by Section 10.1 hereof, or pays all Lease Payments during the Term of this Lease Agreement as the same become due and payable, all right, title and interest of the Corporation under this Lease Agreement in and to the related Property shall be transferred to and vested in the District. The Corporation agrees to take any and all steps and execute and record any and all documents reasonably required by the District to consummate any such transfer of title or other interest.

Section 4.8. Additional Payments. In addition to the Lease Payments, the District shall pay when due all costs and expenses incurred by the District and the Corporation in complying with the provisions of the Lease Agreement, including without limitation payment of all Delivery Costs, compensation, reimbursable expenses and fees due to the Assignee, all costs and expenses of auditors, engineers, counsel and accountants and any amounts required to be rebated to the federal government, which payments shall not be subject to abatement. Any Additional Payments shall be paid directly to the person or person to whom such amounts shall be payable.

Section 4.9. No Merger. It is the express intention of the parties hereto that this Lease Agreement, and the obligations of the parties hereunder, shall be and remain separate and distinct from the Site Lease, if the Site Lease shall be delivered, and the obligations of the parties thereunder, and that, during the term of the Site Lease, if the Site Lease shall be delivered, no merger of title or interest shall occur or be deemed to occur as a result of the position of the District as lessor under the Site Lease and as lessee hereunder or the position of the Corporation as lessee under the Site Lease and as lessor under this Lease Agreement.

ARTICLE V

MAINTENANCE; TAXES; INSURANCE; USE LIMITATIONS; AND OTHER MATTERS

Section 5.1. [Omitted].

Section 5.2. Maintenance, Utilities, Taxes and Assessments. Throughout the Term of this Lease Agreement, as part of the consideration for the rental of the Property, all improvement, repair and maintenance of the Property shall be the responsibility of the District, and the District shall pay for or otherwise arrange for the payment of all utility services supplied to the Property, which may include, without limitation, janitor service, security, power, gas, telephone, light, heating, water and all other utility services, and shall pay for or otherwise arrange for the payment of the cost of the repair and replacement of the Property resulting from ordinary wear and tear or want of care on the part of the District or any assignee or sublessee thereof. In exchange for the Lease Payments herein provided, the Corporation agrees to provide only the Property, as hereinbefore more specifically set forth. The District waives the benefits of subsection 2 of Section 1932 and subsection 4 of Section 1933 of the California Civil Code, but such waiver shall not limit any of the rights of the District under the terms of this Lease Agreement.

The District shall also pay or cause to be paid all taxes and assessments of any type or nature, if any, charged to the Corporation or the District affecting the Property or the respective interests or estates therein; provided that with respect to special assessments or other governmental charges that may lawfully be paid in installments over a period of years, the District shall be obligated to pay only such installments as are required to be paid during the Term of this Lease Agreement as and when the same become due.

The District may, at its expense and in its name, in good faith contest any such taxes, assessments, utility and other charges and, in the event of any such contest, may permit the taxes, assessments or other charges so contested to remain unpaid during the period of such contest and any appeal therefrom unless the Corporation shall notify the District that, in the opinion of

Independent Counsel, by nonpayment of any such items, the interest of the Corporation in the Property will be materially endangered or the Property or any part thereof will be subject to loss or forfeiture, in which event the District shall promptly pay such taxes, assessments or charges or provide the Corporation with full security against any loss which may result from nonpayment, in form satisfactory to the Corporation and the Assignee.

Section 5.3. Modification of Property. The District shall, at its own expense, have the right to remove portions of the Property or to make additions or modifications to the Property. All additions and modifications shall thereafter compose part of the Property and be subject to the provisions of this Lease Agreement. Such additions and modifications shall not in any way damage the Property, substantially alter its nature, cause the interest component of Lease Payments to be subject to federal income taxes or cause the Property to be used for purposes other than those authorized under the provisions of State and federal law or the articles of incorporation of the Corporation; and the Property, during and upon completion of any removal, additions or modifications made thereto pursuant to this Section 5.3, shall be of a rental value which is not less than the maximum annual Lease Payments due in any Rental Period. The District will not permit any mechanic's or other lien to be established or remain against the Property for labor or materials furnished in connection with any remodeling, additions, modifications, improvements, repairs, renewals or replacements made by the District pursuant to this Section 5.3; provided that if any such lien is established and the District shall first notify or cause to be notified the Corporation of the intention to do so, the District may in good faith contest any lien filed or established against the Property, and in such event may permit the items so contested to remain undischarged and unsatisfied during the period of such contest and any appeal therefrom and shall provide the Corporation with full security against any loss or forfeiture which might arise from the nonpayment of any such item, in form satisfactory to the Corporation. The Corporation will cooperate fully in any such contest, upon the request and at the expense of the District. The District agrees that it will take no action that would affect the availability of the Property for its use and possession.

Section 5.4. Liability and Property Damage Insurance. The District shall maintain or cause to be maintained, throughout the Term of this Lease Agreement, insurance policies, including a standard comprehensive general insurance policy or policies in protection of the Corporation and the District and their respective members, officers, agents and employees. Such liability insurance may be maintained as part of or in conjunction with any other liability insurance coverage carried by the District, and may be maintained through the Corporation or in the form of self-insurance by the District; provided, however, that the District shall not maintain rental interruption insurance in the form of self-insurance. Said policy or policies shall provide for indemnification of said parties against direct or consequential loss or liability for damages for bodily and personal injury, death or property damage occasioned by reason of the operation of the Property. Said policy or policies shall provide coverage in the minimum liability limits of \$1,000,000 for personal injury or death of each person and \$3,000,000 for personal injury or deaths of two or more persons in each accident or event, and in a minimum amount of \$1,000,000 for damage to property resulting from each accident or event (in each case subject to a deductible clause, or self-retention in the case of self-insurance, not to exceed \$5,000,000 per occurrence). Such liability and property damage insurance may, however, be in the form of a single limit policy in the amount of \$3,000,000 covering all such risks.

Section 5.5. Fire, Extended Coverage, Boiler and Machinery and Workers' Compensation Insurance.

(a) Casualty Insurance. The District shall procure and maintain, or cause to be procured and maintained, throughout the Term of this Lease Agreement, insurance against loss or damage to any structures constituting any part of the Property by fire, lightning and flood (if reasonably necessary), with extended coverage and vandalism and malicious mischief insurance, which coverage may exclude earthquake insurance, with the Assignee named as additional insured and loss payee, with responsible and reputable insurance companies. Such insurance may be maintained as part of or in conjunction with any other fire and extended coverage insurance carried by the District and may be maintained in whole or in part through the Corporation.

Said extended coverage insurance shall, as nearly as practicable, cover loss or damage by explosion, windstorm, riot, aircraft, vehicle damage, smoke and such other hazards as are normally covered by such insurance. Such insurance shall be in an amount equal to the greater of 100% of the replacement value of the Property or 100% of the remaining Lease Payments. The Net Proceeds of such insurance shall be applied as provided in Section 6.2 hereof.

(b) Boiler Insurance, Worker's Compensation Insurance. The District shall also procure and maintain, or cause to be maintained, throughout the term of this Lease Agreement, boiler and machinery coverage against loss or damage by explosion of steam boilers, pressure vessels and similar apparatus now or hereafter installed on any portion of the Property in an amount not less than \$5,000,000 per accident, and worker's compensation insurance issued by a responsible carrier authorized under the laws of the State of California to insure its employees against liability for compensation under the Worker's Compensation Insurance and Safety Act now in force in the State of California, or any act hereafter enacted as an amendment or supplement thereto. As an alternative, such insurance may be maintained as part of or in conjunction with any other insurance carried by the District.

Section 5.6. Rental Interruption Insurance. The District shall procure and maintain, or cause to be maintained, throughout the Term of this Lease Agreement rental interruption insurance to cover loss, total or partial, of the use of any part of the Property during the Term of this Lease Agreement with respect to the Property in an amount equal to the greatest twenty-four (24) months of Lease Payments for such Property, with the Assignee named as additional insured and loss payee. Such insurance may be carried in conjunction with, and may be subject to the same provisions as, the insurance required under Section 5.5 hereof. The District hereby assigns to the Corporation all right of the District, if any, to collect and receive Net Proceeds under any of said policies, which right has been assigned by the Corporation to the Assignee pursuant to the Assignment Agreement. The Net Proceeds of such insurance shall be paid to the Assignee and credited towards the payment of the Lease Payments in the order in which the Lease Payments are due and payable.

Section 5.7. Title Insurance. The District shall provide, from moneys in the Delivery Costs Fund or at its own expense, on the Closing Date or as soon thereafter as practicable, an ALTA or a CLTA title insurance policy covering, and in the amount of not less than the aggregate principal amount of the Lease Payments, insuring all of the fee title of the District in the Property, the subleasehold estate of the Corporation in the Property and the leasehold estate of the District

in the Property (provided that one or more of said estates may be insured through an endorsement to such policy), subject only to Permitted Encumbrances, with the Assignee as additional insured and loss payee. The Net Proceeds of such title insurance shall be applied as provided in Section 6.2 hereof.

Section 5.8. General Insurance Requirements; Form of Policies; Annual Certification; Advances. The District shall maintain or cause to be maintained, during the entire term of this Lease Agreement, with insurers of recognized responsibility (or through the District's current program of self-insurance with respect to insurance required by Sections 5.4 and 5.5) all coverage required by Sections 5.4, 5.5, 5.6 and 5.7. Each policy of insurance required by Sections 5.5, 5.6 and 5.7 hereof shall be obtained from an insurance provider licensed to do business in the State and rated "A" or better by A.M. Best & Company, and shall provide that all proceeds thereunder shall be payable to the District and the Assignee as insureds and applied as provided in Section 6.2 hereof. The District shall pay or cause to be paid when due the premiums for all insurance policies required by this Lease Agreement.

The District shall cause to be delivered to the Assignee on prior to the end of each fiscal year of the District a certificate of the District that the insurance requirements of this Lease Agreement have been met. If the District maintains the insurance required by Sections 5.4 and 5.5 through a program of self-insurance, the District shall include with such annual certificate a statement, verified by a risk manager of the District or an independent financial consultant, which specifies the amounts of coverage available through such self-insurance program. If it shall appear to such risk manager or independent financial consultant that the amounts available pursuant to such self-insurance program are insufficient, taking into account the loss history of the District and the requirements of this Lease Agreement, then (i) such report shall so state and (ii) the District shall obtain commercial insurance or increase the amounts available under such self-insurance program in accordance with the recommendations of such risk manager or independent financial consultant to the extent moneys are available for such purpose and not otherwise appropriated and, provided, that the District shall obtain the insurance required by Section 5.5 hereof in an amount equal to the greater of 100% of the replacement value of the Property or 100% of the remaining Lease Payments.

The District will affirmatively make (or cause to be made) a claim for payment under any insurance required to be maintained pursuant to this Lease Agreement as soon as practicable following the event or events giving rise to such a claim.

If the District shall fail to perform any of its obligations with respect to obtaining and maintaining insurance pursuant to this Article V, the Corporation or the Assignee may, but shall not be obligated to, take such action as may be necessary to cure such failure, including the advancement of money, and the District shall be obligated to repay all such advances as soon as possible, with interest at rates equal to the rates then payable with respect to the Lease Payments.

Section 5.9. Installation of Equipment. The District may at any time and from time to time, in its sole discretion and at its own expense, install or permit to be installed other items of equipment or other personal property in or upon the Property. All such items shall remain the sole property of the District, in which neither of the Corporation nor the Assignee shall have any interest, and may be modified or removed by the District at any time provided that the District

shall repair and restore any and all damage to the Property resulting from the installation, modification or removal of any such items. Nothing in this Lease Agreement shall prevent the District from purchasing or leasing items to be installed pursuant to this Section 5.9 under a lease or conditional sale agreement, or subject to a vendor's lien or security agreement, as security for the unpaid portion of the purchase price thereof, provided that no such lien or security interest shall attach to any part of the Property.

Section 5.10. Liens. The District shall not, directly or indirectly, create, incur, assume or suffer to exist any mortgage, pledge, lien, charge, encumbrance or claim on or with respect to the Property, other than the respective rights of the Corporation and the District as herein provided and Permitted Encumbrances. Except as expressly provided in this Article V, the District shall promptly, at its own expense, take such action as may be necessary to duly discharge or remove any such mortgage, pledge, lien, charge, encumbrance or claim, for which it is responsible, if the same shall arise at any time. The District shall reimburse the Corporation or the Assignee, as applicable, for any expense incurred by either of them in order to discharge or remove any such mortgage, pledge, lien, charge, encumbrance or claim.

Section 5.11. Tax Covenants.

(a) General. The District hereby covenants that, notwithstanding any other provisions of this Lease, it shall not take any action, or fail to take any action, if any such action or failure to take action would adversely affect the exclusion from gross income of the interest components of the Lease Payments with respect to Section 103 of the Code. The District shall not, directly or indirectly, use or permit the use of proceeds of the Lease Agreement or any of the property financed or refinanced with proceeds of the Lease Agreement, or any portion thereof, by any person other than a governmental unit (as such term is used in Section 141 of the Code), in such manner or to such extent that could result in the loss of exclusion from gross income for federal income tax purposes of the interest components of the Lease Payments.

(b) Use of Proceeds. The District shall not take any action, or fail to take any action, if any such action or failure to take action would cause the District's obligations evidenced by the Lease Payments to be "private activity bonds" within the meaning of Section 141 of the Code, and in furtherance thereof, shall not make any use of the proceeds of the Lease Agreement or any of the property financed or refinanced with proceeds of the Lease Agreement, or any portion thereof, or any other funds of the District, that would cause the District's obligations evidenced by the Lease Agreement to be "private activity bonds" within the meaning of Section 141 of the Code. To that end, so long as the Lease Agreement is effective, the District, with respect to such proceeds and property and such other funds, will comply with applicable requirements of the Code and all regulations of the Treasury Department issued thereunder. The District shall establish reasonable procedures necessary to ensure continued compliance with Section 141 of the Code and the continued qualification of the District's obligations under the Lease Agreement as "governmental bonds."

(c) Arbitrage. The District shall not, directly or indirectly, use or permit the use of any proceeds of the Lease Agreement, or of any property financed or refinanced thereby, or other funds of the District, or take or omit to take any action, that would cause the District's obligations under the Lease Agreement to be "arbitrage bonds" within the meaning of Section 148 of the Code. To

that end, the District shall comply with all requirements of Section 148 of the Code and all regulations of the Treasury Department issued thereunder to the extent such requirements are, at the time, in effect and applicable to the District's obligations under this Lease Agreement.

(d) Federal Guarantee. The District shall not make any use of the proceeds of the Lease Agreement or any other funds of the District, or take or omit to take any other action, that would cause the District's obligations under the Lease Agreement to be "federally guaranteed" within the meaning of Section 149(b) of the Code.

(e) Compliance with Tax Certificate. In furtherance of the foregoing tax covenants of this Section 5.11, the District covenants that it will comply with the provisions of the Tax Certificate, which is incorporated herein as if fully set forth herein. This covenant shall survive payment in full or defeasance of the District's obligations under the Lease Agreement.

Section 5.12. No Condemnation. The District hereby covenants and agrees, to the extent it may do so, that so long as the District's obligations under the Lease Agreement are unpaid, the District will not exercise the power of condemnation with respect to the Property. The District further covenants and agrees, to the extent it may lawfully do so, that if for any reason the foregoing covenant is determined to be unenforceable or if the District should fail or refuse to abide by such covenant and condemns the Property, the appraised value of the Property shall not be less than the greater of (i) if the District's obligations under the Lease Agreement are then subject to prepayment, the principal and interest components of the Lease Payments through the date of their prepayment, or (ii) if the District's obligations under the Lease Agreement are not then subject to prepayment, the amount necessary to defease such obligations to the first available prepayment date in accordance with this Lease Agreement.

ARTICLE VI

DESTRUCTION AND EMINENT DOMAIN; USE OF NET PROCEEDS

Section 6.1. Eminent Domain. If all of the Property (or portions thereof such that the remainder is not usable for public purposes by the District) shall be taken permanently under the power of eminent domain or sold to a government threatening to exercise the power of eminent domain, the Term of this Lease Agreement shall thereupon terminate. If less than all of the Property shall be taken permanently and the remainder is usable for public purposes by the District at the time of such taking, or if all of the Property shall be taken temporarily under the power of eminent domain, (1) this Lease Agreement shall continue in full force and effect and shall not be terminated by virtue of such taking and the parties waive the benefit of any law to the contrary, and (2) there shall be a partial abatement of Lease Payments as a result of the application of the Net Proceeds of any eminent domain award to the prepayment of the Lease Payments hereunder, in an amount to be agreed upon by the District and the Corporation such that the resulting Lease Payments represent fair consideration for the use and occupancy of the remaining usable portion of such Property.

Section 6.2. Application of Net Proceeds. The District shall apply any Net Proceeds received by the District regarding casualty insurance or a taking by eminent domain or condemnation with respect to the Property to either (i) the replacement or repair of the Property

only if (a) the Net Proceeds available for such purpose, together with any other available funds of the District are expected to equal at least 110% of the projected costs of replacement or repair, as demonstrated in a requisition budget provided to the Assignee, (b) in the event that damage, destruction or taking results or is expected to result in an abatement of Lease Payments, such replacement or repair can be fully completed within a period not in excess of the period in which rental interruption insurance proceeds as described in Section 5.6 hereof, together with other identified available moneys, will be available to pay in full all Lease Payments coming due during such period, as demonstrated in a requisition schedule, and (c) there are no encumbrances on the Property other than Permitted Encumbrances or (ii) the prepayment of the Lease Payments hereunder. The Corporation shall cooperate fully with the District at the expense of the District in filing any proof of loss with respect to any insurance policy maintained pursuant to this Lease Agreement and in the prosecution or defense of any prospective or pending condemnation proceeding with respect to the Property or any item or portion thereof.

Section 6.3. Abatement of Lease Payments.

(a) Fair Rental Value of Property. The fair rental value of the Property shall equal or exceed the unpaid principal components and interest components of the Lease Payments at all times; therefore, such payments due hereunder shall not be subject to abatement except as provided in paragraph (b) below.

(b) Abatement of Lease Payments. Lease Payments shall be abated during any period in which, by reason of damage, destruction, any defect in title or other event (other than by eminent domain which is hereinbefore provided for), there is substantial interference with the use and occupancy by the District of the Property or any portion thereof (other than any portions of the Property described in Section 5.3 hereof), and the District waives the benefits of subsection 2 of Section 1932 and subsection 4 of Section 1933 of the California Civil Code and any and all other rights to terminate this Lease Agreement by virtue of any such interference, and this Lease Agreement shall continue in full force and effect. The extent of such abatement shall be agreed upon by the District and the Corporation such that the resulting Lease Payments represent fair consideration for the use and occupancy of the portions of the Property not damaged, destroyed or otherwise unavailable for use and occupancy by the District. Such abatement shall continue for the period commencing with such damage, defect in title, destruction or other event and, with respect to damage or destruction of property, ending with the substantial completion of the work of repair or reconstruction or of completion of the Property or of the regained availability of use and occupancy. In the event of any such damage, destruction or non-availability, this Lease Agreement shall continue in full force and effect and the District waives any right to terminate this Lease Agreement by virtue of any such damage, destruction or unavailability.

Notwithstanding the foregoing, there shall be no abatement of Lease Payments under this Section 6.5 by reason of damage, destruction or unavailability of all or a portion of the Property to the extent that (i) the fair rental value of the portions of the Property not damaged, destroyed, incomplete or otherwise unavailable for use and occupancy by the District (giving due consideration to the factors identified in the last sentence of Section 4.4(d) hereof), based upon a qualified employee of the District or an independent certified real estate appraiser selected by the District with expertise in valuing such properties or other appropriate method of valuation, is equal to or greater than the unpaid Lease Payments; or (ii) (A) the proceeds of rental interruption

insurance or (B) amounts in the Net Proceeds Fund and/or the Lease Payment Fund are available to pay Lease Payments which would otherwise be abated under this Section 6.5, it being hereby declared that such proceeds and amounts constitute special funds for the payment of the Lease Payments.

ARTICLE VII

DISCLAIMER OF WARRANTIES; ACCESS; RELEASE AND INDEMNIFICATION

Section 7.1. Disclaimer of Warranties. THE CORPORATION MAKES NO WARRANTY OR REPRESENTATION, EITHER EXPRESS OR IMPLIED, AS TO THE VALUE, DESIGN, CONDITION, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OR FITNESS FOR THE USE CONTEMPLATED BY THE DISTRICT OF THE PROPERTY OR ANY OTHER REPRESENTATION OR WARRANTY WITH RESPECT TO THE PROPERTY. IN NO EVENT SHALL THE CORPORATION OR ITS ASSIGNS BE LIABLE FOR INCIDENTAL, INDIRECT, SPECIAL OR CONSEQUENTIAL DAMAGES IN CONNECTION WITH OR ARISING OUT OF THE SITE LEASE OR THIS LEASE AGREEMENT FOR THE EXISTENCE, FURNISHING, FUNCTIONING OR THE USE OF THE PROPERTY.

Section 7.2. Access to the Property. The District agrees that the Corporation and any Corporation Representative, the Corporation's successors or assigns, shall have the right at all reasonable times to enter upon and to examine and inspect the Property. The District further agrees that the Corporation, any Corporation Representative, the Corporation's successors or assigns shall have such rights of access to the Property as may be reasonably necessary to cause the proper maintenance of the Property in the event of failure by the District to perform its obligations hereunder.

Section 7.3. Release and Indemnification. To the extent permitted by law, the District shall and hereby agrees to indemnify and save the Corporation and the Assignee and their officers, agents, successors and assigns harmless from and against all claims, losses and damages, including legal fees and expenses, arising out of (i) the use, maintenance, condition or management of, or from any work or thing done on the Property by the District, including, without limitation, the presence on, under or about, or release from, the Property of any substance, material or waste which is or becomes regulated or classified as hazardous or toxic under State, federal or local law, (ii) any breach or default on the part of the District in the performance of any of its obligations under this Lease Agreement, (iii) any act or omission of the District or of any of its agents, contractors, servants, employees or licensees with respect to the Property, (iv) any act or omission of any sublessee of the District with respect to the Property, (v) the authorization of payment of the Delivery Costs, or (vi) the execution of the Lease Agreement. No indemnification is made under this Section 7.3 or elsewhere in this Lease Agreement for willful misconduct, negligence or breach of duty under this Lease Agreement by the Corporation or the Assignee, their officers, agents, employees, successors or assigns. The indemnification hereunder shall survive termination of this Lease Agreement.

ARTICLE VIII

ASSIGNMENT AND SUBLEASING; SUBSTITUTION, ADDITION AND RELEASE OF PROPERTY; AMENDMENTS

Section 8.1. Assignment by the Corporation. The Corporation's rights under this Lease Agreement, including the right to receive and enforce payment of the Lease Payments to be made by the District under this Lease Agreement have been assigned to the Assignee pursuant to the Assignment Agreement, to which assignment the District hereby consents.

Section 8.2. Assignment and Subleasing by the District. This Lease Agreement may not be assigned by the District. The District may sublease the Property or any portion thereof, but only with the prior written consent of the Corporation, subject to all of the following conditions:

(i) This Lease Agreement and the obligation of the District to make Lease Payments hereunder shall remain obligations of the District;

(ii) The District shall, within thirty (30) days after the delivery thereof, furnish or cause to be furnished to the Corporation and the Assignee a true and complete copy of such sublease;

(iii) No such sublease by the District shall cause the Property to be used for a purpose other than as may be authorized under the provisions of the constitution and laws of the State; and

(iv) The District shall furnish the Corporation and the Assignee with a written opinion of Special Counsel stating that such sublease will not in and of itself result in the interest components of the Lease Payments to become subject to federal income taxation.

Section 8.3. Substitution, Addition and Release of Property; Amendments.

(a) Substitution or Addition of Property. The District shall have, and is hereby granted, the option at any time and from time to time during the Term of this Lease Agreement, to substitute other land, including the Facilities thereon (a "Substitute Site") for the Property or a portion thereof, or to add additional land, including the Facilities thereon to the Property ("Additional Site"), provided that the District shall satisfy all of the following requirements which are hereby declared to be conditions precedent to such substitution or addition:

(i) If the District holds fee title to such Substitute Site or Additional Site, the District shall file with the Corporation and the Assignee an amended and recorded Site Lease which describes such Substitute Site or Additional Site and shall record or caused to be recorded with the Los Angeles County Recorder any document necessary to include such Substitute Site or Additional Site in the description of the Property contained in the Site Lease;

(ii) The District shall file with the Corporation and the Assignee an amended and recorded Lease Agreement and shall record or caused to be recorded with the Los

Angeles County Recorder any document necessary to include such Substitute Site or Additional Site in the description of the Property contained herein;

(iii) The District delivers to the Assignee and the Corporation a certificate of the District stating that the Property after said substitution or addition has an annual fair rental value equal to or greater than the maximum Lease Payments due in any Rental Period, as determined by a qualified employee of the District or an independent certified real estate appraiser selected by the District and that the Property after said substitution or addition has a useful life equal to or greater than the maximum remaining term of this Lease Agreement (including any extensions authorized pursuant to Section 4.2 hereof);

(iv) The District shall obtain an amendment to the existing title insurance policy required pursuant to or shall obtain a new title insurance policy meeting the requirements of Section 5.7 hereof which describes the Substitute Site or Additional Site;

(v) Such substitution or addition shall not cause the District to violate any of its covenants, representations and warranties made in this Lease Agreement, as evidenced by a certificate of a District Representative delivered to the Assignee;

(vi) The District shall deliver to the Assignee and the Corporation a certificate that the substituted or additional property is essential for performing the District's governmental functions relating to public education; and

(vii) The District shall obtain an opinion of Special Counsel that such substitution or addition, in and of itself, will not result in the interest components of the Lease Payments to become subject to federal income taxation.

(b) Release of Property. The District shall have, and is hereby granted, the option at any time and from time to time during the Term of this Lease Agreement to release any portion of the Property, provided that the District shall satisfy all of the following requirements which are hereby declared to be conditions precedent to such release:

(i) If the District holds fee title to such Property, the District shall file with the Corporation and the Assignee an amended and recorded Exhibit A to the Site Lease which describes the Property, as revised by such release and shall record or cause to be recorded any document necessary to re-convey such released property under the Site Lease;

(ii) The District shall file with the Corporation and the Assignee an amended and recorded Exhibit B to this Lease Agreement which describes the Property, as revised by such release and shall record or cause to be recorded with the Los Angeles County Recorder any document necessary to re-convey such released property hereunder;

(iii) The District delivers to the Assignee and the Corporation a certificate of the District stating that the Property after said release has an annual fair rental value equal to or greater than the maximum Lease Payments due in any Rental Period, as determined on the basis of an appraisal of the Property after said release, conducted by an MAI appraiser designated by the District and that the Property after said release has a useful life equal to

or greater than the maximum remaining term of this Lease Agreement (including of any extensions authorized pursuant to Section 4.2 hereof);

(iv) The District shall obtain an amendment to the title insurance policy required pursuant to or shall obtain a new title insurance policy meeting the requirements of Section 5.7 hereof which describes the Property, as revised by such release;

(v) Such release shall not cause the District to violate any of its covenants, representations and warranties made in this Lease Agreement, as evidenced by a certificate of a District Representation delivered to the Assignee; and

(vi) The District shall obtain an opinion of Special Counsel that such release, in and of itself, will not result in the interest components of the Lease Payments to become subject to federal income taxation.

(c) Amendments. The Lease Agreement, the Site Lease and the Assignment Agreement and the rights and obligations of the parties thereto may be modified or amended at any time with the written consent of the Assignee.

ARTICLE IX

EVENTS OF DEFAULT AND REMEDIES

Section 9.1. Events of Default Defined. The following shall be “Events of Default” under this Lease Agreement and the terms “Events of Default” and “Default” shall mean, whenever they are used in this Lease Agreement, any one or more of the following events:

(a) Failure by the District to pay any Lease Payment or Additional Payment required to be paid hereunder at the time specified herein.

(b) Failure by the District to observe and perform any covenant, condition or agreement on its part to be observed or performed, other than as referred to in clause (a) of this Section 9.1, for a period of thirty (30) days after written notice specifying such failure and requesting that it be remedied has been given to the District by the Corporation or the Assignee; provided, however, if the failure stated in the notice can be corrected, but not within the applicable period, the Corporation and the Assignee shall not unreasonably withhold their consent to an extension of such time if corrective action is instituted by the District within the applicable period and diligently pursued until the default is corrected.

(c) The filing by the District of a voluntary petition in bankruptcy, or failure by the District promptly to lift any execution, garnishment or attachment, or adjudication of the District as a bankrupt, or assignment by the District for the benefit of creditors, or the entry by the District into an agreement of composition with creditors, or the approval by a court of competent jurisdiction of a petition applicable to the District in any proceedings instituted under the provisions of the Federal Bankruptcy Code, as amended, or under any similar acts which may hereafter be enacted.

Section 9.2. Remedies on Default. Whenever any Event of Default or Default referred to in Section 9.1 hereof shall have happened and be continuing, it shall be lawful for the Corporation, to exercise any and all remedies available pursuant to law or granted pursuant to this Lease Agreement; provided, however, that notwithstanding anything herein to the contrary, there shall be no right under any circumstances to accelerate the Lease Payments or otherwise declare any Lease Payments not then in default to be immediately due and payable. Each and every covenant hereof to be kept and performed by the District is expressly made a condition and upon the breach thereof the Corporation, may exercise any and all rights of entry and re-entry upon the Property, and also, at its option, with or without such entry, may terminate this Lease Agreement as provided in paragraph (b) of this Section 9.2; provided, that no such termination shall be effected either by operation of law or acts of the parties hereto, except only in the manner herein expressly provided. In the event of such Event of Default or Default and notwithstanding any re-entry by the Corporation, the District shall, as herein expressly provided, continue to remain liable for the payment of the Lease Payments and/or damages for breach of this Lease Agreement and the performance of all conditions herein contained and, in any event such Lease Payments and/or damages shall be payable to the Corporation at the time and in the manner as herein provided, to wit:

(a) In the event the Corporation does not elect to terminate this Lease Agreement in the manner hereinafter provided for in subparagraph (b) hereof, the District agrees to and shall remain liable for the payment of all Lease Payments and the performance of all conditions herein contained and shall reimburse the Corporation for any deficiency arising out of the re-leasing of the Property, or, in the event the Corporation does not re-lease the Property, then for the full amount of all Lease Payments to the end of the Term of this Lease Agreement, but said Lease Payments and/or deficiency shall be payable only at the same time and in the same manner as hereinabove provided for the payment of Lease Payments hereunder, notwithstanding such entry or re-entry by the Corporation or any suit in unlawful detainer, or otherwise, brought by the Corporation for the purpose of effecting such re-entry or obtaining possession of the Property or the exercise of any other remedy by the Corporation. The District hereby irrevocably appoints the Corporation as the agent and attorney-in-fact of the District to enter upon and re-lease the Property upon the occurrence and continuation of any Default or Event of Default and to remove all personal property whatsoever situated upon the Property to place such property in storage or other suitable place in Los Angeles County, for the account of and at the expense of the District, and the District hereby exempts and agrees to save harmless the Corporation from any costs, loss or damage whatsoever arising or occasioned by any such entry upon and re-leasing of the Property and the removal and storage of such property by the Corporation or its duly authorized agents in accordance with the provisions herein contained. The District hereby waives any and all claims for damages caused or which may be caused by the Corporation in re-entering and taking possession of the Property as herein provided and all claims for damages that may result from the destruction of or injury to the Property and all claims for damages to or loss of any property belonging to the District that may be in or upon the Property. The District agrees that the terms of this Lease Agreement constitute full and sufficient notice of the right of the Corporation to re-lease the Property in the event of such re-entry without effecting a surrender of this Lease Agreement, and further agrees that no acts of the Corporation in effecting such re-leasing shall constitute a surrender or termination of this Lease Agreement irrespective of the term for which such re-leasing is made or the terms and conditions of such re-leasing, or otherwise, but that, on the contrary, upon the occurrence and continuation of any Default or Event of Default hereunder, the right to

terminate this Lease Agreement shall vest in the Corporation to be effected in the sole and exclusive manner hereinafter provided for in subparagraph (b) hereof. The District further waives the right to any rental obtained by the Corporation in excess of the Lease Payments and hereby conveys and releases such excess to the Corporation as compensation to the Corporation for its services in re-leasing the Property.

(b) Upon the occurrence and continuation of any Default or Event of Default hereunder, the Corporation at its option may terminate this Lease Agreement and re-lease all or any portion of the Property. In the event of the termination of this Lease Agreement by the Corporation at its option and in the manner hereinafter provided on account of an Event of Default or a Default by the District (and notwithstanding any re-entry upon the Property by the Corporation in any manner whatsoever or the re-leasing or sale of the Property), the District nevertheless agrees to pay to the Corporation all costs, loss or damages howsoever arising or occurring payable at the same time and in the same manner as is herein provided in the case of payment of Lease Payments. Any surplus received by the Corporation from such re-leasing shall be the absolute property of the Corporation and the District shall have no right thereto, nor shall the District be entitled to any credit in the event of a deficiency in the rentals received by the Corporation from the Property. Neither notice to pay rent or to deliver up possession of the premises given pursuant to law nor any proceeding in unlawful detainer taken by the Corporation shall of itself operate to terminate this Lease Agreement, and no termination of this Lease Agreement on account of default by the District shall be or become effective by operation of law, or otherwise, unless and until the Corporation shall have given written notice to the District of the election on the part of the Corporation to terminate this Lease Agreement. The District covenants and agrees that no surrender of the Property or of the remainder of the Term of this Lease Agreement or any termination of this Lease Agreement shall be valid in any manner or for any purpose whatsoever unless stated or accepted by the Corporation by such written notice.

Section 9.3. No Remedy Exclusive. No remedy herein conferred upon or reserved to the Corporation is intended to be exclusive and every such remedy shall be cumulative and shall be in addition to every other remedy given under this Lease Agreement or now or hereafter existing at law or in equity. No delay or omission to exercise any right or power accruing upon any default shall impair any such right or power or shall be construed to be a waiver thereof, but any such right and power may be exercised from time to time and as often as may be deemed expedient. In order to entitle the Corporation to exercise any remedy reserved to it in this Article it shall not be necessary to give any notice, other than such notice as may be required in this Article or by law.

Section 9.4. Agreement to Pay Attorneys' Fees and Expenses. In the event either party to this Lease Agreement should default under any of the provisions hereof and the nondefaulting party should employ attorneys or incur other expenses for the collection of moneys or the enforcement or performance or observance of any obligation or agreement on the part of the defaulting party contained herein, the defaulting party agrees that it will on demand therefor pay to the nondefaulting party the reasonable fees of such attorneys and such other expenses so incurred by the nondefaulting party.

Section 9.5. No Additional Waiver Implied by One Waiver. In the event any agreement contained in this Lease Agreement should be breached by either party and thereafter waived by

the other party, such waiver shall be limited to the particular breach so waived and shall not be deemed to waive any other breach hereunder.

Section 9.6. Application of Proceeds. All net proceeds received from the release or other disposition of the Property under this Article IX, and all other amounts derived by the Corporation as a result of a Default or an Event of Default hereunder, shall be paid to the Assignee promptly upon receipt thereof and applied by the Assignee (i) first, to the payment of the costs and expenses of the Assignee, including reasonable compensation to its agents, attorneys and counsel incurred in connection with the particular Event of Default; (ii) second to the payment to the Assignee of all installments of interest then due in the order of the maturity of such installment, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the Assignee; and (iii) third to the payment to the Assignee of the unpaid principal of Lease Payments that shall have become due, whether at maturity or by call for prepayment, in the order of their due dates, with interest on the overdue principal and interest at a rate equal to the rate paid with respect to the Lease Payments and, if the amount available shall not be sufficient to pay in full all the amounts due with respect to the Lease Payments on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal due on such date to the Assignee.

Section 9.7. Assignee to Exercise Rights. Such rights and remedies as are given to the Corporation under this Article IX have been assigned by the Corporation to the Assignee under the Assignment Agreement, to which assignment the District hereby consents. Such rights and remedies shall be exercised by the Assignee as provided in the Assignment Agreement and herein.

ARTICLE X

PREPAYMENT OF LEASE PAYMENTS

Section 10.1. Security Deposit. Notwithstanding any other provision of this Lease Agreement the District may secure the payment of all or a portion of the Lease Payments remaining due by a deposit with an escrow holder under an escrow deposit agreement of (a) in the case of a security deposit relating to all Lease Payments, either (i) an amount which, together with any other available amounts is sufficient to pay all unpaid Lease Payments, including the principal and interest components thereof, in accordance with the Lease Payment schedule set forth in Exhibit A, or (ii) Eligible Securities in such amount as will, in the opinion of an independent certified public accountant, together with interest to accrue thereon, be fully sufficient to pay or repay all unpaid Lease Payments on or before their respective Lease Payment Dates (a "Verification Report"); or (b) in the case of a security deposit relating to a portion of the Lease Payments, a certificate executed by a District Representative designating the portion of the Lease Payments with respect to such Lease Payments to which the deposit pertains, and either (i) an amount of money which is sufficient to pay the portion of the Lease Payments designated in such District Representative's certificate, including the principal and interest components thereof, or (ii) Eligible Securities in such amount as will, together with interest to be received thereon, if any, in the opinion of an independent certified public accountant, be fully sufficient to pay the portion of the Lease Payments designated in the aforesaid District Representative's certificate.

Prior to any defeasance becoming effective under this Article, (i) the District shall cause to be delivered a copy of the escrow deposit agreement entered into in connection with such defeasance, and (ii) a copy of an opinion of Special Counsel, dated the date of such defeasance and addressed to the Assignee and the District, in form and in substance acceptable to the Assignee and the District, to the effect that all Lease Payments have been paid in full and all agreements and covenants of the Corporation and the District have ceased, terminated and become void and have been discharged and satisfied.

In the event of a deposit pursuant to this Section 10.1 as to all Lease Payments, all obligations of the District under this Lease Agreement shall cease and terminate, excepting only the obligation of the District to make, or cause to be made, all payments from the deposit made by the District pursuant to this Section 10.1. Said deposit and interest earnings thereon shall be deemed to be and shall constitute a special fund for the payments provided for by this Section 10.1.

Section 10.2. Optional Prepayment. (a) The District may prepay all or a portion of the Lease Payments from any source of available funds, on any date on or after October 1, 20[___], by paying all or a portion, as elected by the District, of principal components of such Lease Payments at the prepayment price of the principal amount thereof and accrued but unpaid interest components of such Lease Payments to be prepaid to the date of such Prepayment.

(b) The District may prepay, from any source of available funds, all or any portion of the Lease Payments by depositing with a bank or other financial institution moneys or securities as provided, and subject to the terms and conditions set forth, in Section 10.1 hereof sufficient to make such Lease Payments when due or to make such Lease Payments through a specified date on which the District has a right to prepay such Lease Payments pursuant to subsection (a) of this Section, and to prepay such Lease Payments on such prepayment date at the prepayment price of the principal amount thereof.

(c) If less than all of the Lease Payments are prepaid pursuant to this Section then, as of the date of such Prepayment pursuant to subsection (a) of this Section, or the date of a deposit pursuant to subsection (b) of this Section, the principal and interest components of the Lease Payments shall be recalculated in order to take such Prepayment into account. The District agrees that if, following a partial prepayment of Lease Payments, the Property is damaged, destroyed or taken by eminent domain, or a defect in title to the Property is discovered, the District shall not be entitled to, and by such prepayment waives the right of, abatement of such prepaid Lease Payments and the District shall not be entitled to any reimbursement of such Lease Payments.

Section 10.3. Extraordinary Prepayment from Net Proceeds of Insurance or Eminent Domain. The District shall be obligated to prepay the Lease Payments in whole or in part on any date from and to the extent of any Net Proceeds of an insurance or title insurance award or a condemnation award theretofore received by or on behalf of the District.

Section 10.4. Extraordinary Prepayment Upon Disposition. The District shall be obligated to prepay the Lease Payments in whole on or after the second anniversary of the date of execution and delivery of the Lease Agreement on any date within sixty (60) days of the occurrence of a Disposition at the prepayment price of the principal amount thereof and accrued but unpaid interest components of such Lease Payments to be prepaid to the date of such prepayment.

ARTICLE XI

MISCELLANEOUS

Section 11.1. Notices. Unless otherwise specified herein, all notices, certificates or other communications hereunder shall be given by mail or personal delivery (including facsimile transmission followed by telephone confirmation) to the party entitled thereto at its address set forth below, or at such address as the party may provide to the other party in writing from time to time. Notice to the parties shall be deemed to have been received upon delivery via facsimile transmission (followed by telephonic confirmation) or the earlier of actual receipt or five Business Days after deposit in the United States mail, in registered or otherwise secure mail, postage prepaid or, in the case of personal delivery, upon delivery to the address set forth below:

If to the District: Los Angeles Unified School District
333 S. Beaudry Avenue, 26th Floor
Los Angeles, California 90017-5141
Phone: (213) 281-7888
Facsimile: (213) 281-6813
Attention: Chief Business Officer

If to the Corporation: LAUSD Financing Corporation
c/o Los Angeles Unified School District
333 S. Beaudry Avenue, 26th Floor
Los Angeles, California 90017-5141
Phone: (213) 281-7888
Facsimile: (213) 281-6813
Attention: Secretary

If to the Assignee: [Assignee]

Phone:
Facsimile:
Attention:

Section 11.2. Binding Effect. This Lease Agreement shall inure to the benefit of and shall be binding upon the Corporation and the District and their respective successors and assigns.

Section 11.3. Severability. In the event any provision of this Lease Agreement shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

Section 11.4. Net-net-net Lease. This Lease Agreement shall be deemed and construed to be a “net-net-net lease” and the District hereby agrees that the Lease Payments shall be an absolute net return to the Corporation, free and clear of any expenses, charges or set-offs whatsoever.

Section 11.5. Further Assurances and Corrective Instruments. The Corporation and the District agree that they will, from time to time, execute, acknowledge and deliver, or cause to be

executed, acknowledged and delivered, such supplements hereto and such further instruments as may reasonably be required for correcting any inadequate or incorrect description of the Property hereby leased or intended so to be or for carrying out the expressed intention of this Lease Agreement.

Section 11.6. Applicable Law. This Lease Agreement shall be governed by and construed in accordance with the laws of the State.

Section 11.7. Corporation and District Representatives. Whenever under the provisions of this Lease Agreement the approval of the Corporation or the District is required, or the Corporation or the District is required to take some action at the request of the other, such approval or such request shall be given for the Corporation by a Corporation Representative and for the District by a District Representative, and any party hereto shall be authorized to rely upon any such approval or request.

Section 11.8. Captions. The captions or headings in this Lease Agreement are for convenience only and in no way define, limit or describe the scope or intent of any provisions or Section of this Lease Agreement.

Section 11.9. Waiver of Notice. Whenever in this Lease Agreement the giving of notice by mail or otherwise is required, the giving of such notice may be waived in writing by the person entitled to receive such notice and in any case the giving or receipt of such notice shall not be a condition precedent to the validity of any action taken in reliance upon such waiver

Section 11.10. Assignment to Assignee; Third-Party Beneficiaries. The District understands and agrees that, upon the execution and delivery of the Assignment Agreement (which is occurring simultaneously with the execution and delivery hereof), all right, title and interest of the Corporation in and to this Lease Agreement will be sold, assigned and transferred to the Assignee for the benefit of the Assignee. The District hereby consents to such sale, assignment and transfer. Upon the execution and delivery of the Assignment Agreement, subject to the provisions therein, references in the operative provisions hereof to the Corporation shall be deemed to be references to the Assignee, as assignee of the Corporation. The Assignee is expressly recognized as a third-party beneficiary under this Lease Agreement and may enforce any right, remedy, or claim conferred upon, given, or granted hereunder.

Section 11.11. Execution in Counterparts. This Lease Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

IN WITNESS WHEREOF, the Corporation has caused this Lease Agreement to be executed in its corporate name by its duly authorized officers and the District has caused this Lease Agreement to be executed in its name by its duly authorized officers, as of the date first above written.

LAUSD FINANCING CORPORATION

By: _____
Joy Mayor
Secretary

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
David D. Hart,
Chief Business Officer

EXHIBIT A

SCHEDULE OF LEASE PAYMENTS

<u>Lease Payment Dates</u>	<u>Principal</u>	<u>Interest⁽¹⁾</u>	<u>Total Lease Payments⁽¹⁾</u>
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EXHIBIT B

DESCRIPTION OF THE PROPERTY

Signature of Notary Public

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

[illegible]

On _____, before me,
Date _____ Name and Title of Officer (e.g., “Jane Doe, Notary Public”)
personally appeared _____

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

Signature of Notary Public

CERTIFICATE OF ACCEPTANCE
BY PUBLIC AGENCY
(Calif. Govt. Code Section 27281)

This is to certify that the interest in real property conveyed by the within and foregoing Lease Agreement to the Los Angeles Unified School District, a governmental agency, by the LAUSD Financing Corporation, is hereby accepted by order of its Board of Education, and the lessee consents to recordation thereof by its duly authorized officer.

LOS ANGELES UNIFIED SCHOOL DISTRICT,
a school district formed under the laws of the
State of California

Date: [Closing Date]

BY: David D. Hart
Chief Business Officer

HDW Draft – 5/15/23

Recording Requested By:)
Los Angeles Unified School District)
)
)
When Recorded Mail To:)
Hawkins Delafield & Wood LLP)
333 S. Grand Ave., Suite 3650)
Los Angeles, California 90071)
Attn.: Diane K. Quan)

This document is recorded for the benefit of the Los Angeles Unified School District, and recording is fee exempt under §6103 and §27383 of the Government Code.

SITE LEASE

dated as of [As of Date]

by and between the

LOS ANGELES UNIFIED SCHOOL DISTRICT

and the

LAUSD FINANCING CORPORATION

\$(Principal Amount)
Certificates of Participation, 2023 Series A

SITE LEASE

This Site Lease is dated as of [As of Date], by and between the LOS ANGELES UNIFIED SCHOOL DISTRICT (the “District”), a school district organized and existing under the laws of the State of California, as lessor hereunder, and the LAUSD FINANCING CORPORATION, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California (the “Corporation”), as lessee hereunder.

W I T N E S S E T H :

WHEREAS, the District desires to finance the costs of the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds (collectively, the “Project”), through the sale of the Certificates of Participation, 2023 Series A (the “Certificates”) which will be executed and delivered pursuant to a Trust Agreement, dated as of the date hereof (the “Trust Agreement”), by and among the District, the Corporation and the U.S. Bank Trust Company, National Association, as trustee thereunder; and

WHEREAS, to facilitate such financing, the District proposes to enter into this Site Lease with the Corporation, pursuant to which the District will lease certain real property and the improvements located thereon described in Exhibit A hereto (the “Property”) to the Corporation, as lessee hereunder; and

WHEREAS, concurrently with the execution of this Site Lease, the District will lease back the Property pursuant to the terms of a Lease Agreement, dated as of the date hereof (the “Lease Agreement”), between the Corporation and the District; and

WHEREAS, the Corporation will assign without recourse certain of its rights under this Site Lease and the Lease Agreement, including all of its rights to receive the Lease Payments (as defined in the Trust Agreement) scheduled to be paid by the District pursuant to the Lease Agreement, to the Trustee for the benefit of the Owners of the Certificates pursuant to an Assignment Agreement, dated as of the date hereof (the “Assignment Agreement”), by and between the Corporation and the Trustee; and

NOW, THEREFORE, in consideration of the above premises and of the mutual covenants hereinafter contained and for other good and valuable consideration, the receipt and adequacy of which is hereby acknowledged, it is hereby mutually agreed as follows:

SECTION 1. Definitions. Unless the context otherwise requires, capitalized terms not otherwise defined herein shall have the meanings specified in the Trust Agreement.

SECTION 2. Demised Premises. The District hereby leases to the Corporation and the Corporation hereby leases from the District for the benefit of the Owners of the Certificates, the Property (and appurtenant easements for ingress and egress, for the furnishing of maintenance

and support, and for parking), subject to the terms hereof and subject to any conditions, reservations, exceptions and rights of way which are of record.

SECTION 3. Ownership. The District is the owner of and has and will hold and maintain, good and indefeasible marketable fee simple to the real property and all building, property and improvements comprising the Property. The District is conveying an estate for a term of years in the Property to the Corporation pursuant to this Site Lease. In the event of a title or other defect that impairs the right to use and possession of all or a portion of the Property, the District covenants that it will inform the Trustee of such defect and (i) will either exercise its condemnation powers to the extent permitted by law to obtain the necessary rights in all or a portion of the Property to cure such defect and limitation of the right to use and possession or institute a quiet title action to clarify the District's title and will diligently pursue such action to completion or (ii) at the option of the District, use its best efforts to add or substitute property in accordance with Section 8.3 of the Lease Agreement for the portion of the Property of which the right to use and possession is affected.

SECTION 4. Term. The term of this Site Lease shall commence as of the date hereof and shall remain in effect until the termination of the Lease Agreement as provided therein, *provided, however*, that if any Lease Payments due under the Lease Agreement remain unpaid at such termination of the Lease Agreement, then this Site Lease shall not terminate until the earlier of (i) ten (10) years after the final scheduled maturity date of the Certificates and (ii) the date on which the Certificates have been paid in full, and all amounts due to the [Insurer] (as defined in the Trust Agreement) have been paid in full; provided, however, that in no event shall the Term of this Site Agreement extend beyond [October 1], 20__.

The leasing by the Corporation to the District of the Property pursuant to the Lease Agreement shall not effect or result in a merger of the District's fee estate and its leasehold estate under the Lease Agreement. The Corporation shall continue to have and hold a leasehold estate in the Property pursuant to this Site Lease throughout the term hereof.

SECTION 5. Rental. The Corporation, and any assignee or successor in interest of the Corporation under this Site Lease, shall pay to the District as and for rental hereunder, the sum of \$1.00 for the rental period commencing on the date hereof and continuing to and including the date of termination of this Site Lease.

SECTION 6. Assignment. The District acknowledges and affirms the assignment by the Corporation of its rights under this Site Lease to the Trustee under the terms of the Assignment Agreement. The District hereby consents to such assignment. Upon the execution and delivery of the Assignment Agreement, references in the operative provisions hereof to the Corporation shall be deemed to be references to the Trustee, as assignee of the Corporation.

SECTION 7. Restrictions on District. The District agrees that, except with respect to Permitted Encumbrances, it will not mortgage, sell, encumber, assign, transfer or convey the Property or any portion thereof during the term of this Site Lease.

SECTION 8. Termination. Upon the termination of this Site Lease, the Corporation agrees to quit and surrender the Property without warranty as to condition, reasonable wear and

tear excepted, and agrees that any permanent improvements and structures existing upon the Property at the time of the termination of this Site Lease shall remain thereon and title thereto shall vest in the District.

SECTION 9. Quiet Enjoyment. At all times during the term of this Site Lease, the Corporation shall peaceably and quietly have, hold and enjoy all of the Property.

SECTION 10. Default. In the event that the Corporation shall be in default in the performance of any obligation on its part to be performed under the terms of this Site Lease, which default continues for thirty (30) days following written notice to and demand for correction thereof, the District, with the consent of the Trustee [and the Insurer so long as the Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy], may exercise any and all remedies granted by law which do not adversely affect the interests of the Owners of the Certificates; provided that the District may not terminate this Site Lease and shall exercise only remedies providing for specific performance hereunder; and provided further, that so long as any of the Certificates are Outstanding and unpaid in accordance with the terms thereof [or any amount is due to the Insurer], the Lease Payments assigned by the Corporation to the Trustee under the Assignment Agreement shall continue to be paid to the Trustee.

SECTION 11. Taxes. The District shall covenant and agree to pay any and all assessments of any kind or character and also all taxes, including possessory interest taxes, levied or assessed upon the Property pursuant to the Lease Agreement.

SECTION 12. Eminent Domain. In the event that the whole or any part of the Property is taken by eminent domain proceedings, the interest of the Corporation shall be recognized and is hereby determined to be the amount of unpaid Lease Payments and Additional Payments due the Corporation under the Lease Agreement.

SECTION 13. Severability. If any one or more of the terms, provisions, covenants or conditions of this Site Lease shall to any extent be declared invalid, unenforceable, void or voidable for any reason whatsoever by a final finding, decree or order of a court of competent jurisdiction, none of the remaining terms, provisions, covenants and conditions of this Site Lease shall be affected thereby, and each provision of this Site Lease shall be valid and enforceable to the fullest extent permitted by law.

SECTION 14. Compliance with Law and Regulations. The District has, after due inquiry, no knowledge and has not given or received any written notice indicating that the Property or the past or present use thereof or any practice, procedure or policy employed by it in the conduct of its business materially violates any applicable law, regulation, code, order, rule, judgment or consent agreement, including, without limitation, those relating to zoning, building, use and occupancy, fire, safety, health, sanitation, air pollution, ecological matters, environmental protection, hazardous or toxic materials, substances or wastes, conservation, parking, architectural barriers to the handicapped, or restrictive covenants or other agreements affecting title to the Property.

SECTION 15. Amendment of Site Lease; Addition to and Removal of Property. This Site Lease may be amended, including without limitation to substitute or remove all or a part of the Property leased hereunder[, with the prior written consent of the Insurer so long as the Insured Certificates are Outstanding and the Insurer is not in default with respect to its obligations with respect to the Insurance Policy,] and in accordance with the terms of the Lease Agreement.

SECTION 16. Applicable Law. This Site Lease shall be governed by and construed in accordance with the laws of the State of California.

SECTION 17. Representatives. Whenever under the provisions of this Site Lease the approval of the District is required, or the District is required to take any action at the request of the Corporation, such approval or such request shall be given for the District by the District Representative, and any party hereto shall be authorized to rely upon any such approval or request.

SECTION 18. Notices. All notices or other communications hereunder shall be given in the same manner as provided under the Lease Agreement.

SECTION 19. Captions. The captions or headings in this Site Lease are for convenience only and in no way define, limit or describe the scope or intent of any provision or Section of this Site Lease.

SECTION 20. Covenants and Warranties of the District. The District covenants and warrants to the Corporation that:

- (1) the District has good and marketable title to the Property and will cause this Site Lease to be recorded in the Recorder's Office for the County of Los Angeles;
- (2) except for Permitted Encumbrances, the Property is not currently subject to any dedication, easement, right of way, reservation in patent, covenant, condition, restriction, lien or encumbrance which would prohibit or materially interfere with the financing as contemplated by the Lease Agreement;
- (3) all taxes, assessments, or impositions of any kind with respect to the Property, except current taxes, have been paid in full;
- (4) the Property is properly zoned for its intended purposes;
- (5) the Property is integral for performing the District's governmental functions; and
- (6) the District will not abandon or vacate the Property.

SECTION 21. Warranties of the Corporation. The Corporation covenants and warrants to the District that the Corporation has the corporate power and authority to enter into, execute and deliver this Site Lease, and to perform all of its duties and obligations hereunder, and has duly authorized the execution and delivery hereof.

SECTION 22. Further Assurances and Corrective Instruments. The District and the Corporation agree that they will, from time to time, execute, acknowledge and deliver, or cause to be executed, acknowledged and delivered, such supplements hereto and such further instruments as may reasonably be required for correcting any inadequate or incorrect description of the Property hereby leased or intended so to be or for carrying out the expressed intention of this Site Lease, the Trust Agreement and the Lease Agreement.

SECTION 23. Indemnification and Hold Harmless Agreement. To the extent permitted by law, the District hereby agrees to defend, indemnify, protect, save, and keep harmless the Corporation and its officers, directors, employees, representatives, agents and affiliates and each of their respective successors and assigns from and against, any and all liabilities, obligations, losses, damages (including, without limitation, any and all consequential damages), taxes, impositions, penalties, fines, claims, actions, suits, costs, expenses, and disbursements (including, without limitation, any and all legal fees and expenses) of whatsoever kind and nature imposed on, asserted against, incurred by, or suffered by the Corporation or its directors, officers, employees, representatives, agents or affiliates or their respective successors and assigns in any way relating to or arising out of this Site Lease or the Lease Agreement.

SECTION 24. Third Party Beneficiary. The Trustee [and the Insurer are each] hereby designated a third party beneficiary hereunder for the purpose of enforcing any rights, remedy or claim hereunder.

SECTION 25. Execution in Counterparts. This Site Lease may be executed in any number of counterparts, each of which shall be deemed to be an original, and which together shall constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties have caused this Site Lease to be executed by their duly authorized officers as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
David D. Hart
Chief Business Officer

LAUSD FINANCING CORPORATION

By: _____
Joy Mayor
Secretary

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
 COUNTY OF LOS ANGELES)

On _____, before me,
 personally appeared _____ Date _____ Name and Title of Officer (e.g. "Jane Doe, Notary Public")

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

 Signature of Notary Public

Signature of Notary Public

EXHIBIT A**LEGAL DESCRIPTION OF THE PROPERTY**

THE LAND REFERRED TO HEREIN BELOW IS SITUATED IN THE CITY OF LOS ANGELES, IN THE COUNTY OF LOS ANGELES, STATE OF CALIFORNIA, AND IS DESCRIBED AS FOLLOWS:

[TO COME.]

HDW Draft – 5/15/23

Recording Requested By:)
Los Angeles Unified School District)
)
)
When Recorded Mail To:)
Hawkins Delafield & Wood LLP)
333 S. Grand Ave., Suite 3650)
Los Angeles, California 90071)
Attn.: Arto C. Becker)

This document is recorded for the benefit of the Los Angeles Unified School District, and recording is fee exempt under §6103 and §27383 of the Government Code.

SITE LEASE

dated as of [Dated Date]

by and between the

LOS ANGELES UNIFIED SCHOOL DISTRICT

and the

LAUSD FINANCING CORPORATION

relating to
2023 Lease

SITE LEASE

This Site Lease is dated as of [Dated Date], by and between the LOS ANGELES UNIFIED SCHOOL DISTRICT (the “District”), a school district organized and existing under the laws of the State of California, as lessor hereunder, and the LAUSD FINANCING CORPORATION, a nonprofit public benefit corporation duly organized and existing under the laws of the State of California (the “Corporation”), as lessee hereunder.

W I T N E S S E T H :

WHEREAS, the District desires to finance the costs of the acquisition, development and installation of certain equipment for use by the District in connection with its educational, administrative and ancillary activities, including the acquisition, development and installation of certain information technology systems, and the construction and improvement of school buildings and administrative and athletic structures and facilities, together with parking and transportation facilities and playgrounds (collectively, the “Project”), through the assignment of the Lease Agreement hereinafter referred to; and

WHEREAS, to facilitate such financing, the District proposes to enter into this Site Lease with the Corporation pursuant to which the District will lease certain real property and the improvements located thereon described in Exhibit A hereto (the “Property”) to the Corporation, as lessee hereunder; and

WHEREAS, concurrently with the execution of this Site Lease, the District will lease back the Property pursuant to the terms of a Lease Agreement, dated as of the date hereof (the “Lease Agreement”), by and between the Corporation and the District; and

WHEREAS, the Corporation will assign without recourse certain of its rights under this Site Lease and the Lease Agreement, including all of its rights to receive the Lease Payments (as defined in the Lease Agreement) scheduled to be paid by the District pursuant to the Lease Agreement, to [Assignee] (the “Assignee”), as Assignee under the Assignment Agreement, dated as of the date hereof (the “Assignment Agreement”), by and between the Corporation and the Assignee; and

NOW, THEREFORE, in consideration of the above premises and of the mutual covenants hereinafter contained and for other good and valuable consideration, the receipt and adequacy of which is hereby acknowledged, it is hereby mutually agreed as follows:

Section 1. Definitions; Section Headings. Unless the context otherwise requires, capitalized terms not otherwise defined herein shall have the meanings specified in the Lease Agreement. All section headings contained herein are for convenience of reference only and are not intended to define or limit scope of any provision hereof.

Section 2. Demised Premises. The District hereby leases to the Corporation and the Corporation hereby leases from the District the Property (and appurtenant easements for ingress and egress, for the furnishing of maintenance and support, and for parking), subject to the terms hereof and subject to any conditions, reservations, exceptions and rights of way which are of record.

Section 3. Ownership. The District is the owner of and has good, and will hold and maintain, indefeasible marketable fee simple to the real property and all building, property and improvements comprising the Property. The District is conveying an estate for a term of years in the Property to the Corporation pursuant to this Site Lease. In the event of a title or other defect that impairs the right to use and possession of all or a portion of the Property, the District covenants that it will inform the Assignee of such defect and (i) will either exercise its condemnation powers to the extent permitted by law to obtain the necessary rights in all or a portion of the Property to cure such defect and limitation of the right to use and possession or institute a quiet title action to clarify the District's title and will diligently pursue such action to completion or (ii) at the option of the District, use its best efforts to add or substitute property in accordance with Section 8.3 of the Lease Agreement for the portion of the Property of which the right to use and possession is affected.

Section 4. Term. The term of this Site Lease shall commence as of the date hereof and shall remain in effect until the termination of the Lease Agreement as provided therein, *provided, however,* that if any Lease Payments due under the Lease Agreement remain unpaid at such termination of the Lease Agreement, then this Site Lease shall not terminate until the earlier of (i) ten (10) years after the final scheduled Lease Payment Date and (ii) the date on which the Lease Payments have been paid in full, provided, however, that in no event shall the Term of this Site Agreement extend beyond October 1, 20[].

The leasing by the Corporation to the District of the Property pursuant to the Lease Agreement shall not effect or result in a merger of the District's fee estate and its leasehold estate under the Lease Agreement. The Corporation shall continue to have and hold a leasehold estate in the Property pursuant to this Site Lease throughout the term hereof.

Section 5. Rental. The Corporation, and any assignee or successor in interest of the Corporation under this Site Lease, shall pay to the District as and for rental hereunder, the sum of \$1.00 for the rental period commencing on the date hereof and continuing to and including the date of termination of this Site Lease.

Section 6. Assignment. The District acknowledges and affirms the assignment by the Corporation of its rights under this Site Lease to the Assignee under the terms of the Assignment Agreement. The District hereby consents to such assignment. Upon the execution and delivery of the Assignment Agreement, references in the operative provisions hereof to the Corporation shall be deemed to be references to the Assignee, as assignee of the Corporation.

Section 7. Restrictions on District. The District agrees that, except with respect to Permitted Encumbrances, it will not mortgage, sell, encumber, assign, transfer or convey the Property or any portion thereof during the term of this Site Lease.

Section 8. Termination. Upon the termination of this Site Lease, the Corporation agrees to quit and surrender the Property without warranty as to condition, reasonable wear and tear excepted, and agrees that any permanent improvements and structures existing upon the Property at the time of the termination of this Site Lease shall remain thereon and title thereto shall vest in the District.

Section 9. Quiet Enjoyment. At all times during the term of this Site Lease, the Corporation shall peaceably and quietly have, hold and enjoy all of the Property.

Section 10. Default. In the event that the Corporation shall be in default in the performance of any obligation on its part to be performed under the terms of this Site Lease, which default continues for thirty (30) days following written notice to and demand for correction thereof, the District, with the consent of the Assignee, may exercise any and all remedies granted by law which do not adversely affect the interests of the Assignee; provided that the District may not terminate this Site Lease and shall exercise only remedies providing for specific performance hereunder; and provided further, that so long any Lease Payments are unpaid in accordance with the terms of the Lease Agreement, the Lease Payments assigned by the Corporation to the Assignee under the Assignment Agreement shall continue to be paid to the Assignee.

Section 11. Taxes. The District shall covenant and agree to pay any and all assessments of any kind or character and also all taxes, including possessory interest taxes, levied or assessed upon the Property pursuant to the Lease Agreement.

Section 12. Eminent Domain. In the event that the whole or any part of the Property is taken by eminent domain proceedings, the interest of the Corporation shall be recognized and is hereby determined to be the amount of unpaid Lease Payments and Additional Payments due the Corporation under the Lease Agreement.

Section 13. Severability. If any one or more of the terms, provisions, covenants or conditions of this Site Lease shall to any extent be declared invalid, unenforceable, void or voidable for any reason whatsoever by a final finding, decree or order of a court of competent jurisdiction, none of the remaining terms, provisions, covenants and conditions of this Site Lease shall be affected thereby, and each provision of this Site Lease shall be valid and enforceable to the fullest extent permitted by law.

Section 14. Waiver of Personal Liability. All liabilities hereunder on the part of the Authority shall be solely corporate liabilities of the Corporation, and the District hereby releases each and every director, officer and employee of the Corporation of and from any personal or individual liability hereunder. No director, officer or employee of the Corporation shall at any time or under any circumstances be individually or personally liable hereunder for anything done or omitted to be done by the Corporation hereunder.

Section 15. Amendment of Site Lease. This Site Lease may be amended, including without limitation to substitute or remove all or a part of the Property leased hereunder in accordance with the terms of the Lease Agreement.

Section 16. Applicable Law. This Site Lease shall be governed by and construed in accordance with the laws of the State of California.

Section 17. Representatives. Whenever under the provisions of this Site Lease the approval of the District is required, or the District is required to take any action at the request of the Corporation, such approval or such request shall be given for the District by the District Representative, and any party hereto shall be authorized to rely upon any such approval or request.

Section 18. Notices. All notices or other communications hereunder shall be given in the same manner as provided under the Lease Agreement.

Section 19. Captions. The captions or headings in this Site Lease are for convenience only and in no way define, limit or describe the scope or intent of any provision or Section of this Site Lease.

Section 20. Warranties of the District. The District covenants and warrants to the Corporation that the District has the corporate power and authority to enter into, execute and deliver this Site Lease, and to perform all of its duties and obligations hereunder, and has duly authorized the execution and delivery hereof.

Section 21. Warranties of the Corporation. The Corporation covenants and warrants to the District that the Corporation has the corporate power and authority to enter into, execute and deliver this Site Lease, and to perform all of its duties and obligations hereunder, and has duly authorized the execution and delivery hereof.

Section 22. Further Assurances and Corrective Instruments. The District and the Corporation agree that they will, from time to time, execute, acknowledge and deliver, or cause to be executed, acknowledged and delivered, such supplements hereto and such further instruments as may reasonably be required for correcting any inadequate or incorrect description of the Property hereby leased or intended so to be or for carrying out the expressed intention of this Site Lease, the Lease Agreement and the Assignment Agreement.

Section 23. Indemnification and Hold Harmless Agreement. To the extent permitted by law, the District hereby agrees to defend, indemnify, protect, save, and keep harmless the Corporation and its officers, directors, employees, representatives, agents and affiliates and each of their respective successors and assigns from and against, any and all liabilities, obligations, losses, damages (including, without limitation, any and all consequential damages), taxes, impositions, penalties, fines, claims, actions, suits, costs, expenses, and disbursements (including, without limitation, any and all legal fees and expenses) of whatsoever kind and nature imposed on, asserted against, incurred by, or suffered by the Corporation or its directors, officers, employees, representatives, agents or affiliates or their respective successors and assigns in any way relating to or arising out of this Site Lease or the Lease Agreement.

Section 24. Third Party Beneficiary. The Assignee is hereby designated a third party beneficiary hereunder for the purpose of enforcing any rights, remedy or claim hereunder.

Section 25. Execution in Counterparts. This Site Lease may be executed in any number of counterparts, each of which shall be deemed to be an original, and which together shall constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties have caused this Site Lease to be executed by their duly authorized officers as of the date and year first above written.

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____
David D. Hart
Chief Business Officer

LAUSD FINANCING CORPORATION

By: _____
Joy Mayor
Secretary

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
 COUNTY OF LOS ANGELES)

On _____, before me,
 personally appeared _____ Date Name and Title of Officer (e.g., "Jane Doe, Notary Public")

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

 Signature of Notary Public

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
 COUNTY OF LOS ANGELES)

On _____, before me,
 personally appeared _____ Date Name and Title of Officer (e.g., "Jane Doe, Notary Public")

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

 Signature of Notary Public

EXHIBIT A**DESCRIPTION OF THE PROPERTY**

HDW – 4/17/23 Draft

Recording Requested By:)
Los Angeles Unified School District)
)
When Recorded Mail To:)
Hawkins Delafield & Wood LLP)
333 South Grand Ave., Suite 3650)
Los Angeles, California 90071)
Attn.: Diane K. Quan)

This document is recorded for the benefit of the Los Angeles Unified School District, and recording is fee exempt under §6103 and §27383 of the Government Code.

ASSIGNMENT AGREEMENT

dated as of [As of Date]

by and between the

LAUSD FINANCING CORPORATION

and

U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION,
as Trustee

\$(Principal Amount)
Certificates of Participation, 2023 Series A

ASSIGNMENT AGREEMENT

This ASSIGNMENT AGREEMENT, executed and entered into as of [As of Date], by the LAUSD FINANCING CORPORATION (the “Corporation”), a public benefit corporation duly organized and existing under and by virtue of the laws of the State of California and accepted by U.S. BANK TRUST COMPANY, NATIONAL ASSOCIATION, a national banking association duly organized and existing under the laws of the United States, as trustee (the “Trustee”) under that certain Trust Agreement, dated as of the date hereof (the “Trust Agreement”), by and among the LOS ANGELES UNIFIED SCHOOL DISTRICT (the “District”), a school district organized and existing under and by virtue of the Constitution and laws of the State of California, the Corporation and the Trustee;

W I T N E S S E T H :

WHEREAS, the Corporation and the District have authorized the sale and delivery of the Certificates of Participation, 2023 Series A (the “Certificates”) in the aggregate principal amount of \$[Principal Amount] evidencing undivided interests in lease payments to be made by the District under the herein referenced Lease Agreement to refinance certain items of equipment and capital improvements; and

WHEREAS, the Corporation and the District have executed and entered into a Site Lease, dated as of the date hereof and recorded concurrently herewith (the “Site Lease”), pursuant to which the District has leased to the Corporation certain real property and any improvements thereon (the “Property”), as provided therein; and

WHEREAS, the Corporation and the District have executed and entered into a Lease Agreement, dated as of the date hereof and recorded concurrently herewith (the “Lease Agreement”), pursuant to which the Corporation has leased the Property back to the District, as provided therein; and

WHEREAS, under and pursuant to the Lease Agreement, the District is obligated to make Lease Payments (as defined in the Trust Agreement) to the Corporation in consideration for the use and occupancy of the Property; and

WHEREAS, the Corporation desires to assign without recourse certain of its rights under the Site Lease and the Lease Agreement, including all of its rights to receive the Lease Payments scheduled to be paid by the District under and pursuant to the Lease Agreement, to the Trustee for the benefit of the owners of the Certificates; and

WHEREAS, in consideration of such assignment and the execution and entering into of the Trust Agreement, the Trustee has agreed to execute and deliver the Certificates; and

WHEREAS, all acts, conditions and things required by law to exist, to have happened and to have been performed precedent to and in connection with the execution and entering into of this Assignment Agreement do exist, have happened and have been performed in regular and due time, form and manner as required by law and the parties hereto are now duly authorized to execute and enter into this Assignment Agreement.

NOW, THEREFORE, in consideration of the above premises and of the mutual covenants hereinafter contained and for other good and valuable consideration, the receipt and adequacy of which is hereby acknowledged, the parties hereto do hereby agree as follows:

SECTION 1. Definitions. Unless the context otherwise requires, capitalized terms used herein shall have the meanings specified in the Trust Agreement.

SECTION 2. Assignment.

(a) Lease Agreement. The Corporation hereby assigns to the Trustee, provided, however that nothing contained in this Section shall abrogate the Corporation's rights to be indemnified as provided in the Lease Agreement:

(1) all right, title and interest of the Corporation in the Lease Agreement, including without limitation:

(A) the right to receive and collect all of the Lease Payments and Additional Payments from the District under the Lease Agreement;

(B) the right to receive and collect any proceeds of any insurance maintained pursuant to the Lease Agreement or any condemnation award rendered with respect to the Property;

(C) the right to take all actions and give all consents under the Lease Agreement, including without limitation, Section 5.11 (regarding liens), Section 8.2 (regarding subleases), Section 8.3 (regarding amendments and modifications and substitution and additions of property and facility and release of property) and Section 9.2 (regarding remedies on default);

(D) the right to exercise such rights and remedies conferred on the Corporation pursuant to the Lease Agreement as may be necessary or convenient (i) to enforce payment of the Lease Payments and Additional Payments, and any other amounts required to be deposited in the Lease Payment Fund or any other funds established under the Trust Agreement, or (ii) otherwise to protect the interests of the Corporation in the event of default by the District under the Lease Agreement;

(2) all right, title, and interest of the Corporation in the Site Lease; and

(3) all right, title, and interest of the Corporation in the funds and accounts (and the money and other property held therein) established pursuant to the Trust Agreement or the Lease Agreement.

(b) Assignment for Owners of the Certificates [and the Insurer]. All rights assigned by the Corporation shall be administered by the Trustee as assignee thereof according to the provisions of the Trust Agreement and for the equal and proportionate benefits of the Owners of the Certificates [and the Insurer, as provided in the Trust Agreement].

(c) Further Assurances. The Corporation shall make, execute and deliver any and all such further resolutions, instruments and assurances as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of this Assignment Agreement, and for the better assuring and confirming to the Trustee, for the benefit of the Owners of the Certificates, the right, title and interest intended to be sold, assigned and transferred pursuant hereto.

SECTION 3. Acceptance. The Trustee hereby accepts the foregoing assignment for the benefit of the Owners of the Certificates, subject to the conditions and terms of the Trust Agreement, and all such Lease Payments and Additional Payments shall be applied and all such rights so assigned shall be exercised by the Trustee under and pursuant to the Trust Agreement.

SECTION 4. Conditions. This Assignment Agreement shall confer no rights and shall impose no obligations upon the Trustee beyond those expressly provided in the Trust Agreement. The Trustee does not warrant the accuracy of the recitals hereto.

SECTION 5. No Other Claims. The Corporation hereby represents and warrants that there are no present and outstanding claims on Lease Payments or any other moneys assigned by the Corporation to the Trustee hereunder.

SECTION 6. Amendments of Assignment Agreement. This Assignment Agreement may be amended only in accordance with the provisions set forth in the Trust Agreement.

SECTION 7. Applicable Law. This Assignment Agreement shall be governed by and construed and interpreted in accordance with the laws of the State of California.

SECTION 8. Severability. If any agreement, condition, covenant or term hereof or any application hereof should be held by a court of competent jurisdiction to be invalid, void or unenforceable, in whole or in part, all agreements, conditions, covenants and terms hereof and all applications thereof not held invalid, void or unenforceable shall continue in full force and effect and shall in no way be affected, impaired or invalidated thereby.

SECTION 9. Execution in Counterparts. This Assignment Agreement may be executed in any number of counterparts, each of which shall be deemed to be an original and which together shall constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have executed and entered into this Assignment Agreement by their officers thereunto duly authorized as of the day and year first above written.

LAUSD FINANCING CORPORATION

By: _____
Joy Mayor
Secretary

U.S. BANK TRUST COMPANY, NATIONAL
ASSOCIATION, as Trustee

By: _____
Authorized Signatory

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
COUNTY OF LOS ANGELES)

On _____, before me,
personally appeared _____ Date _____ Name and Title of Officer (e.g. "Jane Doe, Notary Public")

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

Signature of Notary Public

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
 COUNTY OF LOS ANGELES)

On _____, before me,
 personally appeared _____ Date _____ Name and Title of Officer (e.g. "Jane Doe, Notary Public")

 Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

 Signature of Notary Public

EXHIBIT A**LEGAL DESCRIPTION OF THE PROPERTY**

THE LAND REFERRED TO HEREIN BELOW IS SITUATED IN THE CITY OF LOS ANGELES, IN THE COUNTY OF LOS ANGELES, STATE OF CALIFORNIA, AND IS DESCRIBED AS FOLLOWS:

[TO COME.]

HDW Draft – 4/28/23

Recording Requested By:)
 Los Angeles Unified School District)
)
 When Recorded Mail To:)
 Hawkins Delafield & Wood LLP)
 333 South Grand Ave., Suite 3650)
 Los Angeles, California 90071)
 Attn.: Arto C. Becker)

This document is recorded for the benefit of the Los Angeles Unified School District, and recording is fee exempt under §6103 and §27383 of the Government Code.

ASSIGNMENT AGREEMENT

dated as of [Dated Date]

by and between the

LAUSD FINANCING CORPORATION

and

[ASSIGNEE],
 as Assignee

relating to
 2023 Lease

ASSIGNMENT AGREEMENT

This ASSIGNMENT AGREEMENT, executed and entered into as of [Dated Date] (the “Assignment Agreement”), by the LAUSD FINANCING CORPORATION (the “Corporation”), a public benefit corporation duly organized and existing under and by virtue of the laws of the State of California and accepted by [ASSIGNEE], a _____, as assignee (the “Assignee”);

W I T N E S S E T H :

WHEREAS, the Corporation and the District have executed and entered into a Site Lease, dated as of the date hereof (the “Site Lease”), pursuant to which the District has leased to the Corporation certain real property and any improvements thereon (the “Property”), as provided therein; and

WHEREAS, the Corporation and the District have executed and entered into a Lease Agreement, dated as of the date hereof (the “Lease Agreement”), pursuant to which the Corporation has leased the Property back to the District, as provided therein; and

WHEREAS, under and pursuant to the Lease Agreement, the District is obligated to make Lease Payments (as defined in the Lease Agreement) to the Corporation in consideration for the use and occupancy of the Property; and

WHEREAS, the Corporation desires to assign without recourse certain of its rights under the Site Lease and the Lease Agreement, including all of its rights to receive the Lease Payments scheduled to be paid by the District under and pursuant to the Lease Agreement, to the Assignee; and

WHEREAS, all acts, conditions and things required by law to exist, to have happened and to have been performed precedent to and in connection with the execution and entering into of this Assignment Agreement do exist, have happened and have been performed in regular and due time, form and manner as required by law and the parties hereto are now duly authorized to execute and enter into this Assignment Agreement.

NOW, THEREFORE, in consideration of the above premises and of the mutual covenants hereinafter contained and for other good and valuable consideration, the receipt and adequacy of which is hereby acknowledged, the parties hereto do hereby agree as follows:

SECTION 1. Definitions; Section Headings. Unless the context otherwise requires, capitalized terms used herein shall have the meanings specified in the Lease Agreement. All section headings contained herein are for convenience of reference only and are not intended to define or limit scope of any provision hereof.

SECTION 2. Assignment.

(a) Lease Agreement. The Corporation hereby assigns to the Assignee, provided, however that nothing contained in this Section shall abrogate the Corporation’s rights to be indemnified as provided in the Lease Agreement:

(1) all right, title and interest of the Corporation in the Lease Agreement, including without limitation:

(A) the right to receive and collect all of the Lease Payments and Additional Payments from the District under the Lease Agreement;

(B) the right to receive and collect any proceeds of any insurance maintained pursuant to the Lease Agreement or any condemnation award rendered with respect to the Property;

(C) the right to take all actions and give all consents under the Lease Agreement, including without limitation, Section 5.11 (regarding liens), Section 8.2 (regarding subleases), Section 8.3 (regarding amendments and modifications and substitution and additions of property and facility and release of property) and Section 9.2 (regarding remedies on default);

(D) the right to exercise such rights and remedies conferred on the Corporation pursuant to the Lease Agreement as may be necessary or convenient (i) to enforce payment of the Lease Payments and Additional Payments, and any other amounts required to be paid pursuant to the Lease Agreement or any other funds established under the Lease Agreement, or (ii) otherwise to protect the interests of the Corporation in the event of default by the District under the Lease Agreement;

(2) all right, title, and interest of the Corporation in the Site Lease; and

(3) all right, title, and interest of the Corporation in the funds and accounts (and the money and other property held therein) established pursuant to the Lease Agreement.

(b) Assignment for Assignee. All rights assigned by the Corporation shall be for the benefit of the Assignee, as provided in this Assignment Agreement. The Assignee hereby accepts the foregoing assignment.

(c) Further Assurances. The Corporation shall make, execute and deliver any and all such further resolutions, instruments and assurances as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of this Assignment Agreement, and for the better assuring and confirming to the Assignee the right, title and interest intended to be sold, assigned and transferred pursuant hereto.

(d) Limitation on Further Assignment by Assignee. The Assignee agrees not to assign or sell or otherwise dispose of its interests hereunder except in whole to an affiliate of the Assignee, “qualified institutional buyer” (as defined under Rule 144A of the Securities Act of 1933, as amended) or “accredited investors” (as defined in Rule 501 of Regulation D under the Securities Act of 1933, as amended) if such affiliate, qualified institutional buyer, or accredited investor delivers a letter in the form and substance attached hereto as Exhibit B.

SECTION 3. No Other Claims. The Corporation hereby represents and warrants that there are no present and outstanding claims on Lease Payments or any other moneys assigned by the Corporation to the Assignee hereunder.

SECTION 4. Amendments of Assignment Agreement. This Assignment Agreement may be amended only in accordance with the provisions set forth in the Lease Agreement.

SECTION 5. Applicable Law. This Assignment Agreement shall be governed by and construed and interpreted in accordance with the laws of the State of California.

SECTION 6. Severability. If any agreement, condition, covenant or term hereof or any application hereof should be held by a court of competent jurisdiction to be invalid, void or unenforceable, in whole or in part, all agreements, conditions, covenants and terms hereof and all applications thereof not held invalid, void or unenforceable shall continue in full force and effect and shall in no way be affected, impaired or invalidated thereby.

SECTION 7. Execution in Counterparts. This Assignment Agreement may be executed in any number of counterparts, each of which shall be deemed to be an original and which together shall constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have executed and entered into this Assignment Agreement by their officers thereunto duly authorized as of the day and year first above written.

LAUSD FINANCING CORPORATION

By: _____
Joy Mayor
Secretary

[ASSIGNEE]

By: _____
Authorized Signatory

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

[illegible]

On _____, before me,
Date _____ Name and Title of Officer (e.g., “Jane Doe, Notary Public”)
personally appeared _____

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

Signature of Notary Public

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

STATE OF CALIFORNIA)
) ss.
COUNTY OF LOS ANGELES)

On _____, before me,
personally appeared _____ Date Name and Title of Officer (e.g., "Jane Doe, Notary Public")

Name of Signer(s)

who proved to me on the basis of satisfactory evidence to the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Place Notary Seal Above

Signature of Notary Public

EXHIBIT A**DESCRIPTION OF THE PROPERTY**

EXHIBIT B**FORM OF INVESTOR LETTER**

[PURCHASER'S LETTER]

**LOS ANGELES UNIFIED SCHOOL DISTRICT
(County of Los Angeles, California)**

**[\$[Principal Amount]
Certificates of Participation, 2023 Series A
Evidencing Proportionate and Undivided Interests of the Owners
thereof in Lease Payments to be made by the
Los Angeles Unified School District**

CONTRACT OF PURCHASE

[Sale Date]

Los Angeles Unified School District
c/o Office of the Chief Business Officer
333 S. Beaudry Avenue, 26th Floor
Los Angeles, California 90017

LAUSD Financing Corporation
Los Angeles Unified School District
c/o Office of the Chief Business Officer
333 S. Beaudry Avenue, 26th Floor
Los Angeles, California 90017

Ladies and Gentlemen:

The undersigned, [Representative], on its own behalf and as representative (the “Representative”) of the Underwriters identified on the signature page hereof (collectively, the “Underwriters”) hereby offers to enter into this Contract of Purchase (the “Purchase Contract”) with the Los Angeles Unified School District (the “District”) and the LAUSD Financing Corporation (the “Corporation”), which, upon your acceptance hereof, will be binding upon the District, the Corporation and the Underwriters. This offer is made subject to the written acceptance of this Purchase Contract by the District and the Corporation and delivery of such acceptance to us at or prior to 11:59 PM, California Time, on the date hereof.

1. Purchase and Sale of the Certificates.

A. Upon the terms and conditions and in reliance upon the representations, warranties and agreements set forth herein, the Underwriters hereby agree to purchase from the District for reoffering to the public, and the District hereby agrees to sell to the Underwriters for such purpose, all (but not less than all) of the District’s \$[Principal Amount] Certificates of Participation, 2023 Series A (the “Certificates”). The Certificates shall be executed and delivered in the form of current interest certificates in such principal amounts as set forth in Exhibit A hereto and shall be executed and delivered in fully registered form in the authorized denominations of \$5,000 or any integral multiple thereof. Interest evidenced by the Certificates is payable semiannually on April 1 and October 1 of each year, commencing on [FIPD].

B. The Underwriters shall purchase the Certificates at a price of \$[_____] (the "Purchase Price") (which represents the aggregate principal amount of the Certificates, plus original issue premium of \$[_____] and less an Underwriters' discount in the amount of \$[_____]). [From the Purchase Price for the Certificates, the Underwriters shall withhold and hereby agree to wire on the Closing Date (as defined below) \$_____ in immediately available funds to _____ (the "Insurer") to pay the premium for the Insurance Policy (as defined below).]

C. Any authority, discretion, or other power conferred upon the Underwriters by this Purchase Contract shall be exercised by the Representative alone.

2. **The Certificates.**

A. The Certificates shall be dated their date of delivery, shall evidence interest at the rates, shall mature in the years and amounts and shall have the prepayment provisions as set forth in Exhibit A hereto. The Certificates are being executed and delivered pursuant to a Trust Agreement, dated as of [Dated Date] (the "Trust Agreement"), by and among U.S. Bank Trust Company, National Association, as trustee (the "Trustee"), the Corporation and the District. The Certificates will evidence proportionate and undivided ownership interest in certain lease payments (the "Lease Payments") to be made by the District under the Lease Agreement, dated as of [Dated Date] (the "Lease Agreement"), by and between the District, as lessee, and the Corporation, as lessor. Pursuant to the Lease Agreement, the District will pay the Lease Payments in consideration for use and occupancy of certain real property owned by the Corporation (the "Property"), which the District will initially lease to the Corporation pursuant to a Site Lease, dated as of [Dated Date] (the "Site Lease"), by and between the Corporation and the District and the District subleases it back from the Corporation pursuant to the Lease Agreement. The Corporation will assign to the Trustee its right to receive Lease Payments pursuant to an Assignment Agreement, dated as of [Dated Date] (the "Assignment Agreement"), by and between the Corporation and the Trustee.

B. Upon the written acceptance of this Purchase Contract by the District, and the Corporation, the Representative, on behalf of the Underwriters, shall deliver, within twenty-four (24) hours of such acceptance, by federal funds wire transfer to the Trustee, for the account of the District, the amount of \$[Good Faith Deposit] as a good-faith deposit ("Good Faith Deposit") for the performance by the Underwriters of their obligations to accept and pay for the Certificates at Closing (as defined herein) in accordance with the provisions of this Purchase Contract. Upon receipt, such amount shall be held by the District pending Closing (except as provided below), although the proceeds thereof may be invested by the District pending the Closing. At the Closing, the Underwriters shall pay or cause to be paid the Purchase Price of the Certificates, less the amount of such Good Faith Deposit, without accrued interest, and thereupon the District shall apply the amount of the Good Faith Deposit, to the payment of the balance of such Purchase Price. In the event of the District's inability to deliver the Certificates at the Closing, or if the District or the Corporation is unable to satisfy the conditions to the Underwriters' obligations contained herein (unless such conditions are waived by the Underwriters), or if the Underwriters' obligations shall be terminated for any reason permitted hereby, the District shall forthwith return the amount of the Good Faith Deposit, without accrued interest, to the Representative immediately and such return shall constitute a full release and discharge of all claims by the Underwriters against the

District or the Corporation arising out of the transactions contemplated by this Purchase Contract. In the event that the Underwriters fail (other than for a reason permitted hereby) to accept and pay for the Certificates at the Closing as herein provided, the proceeds of the Good Faith Deposit, shall be retained and applied by the District in full and complete liquidated damages (and not as a penalty) for such failure and as a discharge of all damages suffered on the part of the District and the Corporation as a result of such failure.

C. The Certificates shall be executed and delivered under and in accordance with the provisions of this Purchase Contract and the Trust Agreement. The Certificates shall be in definitive form, shall bear CUSIP numbers and shall be in fully registered form, registered in the name of Cede & Co., as nominee of The Depository Trust Company (“DTC”). [The scheduled payment of principal and interest evidenced by the Certificates maturing on October 1 of the years 20__ through 20__, inclusive (collectively, the “Insured Certificates”) when due will be guaranteed under a municipal bond insurance policy (the “Insurance Policy”) to be issued concurrently with the execution and delivery of the Insured Certificates by the Insurer guaranteeing such payment.]

3. **Use of Documents.** The District and the Corporation hereby authorize the Underwriters to use, in connection with the offer and sale of the Certificates, the Site Lease, the Lease Agreement, the Trust Agreement, the Assignment Agreement, the resolution of the Board of Education of the District, adopted on June 13, 2023 (the “District Resolution”) and the Board of Directors of the Corporation, adopted on June 13, 2023 (the “Corporation Resolution” and collectively, the “Resolutions”), this Purchase Contract, a Preliminary Official Statement and an Official Statement (both as defined herein), and all information contained herein and therein and all of the documents, certificates or statements furnished by the District to the Underwriters in connection with the transactions contemplated by this Purchase Contract.

4. **Public Offering of the Certificates.**

A. The Representative, on behalf of the Underwriters, agrees to make a bona fide initial public offering of all the Certificates at prices no higher than, or yields no lower than, those set forth on Exhibit A hereto. Subsequent to such initial public offering but subject to the provisions set forth below, the Underwriters reserves the right to lower such initial offering prices as the Representative deems necessary in connection with the marketing of the Certificates; provided, however, that the Representative shall not change the interest rates set forth in Exhibit A. Subject to the provisions set forth below, the Underwriters may offer and sell the Certificates to certain dealers (including dealers depositing the Certificates into investment trusts) and others at prices lower than the initial public offering price or prices set forth on Exhibit A hereto. The Underwriters also reserve the right to (i) over-allot or effect transactions which stabilize or maintain the market price of the Certificates at levels above those that might otherwise prevail in the open market and (ii) discontinue such stabilizing, if commenced, at any time without prior notice. The Representative, on behalf of the Underwriters, agrees to assist the District in establishing the issue price of the Certificates and shall execute and deliver to the District at Closing an “issue price” or similar certificate, together with the supporting pricing wires or equivalent communications, substantially in the form attached hereto as Exhibit D, with such modifications as may be appropriate or necessary, in the reasonable judgment of the Representative, the District and Special Counsel (as defined herein), to accurately reflect, as

applicable, the sales price or prices or the initial offering price or prices to the public of the Certificates. All actions to be taken by the District under this section to establish the issue price of the Certificates may be taken on behalf of the District by the District's municipal advisor, Public Resources Advisory Group (the "Municipal Advisor") and any notice or report to be provided to the District may be provided to the District's Municipal Advisor.

B. Except as otherwise set forth in Exhibit D attached hereto, the District will treat the first (meaning single) price at which 10% of each maturity of the Certificates (the "10% test") is sold to the public as the issue price of that maturity (if different interest rates apply within a maturity, each separate CUSIP number within that maturity will be subject to the 10% test). At or promptly after the execution of this Purchase Contract, the Representative shall report to the District the price or prices at which the Underwriters have sold to the public each maturity of Certificates.

C. The Representative confirms that the Underwriters have offered the Certificates to the public on or before the date of this Purchase Contract at the offering price or prices (the "initial offering price"), or at the corresponding yield or yields as set forth in Exhibit A attached hereto, and the 10% test has been satisfied with respect to each maturity of the Certificates as of the sale date, except as otherwise set forth therein, Exhibit A also sets forth, as of the date hereof, the maturities, if any of the Certificates for which the Representative represents that (i) the 10% test has been satisfied, and (ii) the 10% test has not been satisfied and for which the District and the Representative, on behalf of the Underwriters, agree that the restrictions set forth in the next sentence shall apply, which will allow the District to treat the initial offering price to the public of each such maturity as of the sale date as the issue price of that maturity (the "hold-the-offering-price rule"). So long as the hold-the-offering-price rule remains applicable to any maturity of the Certificates, the Underwriters will neither offer nor sell unsold Certificates of that maturity to any person at a price that is higher than the initial offering price to the public during the period starting on the sale date and ending on the earlier of the following: (x) the close of the fifth (5th) business day after the sale date; or (y) the date on which the Underwriters have sold at least 10% of that maturity of the Certificates to the public at a price that is no higher than the initial offering price to the public.

The District acknowledges that, in making the representation set forth in this subsection, the Representative will rely on (i) the agreement of each Underwriter to comply with the hold-the-offering-price rule, as set forth in an agreement among underwriters and the related pricing wires, (ii) in the event a selling group has been created in connection with the initial sale of the Certificates to the public, the agreement of each dealer who is a member of the selling group to comply with the hold-the-offering-price rule, if applicable, as set forth in a selling group agreement and the related pricing wires, and (iii) in the event that an Underwriter is a party to a retail distribution agreement that was employed in connection with the initial sale of the Certificates to the public, the agreement of each broker-dealer that is a party to such agreement to comply with the hold-the-offering-price rule, if applicable, as set forth in the retail distribution agreement and the related pricing wires. The District further acknowledges that each Underwriter shall be solely liable for its failure to comply with its agreement regarding the hold-the-offering-price rule and that no Underwriter shall be liable for the failure of any other Underwriter, or of any dealer who is a member of a selling group, or of any broker-dealer that is a party to a retail distribution

agreement, to comply with its corresponding agreement regarding the hold-the-offering-price rule as applicable to the Certificates.

D. The Representative confirms that:

(1) any agreement among underwriters, any selling group agreement and any retail distribution agreement (to which the Representative is a party) relating to the initial sale of the Certificates to the public, together with the related pricing wires, contains or will contain language obligating each Underwriter, dealer who is a member of the selling group, and each broker-dealer that is a party to such retail distribution agreement, as applicable, to (A)(i) report the prices at which it sells to the public the unsold Certificates of each maturity allotted to it until it is notified by the Representative that either the 10% test has been satisfied as to the Certificates of that maturity or all Certificates of that maturity have been sold to the public and (ii) comply with the hold-the-offering-price rule, if applicable, in each case if and for so long as directed by the Representative and as set forth in the related pricing wires, (B) promptly notify the Representative of any sales of the Certificates that, to its knowledge, are made to a purchaser who is a related party to an underwriter participating in the initial sale of the Certificates to the public (each such term being used as defined below), and (C) acknowledge that, unless otherwise advised by the Underwriter, dealer or broker-dealer, the Representative shall assume that each order submitted by the dealer or broker-dealer is a sale to the public; and

(2) any agreement among underwriters relating to the initial sale of the Certificates to the public, together with the related pricing wires, contains or will contain language obligating each Underwriter that is a party to a retail distribution agreement to be employed in connection with the initial sale of the Certificates to the public to require each broker-dealer that is a party to such retail distribution agreement to (A) report the prices at which it sells to the public the unsold Certificates of each maturity allotted to it until it is notified by the Representative or the Underwriter that either the 10% test has been satisfied as to the Certificates of that maturity or all Certificates of that maturity have been sold to the public and (B) comply with the hold-the-offering-price rule, if applicable, in each case if and for so long as directed by the Representative or the Underwriter and as set forth in the related pricing wires.

E. The Underwriters acknowledge that sales of any Certificates to any person that is a related party to an Underwriter shall not constitute sales to the public for purposes of this section. Further, for purposes of this section:

(1) “public” means any person other than an underwriter or a related party;

(2) “underwriter” means (A) any person that agrees pursuant to a written contract with the District (or with the lead underwriter to form an underwriting syndicate) to participate in the initial sale of the Certificates to the public and (B) any person that agrees pursuant to a written contract directly or indirectly with a person described in clause (A) to participate in the initial sale of the Certificates to the public (including a member of a selling group or a party to a retail distribution agreement participating in the initial sale of the Certificates to the public);

(3) a purchaser of any of the Certificates is a “related party” to an underwriter if the underwriter and the purchaser are subject, directly or indirectly, to (i) more than 50%

common ownership of the voting power or the total value of their stock, if both entities are corporations (including direct ownership by one corporation of another), (ii) more than 50% common ownership of their capital interests or profits interests, if both entities are partnerships (including direct ownership by one partnership of another), or (iii) more than 50% common ownership of the value of the outstanding stock of the corporation or the capital interests or profit interests of the partnership, as applicable, if one entity is a corporation and the other entity is a partnership (including direct ownership of the applicable stock or interests by one entity of the other); and

(4) “sale date” means the date of execution of this Purchase Contract by all parties.

5. **Review of Official Statement.**

A. The Underwriters hereby represent that they have received and reviewed the official statement in preliminary form with respect to the Certificates, dated [POS Date] (the “Preliminary Official Statement”). The District represents that it has deemed the Preliminary Official Statement to be final as of its date, except for either revisions to or additions of the initial public offering prices, interest rates, yields, selling compensation, aggregate principal amount, principal amount per maturity, delivery date, ratings, credit enhancement and other terms of the Certificates which depend upon the foregoing as provided in and pursuant to Rule 15c2-12 of the Securities and Exchange Commission under the Securities and Exchange Act of 1934, as amended (“Rule 15c2-12”).

B. The Underwriters agree that prior to the time the final official statement (the “Official Statement”) relating to the Certificates is available, the Underwriters will make available to any potential purchaser of the Certificates, upon the request of such potential purchaser, a copy of the most recent Preliminary Official Statement. Such Preliminary Official Statement shall be sent by first class mail (or other equally prompt means) or electronic copy posted on an accessible website not later than the next business day following the date upon which each such request is received.

C. The Underwriters agree to file the Official Statement with the Municipal Securities Rulemaking Board (“MSRB”) through its Electronic Municipal Market Access system within one business day after receipt thereof from the District, but in no event later than the Closing Date (as defined below).

D. References herein to the Preliminary Official Statement and the Official Statement include the cover page through all appendices, exhibits, reports and statements included therein or attached thereto, as the same may be amended or supplemented from time to time.

6. **Closing.**

A. At 9:00 A.M., California Time, on [Closing Date], or at such other time or on such other date as shall have been mutually agreed upon by the parties hereto (the “Closing,” or the “Closing Date”), the District will direct the Trustee and registrar of the Certificates, to deliver to the account of the Representative, through the facilities of DTC, or at such other place as the District and the Representative may mutually agree upon, the Certificates duly executed and

in fully registered, book-entry form, and will cause the other documents hereinafter mentioned pertaining to the Certificates to be delivered at the offices of Hawkins Delafield & Wood LLP, Special Counsel (“Special Counsel”) in Los Angeles, California or at such other place as shall have been mutually agreed upon by the parties hereto.

B. Upon fulfillment of all conditions to Closing herein, the Underwriters will accept such delivery and pay the Purchase Price thereof in immediately available funds (by check, wire transfer or such other manner of payment as the Underwriters and the Chief Business Officer of the District shall reasonably agree upon) to the Trustee for the account of the District, as provided by Section 1 hereof, less the Good Faith Deposit, as provided by Section 2 hereof.

7. **Representations, Warranties and Agreements of the District.** The District hereby represents, warrants and agrees with the Underwriters that:

A. The District is a unified school district validly existing under the laws of the State of California (the “State”), with the power to execute and deliver the Certificates.

B. (i) At or prior to the Closing, the District will have taken all action required to be taken by it to authorize the execution and delivery of the Certificates; (ii) the District has full legal right, power and authority to execute and deliver this Purchase Contract, the Site Lease, the Lease Agreement, the Trust Agreement and the Continuing Disclosure Certificate (as defined below), to adopt the District Resolution, to execute and to deliver the Certificates, and to perform its obligations under each such document or instrument (collectively, the “District Documents”), and to carry out and effectuate the transactions contemplated by the District Documents; (iii) the execution and delivery or adoption of, and the performance by the District of its obligations contained in, the Certificates and the other District Documents have been duly authorized and such authorization shall be in full force and effect at the time of the Closing; (iv) this Purchase Contract constitutes, and each of the Certificates, when executed, authenticated, delivered and sold to the Underwriters as provided herein, and each of the other District Documents, when duly executed and delivered, will constitute, a valid and legally binding obligation of the District, enforceable against the District in accordance with its terms; and (v) the District has duly authorized the consummation by it of all transactions contemplated by the District Documents.

C. No consent, approval, authorization, order, filing, registration, qualification, election or referendum, of or by any court or governmental agency or public body whatsoever is required in connection with the execution, delivery or sale of the Certificates or the consummation of the other transactions effected or contemplated herein or hereby, except for such actions as may be necessary to qualify the Certificates for offer and sale under the Blue Sky or other securities laws and regulations of such states and jurisdictions of the United States as the Underwriters may reasonably request, or which have not been taken or obtained; *provided, however*, that the District shall not be required to subject itself to service of process in any jurisdiction in which it is not so subject as of the date hereof.

D. The District is not in breach of or in default under any applicable constitutional provision, law or administrative regulation of the State or the United States relating to the execution of the Certificates or any applicable judgment or decree or any trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the

District is a party or to which the District or any of its property or assets is otherwise subject, and no event has occurred and is continuing which, with the passage of time or the giving of notice, or both, would constitute, in any manner which would adversely affect the transactions contemplated hereby, a default or event of default by the District under any of the foregoing.

E. The execution and delivery of the Certificates, the adoption, execution, delivery and performance of the District Documents, and the compliance with the provisions of the District Documents do not conflict with or result in on the part of the District a violation or breach of, or default under, any applicable constitutional provision, law or administrative rule or regulation of the State or the United States, or any applicable judgment or decree or any trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the District is a party or to which the District or any of its property or assets is otherwise subject, where such conflict, violation, breach or default, individually or in the aggregate, shall result in a material adverse change to the District that materially and adversely affects the ability of the Underwriters to market the Certificates or enforce contracts of sale on the Certificates.

F. As of the time of acceptance hereof, except as provided in the Official Statement, no action, suit, proceeding, hearing or investigation is pending (in which service of process has been completed against the District) or, to the best knowledge of the District, after due investigation, threatened against the District: (i) in any way affecting the existence of the District or in any way challenging the respective powers of the several offices or the titles of the officials of the District to such offices; or (ii) seeking to restrain or enjoin the sale, execution or delivery of any of the Certificates, the application of the proceeds of the sale of the Certificates, or in any way contesting or affecting the validity or enforceability of the Certificates or the other District Documents or contesting the powers of the District or its authority with respect to the Certificates or the other District Documents; (iii) contesting the completeness or accuracy of the Preliminary Official Statement; or (iv) in which a final adverse decision could (a) materially adversely affect the operations of the District or the consummation of the transactions contemplated by the District Documents, (b) declare this Purchase Contract to be invalid or unenforceable in whole or in material part, or (c) adversely affect the exclusion of the interest paid on the Certificates from gross income for federal income tax purposes or the exemption of the interest paid on the Certificates from State personal income taxation.

G. Between the date hereof and the Closing, without the prior written consent of the Representative, the District will not have issued in the name of the District any bonds, notes or other obligations for borrowed money except for such borrowing as may be described in or contemplated by the Official Statement.

H. The Preliminary Official Statement was as of its date (excluding information permitted to be omitted pursuant to Rule 15c2-12), and the Official Statement is, and at all times subsequent to the date of the Official Statement (or in the case of any amendment to the Official Statement pursuant to Section 7. L. of this Purchase Contract, at the date of the delivery of the Official Statement, as amended) up to and including the Closing will be, true and correct in all material respects, and the Preliminary Official Statement and the Official Statement contain, and up to and including the Closing will contain, no untrue statement of any material fact and do not, and up to and including the Closing will not, omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made,

not misleading. At the time of the Closing, there shall not have been any material adverse changes in the financial condition of the District since the date of the Official Statement;

I. To assist the Underwriters in complying with Rule 15c2-12, the District will undertake, pursuant to the District Resolution and the Continuing Disclosure Certificate dated the Closing Date (the “Continuing Disclosure Certificate”), to provide annual reports and notices of certain events. A description of this undertaking is set forth in the Preliminary Official Statement and will be set forth in the Official Statement. Except as disclosed in the Preliminary Official Statement and the Official Statement, the District has not failed to comply in all material respects with any of its prior disclosure undertakings pursuant to Rule 15c2-12 in the last five years.

J. Any certificates signed by any officer of the District and delivered to the Underwriters shall be deemed a representation and warranty by the District to the Underwriters, but not by the person signing the same in such person’s individual capacity, as to the statements made therein;

K. Preparation and distribution of the Preliminary Official Statement and the Official Statement has been duly authorized by the District, and at the time of delivery of the Official Statement (or in the case of any amendment to the Official Statement pursuant to Section 7. L. of this Purchase Contract, at the time of the delivery of the Official Statement, as amended) to the Underwriters and at all times subsequent thereto up to and including the Closing Date, the information contained therein (excluding the statements and information in Appendix C – “Book-Entry Only System” and any information provided by the Underwriters in writing for inclusion in the Official Statement) will be true and correct in all material respects and such information will not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading.

L. The District agrees that if at any time before the Closing any event occurs as a result of which the Official Statement as then in effect would include any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading, then the District shall promptly prepare or cause to be prepared and furnish (at the expense of the District) an amendment or supplement to the Official Statement that will correct such statement or omission. The District will advise the Representative promptly of any proposal to so amend or supplement the Official Statement and will effect such amendment or supplement in a form and manner approved by the Representative.

M. The audited financial statements of the District for the fiscal year ended June 30, 2022 (selected information from which is included as Appendix B to the Official Statement) were prepared in accordance with generally accepted accounting principles consistently applied and fairly present the financial position and results of operation of the District for the period and at the date set forth therein, and there has been no material adverse change in the business, affairs, financial position, results of operations or condition, financial or otherwise, of the District since the date of such financial statements, except as otherwise disclosed in the Official Statement.

N. The District Resolution has been duly adopted, has not been modified, repealed or rescinded in any respect, and is in full force and effect.

8. **Covenants of the District.** The District covenants and agrees with the Underwriters that:

A. The District will furnish such information, execute such instruments, and take such other action in cooperation with the Underwriters if and as the Underwriters may reasonably request in order to qualify the Certificates for offer and sale under the Blue Sky or other securities laws and regulations of such states and jurisdictions, as the Underwriters may reasonable request, provided, however, that the District shall not be required to consent to service of process in any jurisdiction in which it is not so subject as of the date hereof.

B. The District hereby agrees to deliver or cause to be delivered to the Underwriters, not later than the earlier of (i) the third (3rd) business day preceding the Closing Date or (ii) the seventh (7th) business day following the date this Purchase Contract is signed, the Official Statement substantially in the form of the Preliminary Official Statement, with only such changes therein as shall have been accepted by the Underwriters and the District, in “designated electronic format” (as defined in Rule G-32 of the MSRB), and in printed form in such reasonable quantities as may be requested by the Underwriters in order to permit the Underwriters to comply with paragraph (b)(4) of Rule 15c2-12 and with the rules of the MSRB.

C. The District hereby agrees to promptly notify the Underwriters of any event or occurrence that may affect the accuracy or completeness of any information set forth in the Preliminary Official Statement or the Official Statement relating to the District until the date which is twenty-five (25) days following the Closing.

D. If at any time prior to the expiration of twenty-five (25) days following the “end of the underwriting period” (as defined in Rule 15c2-12), any event known to the District relating to or affecting the District or the Certificates occurs which might cause the Official Statement to contain any untrue statement of a material fact or to omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading, the District will promptly notify the Underwriters in writing of the circumstances and details of such event. If, as a result of such event or any other event, it is necessary, in the reasonable opinion of Orrick, Herrington & Sutcliffe LLP, Disclosure Counsel to the District (“Disclosure Counsel”), or the Representative, to amend or supplement the Official Statement so that the Official Statement does not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading, and if either shall have so advised the District, the District will forthwith cooperate with the Underwriters in the prompt preparation and furnishing to the Underwriters, at the expense of the District, of a reasonable number of copies of an amendment of or a supplement to the Official Statement, in form and substance satisfactory to the Underwriters, which will so amend or supplement the Official Statement so that, as amended or supplemented, it will not contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading. The District

will presume that unless otherwise notified in writing by the Representative, the end of the underwriting period will occur on the date of delivery of the Certificates; and

E. To assist the Underwriters in complying with Rule 15c2-12 and for the benefit of the holders and beneficial owners of the Certificates, the District will undertake to provide annual reports and notices of certain events pursuant to a continuing disclosure certificate dated the date of Closing (the “Continuing Disclosure Certificate”).

9. **Representations, Warranties and Agreements of the Corporation.** The Corporation hereby covenants, represents, warrants and agrees that:

A. The Corporation is a nonprofit public benefit corporation duly organized and existing under and by virtue of the laws of the State.

B. (i) At or prior to the Closing, the Corporation will have taken all action required to be taken by it to authorize the execution and delivery of the Certificates; (ii) the Corporation has full legal right, power and authority to execute and deliver this Purchase Contract, the Site Lease, the Lease Agreement, the Trust Agreement, the Assignment Agreement, to adopt the Corporation Resolution and to perform its obligations under each such document or instrument (collectively, the “Corporation Documents”), and to carry out and effectuate the transactions contemplated by the Corporation Documents; (iii) the execution and delivery or adoption of, and the performance by the Corporation of its obligations contained in the Corporation Documents have been duly authorized and such authorization shall be in full force and effect at the time of the Closing; (iv) this Purchase Contract constitutes and each of the other Corporation Documents, when duly executed and delivered, will constitute, a valid and legally binding obligation of the Corporation, enforceable against the Corporation in accordance with its terms; and (v) the Corporation has duly authorized the consummation by it of all transactions contemplated by the Corporation Documents.

C. No consent, approval, authorization, order, filing, registration, qualification, election or referendum, of or by any court or governmental agency or public body whatsoever is required in connection with the execution, delivery or sale of the Certificates or the consummation of the other transactions effected or contemplated herein or hereby, except for such actions as may be necessary to qualify the Certificates for offer and sale under the Blue Sky or other securities laws and regulations of such states and jurisdictions of the United States as the Underwriters may reasonably request, or which have not been taken or obtained; *provided, however*, that the Corporation shall not be required to subject itself to service of process in any jurisdiction in which it is not so subject as of the date hereof.

D. The Corporation is not in breach of or in default under any applicable constitutional provision, law or administrative regulation of the State or the United States relating to the execution of the Certificates or any applicable judgment or decree or any trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the Corporation is a party or to which the Corporation or any of its property or assets is otherwise subject, and no event has occurred and is continuing which, with the passage of time or the giving of notice, or both, would constitute, in any manner which would adversely affect the transactions contemplated hereby, a default or event of default by the Corporation under any of the foregoing.

E. The adoption, execution, delivery and performance of the Corporation Documents, and the compliance with the provisions of the Corporation Documents do not conflict with or result in on the part of the Corporation a violation or breach of, or default under, any applicable constitutional provision, law or administrative rule or regulation of the State or the United States, or any applicable judgment or decree or any trust agreement, loan agreement, bond, note, resolution, ordinance, agreement or other instrument to which the Corporation is a party or to which the Corporation or any of its property or assets is otherwise subject, where such conflict, violation, breach or default, individually or in the aggregate, shall result in a material adverse change to the Corporation that materially and adversely affects the ability of the Underwriters to market the Certificates or enforce contracts of sale on the Certificates.

F. As of the time of acceptance hereof, except as provided in the Official Statement, no action, suit, proceeding, hearing or investigation is pending (in which service of process has been completed against the Corporation) or, to the best knowledge of the Corporation, after due investigation, threatened against the Corporation: (i) in any way affecting the existence of the Corporation or in any way challenging the respective powers of the several offices or the titles of the officials of the Corporation to such offices; or (ii) seeking to restrain or enjoin the sale, execution or delivery of any of the Certificates, the application of the proceeds of the sale of the Certificates, or in any way contesting or affecting the validity or enforceability of the Certificates or the Corporation Documents or contesting the powers of the Corporation or its authority with respect to the Corporation Documents; (iii) contesting the completeness or accuracy of the Preliminary Official Statement; or (iv) in which a final adverse decision could (a) materially adversely affect the operations of the Corporation or the consummation of the transactions contemplated by the Corporation Documents, (b) declare this Purchase Contract to be invalid or unenforceable in whole or in material part, or (c) adversely affect the exclusion of the interest evidenced on the Certificates from gross income for federal income tax purposes or the exemption of the interest evidenced on the Certificates from State personal income taxation.

G. The statements and information relating to the Corporation contained in the Preliminary Official Statement was as of its date (excluding information permitted to be omitted pursuant to Rule 15c2-12), and the Official Statement is, and at all times subsequent to the date of the Official Statement (or in the case of any amendment to the Official Statement pursuant to Section 7. L. of this Purchase Contract, at the date of the delivery of the Official Statement, as amended) up to and including the Closing will be, true and correct in all material respects, and the Preliminary Official Statement and the Official Statement contain, and up to and including the Closing will contain, no untrue statement of any material fact and do not, and up to and including the Closing will not, omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading;

H. Any certificates signed by any officer of the Corporation and delivered to the Underwriters shall be deemed a representation and warranty by the Corporation to the Underwriters, but not by the person signing the same in such person's individual capacity, as to the statements made therein;

I. Preparation and distribution of the Official Statement has been duly authorized by the Corporation.

J. The Corporation agrees that if at any time before the Closing any event occurs as a result of which the Official Statement as then in effect would include any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading, then the Corporation shall promptly prepare or cause to be prepared and furnish (at the expense of the Corporation) an amendment or supplement to the Official Statement that will correct such statement or omission. The Corporation will advise the Underwriters promptly of any proposal to so amend or supplement the Official Statement and will effect such amendment or supplement in a form and manner approved by the Underwriters.

K. The Corporation Resolution has been duly adopted, has not been modified, repealed or rescinded in any respect, and is in full force and effect.

10. **Representations, Warranties and Agreements of the Underwriters.** The Underwriters represent to and agree with the District that, as of the date hereof and as of the date of Closing:

A. The Representative is duly authorized and has been duly authorized by the Underwriters, pursuant to an agreement among the Underwriters (the “AAU”), to execute this Purchase Contract, to act hereunder on behalf of the Underwriters and to take all actions, and waive any condition or requirement, required or permitted to be taken or waived hereunder by the Representative or the Underwriters.

B. Based on representations in the AAU, the Underwriters have, and have had, no financial advisory relationship (as such term is defined in California Government Code Section 53590) with the District with respect to the Certificates, and no investment firm controlling, controlled by or under common control with the Underwriters have or have had any such financial advisory relationship (as such term is defined in California Government Code Section 53590).

C. The Underwriters shall comply with all statutes, rules and regulations of all governmental entities in connection with the offering and sale of the Certificates.

11. **Underwriters Not Acting as Agents, Advisors or Fiduciaries.** The District and the Corporation acknowledge and agree that:

A. the Underwriters are not acting as municipal advisors within the meaning of Section 15B of the Securities and Exchange Act of 1934, as amended;

B. the primary role of the Underwriters, as underwriters, is to purchase securities, for resale to investors, in an arm’s-length commercial transaction between the District, the Corporation and the Underwriters, and the Underwriters have financial and other interests that differ from those of the District;

C. in connection therewith and with the discussions, undertakings and procedures leading up to the consummation of such transaction, the Underwriters are and have been acting solely as principals and are not acting as agents, municipal advisors, financial advisors

or fiduciaries of the District or the Corporation, nor have the Underwriters assumed an advisory or fiduciary responsibility in favor of the District or the Corporation;

D. the only contractual obligations the Underwriters have to the District and the Corporation with respect to the transaction contemplated hereby are set forth in this Purchase Contract; and

E. the District and the Corporation have consulted their own legal, financial, municipal and other advisors to the extent they have deemed appropriate.

12. **Conditions to Closing.** The Underwriters have entered into this Purchase Contract in reliance upon the representations and warranties of the District and the Corporation contained herein and the performance by the District and the Corporation of their obligations hereunder, both as of the date hereof and as of the date of Closing. The Underwriters' obligations under this Purchase Contract are and shall be subject, at the option of the Underwriters, to the following further conditions at the Closing:

A. The representations and warranties of the District and the Corporation contained herein shall be true, complete and correct at the date hereof and at and as of the Closing, as if made at and as of the Closing, and the statements made in all certificates and other documents delivered to the Underwriters at the Closing pursuant hereto shall be true, complete and correct on the date of the Closing; and the District and the Corporation shall be in compliance with the agreements made by them in this Purchase Contract.

B. At the time of the Closing, (i) the District Documents and the Corporation Documents shall be in full force and effect and the Resolutions and the Official Statement shall not have been amended, modified or supplemented except as may have been agreed to in writing by the parties hereto; (ii) all actions which, in the opinion of Special Counsel, shall be necessary in connection with the transactions contemplated hereby, shall have been duly taken and shall be in full force and effect; (iii) the District and the Corporation shall have adopted, and there shall be in full force and effect such additional resolutions, agreements, opinions and certificates (including such certificates as may be required by regulations of the Internal Revenue Service in order to establish the tax exempt character of the interest evidenced on the Certificates), which resolutions, agreements, opinions and certificates shall be satisfactory in form and substance to Special Counsel and to the Underwriters, and there shall have been taken in connection therewith and in connection with the execution and delivery of the Certificates all such actions as shall, in the reasonable opinion of each, be necessary in connection with the transactions contemplated hereby; (iv) all actions under the Resolutions which, in the opinion of Special Counsel, shall be necessary in connection with the transactions contemplated hereby, shall have been duly taken and shall be in full force and effect; (v) the Certificates shall have been duly authorized, executed and delivered; (vi) the District shall perform or have performed all of its obligations required under or specified in the District Documents to be performed at or prior to the Closing; and (vii) the Corporation shall perform or have performed all of its obligations required under or specified in the Corporation Documents to be performed at or prior to the Closing

C. No decision, ruling or finding shall have been entered by any court or governmental authority since the date of this Purchase Contract (and not reversed on appeal or

otherwise set aside), or to the best knowledge of the District and the Corporation, after due investigation, be pending (in which service of process has been completed against the District) or threatened which has any of the effects described in Section 7(F) hereof or contests in any way the completeness or accuracy of either the Preliminary Official Statement or the Official Statement.

D. Between the date hereof and the Closing, the market for or the market price or marketability of the Certificates or the ability of the Underwriters to enforce contracts for the sale of the Certificates at the initial offering prices set forth in the Official Statement, shall not have been materially adversely affected, in the sole opinion of the Representative, by reason of any of the following:

(1) legislation enacted by the Congress of the United States, or by the legislature of the State, or introduced in the Congress or recommended for passage by the President of the United States, or a decision rendered by a court of the United States or the State or by the United States Tax Court, or an order, ruling, regulation (final, temporary or proposed) or official statement issued or made:

(i) by or on behalf of the United States Treasury Department, or by or on behalf of the Internal Revenue Service or other federal or State authority, which would have the purpose or effect of changing, directly or indirectly, the federal income tax consequences or State tax consequences of interest on obligations of the general character of the Certificates in the hands of the holders thereof; or

(ii) by or on behalf of the Securities and Exchange Commission, or any other governmental agency having jurisdiction over the subject matter thereof, to the effect that the Certificates, or obligations of the general character of the Certificates, including any and all underlying arrangements, are not exempt from registration under the Securities Act of 1933, as amended, or that the Resolutions are not exempt from qualification under the Trust Indenture Act of 1939, as amended;

(2) the declaration of war or engagement in major military hostilities or escalation of hostilities by the United States or the occurrence or escalation of any other State, national or international emergency or calamity or crisis relating to the effective operation of the government or the financial community in the United States;

(3) the declaration of a general banking moratorium by federal, New York or State authorities having jurisdiction, or the general suspension of trading on any national securities exchange or fixing of minimum or maximum prices for trading or maximum ranges for prices for securities on any national securities exchange, whether by virtue or a determination by that exchange or by order of the Securities and Exchange Commission or any other governmental authority having jurisdiction, or a material disruption in commercial banking or securities settlement or clearance services shall have occurred;

(4) the imposition by the New York Stock Exchange, other national securities exchange, or any governmental authority, of any material restrictions not now in force with respect to the Certificates, or obligations of the general character of the Certificates, or securities generally, or the material increase of any such restrictions now in force;

(5) an order, decree or injunction of any court of competent jurisdiction, or order, filing, regulation or official statement by the Securities and Exchange Commission, or any other governmental agency having jurisdiction over the subject matter thereof, issued or made to the effect that the execution, offering or sale of obligations of the general character of the Certificates, or the execution, offering or sale of the Certificates, as contemplated hereby or by the Official Statement, is or would be in violation of the Federal securities laws, as amended and then in effect or any proceeding shall have been commenced, against the District, in connection with Certificates or obligations of the general character of the Certificates of the District, by the Securities and Exchange Commission or other governmental agency having jurisdiction over the execution, offering or sale thereof;

(6) any rating of the Certificates has been downgraded, suspended or withdrawn by a national rating service that rated the Certificates or a negative qualification (e.g., a credit watch or negative designation) or other announcement has been made by a national rating service that rated the Certificates that the Certificates are under review without indication of a potentially favorable result, which, in the reasonable opinion of the Representative, materially adversely affects the marketability or market price of the Certificates;

(7) any event occurring, or information becoming known which, in the reasonable judgment of the Underwriters, makes untrue in any material adverse respect any statement or information set forth in the Official Statement, or has the effect that the Official Statement contains any untrue statement of a material fact or omits to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading; or

(8) except as disclosed in or contemplated by the Official Statement, any material adverse change in the affairs of the District.

E. At or prior to the date of the Closing, the Underwriters shall have received the following documents, in each case dated as of the Closing Date unless otherwise specified herein and satisfactory in form and substance to the Underwriters:

(1) The approving opinion of Special Counsel with respect to the Certificates, dated the Closing Date and addressed to the District, substantially in the form attached as Appendix D to the Preliminary Official Statement;

(2) A reliance letter from Special Counsel addressed to the Underwriters to the effect that the Underwriters may rely upon the approving opinion of Special Counsel described in E. (1) above;

(3) A supplemental opinion of Special Counsel in a form acceptable to the Underwriters, dated the Closing Date and addressed to the Underwriters, to the effect that:

(i) assuming due authorization, execution and delivery by all the parties thereto, the Resolutions, this Purchase Contract and the Continuing Disclosure Certificate have each been duly authorized, executed and delivered by the respective parties thereto and constitute legal, valid and binding obligations of the District and are enforceable in accordance with their respective terms, except as enforcement thereof may be limited by bankruptcy, insolvency,

reorganization, arrangement, fraudulent conveyance, moratorium or other laws affecting generally the enforcement of creditors' rights and except as their enforcement may be subject to the application of equitable principles and the exercise of judicial discretion in appropriate cases if equitable remedies are sought (provided that no opinion need be rendered regarding the adequacy of the Continuing Disclosure Certificate for purposes of the Rule) and by limitations on the enforcement of legal remedies against public agencies in the State;

(ii) the statements contained in the Official Statement under the captions "The Certificates" (excluding any and all information relating to The Depository Trust Company and its book-entry system and the County Treasury Pool set forth in Appendix F), "Security and Sources of Payment for the Certificates – General Description" and "Tax Matters," excluding any material that may be treated as included under such captions by cross-reference, to the extent they purport to summarize certain provisions of the Certificates, the Resolutions and the exclusion from gross income of interest evidenced on the Certificates for federal income tax purposes or the exemption of the interest evidenced on the Certificates for State income tax purposes, fairly and accurately summarize the matters purported to be summarized thereto; and

(iii) the Certificates are not subject to the registration requirements of the Securities Act of 1933, as amended, and the Resolutions are exempt from qualification pursuant to the Trust Indenture Act of 1939, as amended;

(4) The duly executed Continuing Disclosure Certificate;

(5) A certificate signed by an appropriate official of the District to the effect that (i) such official is authorized to execute this Purchase Contract, the Official Statement and the Continuing Disclosure Certificate, (ii) the representations, agreements and warranties of the District herein are true and correct as of the date of Closing, (iii) the District has complied with all the terms of the District Documents to be complied with by the District prior to or concurrently with the Closing and the District Documents are in full force and effect, (iv) no litigation is pending (with service of process having been accomplished) or, to the best of the District's knowledge, after due investigation, threatened (either in state or federal courts): (A) seeking to restrain or enjoin the execution, sale or delivery of any of the Certificates, (B) in any way contesting or affecting the authority for the execution, sale or delivery of the Certificates, the Official Statement, the Continuing Disclosure Certificate or this Purchase Contract, or (C) in any way contesting the existence or powers of the District; (v) such official has reviewed the Preliminary Official Statement and the Official Statement and on such basis certifies that the Preliminary Official Statement, as of its date, and the Official Statement, as of its date and as of the Closing Date, did not and do not, respectively, contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading, (vi) each of the conditions listed in Section 12 of this Purchase Contract required to be satisfied by the District has been satisfied on the date thereof and the District is not aware of any other condition of this Purchase Contract that has not been satisfied on the date thereof, and (vii) the Certificates being delivered on the date of the Closing to the Underwriters under this Purchase Contract substantially conform to the descriptions thereof contained in the District Resolution, the Official Statement and this Purchase Contract.

(6) A tax certificate of the District in form satisfactory to Special Counsel with respect to the Certificates;

(7) Evidence satisfactory to the Underwriters that any ratings described in the Official Statement are in full force and effect as of the Closing Date;

(8) The opinion of General Counsel to the District, addressed to the District and the Underwriters, dated the Closing Date, to the effect that:

(i) the District is a unified school district validly existing under the Constitution and the laws of the State;

(ii) the District has the full right and lawful authority to enter into and perform its duties and obligations under the District Documents and to authorize the execution and sale of the Certificates;

(iii) to the best knowledge of General Counsel to the District, after due investigation, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court or public body, pending, or to such counsel's knowledge, threatened against the District contesting in any way the completeness or accuracy of the Official Statement or the due adoption of the District Resolution, and there is no breach or default by the District under any other instruments which is caused by the execution of the Certificates or the execution and delivery of this Purchase Contract or the Continuing Disclosure Certificate;

(iv) General Counsel to the District is not representing the District in connection with any litigation of any nature to restrain or enjoin the execution, delivery or performance of the District Documents, the Certificates or any of the proceedings taken with respect to the execution of the Certificates, the application of monies to the payment of the Certificates or in any manner questioning the proceedings and authority under which the Certificates were authorized or challenging the validity of the Certificates, the existence or boundaries of the District or the title of the officials of the District who have acted with respect to the proceedings for the execution of the Certificates on behalf of the District to their respective offices; and

(v) the Official Statement has been duly approved by the District;

(9) The opinion of [Underwriters' Counsel], counsel for the Underwriters ("Underwriters' Counsel"), dated the date of Closing and addressed to the Underwriters, satisfactory in form and substance to the Underwriters;

(10) The letters of Disclosure Counsel dated the date of Closing and addressed separately to the District and the Underwriters substantially in the forms attached hereto as Exhibit B;

(11) A certificate, together with a fully executed copy of the District Resolution, of the Executive Officer of the Board of Education to the effect that:

(i) such copy is a true and correct copy of such District Resolution; and

(ii) that the District Resolution was duly adopted and has not been modified, amended, rescinded or revoked and is in full force and effect on the date of the Closing;

(12) A certificate of the District evidencing the District's determination respecting the Preliminary Official Statement in accordance with Rule 15c2-12;

(13) A transcript of all proceedings relating to the authorization, execution and delivery of the Certificates;

(14) A certificate of the Corporation, dated the Closing Date, signed by an official of the Corporation as may be acceptable to the Underwriters, and in form and substance satisfactory to the Underwriters, to the effect that:

(i) the Corporation Documents have each been validly authorized and duly executed and delivered by officers of the Corporation designated for such purpose in the Corporation Resolution, and, assuming due authorization, execution and delivery by the other parties thereto, constitute the valid and binding obligations of the Corporation, enforceable in accordance with their respective terms; provided, however, that the representation as to enforceability may be limited by bankruptcy, moratorium, insolvency or other laws affecting creditor's rights and may be subject to general principals of equity;

(ii) the representations and agreements of the Corporation contained in the Corporation Documents are true and correct as of and as if made on the Closing Date;

(iii) the Corporation has complied with all agreements, covenants and conditions to be complied with by the Corporation on or prior to the Closing Date under the Corporation Documents;

(iv) the Articles of Incorporation of the Corporation, as filed in the Office of the Secretary of State of the State of California on August 18, 2000, have not been amended in any respect since said date and continue to be in full force and effect on the date of this Certificate, and the Corporation is not in violation of any provisions of such Articles or the Bylaws described in the Corporation's certificate;

(v) no litigation is pending (with service of process completed on the District) or, to the best of such official's knowledge, threatened (either in state or federal courts) in any way affecting the existence of the Corporation, or seeking to restrain or to enjoin the execution, delivery or sales of the Certificates, or in any way contesting or affecting (A) the validity or enforceability of the Corporation Documents, (B) the completeness or accuracy of information relating to the Corporation in the Preliminary Official Statement and the Official Statement, (C) the powers of the Corporation or its authority with respect to the Corporation Documents, or (D) the tax status of the interest with respect to the Certificates pursuant to the Internal Revenue Code of 1986, as amended;

(vi) except as disclosed in the Preliminary Official Statement and the Official Statement, there is no action, suit, proceeding, inquiry, or investigation before or by any court or public board or body pending (with service of process completed on the Corporation) or, to such counsel's knowledge, threatened wherein an unfavorable decision, ruling, or finding would

adversely affect the transactions contemplated by the Certificates, the Corporation Documents or any other agreement, document, or certificate related to such transaction; and

(vii) such official has reviewed the Preliminary Official Statement and the Official Statement and on such basis certifies that the Preliminary Official Statement, as of its date, and the Official Statement, as of its date and as of the Closing Date, did not and do not, respectively, contain any untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made therein, in the light of the circumstances under which they were made, not misleading;

(15) the opinion of Hawkins Delafield & Wood LLP, as counsel to the Corporation, addressed to the Corporation, the Trustee and the Underwriters, dated the Closing Date, to the effect that:

(i) the Corporation is a nonprofit public benefit corporation organized and existing under and by virtue of the laws and the Constitution of the State and has full legal power and lawful authority to execute and deliver and perform all obligations under the Corporation Documents;

(ii) the Corporation Resolution has been duly adopted at a meeting of the Board of Directors of the Corporation, which was called and held pursuant to law and with all public notice required by law and at which a quorum was present and acting throughout and the Corporation Resolution is in full force and effect and has not been modified, amended or rescinded;

(iii) the Corporation has duly authorized, executed and delivered the Corporation Agreements and, assuming due authorization, execution and delivery by the parties thereto other than the Corporation, the Corporation Documents constitute the legally valid and binding obligations of the Corporation enforceable against the Corporation in accordance with their respective terms, except as such enforceability may be limited by bankruptcy, insolvency, reorganization, arrangement, moratorium, and other laws, affecting creditors' rights or remedies generally and are subject to general principles of equity (regardless of whether such enforceability is considered in equity or at law) and to the exercise of judicial discretion in appropriate cases and to the limitation on legal remedies against public entities in the State; and

(iv) no authorization, approval, consent, or order of any governmental agency or, to the best of such counsel's knowledge, any other person or corporation is required for the valid authorization, execution and delivery of the Corporation Agreements on behalf of the Corporation that has not been obtained;

(16) A certificate, together with a fully executed copy of the Corporation Resolution, of the President of the Board of Directors of the Corporation to the effect that:

(i) such copy is a true and correct copy of such Corporation Resolution;
and

(ii) that the Corporation Resolution was duly adopted and has not been modified, amended, rescinded or revoked and is in full force and effect on the date of the Closing;

(17) A copy of the Certificate of Status issued by the Secretary of State of the State of California and tax status from the California Franchise Tax Board, a certified copy of the Articles of Incorporation of the Corporation and a certified copy of the Bylaws of the Corporation;

(18) the opinion of counsel to the Trustee, substantially in the form attached hereto as Exhibit C, subject to the satisfaction of the Underwriters, dated the date of the closing and addressed to the District, the Corporation and the Underwriters;

(19) a certificate of the Trustee dated the Closing Date, signed by a duly authorized officer of the Trustee, and in form and substance satisfactory to the Underwriters, to the effect that:

(i) the Trustee is a national banking association organized and existing under and by virtue of the laws of the United States, having the full power and being qualified to enter into and perform its duties under the Trust Agreement and the Assignment Agreement and to execute and deliver the Certificates to the Underwriters pursuant to the Trust Agreement;

(ii) when delivered to and paid for by the Underwriters on the Closing Date, the Certificates will have been duly executed and delivered by the Trustee;

(iii) the execution and delivery of the Trust Agreement and the Assignment Agreement, and compliance with the provisions on the Trustee's part contained therein, will not conflict with or constitute a breach of or default under any law, administrative regulation, judgment, decree, material agreement or other material instrument to which the Trustee is a party or is otherwise subject (except that no representation, warranty or agreement is made with respect to any federal or state securities or blue sky laws or regulations), nor will any such execution, delivery, adoption or compliance result in the creation or imposition of any lien, charge or other security interest or encumbrance of any nature whatsoever upon any of the properties or assets held by the Trustee pursuant to the lien created by the Trust Agreement under the terms of any such law, administrative regulation, judgment, decree, material agreement or other material instrument, except as provided by the Trust Agreement; and

(iv) to the knowledge of the Trustee, there is no action, suit, proceeding, inquiry or investigation, at law or in equity, before or by any court, governmental or public entity pending or threatened against the Trustee, affecting the existence of the Trustee, or the titles of its officers to their respective offices or seeking to prohibit, restrain or enjoin the execution and delivery of the Certificates by the Trustee, or in any way contesting or affecting the validity or enforceability of the Trust Agreement or the Assignment Agreement against the Trustee, or contesting the powers of the Trustee or its authority to enter into, adopt or perform its obligations under any of the foregoing to which it is a party, wherein an unfavorable decision, ruling or finding would materially adversely affect the validity or enforceability of the Trust Agreement or the Assignment Agreement or the ability of the Trustee to perform its obligations thereunder;

(20) evidence satisfactory to the Underwriters of the issuance of the title insurance policy or policies covering the Property in accordance with the Lease Agreement and of such other insurance policies as are required under the Lease Agreement and Trust Agreement;

(21) evidence of compliance with Section 17150 of the California Education Code; and

(22) [A copy of the Insurance Policy, together with an opinion of counsel to the Insurer, dated the date of Closing and addressed to the District and the Underwriters, in form and substance acceptable to the Underwriters, and a certificate of the Insurer, dated the date of Closing, in form and substance acceptable to the Underwriters, regarding, among other matters, disclosure, no default and tax matters;]

(23) Such additional legal opinions, certificates, proceedings, instruments and other documents as the Underwriters may reasonably request to evidence compliance (i) by the District, the Corporation and the Trustee with legal requirements, (ii) the truth and accuracy, as of the time of Closing, of the representations of the District and Corporation herein contained, and (iii) the due performance or satisfaction by the District, the Corporation and the Trustee at or prior to such time of all agreements then to be performed and all conditions then to be satisfied by them.

If the District or the Corporation shall be unable to satisfy the conditions to the Underwriters' obligations contained in this Purchase Contract or if the Underwriters' obligations shall be terminated for any reason permitted by this Purchase Contract, this Purchase Contract may be canceled by the Underwriters at, or at any time prior to, the time of Closing. Notice of such cancellation shall be given to the District in writing, or by telephone or electronic communication, confirmed in writing. Notwithstanding any provision herein to the contrary, the performance of any and all obligations of the District and Corporation hereunder and the performance of any and all conditions contained herein for the benefit of the Underwriters may be waived by the Representative in writing at its sole discretion.

13. **Conditions to Obligations of the District and Corporation.** The performance by the District and the Corporation of their obligations are conditioned upon (i) the performance by the Underwriters of their obligations hereunder and (ii) receipt by the District, the Corporation and the Underwriters of opinions and certificates being delivered at the Closing by persons and entities other than the District or Corporation.

14. **Expenses.** Except as provided in this paragraph, the District shall pay all costs and expenses incurred in connection with or relating to the execution and sale of the Certificates, including, but not limited to the following: (i) the costs of the preparation and reproduction of the Resolutions; (ii) the fees and disbursements of Special Counsel, Disclosure Counsel and the Municipal Advisor; (iii) the cost of the preparation, printing and delivery of the Certificates; (iv) the fees for Bond ratings, including all necessary expenses for travel outside of California; (v) the cost of the printing and distribution of the Preliminary Official Statement and the Official Statement, and any supplement or amendment thereto; (vi) costs, fees and expenses related to the presentation to investors; (vii) the initial fees of the Trustee; and (viii) all other fees and expenses incident to the execution and sale of the Certificates or the performance of its obligations hereunder. All out-of-pocket expenses of the Underwriters, including Underwriters' Counsel, California Debt and Investment Advisory Commission fees, CUSIP Service Bureau registration fees, MSRB fees, expenses for travel and other expenses of the Underwriters, shall be paid by the Underwriters; provided, however, that the District and the Corporation shall pay for expenses incurred on behalf of the District and Corporation employees in connection with implementing

this Purchase Contract, including, but not limited to, meals, transportation, and lodging of District and Corporation employees, if any.

15. **Notices.** Any notice or other communication to be given under this Purchase Contract (other than the acceptance hereof as specified in the first paragraph hereof) may be given by delivering the same in writing if to the District, to the Chief Business Officer of the Los Angeles Unified School District, 333 S. Beaudry Avenue, 26th Floor, Los Angeles, California 90017, or if to the Representative, to [Representative] at [Representative contact information].

16. **Severability.** In the event any provision of this Purchase Contract shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

17. **Parties in Interest; Survival of Representations and Warranties.** This Purchase Contract when accepted by the District in writing as heretofore specified shall constitute the entire agreement between the District and the Underwriters with respect to the Certificates. This Purchase Contract is made solely for the benefit of the District and the Underwriters (including the successors or assigns of the Underwriters). No person shall acquire or have any rights hereunder or by virtue hereof. All the representations, warranties and agreements of the District in this Purchase Contract shall survive, unless waived by the Underwriters, regardless of (a) any investigation or any statement in respect thereof made by or on behalf of the Underwriters, (b) delivery of and payment by the Underwriters for the Certificates hereunder and (c) any termination of this Purchase Contract.

18. **Execution in Counterparts and Execution Electronically.** This Purchase Contract may be executed in several counterparts each of which shall be regarded as an original and all of which shall constitute but one and the same document. This Purchase Contract may also be executed electronically.

19. **Applicable Law.** This Purchase Contract shall be interpreted, governed and enforced in accordance with the law of the State applicable to contracts made and performed in such State.

Very truly yours,

[REPRESENTATIVE]

By: _____
Authorized Officer

The foregoing is hereby agreed to
and accepted as of the date first
above written:

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____

LAUSD FINANCING CORPORATION

By: _____
Secretary

EXHIBIT A**MATURITY SCHEDULES AND REDEMPTION PROVISIONS****LOS ANGELES UNIFIED SCHOOL DISTRICT
(County of Los Angeles, California)**

**\$(Principal Amount)
Certificates of Participation, 2023 Series A
Evidencing Proportionate and Undivided Interests of the Owners
thereof in Lease Payments to be made by the
Los Angeles Unified School District**

<u>Maturity (October 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>Price</u>	<u>10% Test Satisfied*</u>	<u>10% Test Not Satisfied</u>	<u>Undersold Maturities</u>
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* At the time of the execution of this Purchase Contract and assuming orders are confirmed immediately after the execution of this Purchase Contract.

PREPAYMENT PROVISIONS

[To come]

EXHIBIT B**FORM OF LETTERS OF DISCLOSURE COUNSEL**

[Closing Date]

EXHIBIT C

TRUSTEE’S COUNSEL OPINION

Los Angeles Unified School District
Los Angeles, California

LAUSD Financing Corporation
Los Angeles, California

[Representative]
[city, state]

Re: Los Angeles Unified School District Certificates of Participation, 2023 Series A

Ladies and Gentlemen:

I am a Senior Counsel in the Legal Department of [Trustee] (“[Trustee]”) and I am delivering this opinion in connection with the execution and delivery of (i) that certain Trust Agreement, dated as of [Dated Date] (the “Trust Agreement”), among the LAUSD Financing Corporation (the “Corporation”), the Los Angeles Unified School District and [Trustee], as trustee, and (ii) that certain Assignment Agreement dated as of [Dated Date] (together with the Trust Agreement, the “Agreements”), between the Corporation and [Trustee], as trustee. All capitalized terms used herein not otherwise defined shall be as defined in the Agreements.

In rendering the opinions set forth below, I have examined the originals, or copies certified to my satisfaction, of such agreements (including, without limitation, the Agreements), certificates and other statements of government officials and corporate officers of [Trustee], documents and other papers as I deemed relevant and necessary as a basis for such opinion and have relied as to factual matters on representations, warranties and other statements therein. With respect to parties other than [Trustee], in such examination, I have assumed the authenticity of all documents submitted to me as originals, the genuineness of all signatures, the legal capacity of natural persons and the conformity to the originals of all documents submitted to me as copies. In my examination of documents (including, without limitation, the Agreements) executed by parties other than [Trustee], I have also assumed that, if the opinions set forth in paragraphs (1) through (5) below referred to such parties and such documents, such opinions would be true and correct with respect to such parties and such documents.

The opinions expressed herein are limited to the laws of the State of California and the Federal law of the United States, and I do not express any opinion herein concerning any other law.

Based upon the foregoing, I am of the opinion that:

(1) [Trustee] is a national banking association duly organized and validly existing under the laws of the jurisdiction of its organization and has the corporate power to execute and

deliver the Agreements, and any other documentation relating to the Agreements, and to perform its obligations under the Agreements.

(2) The execution and delivery by [Trustee] of the Agreements and any other documentation relating to the Agreements, and its performance of its obligations under the Agreements, have been and are as of the date hereof duly authorized by all necessary corporate action.

(3) No approval, authorization or other action by, or filing with, any governmental body or regulatory authority (which has not been obtained) is required in connection with the due execution, delivery and performance by [Trustee] of the Agreements.

(4) The Agreements have been duly executed and delivered and constitute the valid and legally binding obligations of [Trustee] enforceable against it in accordance with their terms except as such enforceability may be limited by applicable bankruptcy, insolvency, reorganization, moratorium or similar laws affecting the enforcement of creditors' rights generally and by general principles of equity (regardless of whether enforcement is sought as a proceeding in equity or at law).

(5) [Trustee] has duly executed and delivered the Certificates on the date hereof in its capacity as trustee under the Trust Agreement.

My opinions are subject to the following assumptions and qualifications:

I express no opinion as to (a) any transactions not specifically referred to herein; (b) any provision of the Agreements to the extent it provides that a party is entitled to recover more than its actual damages under such Agreement; (c) any right, remedy or provision of the Agreements (including without limitation any termination payment provisions thereof) which, if determined to be a penalty, a court or other authority or body may have the discretion to invalidate or decline to enforce; (d) the enforcement of rights with respect to indemnification and contribution obligations; (e) any provision relating to severability; (f) any provision purporting to waive or limit rights to trial by jury, oral amendments to written agreements or rights of set-off, (g) any provision relating to submission to jurisdiction, venue or service of process, (h) any provision purporting to prohibit, restrict or require the consent of the other party for the transfer of, or the creation, attachment or perfection of a security interest in, an Agreement or an interest therein, which may be limited by applicable law or considerations of public policy; (i) any provision that provides that the rights of the parties to an Agreement may not be assigned by a party without the prior written consent of the other party or parties, which may be limited by Sections 9406 or 9408 of the Uniform Commercial Code of the State of California; (j) the tax consequences of any transaction under the Agreements; (k) any Federal securities laws, pension and employee benefit laws (e.g., ERISA), anti-money laundering laws, trading with the enemy laws, or other laws of special or general application not normally covered in an opinion on capacity and enforceability, in accordance with market practice; or (l) the priority, perfection, attachment or validity of any security interest created under the Agreements or the enforcement of remedies in connection therewith.

This opinion is based upon facts and law in existence on the date hereof and I disclaim any obligation to advise you of any changes therein occurring after the date hereof. This opinion is given for the use and benefit of the addressees and no other party or entity is entitled to rely on it.

Very truly yours

EXHIBIT D

FORM OF CERTIFICATE OF THE REPRESENTATIVE

[Representative] has acted as representative of the Underwriters listed in the Contract of Purchase (the “Representative”) entered into in connection with the sale and execution by the Los Angeles Unified School District (the “District”) of the Los Angeles Unified School District (County of Los Angeles, California) Certificates of Participation 2023 Series A in the principal amount of \$[Principal Amount] (the “Certificates”), being executed on the date hereof, and the Representative hereby certifies and represents on behalf of itself and such other Underwriters the following:

1. As of [Sale Date] (the “Sale Date”), all of the Certificates were the subject of a bona fide offering to the Public at the respective prices or yields set forth on the inside cover page of the District’s Official Statement in respect of the Certificates dated [Sale Date] (each, an “Initial Offering Price”), which are the same prices or yields shown on the final pricing wire for the offering of the Certificates attached hereto as Schedule 1.

2. As of the Sale Date, [except for the Maturities [IDENTIFY UN/UNDERSOLD MATURITIES] (the “Unsold Maturities”), shown on Schedule 2 attached hereto,] the first price at which 10 percent of each Maturity of the Certificates was sold by the Underwriters to the Public is set forth on Schedule 1.

3. **[HOLD THE PRICE – REPRESENTATIVE ALLOTTED UNSOLD MATURITIES]** On and following the Sale Date, with respect to the initial sales of the Unsold Maturities, the Representative: (i) has retained the unsold principal amounts of the Certificates of the Unsold Maturities as shown in Schedule 2 attached hereto and not allocated any such Unsold Maturities to any other Underwriter, and (ii) has neither offered nor sold any such Unsold Maturities to any person at a price that is higher or yield lower than the Initial Offering Price during the period starting on the Sale Date and ending on the earlier of the following: (a) the close of the fifth business day after the Sale Date, or (b) the date on which at least 10 percent of the Certificates of the Unsold Maturity has been sold to the Public at a price that is at or below the Initial Offering Price.

4. **[HOLD THE PRICE - SYNDICATE RETAINS CERTIFICATES]** On and following the Sale Date, with respect to the initial sales of the Unsold Maturities, the Underwriters have neither offered nor sold any Unsold Maturities to any person at a price higher than or a yield lower than the respective Initial Offering Price for a period of time starting on the Sale Date and ending on the earlier of the following: (a) the close of the fifth business day after the Sale Date, or (b) the date on which at least 10 percent of the Certificates of the Unsold Maturity has been sold to the Public at a price that is at or below the Initial Offering Price.

5. The agreement among Underwriters, each selling group agreement and each retail distribution agreement (to which the Representative is a party) relating to the initial sale of the Certificates to the Public, together with the related pricing wires, contains language obligating each Underwriter, each dealer who is a member of the selling group, and each broker-dealer that is a party to such retail distribution agreement, as applicable, to (A)(i) report the prices at which it

sells to the Public the unsold Certificates of each Maturity allotted to it until it is notified by the Representative that at least 10 percent of such Maturity of the Certificates was sold by the Underwriters to the Public at a single price, and (ii) with respect to the Unsold Maturities, if any, comply with the hold-the-offering-price rule, as described above, if and for so long as directed by the Representative and as set forth in the related pricing wires, (B) promptly notify the Representative of any sales of the Certificates that, to its knowledge, are made to a purchaser who is a related party to an underwriter participating in the initial sale of the Certificates to the public (each such term being used as defined below), and (C) acknowledge that, unless otherwise advised by the Underwriter, dealer or broker-dealer, the Representative shall assume that each order submitted by the dealer or broker-dealer is a sale to the public.

4. The agreement among Underwriters relating to the initial sale of the Certificates to the Public, together with the related pricing wires, contains language obligating each Underwriter that is a party to a retail distribution agreement to be employed in connection with the initial sale of the Certificates to the Public require each broker dealer that is a party to such retail distribution agreement to (A) report the prices at which is sells to the Public the unsold Certificates of each Maturity allocated to it until it is notified by the Underwriter that at least 10 percent of such Maturity of the Certificates was sold by the Underwriter at a single price, and (B) with respect to the Unsold Maturities, if any, comply with the hold the offering price rule, as described above, if and for so long s directed by the Representative and as set forth in the related pricing wires.

5. For purposes of this Certificate, the following definitions apply:

- (a) *Maturity* means Certificates with the same credit and payment terms. Certificates with different maturity dates, or Certificates with the same maturity date but different stated interest rates, are treated as separate Maturities.
- (b) *Public* means any person (including an individual, trust, estate, partnership, association, company, or corporation) other than an Underwriter or a Related Party to an Underwriter.
- (c) *Related Party* means any entity if an Underwriter and such entity are subject, directly or indirectly, to (i) more than 50% common ownership of the voting power or the total value of their stock, if both entities are corporations (including direct ownership by one corporation of another), (ii) more than 50% common ownership of their capital interests or profit interests, if both entities are partnerships (including direct ownership by one partnership of another), or (iii) more than 50% common ownership of the value of the outstanding stock of the corporation or the capital interests or profit interests of the partnership, as applicable, if one entity is a corporation and the other entity is a partnership (including direct ownership of the applicable stock or interests by one entity of the other).
- (d) *Underwriter* means (i) any person that agrees pursuant to a written contract with the District (or with the lead underwriter to form an underwriting syndicate) to participate in the initial sale of the Certificates to the Public, and (ii) any person that agrees pursuant to a written contract directly or indirectly with a person described in clause (i) of this paragraph to participate in the initial sale of the Certificates to

the Public (including a member of a selling group or a party to a retail distribution agreement participating in the initial sale of the Certificates to the Public).

The Representative understands that the foregoing information will be relied upon by the District with respect to certain of the representations set forth in the Tax Certificate and Agreement executed and delivered by the District with respect to compliance with the federal income tax rules affecting the Certificates, and by Hawkins Delafield & Wood LLP, as Special Counsel to the District, in connection with providing an opinion as to the exclusion from gross income of the interest evidenced on the Certificates pursuant to Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), the preparation of the Internal Revenue Service Form 8038-G, and other federal income tax advice that it may give to the District from time to time relating to the Certificates. The Representative is certifying only as to facts in existence on the date hereof. Nothing herein represents the Representative's interpretation of any laws; in particular, the Treasury Regulations under the Code, or the application of any laws to these facts. The certifications contained herein are not necessarily based on personal knowledge, but may instead be based on either inquiry deemed adequate by the undersigned or institutional knowledge (or both) regarding the matters set forth herein. Although certain information furnished in this Certificate has been derived from other Underwriters and cannot be independently verified by us, we have no reason to believe it to be untrue in any material respect.

Dated: [Closing Date]

[REPRESENTATIVE]

By: _____

Name: _____

Title: _____

PLACEMENT AGENT AGREEMENT

[Date]

Los Angeles Unified School District
c/o Office of the Chief Business Officer
333 S. Beaudry Avenue, 26th Floor
Los Angeles, California 90017

LAUSD Financing Corporation
c/o Office of the Chief Business Officer
333 S. Beaudry Avenue, 26th Floor
Los Angeles, California 90017

Ladies and Gentlemen:

The undersigned, [Placement Agent] (the “Placement Agent”), offers to enter into the following agreement (this “Agreement”) with the Los Angeles Unified School District (the “District”) and the LAUSD Financing Corporation (the “Corporation”), which, upon acceptance by the District and the Corporation, will be binding upon the District, the Corporation and the Placement Agent.

Upon the terms and conditions and upon the basis of the representations, warranties and agreements set forth herein, the Placement Agent, the District and the Corporation hereby agree as follows:

1. Appointment of Placement Agent; Placement of Financing. The District and the Corporation hereby appoint the Placement Agent to act as the exclusive placement agent for the District and the Corporation in connection with the private sale of the assignment of the Lease Agreement by and between the District and the Corporation (the “Lease Assignment”) or the execution and delivery of the District’s Certificates of Participation, 20__ Series __ (the “Financing”), and the Placement Agent hereby accepts such appointment. As compensation for the services of the Placement Agent hereunder, the District agrees to pay to the Placement Agent a fee in the amount of \$_____ by wire or immediately available funds upon the closing of the Financing. The fee set forth above does not include any services the Placement Agent may render in the future to the District with respect to any offering or placement of municipal securities other than the Financing.

The District will provide the purchaser of the Financing (the “Purchaser”) with the opportunity to ask questions and receive answers, and the District will, if the District and the Placement Agent determine it is necessary, enter into a Contract of Purchase (the “Contract of Purchase”) with the Purchaser setting forth the terms and conditions of the sale and purchase of the Financing. Copies of the reports and other documents that [have been or will be] furnished to the Placement Agent by the District in connection with the proposed offer and sale of the Financing are listed in Exhibit A hereto (it being understood that, prior to the consummation of any sale of

the Financing, Exhibit A may be supplemented from time to time as mutually agreed by the parties hereto).

The District and the Corporation understand that the Placement Agent will be acting as the agent of the District and the Corporation in the offering and sale of the Financing and agrees that, in connection therewith, the Placement Agent will use its “best efforts” to place the Financing. This Agreement shall not give rise to any expressed or implied commitment by the Placement Agent to purchase or place any of the Financing.

The District acknowledges and agrees that, in arranging for approved buyers to purchase the Financing, the Placement Agent is not acting as the fiduciary of the District or the Corporation and has not assumed an advisory or fiduciary responsibility in favor of the District or the Corporation. In connection with such transaction, the District and the Corporation have consulted their own legal and financial advisors to the extent it deemed appropriate. The District and the Corporation agree that they will not claim that the Placement Agent has rendered advisory services of any nature or respect, or owes a fiduciary or similar duty to the District or the Corporation in connection with such transaction or the process leading thereto. The Placement Agent has acted at arm’s length, is acting solely for its own account and is not agent of or advisor to (including, without limitation, a Municipal Advisor (as such term is defined in Section 975(e) of the Dodd-Frank Wall Street Reform and Consumer Protection Act)), and owes no fiduciary duty to the Issuer or any other person.

2. Covenants, Representations and Warranties of the District. The District represents, warrants and agrees as follows:

(a) the District is, and will be at the Closing Date (as defined herein), a duly organized, validly existing and operating school district pursuant to the laws of the State of California (the “State”) with full power and authority to observe and perform the covenants and agreements set forth in this Agreement;

(b) by official action of the District, prior to or concurrently with the acceptance hereof, the District (i) has duly adopted the Resolution authorizing and approving the execution and delivery of this Agreement, and the performance of its obligations contained herein, and (ii) the Resolution is in full force and effect and has not been amended or supplemented as of the date hereof;

(c) the execution and delivery of this Agreement, the Lease Agreement, the Site Lease by and between the Corporation and the District and the Trust Agreement by and among the District, the Corporation and the trustee named therein (the “Trust Agreement”) (collectively, the “District Legal Documents”) and compliance with the provisions on the District’s part contained therein do not and will not conflict with or constitute a breach of or default under any law, administrative regulation, judgment, decree, statute, indenture, mortgage, deed of trust, bond, note, resolution, agreement or other instrument to which the District is a party or by which the District is bound;

(d) the District is not, and on the Closing Date will not be, in breach of or default under any applicable law or administrative regulation of the State or any department, division,

agency or instrumentality thereof, or of the United States, or any applicable judgment or decree or any loan agreement, note, resolution, certificate, agreement or other instrument to which the District is a party or is otherwise subject, which breach or default would materially and adversely affect the District or its ability to perform its duties and obligations under the District Legal Documents, and the execution and delivery of the District Legal Documents, the adoption of the Resolution and, if Certificates are executed and delivered, the issuance of the Certificates, and compliance with the provisions thereof will not conflict with or constitute a breach of or default under any applicable law or administrative regulation of the State or under any certificate, agreement or other instrument to which the District is a party or is otherwise subject, which breach or default would materially and adversely affect the District or its ability to perform its duties and District Legal Documents and, if Certificates are executed and delivered, the Certificates;

(e) no action, suit, proceeding or investigation at law or in equity before or by any court, governmental agency, public board or body is, and on the Closing Date will not be, pending or, to the knowledge of the District, threatened (i) in any way affecting the existence of the District or the titles of the members of Board of Education to their respective offices, (ii) seeking to prohibit, restrain or enjoin the issuance, sale or delivery of the District Legal Documents or the collection or payment by the District of any amounts pledged or to be pledged as security to pay the principal of and interest with respect to the Financing, (iii) in any way contesting or affecting the validity or enforceability of, or the power or authority of the District to enter into the District Legal Documents or to adopt the Resolution, (iv) wherein an unfavorable decision, ruling or finding would materially adversely affect the financial position or condition of the District or would result in any material adverse change in the ability of the District to pledge or apply the security or source of payment of, or to pay lease payments under the Lease Agreement, or (v) contesting the status of the interest with respect to the lease payments as excludable from gross income for federal income tax purposes or as exempt from any applicable state tax; and

(f) any certificate signed by an authorized officer of the District and delivered to the Placement Agent shall be deemed a representation and warranty by the District in connection with this Agreement to the Placement Agent as to the statements made therein for the purposes for which such statements are made.

3. Covenants, Representations and Warranties of the Corporation. The Corporation represents, warrants and agrees as follows:

(a) the Corporation is, and will be at the Closing Date, a duly organized, validly existing and operating nonprofit public benefit corporation under the laws of the State with full power and authority to observe and perform the covenants and agreements set forth in this Agreement;

(b) by official action of the Corporation, prior to or concurrently with the acceptance hereof, the District (i) has duly adopted the Resolution authorizing and approving the execution and delivery of this Agreement, and the performance of its obligations contained herein, and (ii) the Resolution is in full force and effect and has not been amended or supplemented as of the date hereof;

(c) the execution and delivery of this Agreement, the Lease Agreement, the Site Lease and the Assignment Agreement by and between the Corporation and the Purchaser and the Trust Agreement by and among the District, the Corporation and the trustee named therein (the "Trust Agreement") (collectively, the "Corporation Legal Documents") and compliance with the provisions on the Corporation's part contained therein do not and will not conflict with or constitute a breach of or default under any law, administrative regulation, judgment, decree, statute, indenture, mortgage, deed of trust, bond, note, resolution, agreement or other instrument to which the Corporation is a party or by which the Corporation is bound;

(d) the Corporation is not, and on the Closing Date will not be, in breach of or default under any applicable law or administrative regulation of the State or any department, division, agency or instrumentality thereof, or of the United States, or any applicable judgment or decree or any loan agreement, note, resolution, certificate, agreement or other instrument to which the Corporation is a party or is otherwise subject, which breach or default would materially and adversely affect the District or its ability to perform its duties and obligations under the Corporation Legal Documents, and the execution and delivery of the Corporation Legal Documents, the adoption of the Resolution and, if Certificates are executed and delivered, the issuance of the Certificates, and compliance with the provisions thereof will not conflict with or constitute a breach of or default under any applicable law or administrative regulation of the State or under any certificate, agreement or other instrument to which the Corporation is a party or is otherwise subject, which breach or default would materially and adversely affect the Corporation or its ability to perform its duties and Corporation Legal Documents and, if Certificates are executed and delivered, the Certificates;

(e) no action, suit, proceeding or investigation at law or in equity before or by any court, governmental agency, public board or body is, and on the Closing Date will not be, pending or, to the knowledge of the Corporation, threatened (i) in any way affecting the existence of the Corporation or the titles of the members of Board of Directors to their respective offices, (ii) seeking to prohibit, restrain or enjoin the issuance, sale or delivery of the Corporation Legal Documents or the collection or payment by the Corporation of any amounts pledged or to be pledged as security to pay the principal of and interest with respect to the Financing, (iii) in any way contesting or affecting the validity or enforceability of, or the power or authority of the Corporation to enter into the Corporation Legal Documents or to adopt the Resolution, (iv) wherein an unfavorable decision, ruling or finding would materially adversely affect the financial position or condition of the Corporation or would result in any material adverse change in the ability of the Corporation to pledge or apply the security or source of payment of, or to pay lease payments under the Lease Agreement, or (v) contesting the status of the interest with respect to the lease payments as excludable from gross income for federal income tax purposes or as exempt from any applicable state tax; and

(f) any certificate signed by an authorized officer of the Corporation and delivered to the Placement Agent shall be deemed a representation and warranty by the Corporation in connection with this Agreement to the Placement Agent as to the statements made therein for the purposes for which such statements are made.

4. **Payment and Delivery of Financing.** At [8:00 a.m.], Pacific time, on the date of delivery of the Financing as set forth in the Contract of Purchase, if a Contract of Purchase is executed in connection with the Financing, or at such other time or on such other date as shall have been mutually agreed upon by the District, the Placement Agent and the Purchaser (the “Closing Date”), the District will either (i) if the Financing is accomplished by the Assignment of Lease Agreement, deliver or cause to be delivered the Lease Agreement and other documents necessary to complete the Financing and (ii) if the Financing is accomplished by the execution and delivery of the Certificates, deliver or cause to be delivered to, or to the direction of, the Placement Agent through the facilities of The Depository Trust Company (“DTC”) or at such other place as the District, the Corporation and the Placement Agent may mutually agree upon, the Certificates in fully registered book-entry form, duly executed, bearing CUSIP numbers, in authorized denominations, and registered in the name of Cede & Co., as nominee of DTC, and shall cause each certificate, document, instrument and opinion required to be delivered pursuant to the Contract of Purchase, if a Contract of Purchase is executed in connection with the Financing, or as otherwise agreed by the District, the Corporation and the Placement Agent, in each case to be delivered at the offices of Hawkins Delafield & Wood LLP, Bond Counsel to the District, in Los Angeles, California; and, subject to the conditions of this Agreement, the Placement Agent will cause payment to be made of the purchase price thereof as set forth in the Lease Agreement or the Contract of Purchase, if a Contract of Purchase is executed in connection with the Financing, in immediately available funds (by wire transfer or such other manner of payment as the Placement Agent and the District shall reasonably agree upon) payable to the order of the District. The District acknowledges that the Placement Agent is causing such payment to be made as an accommodation to the District, and the Placement Agent is under no obligation to purchase the Financing.

On the Closing Date, the District shall deliver or cause to be delivered the documents, certificates and opinions required to be provided pursuant to the Contract of Purchase or as otherwise agreed upon by the District, the Corporation and the Placement Agent. On the Closing Date, there shall be delivered to the District and the Corporation an Investor Letter substantially set forth in Exhibit B attached hereto.

5. **Reliance.** The District and the Corporation recognize that, in providing services under this Agreement, the Placement Agent will rely upon and assume the accuracy and completeness of the financial, accounting, tax and other information discussed with or reviewed by the Placement Agent for such purpose, and the Placement Agent does not assume responsibility for the accuracy and completeness thereof. The Placement Agent will have no obligation to conduct any independent evaluation or appraisal of the assets or the liabilities of the District or the Corporation or any other party or to advise or opine on related solvency issues. Nothing in this Agreement is intended to confer upon any other person (including creditors, employees or other constituencies of the District or the Corporation) any rights or remedies hereunder or by reason hereof.

6. **Termination.** The Placement Agent’s authorization to carry out its duties hereunder may be terminated by the District, the Corporation or the Placement Agent at any time with or without cause, effective upon receipt of written notice to that effect by the other party.

7. **Notices.** Any notice or other communication to be given under this Agreement (other than the acceptance hereof as specified in the first paragraph hereof) may be given by

delivering the same in writing if to the District, to the Chief Business Officer of the Los Angeles Unified School District, 333 S. Beaudry Avenue, 26th Floor, Los Angeles, California 90017, to the Corporation, to the President of the LAUSD Financing Corporation, 333 S. Beaudry Avenue, 26th Floor, Los Angeles, California 90017. or if to the Placement Agent, to [Placement Agent], _____, _____, _____, _____, Attention: _____.

8. Severability. In the event any provision of this Agreement shall be held invalid or unenforceable by any court of competent jurisdiction, such holding shall not invalidate or render unenforceable any other provision hereof.

9. Parties in Interest; Survival of Representations and Warranties. This Agreement when accepted by the District in writing as heretofore specified shall constitute the entire agreement among the District, the Corporation and the Placement Agent with respect to the Financing. This Agreement is made solely for the benefit of the District, the Corporation and the Placement Agent (including the successors or assigns of the Placement Agent). No person shall acquire or have any rights hereunder or by virtue hereof. All the representations, warranties and agreements of the District and the Corporation in this Agreement shall survive, unless waived by the Placement Agent, regardless of (a) any investigation or any statement in respect thereof made by or on behalf of the Placement Agent, (b) any termination of this Agreement.

9. Execution in Counterparts. This Agreement may be executed in several counterparts each of which shall be regarded as an original and all of which shall constitute but one and the same document.

10. Applicable Law. This Agreement shall be interpreted, governed and enforced in accordance with the law of the State applicable to contracts made and performed in such State.

Very truly yours,

[PLACEMENT AGENT]

By: _____

Name:

Authorized Officer

The foregoing is hereby agreed to
and accepted as of the date first
above written:

**LOS ANGELES UNIFIED SCHOOL
DISTRICT**

By: _____

Chief Business Officer

**LAUSD ADMINISTRATION BUILDING
FINANCE CORPORATION**

By: _____
President

EXHIBIT A

EXHIBIT B
FORM OF INVESTOR LETTER

[Purchaser Letterhead]

[Closing Date]

Hawkins Delafield & Wood LLP
Los Angeles, California

LAUSD Financing Corporation
Los Angeles, California

Los Angeles Unified School District
Los Angeles, California

Re: Los Angeles Unified School District Certificates of Participation

Ladies and Gentlemen:

In connection with the original, executed Assignment Agreement, dated as of [Dated Date] (the “Assignment Agreement”), by and between the LAUSD Financing Corporation (the “Corporation”), as assignor, and [Purchaser], as assignee (the “Assignee”), the Corporation has assigned to the Purchaser without recourse certain of its rights under the Site Lease, dated as of [Dated Date], by and between the District and the Corporation, and the Lease Agreement, dated as of [Dated Date] (“Lease Agreement”), by and between the Corporation and the Los Angeles Unified School District (the “District”), including all of the Corporation’s rights to receive the lease payments scheduled to be paid by the District pursuant to the Lease Agreement (collectively, the “Transaction”). Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Lease Agreement and the Assignment Agreement.

In connection with the Transaction, the Purchaser hereby makes the following representations upon which you may rely:

1. The Purchaser has authority to enter into the Transaction and to execute this letter and any other instruments and documents required to be executed by the Purchaser in connection with the Transaction. The undersigned is a duly appointed, qualified and acting officer of the Purchaser and is authorized to cause the Purchaser to make the certificates, representations and warranties contained herein by execution of this letter on behalf of the Purchaser.

2. The Purchaser is a “qualified institutional buyer” as defined in Rule 144A promulgated under the Securities Act of 1933, as amended (a “Qualified Institutional Buyer”), within the meaning of Rule 144A promulgated under the Securities Act of 1933, as amended (the “Securities Act”), or an “accredited investor” (an “Institutional Accredited Investor”) as defined

in Section 501(a)(1), (2), (3), (7) or (8) of Regulation D promulgated under the Securities Act, provided that each equity owner of an “accredited investor” as defined in Section 501(a)(8) of Regulation D shall be an “accredited investor” as defined in Section 501(a)(1), (2), (3) or (7) of Regulation D, has sufficient knowledge and experience in financial and business matters, including the purchase and ownership of municipal and other tax-exempt obligations, and is capable of evaluating the merits and risks of its investment in the Transaction. The Purchaser is able to bear the economic risk of, and entire loss of, an investment in the Transaction.

3. The Transaction is being entered into by the Purchaser for investment for its own account, not with a view toward resale or distribution of any interest thereof. The Purchaser does not intend at this time to dispose of all or any part of its interests in the Transaction. The Purchaser understands that it may need to bear the risks of this investment for an indefinite time, since any assignment, sale or other disposition of its interests in the Transaction prior to the termination of the Site Lease and Facility Lease may not be possible.

4. The Purchaser understands that the Site Lease, the Lease Agreement and the Assignment Agreement are not registered under the Securities Act of 1933, as amended; and further understands that the Transaction (a) is not being registered or otherwise qualified for sale under the “Blue Sky” laws and regulations of any state, (b) will not be listed in any stock or other securities exchange, (c) will not carry a rating from any rating service and (d) will be delivered in a form which may not be readily marketable. The Purchaser is not entering into the Financing for more than one account, is entering into the Financing for investment purposes and is not entering into the Financing with a view to assigning its interests under the Assignment Agreement. The Purchaser understands and agrees that the Financing is exempt from Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, pursuant to Section (d) of said Rule.

6. The Purchaser acknowledges that the obligation of the District to make Base Rental Payments under the Lease Agreement (i) are obligations payable solely from the revenues and funds provided for in the Lease Agreement, subject to rental abatement, (ii) does not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation, and (iii) does not constitute an indebtedness of the District, the State of California or any political subdivision thereof within the meaning of any constitutional or statutory debt limitation or restriction. The Corporation shall not be directly or indirectly or contingently or morally obligated to use any other moneys or assets of the Corporation for all or any portion of such debt service.

7. The Purchaser has made its own inquiry and analysis with respect to the Transaction and the security therefor, and other material factors affecting the security for the Transaction and payment of Base Rental Payments under the Lease Agreement. The Purchaser is aware that the business of the District and the Corporation involves certain economic and political variables and risks that could adversely affect the security for the Transaction.

8. The Purchaser acknowledges that its interests in the Transaction, including without limitation those set forth and described in the Assignment Agreement, shall not be transferred, sold, assigned or otherwise disposed; provided, however, that nothing herein shall preclude the further assignment by the Purchaser of its interests in the Transaction in whole to an affiliate of

the Purchaser, a Qualified Institutional Buyer or an Institutional Accredited Investor, subject to compliance with the transfer restrictions set forth in the Corporation, including the requirement for the delivery to the District of a letter in substantially the form of the letter attached to the Assignment Agreement as Exhibit B. Failure to deliver such letter shall cause the purported transfer to be null and void.

9. The Purchaser hereby agrees to indemnify and hold harmless the District and the Corporation and their respective officers, employees and agents (collectively, the “Indemnified Parties”), with respect to any claim against any Indemnified Party based solely upon any sale, transfer or other disposition directly by the Purchaser (and not any subsequent transfer or disposition) of the Purchaser’s interest in the Transaction which is ultimately determined by a non-appealable decision of a court of competent jurisdiction to be in violation of the provisions of this letter, the Lease Agreement, and the Assignment Agreement.

10. Neither Hawkins Delafield & Wood LLP, Special Counsel to the District, nor the Corporation, or any of their respective members, governing body, or any of their employees, counsel or agents, will have any responsibility to the Purchaser for the accuracy or completeness of information obtained by the Purchaser from any source regarding the District or its financial condition or regarding the Transaction, the provision for payment in connection therewith, or the sufficiency of any security therefor. No written information has been provided by the Corporation to the Purchaser with respect to the Transaction. The Purchaser acknowledges that, as between the Purchaser and all of such parties, the Purchaser has assumed responsibility for obtaining such information and making such review as the Purchaser deemed necessary or desirable in connection with its decision to enter into the Transaction.

Very truly yours,

By: _____